# Environmental, Social and Governance Report 2024

The Road Ahead Starts With NIO

NIO ESG Report 2024

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# About This Report

## Overview

Welcome to the *NIO 2024 Environmental, Social and Governance Report* (hereinafter referred to as the "ESG Report" or "Report"). This Report is intended for all stakeholders of NIO, focusing on its management, practices, and performance in the areas of environmental, social and governance.

## Time Frame

This Report covers the period from January 1, 2024, to December 31, 2024 (i.e., the reporting period), with some retrospective references to previous years and insights into 2025.

## Business Scope

This Report covers the business scope under the direct control of NIO Inc. (hereinafter referred to as "NIO," the "Company," or "we").

## Compilation Basis

In light of its ESG realities, the Company has prepared the Report with reference to the *GRI Sustainability Reporting Standards 2021* (GRI Standards 2021), *Environmental, Social and Governance Reporting Code* (ESG Code) set out in Appendix C2 to the Listing Rules issued by the Stock Exchange of Hong Kong Limited, *Singapore Exchange Core ESG Metrics* (Core ESG Metrics), *Sustainability Accounting Standards Board* (SASB) Standards, *IFRS Sustainability Disclosure Standard*: *General Requirements for Disclosure of Sustainability-Related Financial Information* (IFRS S1), *IFRS Sustainability Disclosure Standard*: *Climate-Related Disclosures* (IFRS S2) while also referring and responding to the issues of concern of the Sustainable Development Goals of the United Nations (UN SDGs).

To ensure the integrity, materiality, authenticity, and balance of the content, the Report follows a set of preparation steps, including thoroughly communicating with stakeholders to identify, assess, and quantify material ESG issues, determining the scope of the ESG Report, collecting relevant information and data, drafting the Report, and reviewing the information in the Report.

## Sources of Information and Reliability

The information and data disclosed in this Report are cited from statistical reports and official documents of the Company that have been reviewed by relevant departments. The Company guarantees that the Report does not involve any false records or misleading statements, and is responsible for the authenticity, accuracy, and integrity of the content. Unless otherwise stated, monetary figures are presented in RMB.

## Language and Access

This Report is available in electronic form in Simplified Chinese, Traditional Chinese, and English. In case of ambiguity between the Simplified Chinese, Traditional Chinese, and English versions, the simplified Chinese version shall prevail. For more details on NIO's background, business development, and sustainable practices, please visit www.nio.com/esg.

## Confirmation and Approval

The Report was approved in April 2025 by the Board of Directors after a detailed review by the management and the ESG & Sustainability Task Force.

## Disclaimer

This Report contains forward-looking statements regarding future development targets and investment plans that reflect information available as of the date of the statements, and are based on the current expectations, assumptions, estimates, and projections of the Company in accordance with the existing industry and regulatory environment. These statements involve known and unknown risks, uncertainties, and factors that may cause our actual results to differ materially from any of those expressed in the forward-looking statements, many of which are beyond our control. Forward-looking statements can be recognized by words such as "expects," "plans," "will," "estimates," "prospect," "intends," "anticipate," "believes," "confident," or words of similar meaning. We undertake no obligation to update these statements to reflect events or circumstances occurring after the date on which the statements are made, or to reflect the occurrence of unanticipated events, except as required by applicable law.

## Feedback

We highly value the suggestions and opinions of our stakeholders. Please share your suggestions via email at ESG@nio.com to help us further improve our reporting and ESG performance.

# Letter From William Li

The smart electric vehicle (EV) industry has entered a transformative phase driven by the market, with profound changes in market structure and competitive dynamics that extend beyond traditional metrics of products, technology, and services.

As NIO marked its decade-long journey in 2024, we celebrate significant achievements while acknowledging ongoing challenges. Amid market volatility and uncertainty, we steadfastly uphold our founding vision and focus on actions. With users at the center and through continuous technological innovation, we are committed to creating value for users across products, technology, services, and the community, and ultimately achieving commercial success.

With AI as the fundamental capability, the Company continuously enhances user experience and operational efficiency. Our technological innovation and achievements in 2024 encompassed the development of proprietary chip for smart driving, full-domain vehicle operating system, and drive-by-wire intelligent chassis. Powered by AI models, we advanced our smart driving capabilities, including the large model-based Automatic Emergency Braking (AEB), the new Automatic Emergency Steering (AES), and the enhanced General Object Warning and Assist (GOA). In 2024, NIO's Smart Safety System reduced accident-related losses by 25.2%, while users' total mileage with Navigate on Pilot Plus (NOP+) reached 1.57 billion kilometers.

NIO has built China's most extensive battery swapping network, with nearly 3,000 Power Swap Stations installed by the end of 2024. With nearly 1,000 stations along 18 major highways and connecting over 700 cities in China, NIO has enabled seamless battery swapping when travelling across most major cities in China. By the end of the reporting period (December 31, 2024), NIO also operated over 25,000 chargers in China, making NIO the car brand with the largest network of chargers and battery swapping stations in China.

In addition to providing leading smart EV experience, NIO has also established a holistic, innovative service model, creating a closed-loop service experience throughout the lifecycle of its products, which has laid a solid foundation for NIO's multi-brand strategy and international expansion. Our global presence now spans multiple countries including China, Norway, Germany, the Netherlands, Sweden, Denmark, the United Arab Emirates, Israel, and Azerbaijan, serving users in more than 350 cities worldwide.

The mission— "Blue Sky Coming, Shaping a Sustainable and Brighter Future Together"—and the vision— "To Build a User Enterprise Where Innovative Technology Meets Experience Excellence"—have become a shared pursuit of every NIO employee since the release of NIO's Value System 3.0, deeply rooted in NIO's original aspirations. NIO's sustainability journey is grounded in both common sense and commercial pragmatism. Currently, we stand at the forefront of driving a just, orderly, and equitable energy transition. With smart EVs as our carrier, and services and communities as our bridges, we are working together to shape a sustainable and brighter future.

Vision and action are at the heart of the NIO logo. For years, we have consistently implemented sustainable practices throughout the entire value chain, rising our standards for systems and efficiency. Last year, we were featured on the 2024 FORTUNE CHINA ESG IMPACT LIST, and awarded the 2024 Anhui Province Green Factory. In January 2025, NIO was recognized in Corporate Knights' list of 2025 Global 100 Most Sustainable Companies, ranking first in the automotive industry. We sincerely appreciate the recognition from all sectors of society. Driven by the trust and support, we are committed to working hand-in-hand with our users, employees, partners, industry peers, and all stakeholders to chart a path defined by safety, development, and respect. Together, we're sketching a future blueprint featuring cleanliness, livability, and harmonious coexistence.

Founder | Chairman | CEO
William Li

# Executive Summary

Over the past decade, NIO's unwavering commitment to the founding aspiration of "Blue Sky Coming" has not only guided our journey but also accompanied every friend who has stood by NIO. Today, with the mission of "Shaping a Sustainable and Brighter Future Together" built on our original aspiration, we continue to make sound and sustainable business choices. We firmly believe that through solid, efficient actions, and consistent efforts over time, our dedication will yield lasting success.

**Advanced Energy and Carbon Management Toward a Sustainable Blue Planet**

NIO recognizes the crucial role of EVs in combating climate change and driving society's green transition. We remain committed to comprehensive carbon footprint management throughout the entire product lifecycle, from manufacturing and logistics to vehicle delivery. At the same time, we work closely with upstream and downstream partners across the value chain to develop sustainable smart EVs and drive their adoption to minimize environmental impact. For over four years, NIO has led Clean Parks, a global ecological program. Together with stakeholders—including users and communities—we've been actively safeguarding 17 ecological sites around the world, preserving natural ecosystems.

**Outstanding Products and Responsible Value Chain**

The pursuit of a responsible value chain is integral to NIO's commitment to sustainable business practices. In terms of technological innovation, with "continuous innovation" as its pivot, NIO focuses on forward development and in-house research of core technologies. We have established the "NIO Full Stack", incorporating 12 core technologies, including assisted and intelligent driving, electric drive systems (EDS), and high voltage system. Regarding product quality and safety, NIO has developed the All-Time Quality (ATQ) system that puts users' interests first and covers all domains and the full lifecycle. By integrating intelligent technologies with active and passive safety features on a foundation of high-standard, high-strength mechanics, we are committed to enhancing every aspect of vehicle safety, delivering high-quality, safe products to our users. Regarding upstream partners, we have implemented a sustainable supply chain strategy, embedding sustainability evaluations into partner selection and onboarding processes. Our goal is to build a globally advanced and resilient supply chain that meets international standards. For our downstream users, we continuously gather insights to refine both software and hardware standards, ensuring a user-centric approach. Our services cover the entire user journey, from pre-purchase consultation to after-sales support, delivering a seamless and exceptional experience beyond expectations.

**Care for Employee Development for a Bright Future Together**

Honesty and care are at the core of NIO's values. We provide global talent with equal opportunities, creating a diverse, inclusive, and respectful workplace built on open communication. Leveraging NIO's unique value-driven system, we are committed to building a forward-looking, comprehensive training and promotion framework that maps out individual growth paths and supports career advancement. In addition, we take concrete actions to implement occupational health and safety management. We show genuine care for employees' work and life, while continually improving their job satisfaction and well-being.

**Creation and Delivery of Sustainable Social Value**

Creating and delivering sustainable social value is both a key means and a natural outcome of NIO's mission. By focusing on innovation through industry-university-research collaborations, diverse user communities, and public welfare initiatives, NIO continually communicates its sustainability principles to the public. We remain committed to collaborating with stakeholders, including governments, industry partners, users, and the general public, driving industry growth and societal good with warmth and positivity.

At NIO, we will stay true to our original aspiration through sustainable actions rooted in a solid system and efficiency. With effective governance and strategic agility, we aim to capitalize on sustainable opportunities. Guided by the support and trust of everyone who believes in NIO, we will continue to move forward and strive for growth!

ESG Steering Team
Feng Shen, Stanley Qu

# NIO, Driven by Sustainability

Founded in November 2014, NIO is a global smart electric vehicle company dedicated to shaping a sustainable and brighter future by providing high-performance smart electric vehicles with the ultimate user experience. The Company's vision is "To Build a User Enterprise Where Innovative Technology Meets Experience Excellence." We design, develop, manufacture and sell smart electric vehicles, driving innovations in next-generation core technologies. NIO distinguishes itself through continuous technological breakthroughs and innovations, exceptional products and services, and a community for shared growth. With three brands under its umbrella, its NIO brand provides premium smart electric vehicles, ONVO brand offers family-oriented smart electric vehicles, and firefly brand delivers high-end small smart electric cars.

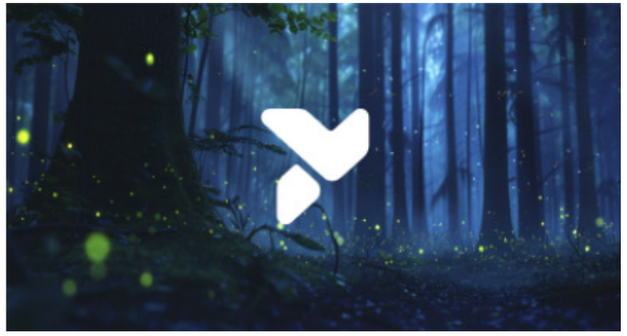
As of December 31, 2024

NIO Brand Cumulative Deliveries
**650,803** vehicles

ONVO Brand Cumulative Deliveries
**20,761** vehicles

NIO Inc. Cumulative Deliveries
**671,564** vehicles

Continue To Lead Premium BEV Market



NIO focuses on the forward research and development of core technologies. With R&D and production facilities in Shanghai, Hefei, Beijing, Nanjing, Shenzhen, Hangzhou, Wuhan, San Jose, Munich, Oxford, Berlin, Budapest, Singapore, and Abu Dhabi, and sales and service networks in China, Norway, Germany, the Netherlands, Sweden, Denmark, the United Arab Emirates, Israel, Azerbaijan, and other countries, it serves users in more than 350 cities worldwide.

NIO Global Footprint

In addition to delivering a leading smart EV experience, NIO has also established a comprehensive innovative service model, including NIO Power, NIO Service, Battery as a Service (BaaS), flexible battery upgrade, and NIO Certified, its official used car program, to provide end-to-end service throughout the lifecycle of NIO products.

The NIO brand adopts a direct sales model. With the NIO app as the interface for user experience and services, and online and offline touchpoints such as NIO House, NIO Space, NIO Radio, the exclusive user radio station, and NIO Life, the original lifestyle brand, it has created a community that starts from and goes beyond the car, where users grow together. The ONVO and firefly brands also have their exclusive apps and community experiences.

# Our Journey Towards Sustainability

NIO originates from the vision of a clear blue sky. The year 2024 marks the 10th anniversary of NIO's founding, as well as a decade of its journey in exploring sustainable development. Over these ten years, NIO has remained committed to responsible business practices and rational sustainability, continuously expanding and refining every aspect of its sustainable development philosophy.

## NIO's Sustainability Milestones Over the Past Decade

### 2014

**Founded with vision of Blue Sky Coming**

Inspired by the original aspiration of "Blue Sky Coming" and founded in November 2014, NIO has been dedicated to propelling social sustainability forward through smart electric vehicles.

### 2016

**Became a member of UNGC**

NIO joined the United Nations Global Compact (UNGC), committing itself to UNGC's ten principles, including human rights, labor, environment, and anti-corruption.

### 2018

**Launched innovative battery swapping model**

NIO introduced the innovative battery swapping model, which alleviates users' recharging anxiety by "making recharging more convenient than refueling," in an effort to enhance user experience of electric vehicles.

**Released *NIO Global Code of Business Conduct and Ethics* and *Global Anti-Corruption Policy***

NIO is committed to working hand in hand with the Company's directors, managers, employees, and partners to conduct business in a legal, ethical, and honest manner, and jointly practice high standards of business conduct.

### 2019

**Established NIO Users Trust**

William Li donated 50 million NIO shares from his holding in January 2019 to establish the NIO Users Trust, with the aim to deepen the connection between NIO and its users, and shape a sustainable and brighter future.

### 2021

**Established Nominating and ESG Committee**

NIO expanded the Nominating and Corporate Governance Committee and established the Nominating and ESG Committee, which is responsible for managing and supervising ESG work, thereby strengthening ESG management at the governance level.

**Unveiled eco-friendly fashion brand BLUE SKY LAB**

BLUE SKY LAB repurposes leftover materials from auto manufacturing, such as airbags, seatbelts, and BASF synthetic leather, to create a range of fashionable and eco-friendly automotive products.

**NIO EL8 received Euro NCAP five-star safety rating**

With advanced material technology, a high-strength structural design, and industry-leading active safety features, NIO EL8 (ES8 in China)earned the five-star safety rating of the European New Car Assessment Program (Euro NCAP).

**Launched Clean Parks**

Clean Parks is an open platform for global ecological cooperation. Through Clean Parks, NIO works with all stakeholders to promote the use of smart electric vehicles and the construction of clean energy infrastructure in nature reserves around the world, so as to maintain the authenticity and integrity of ecosystems.

**Introduced vehicle lifecycle carbon reduction mechanism**

NIO has set up a mechanism to reduce carbon emissions across the vehicle lifecycle. Starting with setting low-carbon targets for vehicles, NIO broke down these targets into various stages, such as design, manufacturing, and logistics, and incorporated them into its product R&D platform, practicing carbon management throughout the product lifecycle.

# NIO's Sustainability Milestones Over the Past Decade

## 2022

### Released first ESG report

NIO released its first Environmental, Social and Governance (ESG) Report, sharing its management, practices, and performance in ESG with all stakeholders.

### NIO ET7 received Euro NCAP five-star safety rating

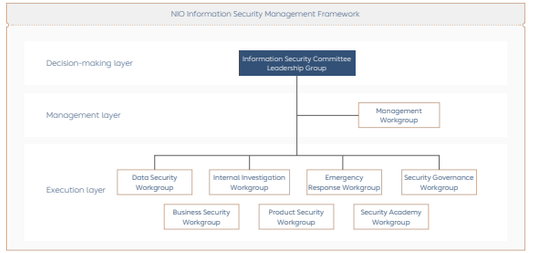
As NIO's first model launched into the global market, NIO ET7 followed NIO EL8 to clinch the five-star safety rating of the Euro NCAP.

### Introduced company-level "carbon ledger"

NIO conducted the carbon emission assessment across its global business. This initiative enabled NIO to identify and explore the emission reduction opportunities in various business scenarios, which laid a solid foundation for the Company's carbon emission reduction roadmap.

### Established Information Security Committee

NIO has set up an information security management framework including the Information Security Committee Leadership Group and other functional units, to safeguard information and privacy security through a comprehensive and systematic approach.




## 2023

### Joined Science Based Targets Initiative (SBTi)

On March 25, 2023, NIO announced its commitment to join the SBTi, aiming to contribute to carbon reduction targets of limiting temperature rise to below 1.5°C. NIO is the first Chinese new energy vehicle company to join the initiative.

### Completed CDP questionnaire for the first time

In July 2023, NIO completed the Carbon Disclosure Project (CDP) climate change questionnaire, becoming the first Chinese new energy vehicle company to participate in CDP's environmental information disclosure.

### NIO ET5, EL7 and ET5T received Euro NCAP five-star safety rating

NIO ET5 and EL7 (ES7 in China) were the first models to receive the five-star safety rating of the Euro NCAP (based on the new 2023 protocol). Both models set new benchmarks, with NIO ET5 achieving the highest score for sedans and the EL7 achieving the highest score for SUVs since 2020. Later, NIO ET5T also received the five-star safety rating of the Euro NCAP.

### NIO made its debut at the 28th Conference of the Parties to the *United Nations Framework Convention on Climate Change* (COP 28)

As a member of the UNGC, NIO participated in COP 28, where it shared its innovation and achievements in promoting the green transition of the transportation and energy industries, as well as the harmonious coexistence of human and nature.

### Established the Anti-Sexual Harassment, Anti-Discrimination and Anti-Bullying Team (Care Team)

NIO is highly concerned about and strongly opposed to any form of sexual harassment, discrimination, and bullying in the workplace. Therefore, we have established the Care Team and developed the *Global Anti-Harassment, Anti-Discrimination and Anti-Bullying Policy* as a key component of the global compliance policies, to protect the rights and interests of employees.

### Released the *Global Supply Chain Sustainability Policy*

This policy sets out the Company's sustainability standards for partners in areas such as environmental impact, labor relations, and human rights. It also outlines measures for reporting related violations and preventing retaliation, continuously promoting the sustainable development management of the supply chain.

# NIO's Sustainability Milestones Over the Past Decade

## 2024

### NIO EL6 (ES6 in China) received the five-star safety rating of the Euro NCAP

NIO EL6 (ES6) earned the five-star safety rating of the Euro NCAP, and all NIO models that participated in the assessment also achieved high scores.

### Participated in the compilation of ESG group standards for China's automotive industry

In February 2024, a series of ESG group standards, including the *Guidance on ESG Information Disclosure for China Automotive Industry*, which were compiled with NIO's participation, were officially released. These standards further provide guidance and standardization for ESG management in automotive enterprises.

### Released the All-Time Quality (ATQ) system that puts users' interests first

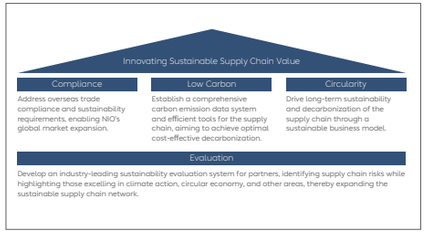
We prioritize users' perspectives, scenarios, and interests, ensuring their benefits throughout the vehicle lifecycle. The ATQ system embodies NIO's fundamental thinking regarding quality in the smart EV era, grounded in a lifecycle-oriented mindset and comprehensive quality system.

### Released the *Due Diligence Management Policy for Critical Minerals*

NIO has identified critical minerals that are important for its business development but pose certain risks in terms of supply. NIO has formulated the *Due Diligence Management Policy for Critical Minerals* and established a management system for critical minerals.

### Released the *Supply Chain Sustainability Strategy*

NIO continuously improves the strategic framework for its sustainable supply chain. With sustainable compliance, green and low-carbon practices, and circular and sustainable evaluation systems as the pillars, it has designed clear work objectives and paths to advance sustainable supply chain development.

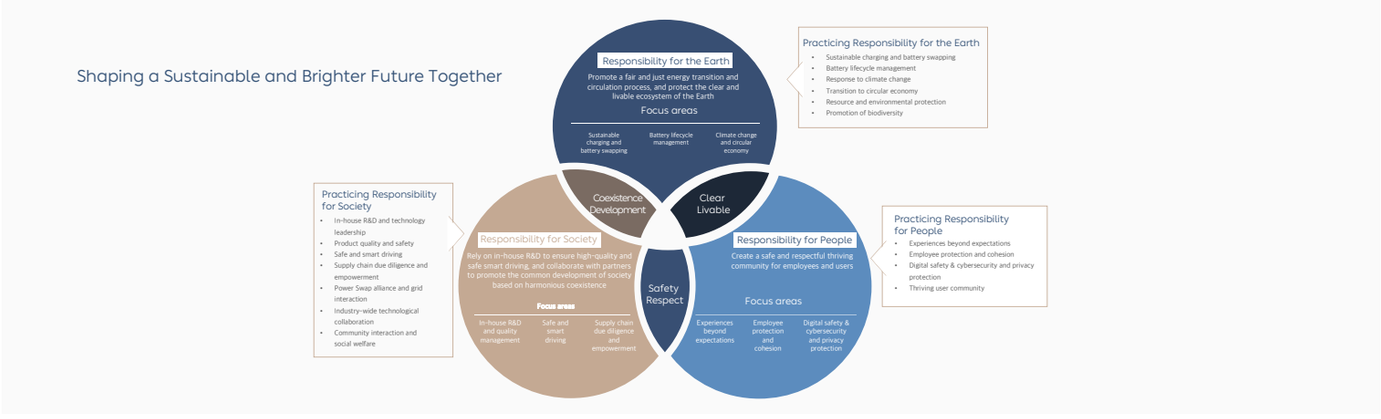



## 2025

### Released NIO's sustainability strategy

Aligned with the Mission of NIO Value System 3.0, "Shaping a Sustainable and Brighter Future Together", NIO has developed and confirmed its sustainability strategy after extensive and in-depth communication, discussion, and high-level review, marking the beginning of a new phase in NIO's sustainability management.

For more information on NIO's sustainability strategy, please refer to "1.2.2 ESG Strategy" in this Report.




### Released a supply chain sustainability initiative

NIO sets out sustainability goals for partners across five key areas: responsible procurement, sustainability evaluation and management, low-carbon practices, circular system, and sustainability disclosure. The initiative calls on partners to jointly embrace and implement supply chain sustainability.

In every decade ahead, we will continue to uphold the principles of sustainable development. Leveraging our clean, innovative smart electric vehicles and consistently delightful user experience throughout the entire journey, we will keep working with all stakeholders to drive sustainable economic and social progress and shape a sustainable and brighter future together.

# Our Awards

| Time | Award | Awarded by |
|---|---|---|
| January 2025 | NIO was recognized in Corporate Knights' list of 2025 Global 100 Most Sustainable Companies, ranking first in the automotive industry<br>NIO ET7 and ET5T were honored with "2024 Green Design International Award" | Corporate Knights<br>World Green Design Organization (WGDO) |
| December 2024 | NIO won the "Climate Adaptation Innovation Pioneer Award" and the "Community Engagement Excellence Award" at the Hong Kong ESG Reporting Awards<br>ONVO L60 was recognized in "10 Best Cars List" of the 12th Xuanyuan Award<br>NIO ET5T won the first place in midsize BEV segment in the 2024 China NEV User Satisfaction Survey, NIO won the first place in After-Sales Service Satisfaction<br>NIO Factory 2 (F2) was recognized as a "Super Automotive Factory" and also received the "Best Digital Application Award" | Hong Kong ESG Reporting Awards (HERA)<br>Auto Business Review and EFS<br>China Association for Quality<br>China Automotive Technology and Research Center Co., Ltd. |
| November 2024 | NIO was recognized in the "2024 Sustainability Brand Pioneers Index" by Huxiu and won the "Sustainability Brand Pioneers", "Clean Opportunity Award" and "Environmentally Friendly Award" | Huxiu |
| July 2024 | NIO factories in NeoPark was recognized as the "2024 Green Factory" by Anhui Province | Department of Industry and Information Technology of Anhui Province |
| June 2024 | NIO ET5 and ET5T won the first place in their segment in the 2024 China New Energy Vehicle Initial Quality Study (NEV-IQS) | J.D. Power |
| May 2024 | NIO ES6 won the first place in the premium BEV segment in the 2024 China New Energy Vehicle–Automotive Performance, Execution and Layout (NEV-APEAL) Study, NIO ES8, ET5 and ET5T won the first place in their segments respectively<br>NIO was named on 2024 FORTUNE CHINA ESG IMPACT LIST | J.D. Power<br>FORTUNE CHINA |
| April 2024 | NIO was awarded the "Disciplined Innovation Award–Model Unit"<br>NIO EL6 (ES6) received the five-star safety rating of the Euro NCAP | International Automotive Quality Standardization Association (IAQSA)<br>EU NCAP |
| March 2024 | NIO was awarded the "Five-Star Enterprise" in the *Carbon Management System Evaluation of Automobile Enterprises* | Energy Saving and Green Development Assessment Center for Automotive Industry |
| January 2024 | NIO EC6 EDS won the "Third World Top 10 Electric Drive Systems"<br>NIO was selected for the "2023 Green Supply Chain Management Enterprises" | CarBingo Academy<br>Ministry of Industry and Information Technology of the People's Republic of China |

# Response to United Nations Sustainable Development Goals (UN SDGs)

| Chapter | UN SDGs | Response to UN SDGs |
|---|---|---|
| NIO Power: Smart Services for Worry-Free Trips | | By continuously investing in key technologies for efficient and safe EV battery swapping, expanding the charging and swapping network, and actively engaging in V2G interaction, NIO is advancing the industry's low-carbon transformation. |
| Efficient Governance | | NIO has established a well-defined corporate governance and risk management framework, strengthening compliance and business ethics management to foster a culture of integrity. We fortify information security by leveraging standardized processes and cutting-edge technologies, driving long-term value for all stakeholders. |
| Joint Efforts for a Blue Sky on Earth | | NIO attaches great importance to sustainable development. We actively combat climate change by fully implementing end-to-end carbon footprint management and partnering with both upstream and downstream partners to develop green, low-carbon, and smart EVs. |
| Premium Products and Responsible Value Chain | | NIO brings users an intelligent and reassuring driving experience through continuous innovation in research and development, while delivering excellent products through comprehensive quality management across all staff, processes, and dimensions of value. At the same time, we have established a sustainable supply chain strategy, committed to building a sustainable supply chain supported by sustainability compliance, green and low-carbon practices, circularity, and a robust sustainability evaluation framework. |
| Joint Efforts for Employee Growth | | NIO creates a diverse, equal and inclusive workplace rooted in honesty and care, offering opportunities to talent worldwide. Guided by NIO's unique value-driven system, we take a forward-thinking approach to comprehensive training and career development. Through decisive actions, we uphold occupational health and safety, support employees in both work and life, and continuously enhance workplace satisfaction and overall well-being. |
| Collaboration for Sustainable Social Value Creation | | NIO remains committed to working alongside all sectors of society to pursue the vision of "Blue Sky Coming." Leveraging long-term collaboration and co-creation, a professional philanthropy system, and diverse user community activities, we join hands to spread warmth and transform passion into tangible acts of kindness. |

# ESG Highlights of 2024

## Efficient Governance

- NIO has established a three-layer ESG governance structure of "the Nominating and ESG Committee of the Board of Directors - ESG Steering Team - ESG & Sustainability Task Force".
- In 2024, NIO identified and assessed its double-materiality ESG issues for the first time, considering both "financial materiality" and "impact materiality" perspectives.
- In 2024, NIO achieved 100% coverage of the business ethics and compliance training for employees (including interns, contractors, and part-time employees).
- In 2024, NIO recorded 0 cases of unfair competition, 0 violations of antitrust and anti-monopoly laws and other related regulations, and 0 breaches of the Company's business norms and codes of conduct regarding money laundering and insider trading.
- In 2024, there were 0 concluded lawsuits related to commercial bribes brought against NIO employees.
- NIO has established a comprehensive three-tier information security management framework and management system for its global operations. Continuously enhancing its security technology defenses in the smart era, NIO safeguards the data and privacy for all relevant stakeholders, including users, employees, and partners.
- In 2024, NIO achieved 100% coverage of information and data security training for employees.

## Joint Efforts for a Blue Sky on Earth

- NIO actively participated in the Battery Passport pilots conducted by the Global Battery Alliance (GBA). In November 2024, the battery passport released by NIO for the standard-range battery pack was included in the second-phase pilot.
- In 2024, leveraging the Circular Car Lab, NIO achieved the closed-loop recycling of scrapped vehicles under the "Car to Car" model and dismantled and categorized the scrapped vehicles with precision, significantly increasing their residual value.
- In 2024, NIO launched magnetic steel recycling projects for 160 kW, 180 kW, and 210 kW EDS, with the aim of achieving the closed-loop recycling of rare earth elements such as praseodymium, neodymium, dysprosium, and terbium.
- NIO has been advancing non-destructive dismantling technologies and direct repair and recycling of battery cell materials to develop precise dismantling capabilities for Cell to Pack (CTP) battery packs, driving closed-loop battery system recycling.
- In 2024, NIO's manufacturing sites consumed a total of 97,013.15 MWh of renewable electricity, accounting for 56.6% of the total energy consumption, which was a 74.5% increase compared to 2023.
- In 2024, the comprehensive energy consumption per vehicle at NIO F1 dropped by 29% compared to 2023, and the comprehensive energy consumption per vehicle at NIO F2 decreased by 22% compared to 2023.
- In 2024, NIO's factories and laboratories implemented multiple recycling and waste reduction initiatives. The amount of waste reduction and recyclable waste collectively represented approximately 4.2% of the total waste generated.
- NIO F2 and EDS Factory 1 (E1) have initiated the construction of sponge factories. Meanwhile, NIO EDS Factory 2 (E2) and NIO Factory 3 (F3) under construction are also designed and built based on past successful experience, jointly advancing the development of sponge factories.
- In 2024, the proportion of recyclable, shared, and lightweight packaging used in our vehicle transportation reached 98%, 90%, and 35%, respectively. For the transportation of EDS and batteries, the proportion of recyclable packaging reached 100%.
- By the end of 2024, NIO's Clean Parks initiative had partnered with 17 ecological cooperation sites, including the Three-River Source National Park, Hainan Tropical Rainforests National Park, Northeast China Tiger and Leopard National Park, and Giant Panda National Park.
- In 2024, BLUE SKY LAB used 6,218 $m^2$ of recycled automotive-grade materials. By the end of 2024, BLUE SKY LAB had used a total of 70,902 $m^2$.

# Premium Products and Responsible Value Chain

- In 2024, NIO's cumulative R&D investment reached RMB 13.037 billion, with a total of 11,528 product and software development staff, accounting for 25.26% of total workforce.
- By the end of 2024, NIO had a total of 9,815 granted patents and pending patent applications in China, Europe, the United States and other jurisdictions, including 5,693 grated patents and 4,122 pending applications. In addition, NIO had acquired 6,296 registered trademarks and had 1,371 pending trademark applications.
- In 2024, the Navigation on Pilot Plus (NOP+) feature released to all vehicles on the NIO Technology 2 (NT2) platform was made available on all roads across China and became the first smart driving system in China with a cumulative mileage of more than 1.5 billion kilometers.
- In 2024, NIO launched the industry's first Automatic Emergency Steering (AES) product capable of responding to pedestrians, non-motorized vehicles, and multi-vehicle collisions. Operating within a speed range of 60-150 km/h, AES had the industry's broadest speed coverage by the end of the reporting period. This feature enables active risk avoidance at medium to high speeds.
- NIO is committed to developing the All-Time Quality (ATQ) system that puts users' interests first, with a series of strategic and systematic quality management activities being carried out for quality control in all domains across the product's full lifecycle. By the end of 2024, 12 subsidiaries of the Company had obtained quality management system certifications of ISO 9001 or IATF 16949, accounting for 92% of NIO's manufacturing and R&D sites.
- In 2024, NIO's supply chain assurance mechanism covered more than 60 partners, effectively enhancing the resilience of the supply chain.
- By the end of 2024, NIO had conducted sustainability evaluations with over 140 partners, covering 54% of its tier-1 key partners. NIO has awarded the NIO Partner Blue Sky Award to 16 partners who made outstanding contributions in the field of sustainability.
- NIO has established an ESG due diligence mechanism and a risk identification model to manage risks in supply chain sustainable development. In 2024, NIO completed its first due diligence on critical minerals, covering 138 partners.
- In 2024, the coverage of quality empowerment training for the suppliers of components of the Company's mass-produced vehicle models reached 100%.
- In 2024, roadside and value-added services provided by NIO accounted for 60.4% of all after-sales services, including 1,739,543 times of roadside services and 1,361,051 times of value-added services.
- NIO has set up a diversified and efficient user feedback system, achieving a 100% annual complaint response rate.

## Joint Efforts for Employee Growth

- In 2024, NIO obtained 10 awards and honors as an employer, including the China Best Employers Award and the China Best Employers for University Student award.
- In 2024, NIO offered a total of 79 leadership training sessions, with 3,098 attendees; 238 professional competency training sessions, with 23,791 attendees; 103 general competency training sessions, with 3,936 attendees; and 333 value training sessions, with 14,082 attendees.
- In 2024, a total of 57 employees enrolled in NIO's continuing education program, while 705 employees obtained external certifications with the Company's support.
- In 2024, NIO launched 359 employee benefits initiatives, covering all employees.
- In 2024, NIO launched the Employee Assistance Program (EAP), offering professional psychological assessments, counseling services, and targeted guidance and training programs, covering 100% of NIO's employees (including interns) in China.
- In 2024, NIO carried out the yearly employee satisfaction survey, which contained 19 questions from 8 dimensions. The questionnaire was translated into 8 languages and distributed to 32,256 full-time employees and interns worldwide, with the overall satisfaction rating on par with that in 2023.
- In 2024, NIO organized more than 28 employee activities, covering diverse themes such as traditional festivals, sports events, and parent-child interaction.
- By the end of 2024, NIO had established 25 clubs, which held more than 600 events in the reporting period with more than 5,000 employees participating.
- In 2024, NIO organized a total of 460 emergency drills, addressing multiple critical scenarios such as firefighting, battery fires, flood and typhoon preparedness, acute poisoning, mechanical injuries, and chemical leaks.
- In 2024, NIO's Total Recordable Incident Rate of global full-time employees and contractors was 0.07 cases per 200,000 man-hours, and the Lost Workday Severity Rate was 1.38 days per 200,000 man-hours. The annual occupational health and safety targets were fully achieved.

## Collaboration for Sustainable Social Value Creation

- By the end of 2024, NIO had organized 4 rounds of global solicitation of collaboration projects with universities and research institutions, attracting over 200 scholars from top universities and research institutions to submit applications. NIO, together with research institutions, had also submitted a total of 44 patent applications and published 46 academic papers.
- In 2024, a series of ESG group standards, including *the Guidance on ESG Information Disclosure for China Automotive Industry*, which were compiled with NIO's participation, were officially released by the China Association of Automobile Manufacturers (CAAM).
- By the end of 2024, NIO had provided charging services to users of over 210 non-NIO brands, with a total volume of over 1.1 billion kWh, accounting for more than 80% of the electricity consumed by NIO chargers.
- By the end of 2024, we had a total of 2,253 active communities across China, engaging over 660,000 NIO users, with a community coverage of 59.4%. We held an average of over 750 community activities every week, with a total of more than 10,000 participants.
- By the end of 2024, over 43,000 users had participated in the core activities of the NIO Users Foundation, benefiting more than 68,000 households.
- In 2024, over 350 public welfare activities were organized by NIO user communities, with a total of 11,269 participants contributing 31,734 hours of volunteer services.

# NIO Power: Smart Services for Worry-Free Trips

NIO strives to provide users with the highest efficiency and the optimal experience of power replenishment, achieving the goal of “making recharging a better experience than refueling”. By virtue of NIO’s wide-ranging charging and battery swapping network and cloud technology, we have developed NIO Power, a smart power service system that provides users with “Chargeable, Swappable, and Upgradeable” recharging solutions. The system also delivers comprehensive recharging services across all scenarios, ensuring worry-free EV trips for users.

## NIO Power: Smart Power Service Solution

Power Home 2.0

Power Home Plus

At Home

Power Map

Power Charger

Power Swap Station

One Click for Power

On The Road

We continuously innovate charging and battery swapping technologies to offer more sustainable power services. During the reporting period, we deployed NIO’s fourth-generation Power Swap Stations on a large scale to provide faster, greener and more compatible swapping solutions.

| Faster | More Compatible | Greener |
| --- | --- | --- |
| Battery swapping in 3 minutes with enhanced charging, swapping, and storage performance and better service capabilities at each station. | Compatible with battery packs of different specifications for battery swapping across muptiple brands to enhance the utilization of public resources. | PV power generation system on the station rooftop for the direct use of green electricity. |

Power Swap Station 4.0

NIO has established the industry's first full-lifecycle battery health management system through technological R&D and innovative intelligent operations and maintenance for battery swapping. We extend the lifespan of power batteries in the swapping system by comprehensively regulating the three key factors that affect the battery life and status, namely temperature, intensity and frequency, and by managing and scheduling big data of power batteries.

During the reporting period, we set forth the technological and operational targets for the long-life battery. By practicing the operational model of "long-life battery and swapping service", we will continue to join hands with partners to achieve such targets. (For more details on battery R&D, please refer to "3.1 Continuous Innovation and R&D" in this Report.)

**Technological and Operational Targets for Long-Life Battery**

Power Battery State of Health (SOH) ≥ 85% of After 15 Years of Service for Worry-Free Trips

## 15-Year Long-Life Battery Solution

The battery life of new energy vehicles is of vital significance to the industry, enterprises, users, and the natural environment. A combination of the long-life battery and NIO's swapping model prevents users from the high cost of replacing power batteries after the warranty period and from the vehicle depreciation due to battery attenuation. The practice also helps NIO deliver better swapping services, reduce the consumption of public resources, and drive sustainable development.

On March 14, 2024, NIO and CATL entered into a framework agreement in Beijing to promote long-life battery R&D and innovation and to implement long-life battery solutions for battery swapping based on NIO's needs. CATL will plan and develop batteries with longer lifespan for NIO's future models, further extending their service life.

## NIO's Intelligent Operations and Maintenance System

NIO has developed an intelligent operations and maintenance system powered by big data and AI technologies. With a focus on the status monitoring, failure warning and diagnosis, life span prediction, and health management at charging and battery swap stations, we continuously optimize the operations and maintenance efficiency and enhance system reliability to maximize overall system value.

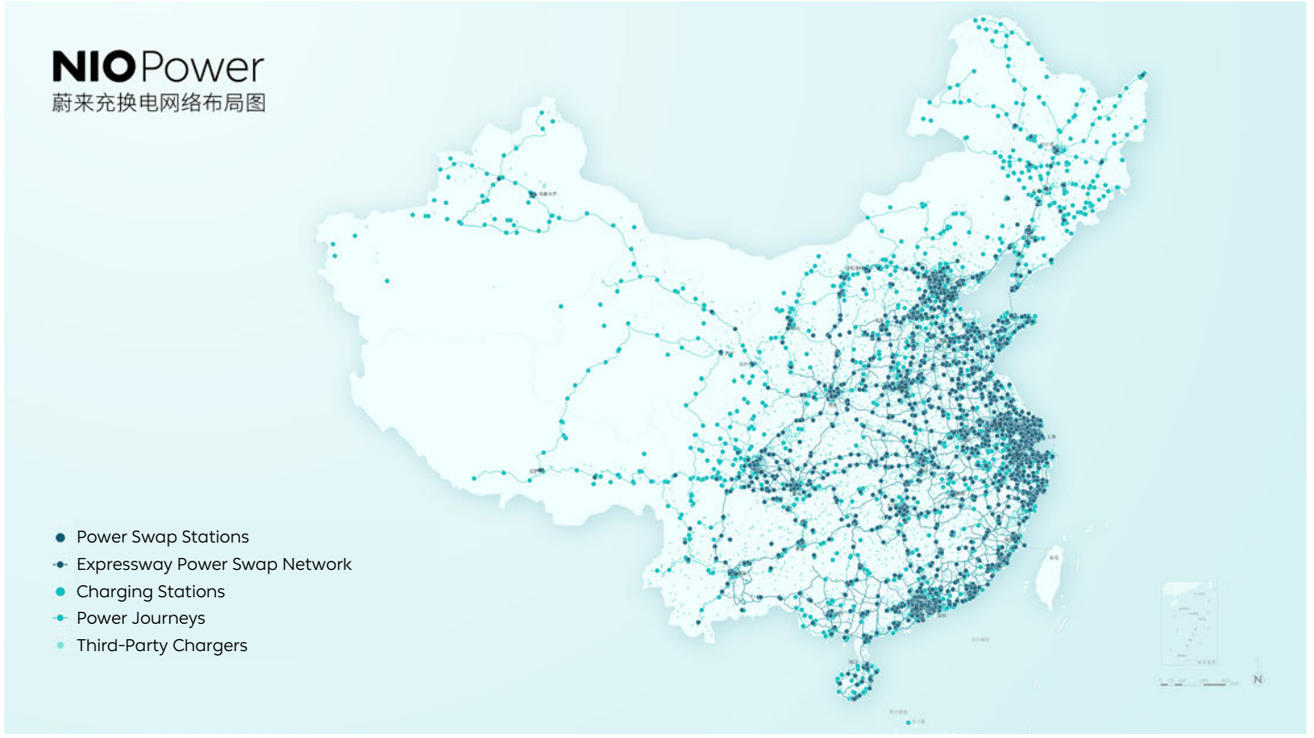
At the same time, NIO Power Swap Stations are equipped with an intelligent computing platform that manages energy consumption in real time using algorithms. For example, the existing charging current management model reduces charging energy consumption by approximately 0.7%, while the thermal management model cuts operational energy consumption by about 1%. By the end of the reporting period, leveraging operational big data from over 2,000 stations, we continuously refined our intelligent energy control algorithms to further improve energy efficiency. In addition, NIO's swap stations feature an in-house developed high-performance charging system that achieves zero standby power consumption, further reducing energy consumption and establishing a more efficient energy replenishment system.

# Charging and Battery Swapping Network

NIO continuously invests in the charging and battery swapping network, aiming to meet users' needs for power on trips of all kinds. By the end of the reporting period, NIO was the automotive brand with the biggest number of chargers and battery swap stations in the Chinese market. We had also deployed 2,995 Power Swap Stations along expressways and built a swapping network covering "9 north-south expressways, 9 east-west expressways, and 14 city clusters"[1] in China. We plan to connect a swapping network covering "9 north-south expressways, 9 east-west expressways, and 19 city clusters" by 2025.

By the end of the reporting period,
NIO's global charging and swapping network had encompassed:

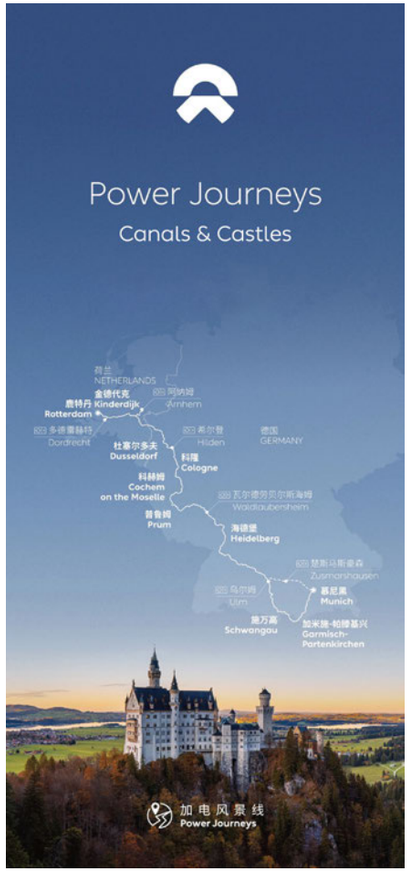
- 3,054 Power Swap Stations,
with 81% of users having Power Swap Stations within 3km
- 4,292 charging stations
- 25,097 NIO chargers
- 1,770,000+ third-party chargers




NIO Power's Charging and Swapping Network in China in 2024

[1] "North-south expressways, 9 east-west expressways, and 14 city clusters" refers to the battery swapping network comprising 9 north-south expressways, such as the Beijing-Harbin Expressway and the Beijing-Shanghai Expressway, 9 east-west expressways including the Beijing-Xizang Expressway and the Qingdao-Yinchuan Expressway, and 14 city clusters, such as the Beijing-Tianjin-Hebei Metropolitan Area and the Yangtze River Delta Metropolitan Area.

To provide users with a better road trip experience, NIO has launched Power Journeys to build charging and swapping facilities along routes leading to highly captivating destinations with inadequate infrastructure. By the end of the reporting period, we had rolled out 78 domestic routes, including the Xishuangbanna Route, the Dushanzi-Kuqa Highway and 3 routes from Sichuan, Qinghai and Yunnan to Xizang. Besides, we had developed 2 European routes, inviting users to explore the unique folklore and cultural atmosphere of the Rhine Valley and the Scandinavian coast.



Since the establishment of NIO Power, we have been keeping an open and cooperative attitude to share research achievements and technological innovations with the industry. NIO successively entered into partnership with a number of auto industry leads in the field of charging and battery swapping. We also cooperate with enterprises across sectors such as energy, transportation, real estate and cultural tourism to build charging and swap stations. Through these efforts, we aim to provide smart EV users with safer, more efficient, and comprehensive facilities and services, driving the green and low-carbon transformation of the transportation industry.

## NIO and LONGi Signed a Strategic Partnership Agreement to Put the First Photovoltaic (PV) Power Swap Station into Operation

On January 3, 2024, NIO and LONGi jointly announced the signing of a strategic partnership agreement. Both parties will join hands to promote the use of PV-generated green and clean energy at charging and battery swap stations and to develop industry-leading stations that integrate PV power generation, storage, charging and battery swapping. The first PV battery swap station jointly developed by NIO and LONGi has been officially put into operation at the Xi'an Olympic Sports Center. This station integrates distributed PV facilities with Vehicle to Grid (V2G) interaction, contributing to the goal of carbon peak and carbon neutrality in the transportation sector.

Signing Ceremony of the Strategic Partnership Agreement between NIO and LONGi

We share the fruits of NIO Power with the industry and smart EV users of other brands. By the end of the reporting period, NIO had provided charging services to over 210 other brands, with charging volumes exceeding 1.1 billion kWh, accounting for more than 80% of the total charging volume from chargers built by NIO.

# Worry-Free User Experience

The battery-swapping model possesses inherent advantages in enhancing the user experience. With the vehicle-battery separation, users can choose the Battery-as-a-Service (BaaS) service to make car purchase more affordable. In addition, battery swapping can be done within minutes, significantly reducing waiting time and making recharging a better experience than refueling.

By the end of the reporting period,

NIO had provided nearly **62** million battery swaps, with an average of nearly **90,000** swaps per day. On average, one car leaves a Power Swap Station fully charged every second.

Meanwhile, users can choose battery packs of different capacities based on their needs, for example, smaller-capacity batteries for urban travels and larger ones for long-distance trips. The flexible upgrade system ensures reliable range while offering a cost-effective solution to eliminate range anxiety. We launched the daily rental service for flexible battery upgrades in 2023, allowing users to upgrade to a long-range battery in a more flexible way. Users can pick up a battery at one location and return it anywhere across the country, making the experience as convenient as borrowing a power bank.

During the reporting period,

A total of **112,525** users who previously used the standard-range batteries chose to upgrade when they needed longer-range ones. Orders of such services amounted to **258,518** in total.

A total of **20,427** long-range battery users shared their batteries in NIO's system, helping users in need to equip larger-capacity batteries by upgrading. The volume of battery-sharing orders reached **52,491** in total.

By the end of the reporting period,

NIO had provided over **340,000** battery upgrade services to users.

With the goal of delivering a joyful experience for users throughout their journeys, NIO analyzes the scenarios and users' needs in the recharging process to upgrade hardware and software facilities of the charging and battery swap stations. During the reporting period, we upgraded services and features including the Valet Power Swap to provide a safer and more considerate experience for users.

## Valet Power Swap

After arriving at a Power Swap Station, users can get off the vehicle and leave it to make a queue, drive in, swap the battery, drive away and park in the lot.

## Parking Area Occupancy Alert

NIO has introduced the parking area occupancy algorithm at Power Swap Stations. When another vehicle is detected to occupy the parking area, a timely alert will be sent out and staff on duty will intervene in advance to ensure a smooth swap.

## Management of Neighboring Power Swap Stations

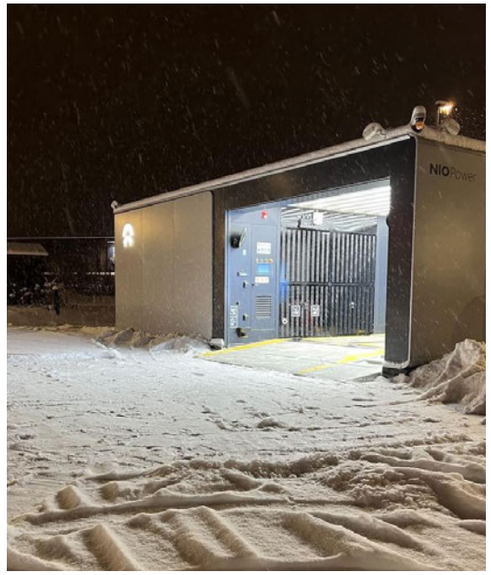
To avoid users driving to the wrong site due to the proximity between two stations, we have narrowed the signal overlapping area of some stations and arranged staff on duty. We also roll up the shutter doors of neighboring stations at the same time for users so that they can directly swap the battery at whichever one.

# Ensuring Safe Operations

When setting up charging and battery swapping facilities, NIO has taken into full consideration climatic factors and adaptability to different environments, and focuses on the safe operations of Power Swap Stations. These efforts aim to provide users worldwide with an efficient, stable and uninterrupted service experience.

## Snow

We have calculated and assessed the station's wind and snow load, and completed the certification process and necessary technical modifications, in order to effectively adapt to the environmental conditions of Germany, Norway, Sweden and other European countries.




NIO Power Swap Station 3.0 Operating in Snowy Environment

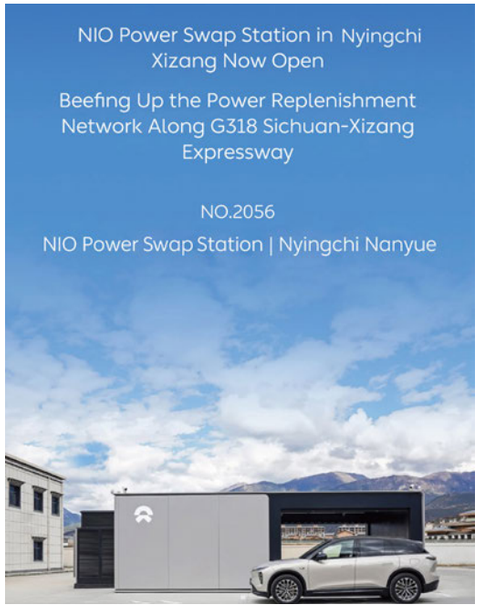
## Typhoon

The Power Swap Stations are designed and constructed to withstand typhoons as powerful as Force 12. They can even resist a once-in-a-century typhoon of Force 15 with temporary reinforcement. Spread across the coastal areas of Southeast China, including Guangdong, Fujian, Zhejiang and other regions frequented by typhoons, our Power Swap Stations have gone through multiple typhoons.

NIO Power Swap Station With Temporary Reinforcement Against Typhoons

## High Altitude

In response to the special climatic conditions of high-altitude areas, the first enhanced version of Power Swap Station 3.0 was put into operation in Nyingchi, Xizang on November 3, 2023. The station provides convenient services for EV users at high altitudes.




NIO's Enhanced Version of Power Swap Station for High Altitude

Safeguarding individual health and safety with high-level standards, NIO's Power Swap Station 3.0 has obtained the certificate from TÜV Rheinland, complying with the standards of the *EU Directive 2006/42/EC on Machinery* (on health and safety) and the *EU Directive 2014/30/EU on Electromagnetic Compatibility* (EMC).

Certificates of NIO Power Swap Stations from TÜV Rheinland

# Contribution to Energy Transition

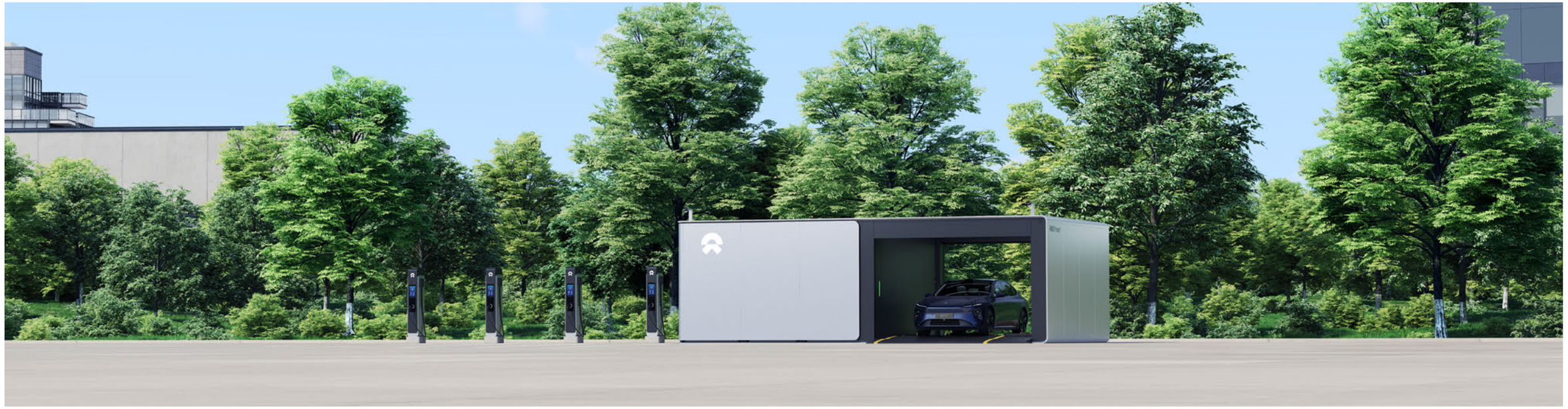
Along with the rapid development of the new energy sector and the continuous growth of new energy consumption, the grid system is facing the challenge of stabilizing power generation and balancing supply and demand. Considering the power storage capability of NIO's Power Swap Stations and vehicles, NIO continuously develops technologies related to V2G two-way charging and discharging and other V2G interactions. By doing so, we contribute to the stable and flexible operations of the grid and help to develop a new power system that is safe, efficient, clean and low-carbon.

## Contribution to Grid Peak Shaving and Load Shifting

Power Swap Stations can reduce the grid load through off-peak charging, contributing to peak shaving and load shifting. Furthermore, NIO actively responds to government initiatives to adjust electricity consumption behaviors, not only ensuring the safe and stable operation of the power system, but also promoting the consumption of clean energy. During the reporting period, a total of 2,303 stations were involved in off-peak charging. Besides, NIO organized 655 Power Swap Stations and more than 27,000 home chargers to respond to demands and conduct peak shaving for the grids in 14 provinces and cities across China, with a total capacity of about 3.4 million kWh.

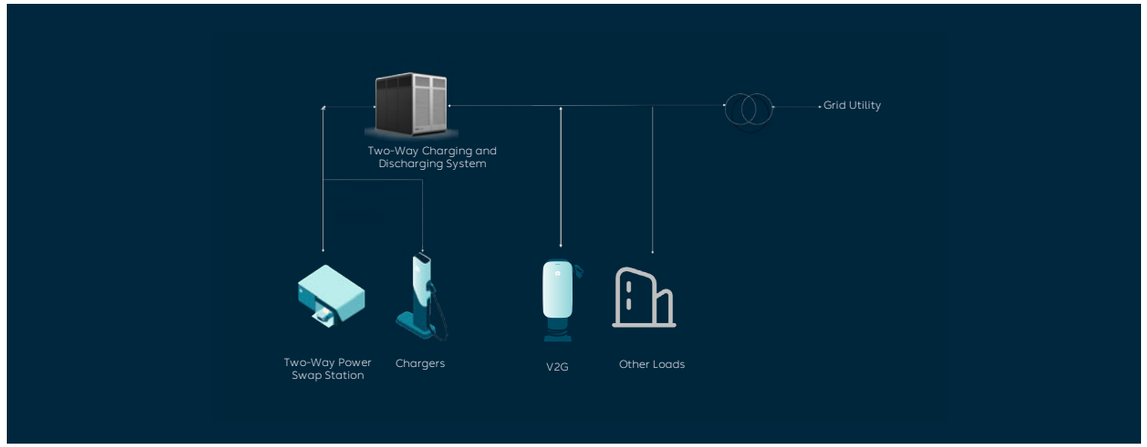
### NIO Organized Charging and Swapping Facilities to Participate in the Yangtze River Delta Power Market of Mutual Assistance

In July 2024, the Yangtze River Delta Power Market and Inter-Provincial and Municipal Power Trading of Mutual Assistance was kicked off under the guidance of the National Development and Reform Commission and the National Energy Administration. NIO has organized the leading batch of 97 Power Swap Stations in Shanghai to participate in the first trade in the Yangtze River Delta region, aiming to alleviate the electricity shortage in Anhui Province.



# V2G Interaction

Power Swap Stations are inherently energy storage facilities. The V2G technology enables vehicles to discharge power from their batteries to power grids when the grid load is high, helping to maintain the balance of power supply and demand. NIO has developed and invested in two-way Power Swap Stations to pilot grid load shifting, energy storage, and promote new energy consumption, further exploring new paths for maintaining grid stability.




## China's First Power Swap Station Integrating PV Storage and Discharging for Expressways

On March 18, 2024, NIO's first Power Swap Station that integrates PV charging, discharging and storage was put into operation, the first of the kind in China. The site is equipped with NIO's Power Swap Station 3.0 and distributed PV power generation system. While meeting the need for recharging, the station enables two-way V2G interaction and optimizes the electricity consumption structure of the service area.

## Third-Generation Two-Way Power Swap Stations in Beijing

During the reporting period, NIO constructed third-generation two-way Power Swap Stations in Tongzhou, Beijing, so as to support grid peak shaving. By scheduling electricity via the local system and NIO Power Cloud, the stations can interact with the Beijing municipal power grid platform for effective peak shaving.

NIO continuously explores the diversified applications of the V2G technology. We regard EVs as resources of distributed energy storage and integrate them into the power grid through the charging and discharging functions of chargers. By regulating charging and discharging periods and power, we can facilitate the balancing of grid loads. During the reporting period, NIO developed the application scenarios for 20 kW V2G chargers and piloted peak shaving, frequency regulation and reverse charging, helping optimize grid operation.

## NIO Cooperated With the State Grid Shanghai Municipal Electric Power Company, Intelligently and Accurately Responding to the Electricity Demand Throughout the Power Supply Range, Catering to the Precise Adjustment of Supply and Demand

In 2024, the State Grid Shanghai Municipal Electric Power Company carried out the first round of validation of response technology for regional power supply and demand. On May 20, the grid made a successful response by using the electricity from NIO's V2G chargers in the Lishuiwan neighborhood in Fengxian District, Shanghai. By discharging the vehicle power to the grid, a load of 16 kW was reduced, lowering the load rate by 3.2%.

## V2G Integrated Solution for an Industrial Park in Kunshan, Jiangsu

During the reporting period, NIO installed 10 sets of 20 kW V2G chargers in the Demac Industrial Park in Kunshan for charging and discharging of engineering fleet and staff vehicles. By charging and storing electricity during grid load lows at lower prices and discharging power according to the actual demand, the equipment can save electricity costs of RMB 100,000 per year.

## Demonstration Project of V2G Public Charging Facilities in Shanghai

In 2024, NIO's first 10 V2G destination charging stations in Shanghai were officially put into operation. Along with the State Grid Shanghai Municipal Electric Power Company, NIO took the lead to pilot orderly charging and discharging across residential communities in the Fengxian District. While providing users with a convenient charging experience, the practice helped with the consumption of clean energy.

Solution of the 10 V2G Destination Charging Stations in Shanghai

# User-Side V2G Interaction

NIO also conducts a variety of interactive activities to involve users in the grid peak shaving and load shifting, as well as encourage the consumption of new energy. We have launched activities of reverse battery swapping, off-peak swapping and private charging resource sharing. During the reporting period, we made contributions to the stability of the power system along with our users with the following achievements.

## Reverse Battery Swapping

- Award and encourage users with Points to swap part of the remaining battery power in the car to Power Swap Stations to mitigate grid pressure during peak hours.
- An average of 950 users per month participate in the reverse battery swapping project. By the end of the reporting period, NIO and users completed approximately 46,000 orders of reverse battery swapping.

## Off-Peak Swapping

- Award and encourage users with Points for off-peak swapping to mitigate grid pressure during peak hours.
- An average of 12,000 users per month are engaged in off-peak swapping.

## Private Charging Resource Sharing

- Share home chargers to benefit neighboring EV users of various brands.
- By the end of the reporting period, 34,000 private chargers were shared. During the reporting period, the cumulative charging volume of these chargers was 8 million kWh.

# 1.0

# Efficient Governance

NIO is committed to building a robust corporate governance structure, and a comprehensive risk management and ESG governance system to support the efficient, stable and sustainable development of the Company. Additionally, the Company emphasizes compliance, business ethics, a culture of integrity, and information security through standardized management processes and cutting-edge technologies, aiming to create long-term value for all stakeholders.


1.1 Efficient Corporate Governance
1.2 ESG Governance
1.3 Compliance Management and Business Ethics
1.4 Information Security and Privacy Protection

# 1.1

# Efficient Corporate Governance

NIO strictly adheres to the *Company Law of the People's Republic of China*, the *Securities Law of the People's Republic of China*, the *New York Stock Exchange Corporate Governance Rules*, the *Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited*, the *Listing Manual of Singapore Exchange Securities Trading Limited*, and other applicable laws, regulations, and listing rules. With the Board of Directors (the "Board") as the supreme decision-making body, we have established a corporate governance structure and a risk management system with clear division of authority and responsibility.

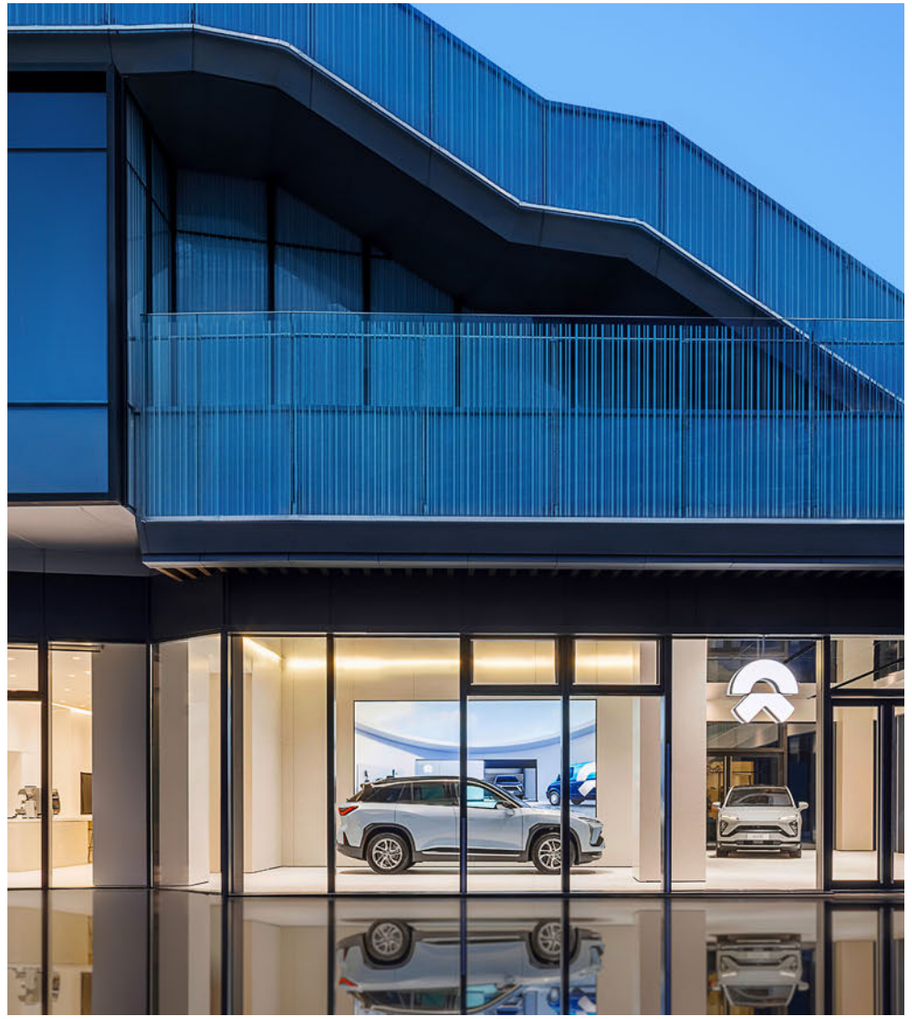
## 1.1.1

## Governance Structure

To enhance governance efficiency and facilitate informed decision-making, the Board manages, guides, and oversees key business and operational matters. NIO has established three committees, namely, Audit Committee, Nominating and ESG Committee, and Compensation Committee under the Board. These committees have been set up with well-defined roles and responsibilities to oversee and guide the stable operations of the Company from a multi-disciplinary perspective. Detailed terms of reference of the Board and its committees are available on NIO's website of investor relations.

**Board of Directors**

| Audit Committee | Nominating and ESG Committee | Compensation Committee |
|---|---|---|
| The Audit Committee assists the Board in fulfilling its legal and fiduciary obligations with respect to matters involving the accounting, auditing, financial reporting, as well as internal control and legal compliance functions of the Company and its subsidiaries. | The Nominating and ESG Committee identifies and recommends to the Board individuals qualified to serve as directors of the Company and on committees of the Board, and oversees the ESG matters of the Company. | The Compensation Committee oversees the Company's compensation and employee benefit plans and practices, as well as other matters as required by applicable laws, the Company's memorandum and articles of association or the Board. |



## 1.1.2

# Board Independence and Diversity

NIO considers independence as one of the key attributes of the Board. The Nominating and ESG Committee reviews annually with the Board the structure, size, and composition of the Board and proposes measures when necessary. This keeps the balance of independence, experience, skills and expertise that the Board requires. In addition, the Nominating and ESG Committee assesses the independence of independent directors on a regular basis to ensure impartial decision-making, free from conflicts of interest. During the reporting period, the Company held a total of 11 Board meetings, with an attendance rate of 97.7%.

NIO understands that Board diversity drives exchanges of innovative mindsets and raises governance efficiency. The Company factors in candidates' knowledge, experience, skills, diversity, and conflicts of interest when nominating and selecting candidates for the Board. Our Board members bring expertise from various industries such as automotive, internet, accounting, real estate, and consulting, as well as proficiency and skills in business management, risk management, marketing, law, finance, investment management, and computer science. During the reporting period, we appointed two directors of foreign nationality, including one with over 30 years of experience in the automotive industry, aiming to strengthen the Board's diversity and professionalism in decision-making. As of the issuance of this ESG Report, the NIO Board of Directors had a total of eight Board members, with four independent directors and one female director. Moreover, to increase the gender diversity of the Board, we continue to screen suitable female director candidates, setting a target of achieving 20% female representation of the Board by 2027.

## 1.1.3

# Risk Management

To achieve comprehensive and prompt risk prevention and management, NIO has established three lines of defense together with the Internal Control Department, the Internal Audit Department, and the corresponding business departments based on the *COSO Enterprise Risk Management Framework.* We conduct risk management following processes of risk identification, risk assessment, risk response and risk monitoring. The Audit Committee under the Board of Directors oversees the Company's annual internal audit plan.

NIO carries out risk identification and assessment every year to identify and control potential risks in each region and department in a timely manner. Focusing on risks across four dimensions of strategy, operations, compliance and finance, we launch workshops, in-depth interviews, and surveys with departmental supervisors to evaluate the frequency, probability and impact of the risks, and the Company's control level over them. This includes evaluating the potential financial impact of the risks in a quantitative manner. Based on the results, we prioritized and visualized the risks using a risk heatmap. For major risks identified, responsible supervisors develop action plans and continuously monitor their implementation and the residual risk.

### NIO's Risk Management Framework With Three Lines of Defense

| First Line of Defense | Second Line of Defense | Third Line of Defense |
|---|---|---|
| Composed of various business departments, and is responsible for risk prevention and control in NIO's daily operations. | Composed of the Internal Control Department, and is responsible for overseeing and assisting various business departments in risk prevention and control. | Composed of the Internal Audit Department, and the Compliance and Risk Management Department, and is responsible for ensuring the effective implementation of NIO's risk management work through internal audits and investigations. |

### Risk Management Process

NIO has incorporated ESG-related issues such as corporate governance, product quality, safety and security, business ethics, climate change, and employee relations into our risk management process. In this way, we aim to continuously monitor the impact of these ESG issues. Meanwhile, we pay continuous attention to research reports, such as the *Annual Risk Report* published by the World Economic Forum and other organizations. As such, we can identify emerging risks in a timely manner and include them into the Company's risk management.

### Coverage of NIO's Major Risk Identification in 2024

| Strategic Risks | Operational Risks | Compliance Risks | Financial Risks |
|---|---|---|---|
| Governance | Product quality and innovation | Ethics | Market performance |
| Corporate social responsibility | Human resources | Anti- competitive and antitrust | Finance and report disclosure |
| Investor relations | Supply chain management | Data and privacy protection | Tax |
| ... | ... | ... | ... |

Based on our annual risk assessment, we conduct audits of relevant business processes to identify and address specific issues. During the reporting period, we conducted 10 major process audits and 3 regular audits, covering operational management of factories and regional companies, IT asset management, marketing management and more. During the reporting period, we proposed 109 action plans and tracked their implementation to achieve closed-loop risk management. For key issues identified in previous audits, we conduct follow-up audits within 12 to 18 months of the completion of the action plans to confirm that such risks have been mitigated and effectively controlled.

# 1.2 ESG Governance

NIO has integrated ESG principles into the Company's operations and established a comprehensive ESG governance structure. Meanwhile, we fully value and actively respond to the concerns and expectations of all stakeholders, and engage with internal and external stakeholders, including employees, users, partners, and industry peers, to pursue a sustainable and brighter future.

## 1.2.1 ESG Governance Structure

NIO has established a three-layer ESG governance structure, with the Board of Directors as the highest decision-making body, ensuring scientific delegation of responsibilities across functions such as decision-making, planning, and execution. We formulated and published the *Charter of the Nominating and ESG Committee of the Board of Directors of NIO Inc.*, which clearly sets out the ESG management responsibilities and processes at all levels, and provides institutional safeguards for the Company to strengthen its ESG performance.

### Linking Senior Management Compensation to ESG

To motivate senior executives to pay daily attention to and manage ESG issues, we have linked Vision Action Upgrade (VAU) of senior management related to ESG issues with their ESG performance. Besides, NIO has implemented the *Clawback Policy*, enforcing the recovery or confiscation of compensation erroneously awarded to the Company's senior management within the retroactive period if the Company's financial statements require restatement. The policy is designed to strengthen the Company's accountability mechanism for senior management and deter misconduct.

**ESG Governance Structure and Roles & Responsibilities**

| | | |
|---|---|---|
| Decision-Making Layer | Board of Directors | • Make decisions and oversee the formulation and updates of ESG strategies and objectives.<br>• Supervise and evaluate the effectiveness of ESG workflows.<br>• Make decisions regarding significant ESG matters for the Company, and monitor the progress and effectiveness of major ESG initiatives, including ESG risk identification and response, targeted ESG enhancements, ESG information disclosure, stakeholder communication, etc.<br>• The Board of Directors authorizes the Nominating and ESG Committee to conduct daily ESG oversight and management.<br>• The Nominating and ESG Committee regularly reports ESG progress to the Board of Directors. |
| | Nominating and ESG Committee | |
| Planning Layer | ESG Steering Team | • Formulate and update ESG strategies, objectives, policies, and procedures, ensuring their effectiveness.<br>• Assess significant ESG matters, develop and advance work plans for major initiatives, and periodically review work progress and outcomes, including ESG risk identification and response, targeted ESG enhancements, ESG information disclosure, stakeholder communication, etc.<br>• Regularly summarize the progress and performance of significant ESG matters within the Company, and report to the Nominating and ESG Committee under the Board of Directors.<br>• Drive, guide, and evaluate the implementation of various ESG tasks by the ESG & Sustainability Department.<br>• Lead the ESG & Sustainability Department and the ESG & Sustainability Task Force in the implementation of specific ESG initiatives. |
| Execution Layer | ESG & Sustainability Department | • Break down the Company's ESG objectives, devise work plans, and implement them.<br>• Execute the Company's ESG management systems and processes, promptly engage in day-to-day ESG management tasks, and periodically review progress.<br>• Carry out specific tasks for significant ESG matters identified by the Company in accordance with planning-layer requirements.<br>• Track, collect, and organize annual ESG progress, ESG-related information and data to ensure the authenticity, accuracy, and completeness of information and data, support the enhancement of ESG management capabilities and information disclosure.<br>• Periodically summarize and report progress in ESG-related work to the ESG Steering Team. |
| | ESG & Sustainability Task Force | |

## 1.2.2

# ESG Strategy

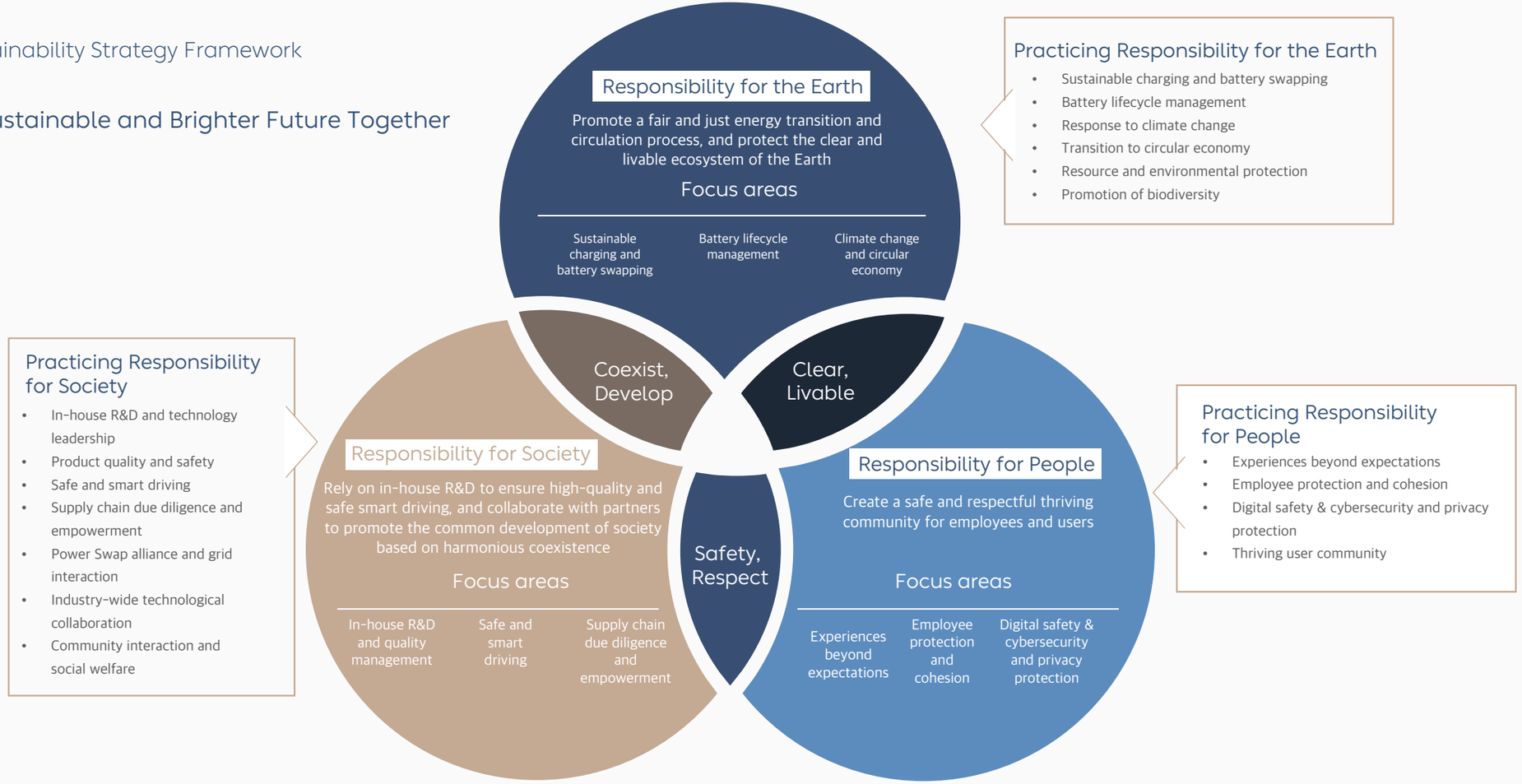
In July 2024, NIO officially released the Value System 3.0, refining the Company's Mission and Vision. The Mission is "Blue Sky Coming, Shaping a Sustainable and Brighter Future Together" and the Vision is "To Build a User Enterprise Where Innovative Technology Meets Experience Excellence". "Blue Sky Coming" is the founding aspiration of NIO, while the new Mission of "Shaping a Sustainable and Brighter Future Together" not only echoes the current social and environmental changes, but also is better in line with the broad social consensus and expectations. For the first time, we have included "innovative technology" and "experience excellence" in our Vision, which means "Existing for user satisfaction, through technological innovation, developing the best products, providing experiences beyond expectations, and creating a community that grows together." We will work with the government, industry partners, users and the society to promote the transformation and development of the automotive industry and contribute to global sustainability. As our Mission and Vision evolve with the times, we remain committed to the enduring Enablers and Values that guide and inspire every NIOer.

Echoing the Mission of NIO Value System 3.0, "Shaping a Sustainable and Brighter Future Together", we have developed and confirmed the ESG Sustainability Strategy after extensive and in-depth communication, discussion, and high-level review, marking the beginning of a new phase in sustainability management of NIO. NIO assumes responsibility for people, society and the planet, and deeply integrates the requirements of sustainability into all aspects of its operations.

NIO Value System 3.0

## NIO ESG Sustainability Strategy Framework

### Shaping a Sustainable and Brighter Future Together




**Practicing Responsibility for the Earth**

- Sustainable charging and battery swapping
- Battery lifecycle management
- Response to climate change
- Transition to circular economy
- Resource and environmental protection
- Promotion of biodiversity

**Practicing Responsibility for Society**

- In-house R&D and technology leadership
- Product quality and safety
- Safe and smart driving
- Supply chain due diligence and empowerment
- Power Swap alliance and grid interaction
- Industry-wide technological collaboration
- Community interaction and social welfare

**Practicing Responsibility for People**

- Experiences beyond expectations
- Employee protection and cohesion
- Digital safety & cybersecurity and privacy protection
- Thriving user community

1.2.3

# Stakeholder Engagement

We are well aware that a full understanding of stakeholders' expectations is essential for resource allocation and sustainable development. To foster closer relationships with various stakeholders, we have established a mechanism for communication through multiple channels and forms. We value the opinions of all stakeholders and draw on their insights to improve our ESG strategic planning, goal setting and management capabilities.

| Stakeholders | Shareholders and investors | Government and regulatory authorities | | Users | Employees |
|---|---|---|---|---|---|
| Topics of Concern* | • Technological innovation and R&D<br>• Product quality, safety, and security<br>• Risk management<br>• Business ethics<br>• Climate change mitigation | • Business ethics<br>• Occupational health and safety<br>• Product quality and safety<br>• Information security and privacy protection<br>• Emissions management<br>• Power and carbon management<br>• Low-carbon planning | • Renewable energy utilization<br>• Circular economy<br>• Biodiversity and ecosystems<br>• Climate change mitigation<br>• Battery lifecycle management | • Product quality and safety<br>• Experiences beyond expectations<br>• Sustainable charging and battery swapping<br>• Battery lifecycle management<br>• Circular economy<br>• Technological innovation and R&D<br>• Community engagement<br>• Public welfare & charity | • Employee rights and benefits<br>• Occupational health and safety<br>• Talent training and development<br>• Diversity, inclusion and equal opportunity<br>• Information security and privacy protection |
| Communication and Feedback Channels | • Regular reports and announcements<br>• Online and offline meetings<br>• Email and hotline<br>• Shareholders' meetings | • Security incident reports<br>• Information disclosure<br>• Supervision and inspection | | • Multi-channels for user feedback (exclusive service chat groups in the NIO app, tailor-made in-car service apps, NOMI, NIO Fellows, and NIO service hotline, etc.)<br>• Official website and social media updates<br>• Offline exhibitions and sales events<br>• NIO user events<br>• User satisfaction surveys | • Multi-channels for employee communication (NIO Home, Message, Speak Out, Listening Email, Morning 858, internal communication meetings, etc.)<br>• Online and offline training<br>• Internal office systems<br>• Mobile office systems<br>• Internal and external websites |

*Note: Topics of concern refer to matters or factors that have an impact on NIO, the economy, society, the environment, and stakeholders, and are based on NIO's continuous communication with various stakeholders, industry research and its own sustainable characteristics. For a complete list of issues, please refer to "1.2.4 Double Materiality Assessment".

| Stakeholders | Partners | Media | Colleges and universities | Non-governmental organizations (NGOs) | Community |
|---|---|---|---|---|---|
| Topics of Concern | • Supply chain due diligence management<br>• Circular economy<br>• Product quality and safety<br>• Power and carbon management<br>• Low-carbon planning<br>• Battery lifecycle management<br>• Renewable energy utilization<br>• Occupational health and safety<br>• Technological innovation and R&D<br>• Business ethics<br>• Climate change mitigation | • Product quality and safety<br>• Climate change mitigation<br>• Circular economy<br>• Low-carbon planning<br>• Renewable energy utilization<br>• Diversity, inclusion and equal opportunity<br>• Business ethics | • Technological innovation and R&D<br>• Talent training and development<br>• Sustainable charging and battery swapping<br>• Battery lifecycle management<br>• Low-carbon planning | • Climate change mitigation<br>• Low-carbon planning<br>• Renewable energy utilization<br>• Biodiversity and ecosystems<br>• Community engagement<br>• Public welfare<br>• Business ethics<br>• Responsible supply chain management | • Climate change mitigation<br>• Low-carbon planning<br>• Renewable energy utilization<br>• Water resource management<br>• Emissions management<br>• Power and carbon management<br>• Biodiversity and ecosystems<br>• Community engagement<br>• Public welfare and charity |
| Communication and Feedback Channels | • Partner audits and evaluations<br>• Project procurement<br>• Partner training<br>• NIO Partner Day<br>• Online and offline visits and communication | • Press conferences<br>• Media communication meetings<br>• Media experience events | • Joint talent development<br>• Industry-education-research cooperation | • Survey and communication<br>• Public welfare collaboration | • Community engagement<br>• Public welfare activities |

## Building an ESG Culture

Following the launch of the NIO Value System 3.0, we convey ESG concepts and communicate the latest ESG news in the industry and the Company to employees through the internal ESG platform, NIO ESG. Meanwhile, we organize ESG training to familiarize employees with basic concepts of ESG and disclosure requirements. During the reporting period, NIO organized diversified themed activities to address specific ESG matters such as climate change, diversity, equality and inclusion, information security and privacy protection. By holding such activities like the Earth Day Low-Carbon Activity, Women's Day Celebrations, and Personal Information Protection Training Sessions, we aim to engage employees in promoting the sustainable development of NIO.

### Earth Hour: NIO in Action

On March 23, 2024, NIO participated in Earth Hour, a global climate action initiated by the World Wildlife Fund (WWF). In the event themed "One Hour Devoted to Earth", employees were encouraged to turn off non-essential lights and equipment, spend time outdoors, and appreciate the night sky with family and friends. Additionally, NIO has launched a campaign named "Reward for Green and Low-Carbon Advice" to gather green and low-carbon ideas. After evaluation, high-quality and scalable projects will be eligible for rewards. This initiative aims to encourage everyone to think creatively and contribute ideas towards building a nature-positive, carbon-neutral future.

### Blossoms in March: NIO For Her

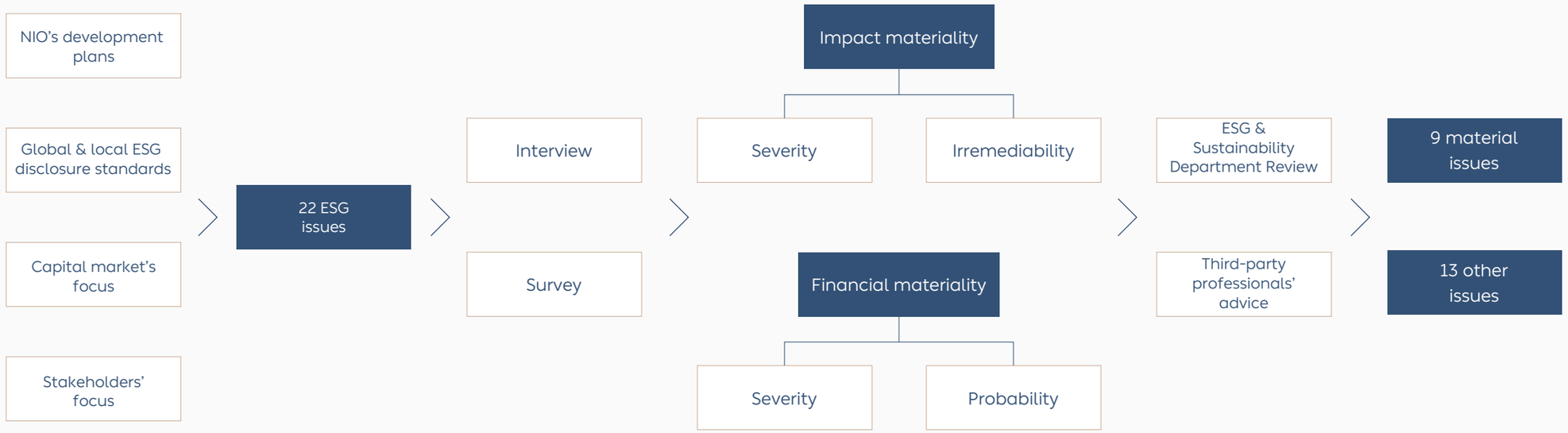
In March 2024, during the week of International Women's Day, NIO organized a series of events for all female employees, including singing bowl healing, boxing, and yoga classes, technical forums, and anti-harassment seminars, aiming to celebrate and recognize the contributions made by all female employees. Whether it's through singing bowl meditation or yoga practice for profound spiritual rejuvenation, boxing classes for invigoration, or insightful sharing about technical expertise and self-defense knowledge, we are dedicated to assisting female employees in tapping into their inner strength.

## 1.2.4

# Double Materiality Assessment

In 2023, we conducted an impact materiality assessment on ESG issues related to the Company, collecting 1,151 questionnaires from nine internal and external stakeholder groups through surveys and interviews. Upon this, we refined the list of ESG issues in 2024 based on NIO's development plans, the ESG disclosure standards in China and worldwide, as well as the capital market's expectations on NIO. We analyzed the impacts, risks and opportunities (IRO) of each issue, and engaged internal and external stakeholders to conduct materiality assessment from both "financial materiality" and "impact materiality" perspectives. In addition, we prioritized the ESG issues based on the assessment results and formed an ESG double materiality matrix for NIO, thus navigating NIO's sustainability efforts.

Double Materiality Analysis Process: Identification and Assessment of ESG Issues



## Step 1: Identification of ESG issues and IRO

Considering the characteristics of the EV industry, NIO's development plans, global and local ESG disclosure standards, as well as the capital market's focus, we identified 22 ESG issues that are most relevant to our business activities and most important to our stakeholders. Besides, we identified the impacts, risks and opportunities of each issue.

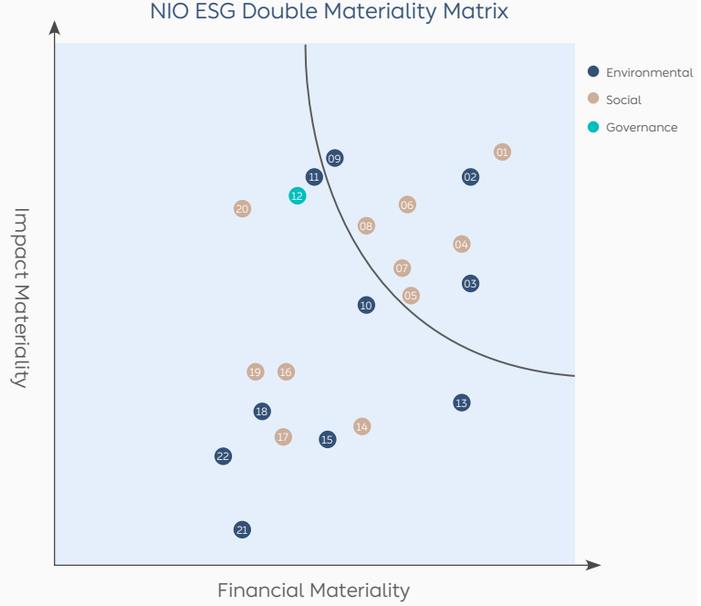
## Step 2: Double materiality assessment

During the reporting period, we identified and invited 9 categories of internal and external stakeholders. Through interviews and questionnaires, we conducted a double materiality assessment of 22 ESG issues from the two major dimensions of "financial materiality" and "impact materiality" to determine the priority of each issue and form the NIO ESG double materiality matrix.

## Step 3: Verification of the double materiality assessment results

Based on the results of the Double Materiality Matrix, we have identified nine material issues based on third-party professionals' advice, and the results of the assessment were reviewed by the ESG & Sustainability Department and the Board of Directors of NIO to ensure the accuracy, validity and relevance of the assessment.

### NIO ESG Double Materiality Matrix




Regarding the evaluation of issues of high double materiality, we have implemented targeted management initiatives and achieved certain results, which are highlighted in the corresponding sections of this Report.

- Content related to product quality and safety: please refer to "3.2 Product Quality and Safety";
- Content related to battery lifecycle management: please refer to "2.1.4 Metrics and Targets" in "2.1 Addressing Climate Change" and "2.2.3 Practicing the Circular Economy" "3.2.1 Driving and Riding Safety";
- Content related to sustainable charging and battery swapping: please refer to "NIO Power: Smart Services for Worry-Free Trips";
- Content related to experience beyond expectations: please refer to "3.4 End-to-End Experience Beyond Expectations";
- Content related to information security and privacy protection: please refer to "1.4 Information Security and Privacy Protection";
- Content related to technological innovation and R&D: please refer to "3.1 Continuous Innovation and R&D" and "5.1.1 Partnership with Universities and Research Institutions";
- Content related to responsible supply chain management: please refer to "3.3 Responsible Supply Chain";
- Content related to employee rights and benefits: please refer to "4.1 Talent Attraction and Retention" and "4.3 Employee Care and Communication";
- Content related to climate change mitigation: please refer to "2.1 Addressing Climate Change".

| | Number | Categories | Issues | Corresponding Chapter |
|---|---|---|---|---|
| Material Issues | 01 | Social | Product quality and safety | 3 Premium Products and Responsible Value Chain |
| | 02 | Environmental | Battery lifecycle management | 2 Joint Efforts for a Blue Sky on Earth<br>3 Premium Products and Responsible Value Chain |
| | 03 | Environmental | Sustainable charging and battery swapping | NIO Power: Smart Services for Worry-Free Trips |
| | 04 | Social | Experience beyond expectations | 3 Premium Products and Responsible Value Chain |
| | 05 | Social | Information security and privacy protection | 1 Efficient Governance |
| | 06 | Social | Technological innovation and R&D | 3 Premium Products and Responsible Value Chain<br>5 Collaboration for Sustainable Social Value Creation |
| | 07 | Social | Responsible supply chain management | 3 Premium Products and Responsible Value Chain |
| | 08 | Social | Employee rights and benefits | 4 Joint Efforts for Employee Growth |
| | 09 | Environmental | Climate change mitigation | 2 Joint Efforts for a Blue Sky on Earth |

| | Number | Categories | Issues | Corresponding Chapter |
|---|---|---|---|---|
| Other Issues | 10 | Environmental | Power and carbon management | 2 Joint Efforts for a Blue Sky on Earth |
| | 11 | Environmental | Renewable energy utilization | 2 Joint Efforts for a Blue Sky on Earth |
| | 12 | Governance | Business ethics | 1 Efficient Governance |
| | 13 | Environmental | Circular economy | 2 Joint Efforts for a Blue Sky on Earth |
| | 14 | Social | Occupational health and safety | 4 Joint Efforts for Employee Growth |
| | 15 | Environmental | Emissions management | 2 Joint Efforts for a Blue Sky on Earth |
| | 16 | Social | Community engagement | 5 Collaboration for Sustainable Social Value Creation |
| | 17 | Social | Public welfare & charity | 5 Collaboration for Sustainable Social Value Creation |
| | 18 | Environmental | Low carbon planning | 2 Joint Efforts for a Blue Sky on Earth |
| | 19 | Social | Diversity, inclusion and equal opportunity | 4 Joint Efforts for Employee Growth |
| | 20 | Social | Talent training and development | 4 Joint Efforts for Employee Growth |
| | 21 | Environmental | Biodiversity and ecosystems | 2 Joint Efforts for a Blue Sky on Earth |
| | 22 | Environmental | Water resources management | 2 Joint Efforts for a Blue Sky on Earth |

1.3

# Compliance Management and Business Ethics

As a global smart electric vehicle company, NIO is committed to upholding high standards of business ethics. The Company has established a well-defined and efficient mechanism for compliance and business ethics management. The Board is directly responsible for and oversees matters related to corporate compliance and has delegated authority to the Audit Committee to carry out related management tasks. With a top-down management structure and specific practical measures, the Ethics and Compliance Committee has been set up to ensure that the Company's operations at all sites comply with local laws and regulations and business ethics. NIO's Ethics and Compliance Committee holds quarterly meetings to review and make decisions on material ESG issues. The Committee also conducts annual risk assessment of violations against business ethics and compliance requirements as well as existing control measures. These efforts aim to ensure the Company's operational compliance with laws and regulations and business ethics.

## 1.3.1

# Operational Compliance

NIO strictly abides by the laws and regulations of the regions where it operates, such as the *Anti-Money Laundering Law of the People's Republic of China,* the *Anti-Monopoly Law of the People's Republic of China*, the *Anti-Unfair Competition Law of the People's Republic of China*, the *Foreign Corrupt Practices Act*, the *Sarbanes-Oxley Act,* and the *Antitrust Laws*. With a global presence of NIO's supply chain, we strictly fulfill our responsibilities and obligations under the trade regulations of the countries and regions where we operate. We actively support the implementation of relevant laws and regulations on import and export control and sanctions. Moreover, we have formulated the *Global Trade Compliance Policy* to ensure that the import, export and transfer of the Company's products, services and technologies comply with trade compliance laws and regulations. Based on the principle of comprehensive control, we have established a trade compliance audit system covering all business operations to identify the customs compliance requirements and relevant laws and regulations binding on the import and export process. In addition, we conduct risk assessments on counterparties through the system and carry out due diligence when appropriate.

NIO's trade compliance and export control management system mainly consists of the *Code of Business Conduct*, *Trade Compliance Policy*, export control norms, and operational guidelines. All employees can access all compliance policy documents related to trade compliance through the Company's intranet. We have compiled compliance practices and guidelines for various business scenarios, such as procurement, research and development, foreign investment, and production, taking into account the compliance control requirements of specific businesses. The compliance review process is defined across multiple dimensions, including applicable laws, counterparties, and items involved in the transaction. We also conduct compliance risk assessment and identification in three main areas to ensure that any transaction with or on behalf of NIO complies with applicable global laws and regulations: (1) the extent and nature of controls on technology, hardware and software subject to export controls in specific countries and regions; (2) the risk of products flowing into restricted areas and restricted parties; and (3) compliance risks from business partners and end users.

To efficiently monitor compliance risks and promptly address compliance issues, we have integrated our compliance policies and other compliance requirements into our operational processes and relevant digital systems, ensuring that the Company's global operations remain compliant. During the reporting period, NIO recorded 0 cases of unfair competition, 0 violations of antitrust and anti-monopoly laws and other related regulations, and 0 breaches of the Company's business norms and codes of conduct regarding money laundering and insider trading.

In addition, we provide employees with a compliance counselling channel, the "Online Office Platform – Compliance Consulting Helpdesk. " It answers employees' compliance-related questions through AI robot and human services. The Compliance Consulting Helpdesk offers access to anti-corruption policies, compliance training, and other related materials at any time. It also answers questions about compliance case reporting as well as security system approval and control. During the reporting period, the Compliance Consulting Helpdesk processed a total of 4,355 consultations, helping employees understand the Company's compliance requirements and workflow in a more timely and convenient manner. For matters such as anti-money laundering, anti-monopoly, and trade compliance, emplovees can access and inquire about the relevant regulations through the Legal Consulting Helpdesk. This ensures that they maintain compliance, monitor surrounding practices, protect the Company's rights, interests, and reputation, and promote compliant business operations.

## 1.3.2

# Adhering to Business Ethics

NIO has formulated and adheres to the *Global Code of Business Conduct and Ethics*, the *Global Anti-Corruption Policy* and supporting guidelines, aiming to work together with the Company's directors, managers, employees, and partners to conduct business legally, ethically, and honestly and to implement high standards of business conduct. We believe in and are committed to free and fair competition, always competing in good faith based on the intrinsic value of our products and services. We pledge not to diminish or eliminate healthy market competition through any practices, but rather to actively foster an environment of voluntary, equal, fair, and honest market competition. Further, we continuously strengthen our internal management of conduct in areas such as antitrust, anti-unfair competition, anti-money laundering, and trade compliance, and take a zero-tolerance attitude towards any behavior related to money laundering and terrorism.

NIO has incorporated certain sections of the *Global Code of Business Conduct* and *Ethics and the Global Anti-Corruption Policy* into the *NIO Employee Handbook*, requiring employees to read, acknowledge, and sign them. Moreover, these requirements are linked to employees' compensation and performance evaluations. By developing the *NIO Partner Code of Conduct* and requiring our partners to sign it, we communicate our business ethics requirements to partners and clarify specific codes of conduct, aiming to build a responsible value chain together with partners.

To ensure that the Company's actions are independent and in line with its best interests, NIO has developed the *Global Policy on Conflicts of Interest*, requiring our directors, managers, and employees to accurately identify and report to the Company potential conflicts of interest in their personal and competitive relationships, and to refrain from participating in decision-making activities that may be affected by conflicts of interest. If any director, manager, or employee violates the Policy, the Company will, at its discretion, take disciplinary measures such as warnings, suspending or terminating employment.

NIO selects and cultivates "Compliance Ambassadors" from regional companies. They are responsible for providing compliance training for new hires and disseminating compliance materials in their regions, thereby ensuring that compliance and business ethics are implemented throughout our operations. As of the end of the reporting period, the Company had appointed a total of 60 regional Compliance Ambassadors. Moreover, to ensure that all employees, Board members, and partners fully understand and abide by compliance and business ethics requirements and to build a transparent and ethical business environment, we carry out diversified training and awareness programs on these topics. We also conduct special training sessions on potential risks in accordance with the actual business process needs of key departments and regional companies.

**For new employees**

Our offline Landing training for new employees includes specific sessions on our compliance requirements. We also deliver compliance training courses on the Welearn digital learning platform to help new employees understand the detailed anti-bribery and anti-fraud requirements. During the reporting period, a total of 152 new employee compliance training sessions were organized and completed by the regional Compliance Ambassadors and NIO Academy.

**For all in-service employees**

We conduct annual online compliance training for all in-service employees. During the training, we enhanced employees' understanding of compliance and business ethics requirements via courses and online compliance tests. During the reporting period, 100% of our employees (including interns) received business ethics and compliance training and 60 offline training sessions were held, covering 17,183 participants.

**For the Board**

During the reporting period, we provided training on compliance requirements and management for the Board to strengthen their awareness of compliance.

**For supply chain partners**

We conduct annual training on the *NIO Partner Code of Conduct* for our supply chain partners to foster fair and ethical partnerships.

Building on comprehensive training and awareness initiatives, NIO has conducted internal audits covering key business ethics areas such as anti-corruption, anti-bribery, and labor relations protection. Over the past three years, these audits had encompassed all of NIO's business operations, enabling us to promptly identify and rectify activities that may violate our codes of ethics and laws and regulations, thereby safeguarding the Company's reputation. During the reporting period, no concluded lawsuits related to commercial bribes were brought against NIO employees.

## Government-Enterprise Exchange and Collaboration to Improve Compliance Management Efficiency

During the reporting period, NIO participated in and organized more than 20 government-enterprise and inter-company exchange and collaboration activities, and took the lead in establishing the Hefei Enterprise Internal Corruption Prevention Association, which is participated by over 40 large-scale enterprises in Hefei. Through these exchange and collaboration activities, NIO has successfully expanded the strength of various political and legal authorities at the provincial and municipal levels, and opened up and established an efficient and smooth communication platform, which facilitates and enhances the efficiency of our exchanges in legal affairs and corporate services.

1.3.3

# Whistleblower Protection

We take all necessary measures to promptly and thoroughly address complaints and reports of any misconduct or violations. We have established and adhere to the *Ethics and Compliance Whistleblower Policy and Procedures*, which outline NIO's whistleblowing process and procedures for confidentiality and retaliation prevention. These procedures have been communicated to employees, partners, and shareholders. The Company provides multiple reporting channels for employees, users, partners, and other stakeholders at all premises around the world. Additionally, our employees and partners can report violations of laws, regulations, and business ethics directly to the line managers, higher management, department heads, the Human Resources Department, the Legal Department, and the compliance function.

## ▶ Reporting Channels

Official Website:

Report through the report page on the Company's official website

Email:

Global Compliance Email: compliance@nio.com

Ethics Helpline (available 24/7, 365 days a year):

- China (GIS): 400-999-4530; or 400-661-2080 (NIO's dedicated line)
- USA:855-229-9304; or 844-668-0635 (NIO's dedicated line)
- UK (ITFS): 0808-234-7287; or 0808-234-6075 (NIO's dedicated line)
- Germany (ITFS): 0800-180-0042； or Step 1: dial 0800-225-5288, Step 2: dial 844-668-0635 (NIO's dedicated line)

Upon receiving a report, we will promptly assess the nature, severity, and credibility of the case, and immediately initiate an investigation and take proactive measures to address the issue in a lawful, confidential, impartial, and objective manner. If a violation is validated, we will take immediate action to halt the misconduct and impose disciplinary measures, including termination of employment or business relationships. If necessary, the Company will refer the case to law enforcement and regulatory authorities. Our Ethics and Compliance Committee oversees a database of all violations cases, and regularly reviews the progress of case resolution. In the event of a violation, the Company will conduct a thorough review to identify the root cause, improve relevant processes, and take steps to prevent similar incidents from occurring in the future.

To protect whistleblowers and keep the investigations impartial, any information of the whistleblower, witnesses, and the investigation process will be kept confidential, unless required by law. Any attempt to identify anonymous whistleblowers is strictly prohibited. Furthermore, NIO has zero tolerance for retaliation against whistleblowers or those assisting with investigations. If any such behavior is discovered, the Company will take disciplinary actions, including termination of employment.

1.4

# Information Security and Privacy Protection

In all places of operations, NIO strictly complies with local laws and regulations, including the *Cybersecurity Law of the People's Republic of China*, the *Data Security Law of the People's Republic of China*, the *Personal Information Protection Law of the People's Republic of China*, the *Measures for the Security Assessment of Outbound Data Transfer*, the *Interim Measures for the Management of Generative Artificial Intelligence Services*, the *Provisions on Promoting and Regulating Cross-border Data Flow*, the *Regulations on the Protection of Minors in Cyberspace*, the *Several Provisions on the Management of Automobile Data Security (for Trial Implementation)*, as well as the EU's *General Data Protection Regulation* (GDPR) and *ePrivacy Directive*.

NIO has established an information security governance framework and continuously improves and ensures the efficient operation of the information security and privacy protection policy system. This system safeguards the information and privacy security of the Company, employees, users, and partners from both management and technical perspectives. During the reporting period, NIO revised the NIO *Information Security and Privacy Protection Policy* in reference to the *ISO 27001:2022 Information Security Management Systems Requirements*, updating the Company's objectives for information security and privacy protection management, and strengthening specific requirements for privacy protection. In addition, we have consolidated internal rules and regulations related to information security, covering areas such as cybersecurity, data security management, partner management, access control, information security incidents, and privacy compliance management, thereby fully regulating information security and privacy protection efforts.

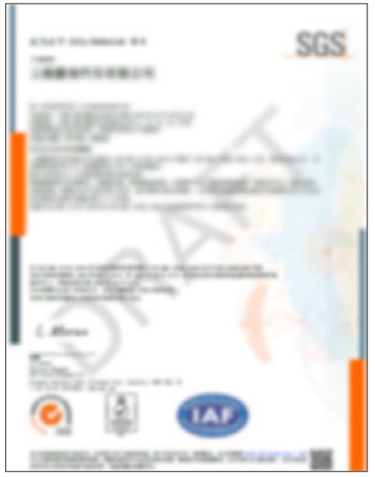
## NIO's Objectives for Information Security and Privacy Protection

- Guarantee smooth and secure operations of the Company's business
- Protect the confidentiality, integrity, availability, and other aspects of the Company's information assets
- Raise awareness of information security among all employees
- Ensure vehicles are free from major information security vulnerabilities
- Ensure zero major security incidents or liability accidents
- Achieve global compliance with information security and privacy protection, and avoid local regulatory penalties

NIO has obtained certifications under the *ISO/IEC 27001 Information Security Management Systems*, *ISO/IEC 27701 Privacy Information Management System* and *Classified Protection of Cybersecurity Certification*, as well as certifications from Chinese and EU authorities for its data security and personal information protection management capabilities. In April 2024, all NIO models passed the automobile data security compliance test, meeting the four requirements regarding anonymization of outside-the-vehicle facial and other information, no collection of cabin data by default, in-vehicle processing of cabin data, and explicit notification of personal information processing. NIO is one of the first OEMs to obtain this certification. During the reporting period, NIO ET7 received the Automotive Privacy Protection Label Certificate.

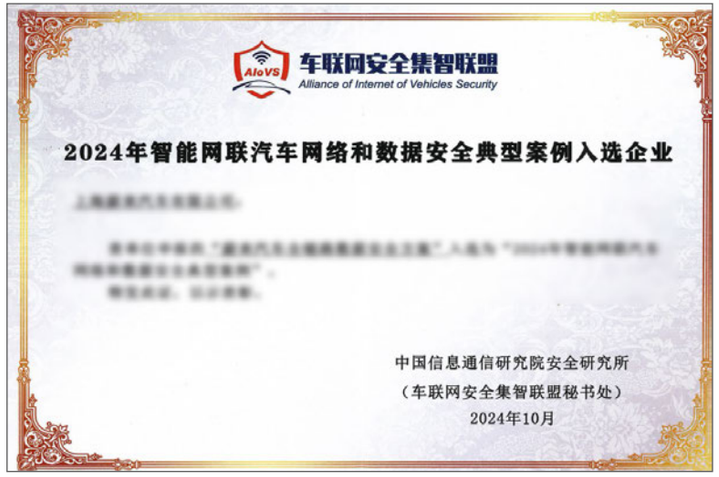
| | Certification Authority | Certification Name |
|---|---|---|
| Certifications | International Organization for Standardization (ISO) | ISO 27001 Information Security Management Systems |
| | International Organization for Standardization (ISO) | ISO 27701 Privacy Information Management System |
| | United Nations Economic Commission for Europe (UNECE) | Cybersecurity Management System (CSMS) |
| | China Academy of Information and Communications Technology (CAICT) | Data Security Management Capability (DSMC) |
| | China Cybersecurity Industry Alliance (CCIA) | Personal Information Protection Impact Assessment (PIA) One-Star Mark |
| | Ministry of Public Security of China | National Classified Protection of Cybersecurity Certification |
| | ePrivacy GmbH | ePrivacyseal EU |

ISO 27001 Information Security Management Systems




ISO 27701 Privacy Information Management System

e-Privacyseal EU



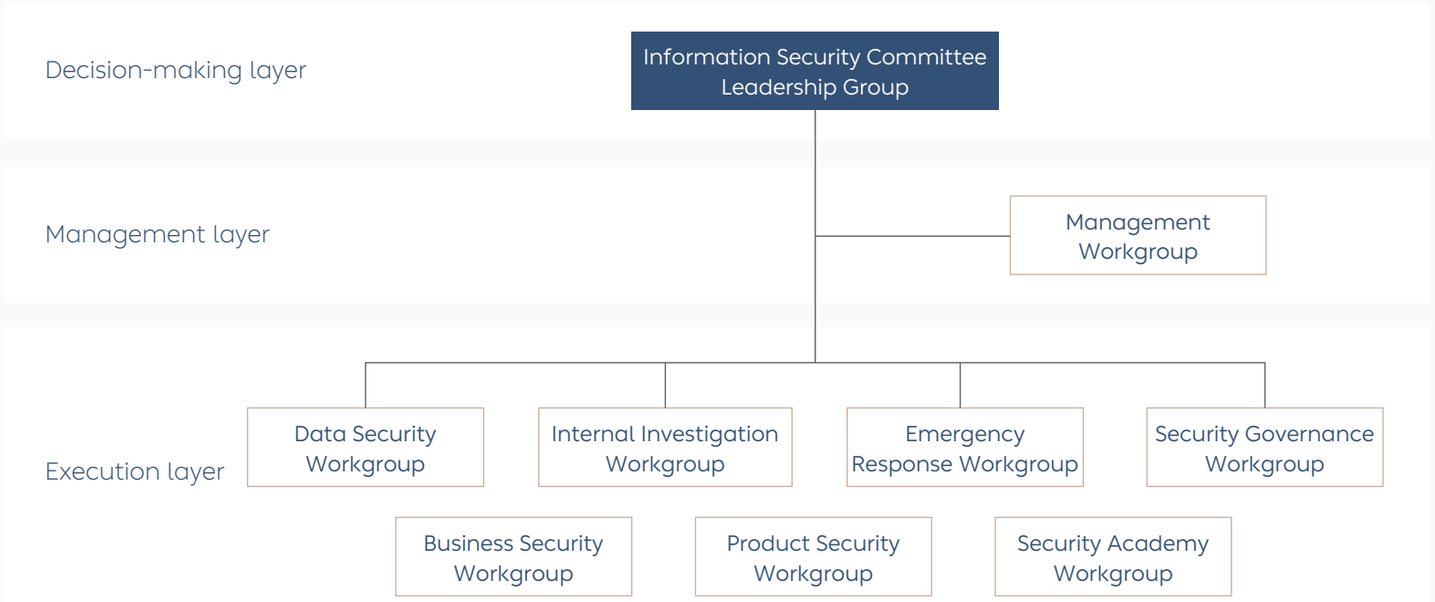

NIO's end-to-end data security solution was selected as the 2024 Model Case in Network and Data Security for Intelligent-Connected Vehicles.

Automotive Privacy Protection Label Certificate for NIO ET7

## Information Security and Privacy Management Framework

NIO has established a three-tier information security management framework with clear roles and responsibilities. The Chief Digital Security Officer serves as the Executive Chairman of the Information Security Committee and holds ultimate responsibility for information security and privacy protection. The Information Security Committee develops the information security strategy and objectives, and advances the implementation of a unified global information security system. In addition to overseeing the Company's information security management, the Committee also makes decisions on and deals with major information security incidents, and supervises the enforcement of the information security policies.

NIO Information Security Management Framework




The Committee regularly organizes routine cybersecurity and data security working meetings with representatives from the Digital Safety and Cyber Security, Legal and relevant business departments to discuss and make decisions on important information security matters, and supervise and promote the implementation of relevant work. During the reporting period, the Committee held more than 30 meetings to discuss and make decisions on different issues, including risk scenario assessment and decision-making, the implementation of risk governance projects, and the review of systemic security programs.

## Information Security Management for Partners

NIO's partners are also included in the scope of the Company's information security management. The Company has established the *Digital Safety & Security Capability Assessment Criteria for NIO Partners*. Based on the criteria, the information security capabilities of NIO's partners are assessed and periodically reviewed to ensure that NIO's admitted partners have sufficient management capabilities in this regard. Furthermore, we have signed a series of non-disclosure and data processing agreements with our partners, which set out their data confidentiality obligations and define their duties in the collection, use, storage and transmission of data. During the reporting period, we refined the terms regarding our partners' responsibilities in cybersecurity, further clarifying the requirements to which they must adhere.

1.4.1

# Cybersecurity and Data Security

We prioritize data security control throughout its lifecycle, and make all efforts to secure data confidentiality, integrity and availability. We constantly improve our network and data management systems and technical means to protect our digital assets from theft, tampering or sabotage. Moreover, we constantly enhance the system efficiency of the work around NIO's cybersecurity, upgrade protective measures and employ AI to power the automation of cybersecurity management.

## Cybersecurity Protection

During the reporting period, we adopted various measures to holistically upgrade our cybersecurity system. These measures included in-depth network isolation and architecture optimization, the upgrading of a new generation of terminal security solutions, and the enhancement of capabilities such as cloud security services and security posture management. As a result, the level of cybersecurity protection has been significantly elevated.

### Fully Upgrade the Software for Endpoint Intrusion Detection and Response

Upgrade intrusion detection and response software on office endpoints and cloud servers to ensure comprehensive coverage of security capability and timely response to security incidents.

- Provide real-time threat detection and response, threat intelligence integration, automated investigation and security remediation.
- Implement unified grading, push and follow-up handling of security alerts from office endpoints and servers.

### Strengthen the Strategy for Enterprise Intranet Isolation

- Conduct network isolation with the principle of least privilege based on different business types for higher management efficiency. Achieve network isolation between store office, company office, data center, public cloud and container, and set a default policy of denying access requests.

### Apply Cloud-Based Security Solutions to Address Intranet Traffic Threats

Deploy cloud-native security services and solutions to address the gaps in detecting network traffic threats on the cloud.

- Deploy cloud-native firewall services to monitor network traffic entering and leaving the network perimeter, identify threat attacks and malicious domains.
- Deploy network traffic probes for full packet capture and analysis on the cloud, and integrate with threat intelligence for enhanced analysis and coordinated response.

In addition, we have leveraged AI to empower the automation of network security management. For example, we have optimized the accuracy of security alerts with AI hybrid search, and achieved intelligent optimization of the security alert process. This has significantly reduced the waste of human resources caused by repeated alerts, false alarms and the addition of whitelists. During the reporting period, we formulated the *NIO Large Language Model Development and Application Security Management Specification*, which sets clear guidelines regarding the security management of large AI models and their applications in areas like regulatory compliance, corpus security, the R&D of large models and their applications, and online operations. While applying large AI models to improve the management efficiency of security operations, we follow the rules in the Policy to prevent the leakage of confidential data, invasion of personal privacy, infringement of intellectual property rights, and other risks.

### Cybersecurity Emergency Response

We have established a four-level security response system and a 24/7 shift management mechanism for cybersecurity operations, with designated personnel at the corresponding levels on duty to ensure a timely response. In the event of a cybersecurity emergency, the on-duty staff will respond immediately. Relevant standard procedures will be implemented based on an instant classification of the incident. For complicated cases, senior experts will be consulted. Other options like the escalation of management measures and technical support are also available. This ensures instant response to and efficient handling of cybersecurity incidents, followed by thorough investigation and follow-up. In addition, we actively participate in cybersecurity drills to improve our practical capabilities. During the reporting period, we participated in three cybersecurity drills in the industry. With our outstanding performance, we were awarded the honors of Outstanding Blue Team Representative, Outstanding Defensive Enterprise, and Outstanding Defensive Organization.

## Data Security Management

We have formulated and implemented a series of policy documents, including the *NIO Data Security Management Guidelines*, the *NIO Data Classification and Grading Strategy*, the *NIO Data Security Assessment Management Guidelines*, and the *NIO Data Security Audit Guidelines*. These documents regulate NIO's graded management strategies and security control measures for the collection, storage, use, transmission, public disclosure, and destruction of data. The roles and responsibilities of each department involved are also defined in the documents, together with the handling procedures and penalty standards for information security violations, and the requirements of regular assessments and audits for lasting data security.

### Data Classification and Grading

We have grouped data assets into three categories: personal information, business data and operational data. We have also defined four data security levels: strictly confidential, confidential, internal and public, based on data value, sensitivity, risks, legal and regulatory requirements and the fallout of unauthorized disclosure and leakage. We perform data masking and encryption as well as access control based on the type and security level of data. During the reporting period, we improved our data classification strategy and enhanced the accuracy of sensitive data identification. We also launched a campaign to improve the security of critical data systems based on the results of data classification and grading, enforcing diverse data security measures such as access control, data encryption, data masking and audit of data operations.

### Prevention of Data Leakage

To bolster security control over all data transmission links in business operations, we have instituted the *Data Link Security Management Specification for Big Data System* and conducted risk assessments and special management. In addition, we have established a Data Leakage Prevention (DLP) system to audit outgoing data from the Company's endpoints. This system monitors and detects suspected information leakage incidents, thus minimizing risks of data breaches. During the reporting period, we further optimized the operational strategy for database audits, including expanding the coverage of critical database assets and aligning the audits with the results of data classification and grading. We also established automated alarm, response, and handling processes to improve alarm accuracy and event handling efficiency.

### Emergency Response

We have formulated and implemented the *NIO Data Security Incident Response Management Guidelines*, which clearly define the organizational structure for emergency response, the classification of data security incidents, response procedures, and incident handling measures. This ensures that in the event of a data security incident, the relevant departments and personnel are able to take effective emergency measures to minimize the impact of data security risks. In daily operations, when a user reports any data security incident or the technical team identifies any such incident through proactive monitoring, the Digital Safety & Cybersecurity Department will investigate and verify the incident. Upon confirmation, our emergency response team will take measures, including containment, eradication and recovery, as per the incident classification. This ensures that the data security incident is effectively contained within the specified response period.

1.4.2

# Protecting Personal Information

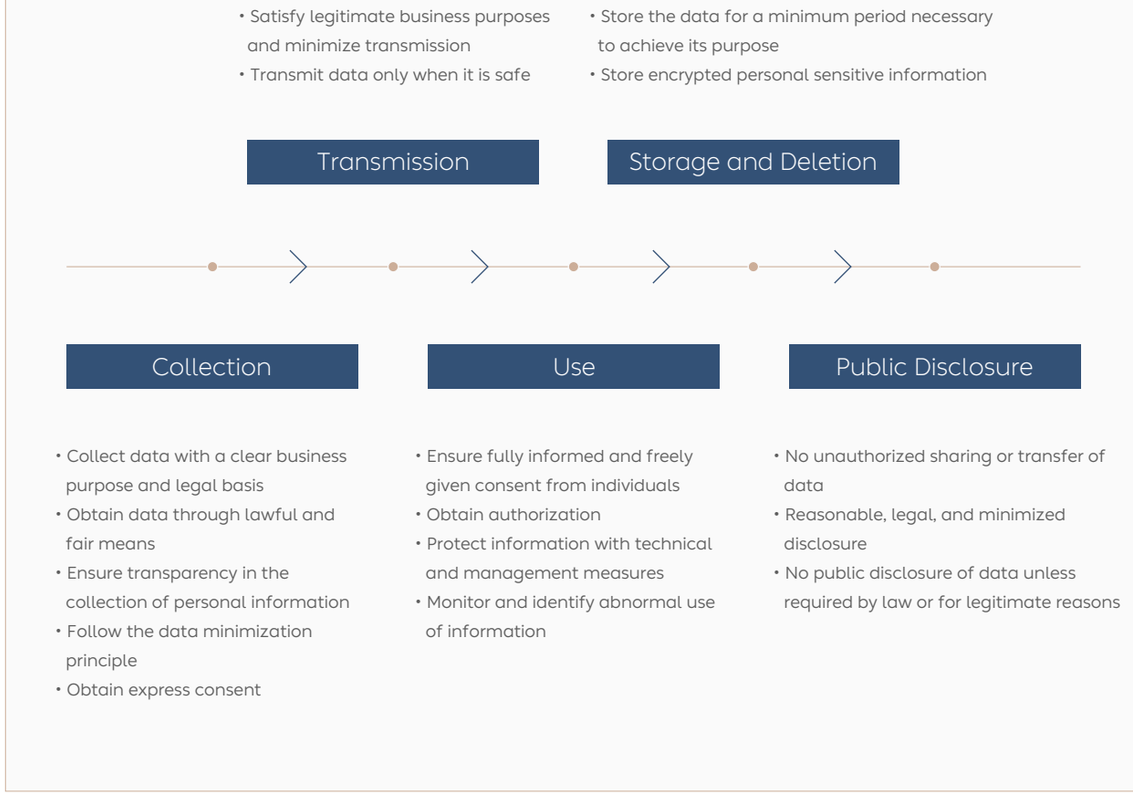
We have established the *NIO Personal Information Protection Management Policy* and set forth the basic principles for protecting NIO's personal information. The aim is to comprehensively regulate the collection, transmission, use, external disclosure, storage, deletion, and other processes of personal information involving all relevant parties, including employees, users, and partners, thus safeguarding personal information throughout the lifecycle.

## NIO Basic Principles of Personal Information Protection

Regarding users' personal information, NIO adheres to the principles of legality, legitimacy, and necessity, and collects, stores, and processes personal information only to the extent permitted by law. Through the *NIO Privacy Policy* and the *NIO Vehicle Purchase Agreement*, we provide users with a comprehensive description of data collection, usage, storage, and protection to ensure the privacy and security of users across the entire platform and throughout the entire process. During the reporting period, we launched the Security and Privacy Center function, providing users with privacy management functions such as sensitive privilege management and call privacy settings. Employees' identity information, health information and property information are highly confidential data of the Company, and we implement strict confidentiality strategies for them.

In addition, we have established an emergency response plan for personal information leakage and an emergency response structure consisting of a decision-making group, a coordination group, and a handling group. In the event of such an incident, the Company will confirm the extent of the impact, and take necessary containment, eradication and remedy actions. At the same time, the Company will proactively report the case to local regulatory authorities to ensure that the incident is handled in compliance with relevant regulations. In the event of potential harm to the users' legitimate rights and interests, we will promptly inform them of the incident handling progress and provide measures to mitigate the harm. During the reporting period, NIO has experienced 0 breaches or losses of privacy information.

## Lifecycle Protection Requirements for Personal Information



## 1.4.3

# Reinforcing Information Security Culture

Information security training and culture building are essential for information security and privacy protection. NIO has established a standardized information security training system with a variety of training programs. We have achieved 100% coverage of information security awareness training across the Company. In addition to the new employee on-boarding training, there is an annual online security awareness training session for all employees, focusing on the introduction of relevant concepts and the codes of conduct that each individual shall follow regarding information security, data security, and privacy protection. These training sessions help all employees gain a deeper understanding of these concepts, thus ensuring their voluntary compliance with the codes of conduct and the accurate identification and prompt reporting of security compliance risks. In addition, we enhance employees' security awareness and skills through various means such as monthly special training on safety and compliance, cybersecurity drills, and phishing tests. We have also created an internal account called "Organization Information Security Assistant" to announce information security incidents through irregular push notifications, reminding employees to comply with information security regulations.

# 2.0

# Joint Efforts for a Blue Sky on Earth

Blue Sky Coming is the original aspiration of NIO. With the mission of “Shaping a Sustainable and Brighter Future Together”, NIO is dedicated to collaborating with all stakeholders to tackle climate change by developing sustainable smart EV products. Meanwhile, to usher in a blue sky, we keep a close eye on the environmental impact arising from our operations such as manufacturing, logistics and delivery, and strive to become an environmentally friendly enterprise with continuous efforts in improving energy, carbon and emissions management.


2.1 Addressing Climate Change
2.2 Sustainable Products
2.3 Green Operations
2.4 Natural Ecosystem Protection

# 2.1

# Addressing Climate Change

NIO has recognized the key role of the smart EV industry in reducing carbon emissions and addressing climate change, and values the opportunities presented to us by the transition to a low-carbon economy and society. NIO upholds the International Sustainability Standards Board's (ISSB) goal of enhancing climate risk transparency, and follows the recommendations and guidelines of the *IFRS Sustainability Disclosure Standard S2 - Climate-Related Disclosures* (IFRS S2) issued by the ISSB. Accordingly, NIO has developed a climate change management system focused on governance, strategy, risk management and metrics as well as targets to proactively manage risks and opportunities arising from climate change.

### NIO Attended the 29th Conference of the Parties to the *United Nations Framework Convention on Climate Change* (COP 29)

In 2024, NIO, as a proud member of Green Car Park, provided premium green mobility services for dignitaries and VIPs from different countries. In addition, during COP 29, NIO was invited to attend the "Green and Low-Carbon Development of China's Automobiles" forum to share its ESG strategies and practices. NIO also signed a strategic cooperation agreement with Green Car, a leading green technology enterprise in Azerbaijan, marking its official entry into the Azerbaijan market.

## 2.1.1

## Governance

The topic of "climate change mitigation" is one of the topics with the highest impact importance in NIO's ESG Double Materiality Matrix. NIO's ESG governance encompasses all aspects of climate governance. Top-down monitoring and management of climate-related risks and opportunities are implemented. For more information regarding the structure, responsibilities, and management process of NIO's ESG governance, please refer to "1.2 ESG Governance" of this Report.

## 2.1.2

## Strategy

The global climate change challenge continues to impact policy, market, technology, and other areas. We have proactively identified climate risks and opportunities based on the characteristics of the new energy vehicle industry and our own corporate features. We are continuously monitoring climate risks and opportunities, while developing and refining measures to address them.

| Transition Risks | | | |
|---|---|---|---|
| Risk Category | Risk Description | Potential Financial Impact | Countermeasures |
| Current and emerging policy risks | As the new energy vehicle industry gains momentum, the subsidies for the purchase of new energy vehicles provided by the central and local governments of China have generally declined in recent years, which may impact consumers' willingness to purchase new energy vehicles and thus affect NIO's revenue. | Decreased revenue | Pay continuous attention to the changes in China's domestic policy environment, while increasing the Company's revenue by expanding market share, entering overseas markets, etc. |
| | As the HKEX will enforce mandatory climate-related information disclosure requirements, and the ISSB has issued two sustainability disclosure standards, NIO may face more disclosure requirements on sustainability and thus higher compliance costs. | Increased operating costs | Continuously monitor changes of domestic and overseas policies, regulations, exchange rules, etc. Strengthen the disclosure and management of climate-related information to ensure that the Company's business activities comply with relevant laws and regulations of where it operates. |
| Legal risks | With the signing of the *Corporate Sustainability Reporting Directive* (CSRD) by the European Council, the EU's Carbon Border Adjustment Mechanism (CBAM), the EU's new battery law, the *Corporate Sustainability Due Diligence Directive* (CSDDD) and other regulations that are reinforcing the need for disclosure and product export compliance, NIO's operating costs may increase. | Increased operating costs | NIO is actively piloting the battery passport platform to lay the groundwork for compliance with the new battery law. (For more details, please refer to "2.1.4 Metrics and Targets" of this Report.)<br>Carry out ESG due diligence on key minerals, etc., and endeavor to avoid significant and negative social and environmental impacts that may arise from the supply chain. (For more details, please refer to "3.3 Responsible Supply Chain" of this Report.)<br>Implement lifecycle low-carbon management for products, reduce the carbon footprint of products, and minimize potential operating costs such as carbon tax. (For more details, please refer to "2.2 Sustainable Products" of this Report.) |
| Technical risks | Market and policy changes of new energy vehicles may accelerate the iteration of technology and materials, leading to an increase in the R&D cost of clean technologies. | Increased operating costs | Pay close attention to the development trend of clean technology. Increase investment in R&D to ensure that the Company's R&D capabilities are at the industry's leading edge. (For more details, please refer to "3.1 Continuous Innovation and R&D" of this Report.) |
| | With more companies seeking low-carbon, energy-efficient transition, the low-carbon devices and equipment might see higher prices, which may raise NIO's operating costs. | Increased operating costs | Continuously explore energy-conservation and emission-reduction opportunities through means such as optimized production process. (For more details, please refer to "2.1.4 Metrics and Targets" and "2.3 Green Operations" of this Report.) |

## Transition Risks

| Risk Category | Risk Description | Potential Financial Impact | Countermeasures |
|---|---|---|---|
| Market risks | Consumers' preference for electric vehicles may be affected by inadequate charging and battery swapping infrastructure, power shortage in summer, etc. In case of failure to meet users' expectations, or difficulty in providing energy services, sales and revenue of NIO may be lower than expected. | Decreased revenue | Continuously deploy infrastructure such as chargers and Power Swap Stations, so as to meet users' expectations for energy services as much as possible. Utilize V2G and other technologies to support grid dispatch and help improve its stability. (For more details, please refer to "NIO Power: Smart Services for Worry-Free Trips" of this Report.) |
| | NIO's partners may face stricter regulatory requirements for pollutant emissions, resource utilization, and carbon emissions, leading to increased production costs. With the possibility that low-carbon and environmentally friendly raw materials or components might be in short supply, NIO may have to face increased operating costs and procurement expenditures. | Increased operating costs | Strengthen supply chain management and empowerment. Continue to promote the application of clean technology among upstream suppliers, creating a green ecosystem through industry linkage, while enhancing the Company's access to low-carbon and environmentally friendly raw materials or components. (For more details, please refer to "3.3 Responsible Supply Chain" of this Report.) |
| Reputational risks | As external stakeholders' information disclosure requirements for and attention to climate change continue to rise, if new energy vehicle companies fail to take proactive actions to address climate change, such as reducing carbon emissions from its operations and products, their brand and reputation may be harmed, leading to a decrease in revenue. | Decreased revenue | Disclose NIO's efforts to reduce greenhouse gas emissions and product carbon footprint on a regular basis, meeting the information needs of all stakeholders. |

## Physical Risks

| Risk Category | Risk Description | Potential Financial Impact | Countermeasures |
|---|---|---|---|
| Acute risks | With increasingly frequent extreme weather events caused by climate change, such as heavy precipitation, hailstorms, strong winds, and thunderstorms, our fixed assets may be susceptible to more frequent and severe acute physical risks. This may result in increased maintenance costs for our operating sites, and charging and battery swapping facilities, as well as an elevated risk of property loss. | Increased operating costs<br>Increased property loss | Formulate relevant emergency plans and conduct regular drills to ensure the safety of places such as factories and stores during extreme weather events.<br>In response to severe weather events, such as thunderstorms and extreme heatwaves, we have formulated contingency plans to maintain the safe operations of Power Swap Stations. (For more details, please refer to the "Ensuring Safe Operations" section of "NIO Power: Smart Services for Worry-Free Trips" of this Report.) |
| Chronic risks | Climate change may have a long-term impact on the local climates where NIO operates, triggering, for instance, extreme high or low temperatures, which may lead to greater fluctuations in energy consumption and factory operating efficiency, making operations more costly. | Increased operating costs | Conduct thermal adaptation retrofit for production facilities and sites. Optimize energy efficiency of temperature-regulating equipment, reducing energy consumption for cooling or heating under the same conditions. (For more details, please refer to "2.3 Green Operations" of this Report.) |

## Opportunities

| Opportunity Category | Opportunity Description | Potential Financial Impact | Countermeasures |
|---|---|---|---|
| Products and markets | As climate change continues to intensify, users may prefer new energy vehicles and products with lower carbon emissions. | Increased revenue | Continuously expand on a global scale and improve the competitiveness of our smart electric vehicle products. Open up a broader space for development while promoting low-carbon transformation in various regions. |
| | NIO's unique and efficient battery swapping technology has become a low-carbon, sustainable competitive advantage in the context of climate change. The Power Swap Station can help alleviate range anxiety for users, and participate in the peak shaving of local grid, virtual power plant dispatch, etc., to promote the consumption of local clean energy, which will help our products gain more recognition from the market. | Increased revenue | Continuously lay out infrastructure such as chargers and Power Swap Stations to meet users' expectations for energy services as much as possible, and at the same time support grid dispatch and help increase its stability through technologies such as V2G. (For more details, please refer to "NIO Power: Smart Services for Worry-Free Trips" of this Report.) |
| Resources efficiency | Companies may reduce their carbon footprint with more efficient production and distribution processes, which can help reduce costs, and enhance efficiency, resilience, and competitiveness. | Decreased operating costs | NIO proactively implements carbon management throughout product lifecycle. We identify carbon reduction opportunities in processes including product design, manufacturing operations, material selection, logistics and transportation, as well as recycling of scrapped vehicles, and strive to reduce costs and improve resource efficiency. (For more details, please refer to "2.2 Sustainable Products" and "2.3 Green Operations" of this Report.) |
| Energy sources | Renewable energy has been widely adopted in the global market, which helps reduce energy costs. If NIO uses renewable energy as its main energy source, its energy costs and climate change-related expenditures on compliance, taxation, and carbon market transactions might decline in the future. | Decreased operating costs | By expanding the installed capacity of on-site photovoltaics (PV) and purchasing green electricity, NIO continuously increases its use of renewable energy and optimizes its energy structure, so as to reduce greenhouse gas emissions arising from its operations. (For more details, please refer to "2.3 Green Operations" of this Report.) |
| Adaptability | Against the backdrop of climate change, NIO can enhance the adaptability of its products and services to improve its responsiveness to market demand, strengthen its climate resilience and drive revenue growth. | Increased revenue | NIO's core products are pure electric vehicles, which are inherently more resilient to climate change. We will continuously implement low-carbon management throughout the entire product lifecycle, aiming to create greener new-energy vehicles with lower-emission. |
| Access to government incentives | With China setting its "2030 carbon peaking and 2060 carbon neutrality" targets, and major countries around the world expressing their support for the temperature control goals of the Paris Agreement, governments are expected to introduce policies that reward organizations and entities that are actively engaged in climate actions. | Increased revenue | In a variety of ways, NIO has been, and will continuously work with the public sector in areas such as environmental protection and emissions reduction. We take a proactive approach in seeking relevant government incentives. |

## 2.1.3

# Risk Management

We have established applicable short-, medium- and long-term time horizons based on the characteristics of climate-related risks and opportunities, and developed quantitative criteria for the assessment of financial impacts, classifying risks and opportunities as high, medium or low. NIO employs both qualitative and quantitative methods to evaluate climate-related risks and opportunities. The quantitative assessment considers the probability of occurrence, potential financial impact, and the expected future value. The qualitative assessment considers the impact on the Company's reputation and whether a material effect is anticipated, including implications for users, partners, and other stakeholders.

Meanwhile, we have integrated climate-related risks and opportunities into our enterprise risk management framework. All employees and management of NIO are responsible for reporting risks to the risk control function through the Company's designated channels, and collecting feedback from stakeholders in order to continuously incorporate relevant information and requirements into the risk management system. The risk control function reports to members of the Executive Committee (EC) at least once a year. For more information on NIO's corporate risk management, please refer to "1.1 Efficient Corporate Governance" of this Report.

## 2.1.4

# Metrics and Targets

NIO has officially joined the Science Based Target initiative (SBTi), and is committed to submitting its decarbonization targets and roadmap by 2025, aligned with the global goal of limiting temperature rise to below 1.5°C. Through concrete actions, NIO remains true to its original aspiration of "Blue Sky Coming." We are continuously collaborating with internal and external experts to develop carbon reduction targets in accordance with the updated SBTi guidelines.

During the reporting period, NIO carried out a greenhouse gas (GHG) emissions inventory and verification in accordance with the international standard *ISO 14064-1:2018 — Specification with guidance at the organization level for quantification and reporting of greenhouse gas emissions and removals.* The inventory covers all activities generating carbon emissions within our organizational boundary from January 1, 2024 to December 31, 2024, encompassing more than 4,000 sites in total globally. For the results of NIO's organizational carbon footprint inventory, please refer to Appendix 1 Environmental and Social Performance Indicators and Appendix 4 GHG Verification Statements.

Meanwhile, during the reporting period, we completed the product carbon footprint certification for the NIO ET5, 150 kW induction asynchronous electric drive system, 210 kW permanent magnet synchronous electric drive system, and 75 kWh battery pack according to *ISO 14067:2018 — Greenhouse gases – Carbon footprint of products – Requirements and guidelines for quantification.*

While continuously refining carbon emissions data, we, based on the existing organizational carbon assessment and product carbon footprint data, analyzed all carbon emissions sources. We have also formulated emissions reduction plans for different business areas in terms of energy efficiency enhancement, renewable energy as a substitute, and use of low-carbon recyclable materials and low carbon technologies for charging and battery swapping, etc. In this way, we can establish an emissions reduction roadmap suitable for NIO. For details of the energy saving and carbon reduction measures taken by NIO, please refer to "NIO Power: Smart Services for Worry-Free Trips" "2.2 Sustainable Products" and "2.3 Green Operations" of this Report.

### NIO's Lifecycle Decarbonization Roadmap

| Energy Efficiency Enhancement | Renewable Energy as a Substitute | Use of Low-Carbon Recyclable Materials | Research on Low-Carbon Technologies |
|---|---|---|---|
| • Tap the potential of factories for energy conservation and emissions reduction to reduce energy consumption per vehicle in production<br>• Optimize the operations of charging and battery swap stations to reduce line losses and lower the proportion of energy consumed during operations | • Continue to increase the solar photovoltaic (PV) installed capacity at factories and charging and battery swapping stations, and increase the self-consumption rate of PV-generated electricity<br>• Increase the proportion of green electricity in power procurement for factories as well as charging and battery swapping stations<br>• Enable Power Swap Stations to consume distributed renewable energy generated in their surrounding areas | • Gradually increase the proportion of low-carbon aluminum, low-carbon steel, and recycled plastic materials to reduce carbon emissions from upstream materials<br>• Promote the use of renewable energy by battery partners to lower the carbon footprint of battery products<br>Establish a closed-loop aluminum recycling system | • Charging and battery swapping facilities utilize virtual power plant (VPP) technology to increase the integration and utilization of renewable energy<br>• Intelligent driver assistance technologies are applied to reduce energy consumption during vehicle use |

## Product Carbon Footprint

NIO places great emphasis on managing the carbon footprint of its products and is committed to providing users with sustainable, low-carbon products. According to the *Annual Report of China Automobile Industry Chain Carbon Publicity Platform (CPP)* released on March 14, 2025, 76% of NIO's vehicle models had received the Class 1 Carbon Footprint Label, and the ONVO L60 was awarded the CPP Class 1 Carbon Footprint Label upon its launch.

Meanwhile, for excellent performance in comprehensive carbon accounting capacity building, formulation of carbon peak and carbon neutrality plans, and implementation of carbon reduction measures, NIO was awarded the "Five-Star Enterprise" in the *Carbon Management System Evaluation of Automobile Enterprises* conducted by the Energy Saving and Green Development Assessment Center for Automotive Industry.

We have adopted the China Industrial Carbon Emission Information System (CICES) to facilitate the exchange of product carbon footprint data throughout the industry chain. The use of this system has not only improved the efficiency of carbon footprint data reporting within our supply chain, but has also contributed to a more standardized and transparent approach to vehicle carbon footprint assessments. This enables us to better collaborate with the upstream and downstream partners to jointly identify decarbonization opportunities in future product development, so as to create lower-carbon, more sustainable products. In addition, NIO invited experts from China Automotive Carbon (Beijing) Digital Technology Center Co., Ltd. (hereinafter referred to as "China Automotive Carbon Digital") to provide training sessions aimed at enhancing partners' capabilities in online data submission and improving carbon footprint data management across the supply chain. During the reporting period, we conducted training sessions, covering 69 partner companies.

NIO has also incorporated product carbon footprint requirements into the technical evaluation and quotation stages of our partners. In the requirement specifications sent to our partners supplying core carbon-intensive components, we explicitly state our carbon footprint requirements. In addition, during the technology assessment stage, we work with partners to clarify the product carbon footprints associated with different technical solutions and their respective decarbonization roadmaps. After a comprehensive assessment, we select the most appropriate technical solutions and advance the supplier nomination process accordingly. We also apply an Internal Carbon Pricing (ICP) mechanism throughout vehicle development and the supplier nomination process. During the development of new models and the material sourcing stage, the supply chain team works with the engineering team to jointly identify parts with carbon reduction opportunities. Based on the ICP mechanism and market prices for bulk raw materials, we determine reasonable costs associated with carbon reduction, support budgeting for relevant parts and components, and promote carbon reduction efforts across both vehicle products and the supply chain.

## Innovation in Low-Carbon Technologies

NIO continuously leads innovation in low-carbon technologies across the industry and works with partners and external institutions to promote the development of low-carbon standards in the global automotive industry. During the reporting period, NIO signed the *Memorandum of Cooperation on Automotive Carbon Footprint* with China Automotive Carbon Digital and Green NCAP to develop the product lifecycle methodologies and mutual recognition of data verification. Moreover, NIO participated in the Battery Passport Pilot Initiative and the compilation of Environmental Product Declaration (EPD) standards, contributing to the green development of the electric vehicle industry.

### The Industry's First Product Category Rule for Electric Drive Systems - *Product Category Rules for the Drive Motor Systems for Electric Vehicles*

In 2024, NIO took the lead in drafting the electric drive industry's first Product Category Rule (PCR) — *Product Category Rules for Drive Motor System for Electric Vehicles*. The PCR would be released simultaneously on the EPD Promotion Center and EPD-Norge Platform.

The development of this PCR strictly followed the requirements of *ISO 14025 Environmental labels and declarations — Type III environmental declarations — Principles and procedures*. This PCR provides rules, requirements, and guidelines for preparing EPDs (including carbon footprint declarations) for drive motor systems, as well as standards for the lifecycle assessment of electric drive systems, boosting the industry's low-carbon and sustainable development.

### NIO's Battery Passport Pilot

The 2024 Battery Passport pilots conducted by the Global Battery Alliance (GBA) marked an important milestone in promoting the sustainable development of the global battery value chain. During the reporting period, NIO participated in the second phase of GBA's 2024 Battery Passport pilots and collaborated with partners on numerous topics, including carbon footprint, due diligence, environmental issues, and human rights. In November 2024, GBA publicly released 10 battery passports from the second-phase pilot. Among them, the battery passport jointly released by NIO, CATL and RCS Global for the 75 kWh standard-range battery pack was included. The battery passport demonstrated an ultra-low product carbon footprint of 49 kg $CO_2$e/kWh (according to HMA rule) and a high ESG score, setting an industry benchmark for the sustainability of power battery products.

In addition, NIO actively participates in the China Battery ID Pilot Program, systematically sorting and disclosing all potential indicators in EU battery regulations, based on its digital identity. As the only member in the pilot program to disclose the indicators of product carbon footprint, NIO fully demonstrates its unwavering commitment to promoting a transparent and sustainable battery value chain compliant with international standards. NIO will continue to support the green design and manufacturing of power batteries and strengthen the decarbonization capacity of the value chain, hence contributing to the global electrification transition.

Battery Passport of 75 kWh Standard-Range Battery Pack Released by NIO, CATL and RCS Global

[2]HMA Rule: HMA is short for Harmonized Market Approach. HMA rule is a rule for calculating the carbon footprint of electricity based on the Harmonized Market Approach.

## 2.2

# Sustainable Products

NIO is committed to providing users with sustainable low-carbon products by using sustainable materials and applying sustainable design. We actively practice and explore the circular economy. We continuously improve the recoverability and recyclability of vehicle materials, and try to realize closed-loop "Car to Car" recycling. During the reporting period, NIO achieved an average recoverability rate of 98.8% and an average recyclability rate of 91.4% for vehicles sold[3].

### ▶ NIO ET5T and ET7 Honored With 2024 Green Design International Award

On January 14, 2025, at the World Green Design Organization (WGDO) Annual Conference and Brussels Summit, NIO's ET5T and ET7 models were honored with the "2024 Green Design International Award" for their sustainable interior design. The award recognizes NIO's innovative approach to vehicle design, which takes sustainability aspects into account down to the smallest detail and incorporates them into all design processes. By using innovative technologies, sustainable materials and intelligent design solutions, NIO is continuously advancing its mission of "Shaping a Sustainable and Brighter Future Together."

## 2.2.1

# Sustainable Materials

Under the premise of guaranteeing equal or better performance, we prioritize the use of low-carbon materials such as hydroelectric aluminum, recycled aluminum, and recycled cast iron. We are actively exploring low-carbon materials and technologies, and reducing the carbon footprint of our products through technological innovation.

### Low-Carbon Materials and Technologies

#### Self-Developed New Alloy Material for Large Castings

Based on the aluminum-silicon alloy system, the Company has successfully developed a new aluminum-silicon alloy material NIO-2 by precisely adjusting the chemical composition through the high-throughput thermodynamic simulation, and repeated validation and trial production on the die-casting line. The material is suitable for manufacturing large castings such as rear floors of vehicles and battery housings. It also offers high impurity tolerance, ensuring manufacturability, serviceability, and economic efficiency while providing technical support for material recycling and regeneration.

#### Aluminum Profile Grade Standardization

Through comprehensive performance validation, the Company promotes the design of grade normalization for aluminum extrusions and other products during the research and development stage, enabling easier sorting and recycling of end-of-life products, enhancing recyclability, and reducing both administrative costs and validation efforts.

#### Coating-Free Material Selection

The plating process typically entails energy and material consumption. Through extensive testing, the feasibility of switching components in certain dry areas of thermoformed parts from aluminum-silicon coated sheets to bare sheets was verified, thereby reducing the carbon footprint by approximately 2.4% during the material acquisition stage.

#### Aluminum Sheet Grade Preservation and Utilization

By optimizing in-plant stamping process scheduling and tooling design, the remaining material is preserved and used in structural part stamping production. Each vehicle can avoid an additional consumption of approximately 2.5kg of aluminum sheet material, resulting in a total savings of 120 tons of aluminum sheet material consumption during the reporting period. This also prevents an equivalent amount of factory surplus materials from being downgraded for use or discarded.

[3]The recyclability and recoverability rates are calculated in accordance with *ISO 22628-2002 Road Vehicles - Recyclability and Recoverability - Calculation Method* and *GB/T 19515-2023 Road Vehicles - Recyclability and Recoverability Rate - Requirement and Calculation Method.*

## Clean+, a Collection of Eco-Friendly Interior Materials

“Clean+” is a collection of eco-friendly materials developed by NIO jointly with partners. NIO is dedicated to using more low-pollution, low-carbon, recyclable and sustainable Clean+ interior materials by leveraging the latest technologies. We have also included the traceability and certification of Clean+ materials under our management. All Clean+ recycled materials comply with the requirements of ISO 14021 on self-declared environmental claims. In accordance with the chain-of-custody traceability guidelines, we have collected necessary environmental declaration assessment and supporting documents, such as the Global Recycled Standard (GRS) recycled material certificate. All Clean+ renewable wood is certified by the Forest Stewardship Council (FSC), ensuring that wood products are sourced from sustainable forestry practices that maintain healthy forest ecosystems, conserve biodiversity, and mitigate climate change throughout the entire forest-to-consumer process.

### Recycled PP Material

PP (Polypropylene) material is one of the most widely and frequently used automotive plastic so far. It is extensively used in dashboards, consoles, door trim panels and bumpers. The dashboard frame of NIO ES8 is made of recycled PP, replacing 25% of virgin petroleum-based PP. By doing so, we have enhanced material recyclability and realized a material-level carbon emission reduction of approximately 15%.

### Haptex®

NIO ES6 and EC6 use Haptex®, a synthetic leather solution that combines exceptional eco-friendliness with beautiful interior design and an unexpectedly comfortable experience. The base fabric used in the manufacturing of the bottom layer is made of 100% recycled PET (polyethylene terephthalate) from waste PET bottles.

### Renewable Natural American Maple

The trim on the center console in the NIO ET9 cabin is made from the natural material American Maple, whose unique grain and warm texture allow people to feel the closeness and serenity of nature while inside the car. While adding a touch of natural beauty to the interior, the wood trim reduces the reliance on synthetic materials such as plastics, thus lessening its environmental impact, and is a perfect embodiment of the balance between aesthetics, environmental responsibility, and user experience.

## Hazardous Substance Management

NIO strictly complies with hazardous substance and product environmental standards in China, the European Union, the United States and other markets. We have formulated even more stringent corporate standards for hazardous substances to protect the environment and users' health. For materials that come into direct contact with the human body, NIO ensures they meet the OEKO-TEX Standard 100 Class 1 certification, which is suitable for products intended for babies.

NIO is committed to reducing the environmental impact throughout the vehicle's lifecycle and minimizing the presence of hazardous substances in vehicles. We have established an end-to-end hazardous substance management system covering the full value chain, and implement the management strategy of "source control, process monitoring, and continuous improvement," supported by our internal chemical safety team. In 2018, NIO built its own product environmental analysis laboratory, enabling testing, analysis and monitoring of various hazardous substances and in-vehicle air quality. In August 2024, our laboratory successfully passed the re-accreditation of the China National Accreditation Service for Conformity Assessment (CNAS). Moreover, we have developed a computer system-based environmental compliance management methodology for automotive products. During the reporting period, we filed an invention-based patent application for it. Based on this methodology, we configure complex hazardous substance requirements within the system using data management and pre-set risk analysis logic, ensuring compliance throughout the vehicle lifecycle.

### End-to-End Hazardous Substance Management System Covering the Full Value Chain

#### Source Control

- Environmentally friendly materials that meet corporate hazardous substance standards and have low emissions are prioritized for all vehicle parts. Selected materials are applied only after passing design and production verification.

#### Process Monitoring

- Once the vehicle enters the production stage, NIO's quality team and partners conduct annual testing and periodic sampling to continuously monitor vehicle components for hazardous substances and VOCs. Meanwhile, NIO's chemical safety team monitors vehicle performance in real time. In the event of anomalies, the team can swiftly isolate affected products, analyze the root cause, and resolve the issue to prevent substandard products from reaching the market.
- For post-delivery products, NIO's chemical safety team continuously tracks user feedback on in-vehicle air quality and responds promptly when necessary.

#### Continuous Improvement

- NIO has continuously enhanced its hazardous substance management requirements and added four new substances to the restricted list during the reporting period, mandating compliance for all ongoing production projects.
- Additionally, in response to growing market concerns over PFAS (per- and polyfluoroalkyl substances), NIO has, for the first time, introduced a requirement encouraging its partners to prioritize PFAS-free product designs.

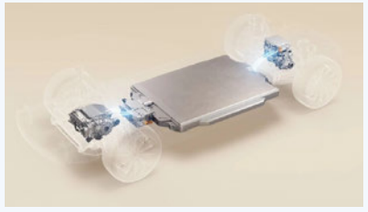
## 2.2.2

# Sustainable Design

NIO takes high energy efficiency and lightweight design into full consideration to reduce resource consumption, product carbon footprint, and energy consumption during the product's use phase. The NIO Technology 2 (NT2) platform models and the ONVO L60, launched during the reporting period, have successfully reduced energy consumption during the use phase through a combination of measures, such as optimized aerodynamic design, lower rolling resistance tires, and more efficient electric drive systems with SiC modules. While ensuring the strength, stiffness, and safety of the vehicle, NIO applies lightweight materials, as well as utilizing cross-system integration design and integrated casting techniques to achieve vehicle lightweighting. This contributes to a reduction in vehicle weight, an improvement in power and handling, and ultimately enhances energy efficiency.

### NIO ET9 Full Domain 900 V High Voltage Architecture With Leading Energy Performance

NIO ET9's full domain 900 V high-voltage architecture, including motors, batteries, electronic control, air conditioning and all other core components, supports voltages of 900 V or higher, with a maximum voltage of 925 V, a peak charging power of 600 kW, and a peak charging current of 765 A. The most direct benefits of high voltage are stronger energy performance and greater space utilization. ET9's front 180 kW one-piece shell coaxial induction electric drive, with a power density of 2.6 kW/kg, is one of the industry's highest power density induction electric drives; the rear 340 kW motor is the world's first 925 V W-pin motor, which does not require end welding. The winding is formed as a single piece and comes off the production line as a fully integrated component, achieving an industry-leading power density of 4.3 kW/kg. Meanwhile, ET9 also introduces the self-developed 1,200 V silicon carbide power module for the first time, which boasts over 300,000 power cycles, significantly improving the motor's performance and reliability, and demonstrating leading energy consumption performance.



High-Performance Intelligent Electric Drive System

### ONVO L60 Lightweight Design

We have realized lightweight design for ONVO L60 with novel solutions. Its overall weight is only 1,885 kg, a leading lightweight level in its class as of the reporting period:

#### Lightweight Body

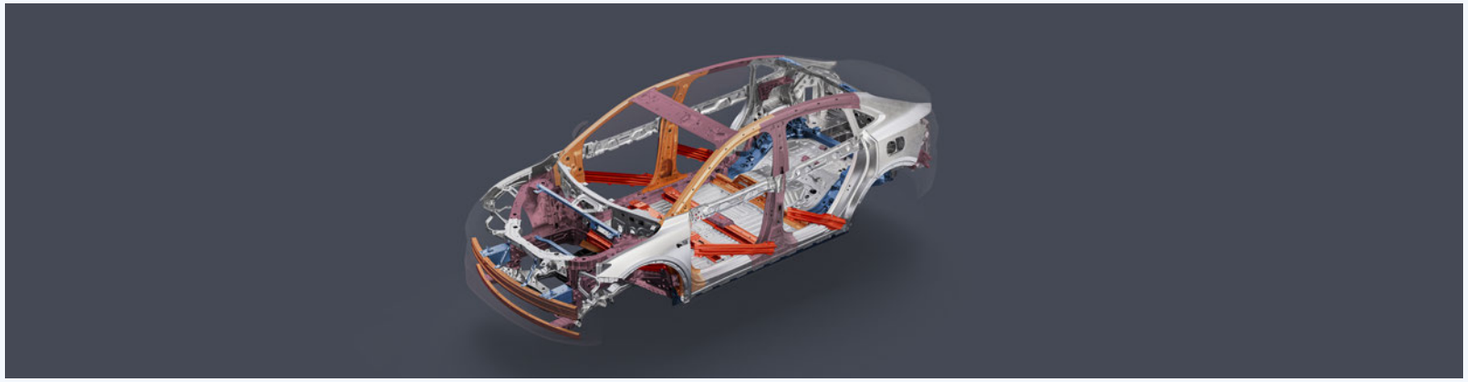
Through the mixed use of advanced lightweight materials such as high-strength steel, ultra-high-strength steel, and aluminum alloy, as well as the structural topology optimization and bionic design, we have created a lightweight "steel-aluminum hybrid dual-compartment body" with leading safety performance for ONVO L60.

#### Cross-System Integration Design

We adopt cross-system integration design for the vehicle architecture of ONVO L60, fully optimizing the number, weight and size of components.

#### Efficient Integration of Architecture Modules

Through the design of highly integrated front-end and rear-end modules, ONVO L60 has a compact and efficient architecture, which not only largely increases weight efficiency, but also improves vehicle space utilization.



ONVO L60 Lightweight Body

2.2.3

# Practicing the Circular Economy

## Closed-Loop Recycling Under the “Car to Car” Model

Circular Car Lab is an internal recycling program focusing on closed-loop recycling under the “Car to Car” model. During the reporting period, the Lab furthered its efforts to realize closed-loop “Car to Car” recycling throughout the process by independently developing an online traceability system. The system was provided to partners at all stages of the recycling cycle to track the recycling of scrapped vehicles, waste, finished products, and parts throughout 2024. This measure ensures traceable, authentic and complete data for “Car to Car” recycling.

During the reporting period, leveraging the Circular Car Lab, NIO achieved the closed-loop recycling of 500 scrapped vehicles under the “Car to Car” model. The vehicles were dismantled and categorized with precision, significantly increasing their residual value. Some of the aluminum from the dismantled materials will be recycled in the same grade or upgraded for use in NIO’s self-developed aluminum alloy grades, while other aluminum materials will be used in the manufacturing of NIO’s smart hardware shells. Additionally, magnesium alloy and copper alloy from currently scrapped vehicles will be used as auxiliary materials for aluminum alloy production, contributing to the “Car to Car” closed-loop recycling.

NIO’s recycling and dismantling model has received widespread attention and recognition within the industry. During the reporting period, NIO was invited by the China Nonferrous Metals Industry Association to participate in the launch ceremony of the CMRA Annual Convention 2024, becoming one of its first members.

### Material Identification and Labeling of Metal Components to Enhance Recycling Efficiency

In compliance with regulatory requirements, automotive companies are required to implement material identification and labeling for automotive plastic parts, rubber parts, and thermoplastic elastomer parts that exceed a certain weight. In addition to complying with these regulatory requirements, NIO has imposed internal requirements to enforce the material identification and labeling of metal components, aiming to enhance the recycling efficiency of these components. In 2024, metal marking was applied for the first time to firefly and NIO ET9, paving the way for more efficient metal recycling in the future.

### Measures Taken by NIO to Enhance Vehicle Recyclability in 2024

#### Structure Optimization of NIO ET7 to Improve the Recyclability Rate of Models

During the reporting period, we redesigned the rear seats of NIO ET7 into an integrated structure and eliminated the rear floor seat panel. This modification reduced the number of non-recyclable components, thereby increasing the overall recyclability rate of ET7 by 0.4%.

#### Modular and Integrated Design to Enhance the Actual Recyclability Rate of Materials

The NT2 models were optimized in the structural design by integrating multiple components, such as the longitudinal beams and crossbeams of the rear floor, into a single casting. This structural design facilitates dismantling during the recycling process of scrapped vehicles, enabling efficient recycling of recyclable materials and significantly enhancing the actual recyclability rate of scrapped vehicles.

## Closed-Loop Recycling of Battery Systems and EDS

NIO is also focused on closed-loop recycling for both EDS and battery systems. During the reporting period, NIO implemented the recycling of magnetic steels in EDS. For the battery system, NIO has been advancing non-destructive dismantling technologies and direct repair and recycling of battery cell materials to develop precise dismantling capabilities for Cell to Pack (CTP) battery packs, meeting the current demand for recycling retired batteries. As efficient dismantling technologies evolve, NIO plans to initiate recycling projects based on the demand for retired batteries, driving closed-loop battery system recycling.

### ▶ Recycling of Magnetic Steel in EDS

During the reporting period, NIO launched magnetic steel recycling projects for 160 kW, 180 kW, and 210 kW EDS, with the aim of achieving the closed-loop recycling of rare earth elements such as praseodymium, neodymium, dysprosium, and terbium. Calculations show that the comprehensive energy consumption for the extraction of praseodymium-neodymium oxide through closed-loop recycling is approximately 37% lower compared to that from raw ore.

In addition, NIO has actively collaborated with various industry players on vehicle recycling to promote the construction of a circular ecosystem and the green development of the automotive industry:

Efforts are made to better exploit the value of recycled aluminum. During the reporting period, NIO entered into memorandums of understanding with Lizhong Group and CSMET Group on vehicle recycling, deepening cooperation in areas such as closed-loop recycling under the “Car to Car” model, recycled materials, low-carbon components, and sustainability.

During the reporting period, NIO, together with its partners, participated in a joint research project initiated by GIZ, a German service provider for international cooperation, to explore closed-loop recycling pathways for high-value plastics from scrapped vehicles. This project aims to establish an efficient and sustainable recycling system for automotive plastics, providing effective solutions for regulatory compliance.

## BLUE SKY LAB

Furthermore, NIO established the BLUE SKY LAB in 2021, which focuses on recycling leftover automotive-grade materials in car manufacturing such as airbags, seat belts, and BASF’s Haptex® leather as core materials to create a fashion collection.

During the reporting period, BLUE SKY LAB further expanded the reuse of automotive-grade materials by incorporating Nappa calfskin as the fourth type of recycled material in fashion product manufacturing. This leather is recycled quarterly to create the “Viser la Lune” collection, advancing the sustainable use of production remnants.

During the reporting period
BLUE SKY LAB used 6,218 $m^2$ of recycled automotive-grade materials.

By the end of the reporting period
BLUE SKY LAB had used a total of 70,902 $m^2$ of recycled automotive-grade materials.

### ▶ BLUE SKY LAB Clothing Recycling Program

In March 2025, BLUE SKY LAB partnered with Feimayi to launch a used clothing recycling program for NIO users. Through the NIO app, users can schedule clothing pick-ups for recycling and receive surprise mystery boxes containing vouchers or small gifts. Once the total volume of collected clothing reaches a certain threshold, NIO will roll out additional sustainability actions—such as tree planting in the northwestern deserts—to encourage broader participation and collective contribution to the aspiration of “Blue Sky Coming.”

# 2.3

# Green Operations

With a keen focus on various aspects including manufacturing, logistics, delivery, and office operations, we continue to improve our energy and carbon management as well as emissions management. Through diverse initiatives, we've boosted energy and resource efficiency, while reducing waste and emissions to support the environmental sustainability of our own operations.

## 2.3.1

## Green Manufacturing

Smart manufacturing is one of the 12 key technologies of the "NIO Full Stack". By continually elevating the automation and intelligence levels of its factories, NIO has optimized the utilization efficiency of energy and resources through lean, efficient, and advanced intelligent production models. During the reporting period, at the inaugural "Super Automotive Factory Award" selection event organized by China Automotive Technology and Research Center Co., Ltd. in 2024, NIO Factory 2 (F2) was recognized as a "Super Automotive Factory" and also received the "Best Digital Application Award."

Meanwhile, NIO actively engages in energy and carbon management as well as emissions management. To reduce greenhouse gas emissions in the manufacturing process, NIO has implemented energy-saving renovation and promoted the use of renewable energy. Measures are also taken to minimize the waste gas emissions and discharge of wastewater and other waste to create an environmentally friendly production base. During the reporting period, factories in NeoPark was recognized as the "2024 Green Factory" by Anhui Province.

## Environmental Management

Since the establishment, NIO has made every effort to drive the efficient use of resources and energy, and reduce pollutant discharge to air, soil and water, thus minimizing its environmental impact. NIO has developed the *Environmental, Health, Safety Management Systems (EHSMS) Manual*, and during the reporting period, issued the *Environment, Health, and Safety Policy*, which clearly outlines the Company's commitment to setting goals, conducting regular reviews, and making continuous improvements to enhance performance in reducing Environmental, Health, and Safety (EHS) risks, preventing pollution, and conserving natural resources. By the end of reporting period, 14 subsidiaries of the Company had obtained IS0 14001 Environmental Management System certification, accounting for 82% of NIO's office, R&D and manufacturing sites.

To optimize environmental performance management, NIO issued the *Environmental Reporting* during the reporting period, clarifying environmental performance indicators relating to waste gas, wastewater, and other forms of waste, as well as team responsibilities and reporting timelines. NIO also upgraded its EHS digital platform to standardize environmental data collection across the Company, providing data support for measuring environmental performance and driving continuous improvement.

### EHS Digital Platform

NIO makes constant efforts to further integrate EHS management requirements into business operations and effectively measure and monitor the EHS performance of key processes. During the reporting period, NIO officially upgraded its online EHS management platform.

The new platform incorporates routine EHS management processes and effectively supports EHS risk management across the entire business chain through three stages: platform establishment, data integration, and data application.

Meanwhile, NIO continued to improve the EHS audit mechanism and process, updating and iterating the tools for identifying and assessing the impact of environmental factors during the reporting period, to facilitate related evaluations across all operational sites. In addition, NIO also invited external organizations to conduct EHS compliance audits, laying a solid foundation for EHS risk prevention and control. During the reporting period, the Company had zero major environmental violations.

### EHS System Audit

#### Internal Audit

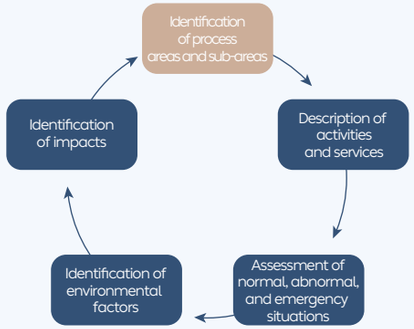
NIO's EHS system audits are conducted at regular intervals based on ISO standards to ensure effective implementation and maintenance of EHS risk management. During the reporting period, NIO assembled a cross-departmental internal audit team to conduct systematic audits in accordance with ISO standards, zero waste to landfill management requirements, applicable laws and regulations, and company policies. The scope of the internal audit covers the entire business of NIO. At the same time, the results of the EHS internal audit have been incorporated into the digital platform for tracking, and we have achieved a rectification rate of more than 95% during the reporting period to ensure the ongoing suitability, adequacy and effectiveness of NIO's EHS management system.

#### External Audit

NIO has obtained the ISO 14001 and ISO 45001 certification for a total of 14 sites in the form of group certification. Annual supervision audits and three-year recertification audits are conducted by third-party certification bodies to verify the compliance and effectiveness of the system operation. During the reporting period, no serious non-conformities were found in the external audit of the Company's EHS system.

### Identification of and Impact Assessment on Environmental

During the reporting period, NIO launched the tool for identification of and impact assessment on environmental factors. This tool is designed to comprehensively identify environmental factors throughout the Company's operational management lifecycle, such as emissions of waste gas and greenhouse gas, as well as discharge of wastewater and waste, and to assess the associated environmental impacts. Based on the evaluation results, we implement targeted risk control measures to ensure effective environmental risk prevention.




Steps for Identification of and Impact Assessment on Environmental Factors

### EHS Compliance Audit

During the reporting period, NIO commissioned external organizations to conduct EHS compliance audits at five factories, five laboratories, and 20 regional NIO Service Centers. These audits, based on applicable national and local laws, mandatory and recommended standards, and EHS best practices, provided business units and operational sites with a clear understanding of compliance requirements, strengthening the management system and enhancing EHS risk control for sustainable operations.

# Energy and Carbon Management

NIO has established a company-level energy management system, and has been formulating and implementing energy policies aimed at building a more environmentally friendly future. Centered on low-carbon development, environmental governance, and ecological protection, and committed to regulatory compliance, we strategically manage and track our energy objectives. Accordingly, we have released and revised new policies including the *Energy Management Process* and the *Energy Assessment and Management Process* during the reporting period. This further unifies the factories' energy management processes and strengthens energy data management and energy management self-assessment. NIO F2 and the NIO Shanghai headquarters have obtained the ISO 50001 energy management system certification.

In addition, our factories continue to optimize their energy management systems to provide data support for energy consumption analysis and optimization. During the reporting period, the cooling units and air compressor systems of NIO Factory 1 (F1) were integrated with automatic control systems and energy management systems. The energy and carbon management platform of NIO F2 optimized its cooling system control logic and added sub-modules such as the "energy consumption zones" and "energy consumption analysis" for better analysis and optimization of energy consumption in the workshops.

We have set comprehensive single-vehicle energy consumption targets for NIO F1 and F2 and implemented management and technical measures such as proper on-site energy use control, lean operation and maintenance of energy systems, energy efficiency improvement projects, and analysis and improvement based on energy indicators. Compared to 2023, the comprehensive energy consumption per vehicle at NIO F1 dropped by 29%, and the comprehensive energy consumption per vehicle at NIO F2 decreased by 22%. NIO also runs a "Golden Idea" scheme, which awards Points to employees who propose and implement capital ideas on energy saving, aiming at promoting employees' proactive engagement and self-driven performance. During the reporting period, our factories submitted a total of 93 "Golden Ideas."

| Energy Saving Measures | |
|---|---|
| NIO F1 | • Optimizing the heating startup strategy of the drying system in the Paint Shop: By operating the drying system according to the actual production timetable, the factories save 110,000 m³ of natural gas and 380,000 kWh of electricity annually.<br>• Optimizing natural gas consumption in the Second Paint Shop: Minimizing the amount of air to be heated and lowering the frequency of the ventilation fan for waste gas in the drying room, thus reducing the consumption of natural gas. This saves 220,000 m³ of natural gas per year. |
| NIO F2 | • Optimizing the heating activation strategy of the drying system in the Paint Shop: Aligning heating time with production timetable, optimizing energy consumption in idle hours, thus saving 240,000 kWh of electricity and 65,000 m³ of natural gas per year.<br>• Optimizing the Paint Shop compressed air purging: Blowing off intermittently during non-production period, saving 45,000 kWh of electricity per year.<br>• Applying energy-saving design for presses in door closure system: The five oil pump motors of hemming hydraulic presses in the vehicle body closure system did not have an automatic shutdown function and kept running during the night shift or on holidays, resulting in a serious waste of energy. By improving the program, the presses have been optimized to automatically shut down the motors if they are not in use for more than 40 minutes, reducing electricity consumption by 330,000 kWh per year. |
| NIO EDS Factory 0 (E0) and NIO EDS Factory 1 (E1) | Production line upgrades:<br>• NIO E0 refined the energy consumption management of more than 13 sets of equipment on its production lines according to the needs of the production stage, reducing standby time and saving 160,000 kWh of electricity per year.<br>• NIO E1 carried out gas- and energy-saving transformation to its production lines, including adding the one-button stop function to the assembly line and limiting the gas supply in working time for some stations, saving around 70,000 kWh of electricity per year.<br>Technical improvements for utility power:<br>• NIO E0 has made energy-saving technical improvements to the air compressor system, including comprehensively evaluating air consumption to make sensible use of small variable-speed-drive (VSD) compressors, using internet of things (IoT) to control supply and reduce the number of units in operation, evaluating and setting appropriate system pressure and carrying out leak checks. These efforts have resulted in electricity saving of approximately 210,000 kWh annually.<br>• Power distribution system has been improved with joint effort by NIO E0 and NIO E1, including optimization of the transformer system, off-peak energy storage for the air-conditioning system, off-peak charging for high-power equipment such as air-conditioning units, shuttles, and forklifts, as well as directly using municipal water supply to reduce energy consumption of water pumps, contributing to electricity saving of approximately 120,000 kWh.<br>• NIO E0 and NIO E1 worked together to improve the HVAC system, including optimizing the temperature setpoint for the production environment and lowering the operating frequency of the air-conditioning fans, saving electricity of 1.57 million kWh annually. |

At the same time, we continue to promote PV power generation projects, and actively purchase green electricity. By the end of the reporting period, the total installed PV capacity of NIO F1, F2, E0 and E1 reached 67.63 MW. During the reporting period, NIO's manufacturing sites consumed a total of 97,013.15 MWh of renewable electricity, accounting for 56.6% of the total electricity consumption, a 74.5% increase compared to 2023.

## Water Resource Management

We comply with the *Water Law of the People's Republic of China* and other applicable laws and regulations in the places where we operate and set annual limits on water consumption per product for all our major manufacturing sites. Recycled process and circulating water are adopted to increase water reuse and reduce fresh water consumption. In addition, all our factories continued to implement water conservation projects during the reporting period to further improve water efficiency.

### NIO F1

- Optimization of phase I energy center cooling system:

Separating cooling tower sinks to allow each tower to be used and cleaned independently, thus saving an average of 400 tons of water each month.

### NIO F2

- Optimization of second water wash spray cycle for paint pre-treatment: Adding vehicle support parts at pre-treatment turn sections, reducing water consumption by 10 tons per day.

- Optimization of the backflushing cycle of the purified water station in painting processes: Lengthening the backflushing interval to reduce water consumption, saving 150 tons of water per month.

### NIO E0

- Optimization of humidification:

Changing from all wet film humidifiers to micro mist humidifiers. By doing so, not only humidity requirements of the workshop in winter are met, but also the water consumption of humidification is reduced from four tons to one ton per day for each unit, saving water significantly.

### NIO E1

- Recycling reclaimed water:

Wastewater is reclaimed after physio-chemical and biochemical treatment, as well as carbon and sand filtration at the treatment plant and reused for toilet flushing, landscape irrigation, and road cleaning.

## Waste Discharge Control

We strictly comply with environmental protection laws and regulations in the places where we operate, such as the *Water Pollution Prevention and Control Law of the People's Republic of China*, the *Law of the People's Republic of China on the Prevention and Control of Atmospheric Pollution*, and the *Law of the People's Republic of China on the Prevention and Control of Environmental Pollution by Solid Wastes*, conducting full-process management of discharge and waste to ensure that they are disposed of in a compliant and proper manner. We have been committed to our *Environmental, Health, and Safety Policy* to continuously reduce the emission of pollutants into the atmosphere, soil, and water, mitigating the impact on the environment. NIO has developed and implemented the *Wastewater Management Procedure*, I*ndustrial Waste Gas Management Procedure*, and *Regulations on Waste Disposal Management*. These programs ensure comprehensive, end-to-end management of discharge and waste, guaranteeing compliant and proper disposal.

### Waste Gas

NIO's waste gas mainly includes particulate matter, sulfur dioxide, nitrogen oxides, and VOCs. In order to ensure compliant waste gas emission, NIO devotes considerable effort to the identification and treatment of waste gas risks in the manufacturing processes. Our main waste gas treatment methods include wet dust collection, filtration dust removal, adsorption and incineration.

At the same time, we regularly commission qualified monitoring agencies to check our waste gas emission. In case of any abnormal or non-compliant data, we will immediately initiate special treatment and investigation.

### Wastewater

NIO F1 and NIO F2 have built their own internal wastewater treatment plants. After being pre-treated by these facilities, the industrial wastewater is either reclaimed for reuse or discharged into the municipal sewage system along with domestic wastewater when criteria are met.

At the same time, NIO E0 has established industrial wastewater treatment plant and domestic wastewater biochemical treatment plant, so as to monitor and dispose of industrial and domestic wastewater before discharging them into the municipal sewage system.

### Solid Waste

General waste, scrap metal, packaging waste and other recyclable materials are processed by partners or qualified third parties for recycling, and non-recyclable waste is primarily sent to municipal facilities for waste-to-energy incineration, while household garbage is collected and disposed of by municipal sanitation department.

We classify, label, and collect hazardous waste and send it to qualified third parties for disposal. The entire process is fully disclosed on the government platform for compliance.

NIO has been committed to promoting more environmentally friendly waste management and disposal practices through waste reduction, recycling, reuse, and energy efficiency improvement, thereby avoiding the negative environmental impacts associated with landfill disposal. During the reporting period, NIO conducted the Zero Waste to Landfill (ZWTL) management system certification as a group, becoming the first company in China's new energy vehicle industry to obtain such certification and the first group in China's automotive industry to obtain such certification.

During the reporting period, NIO F1, F2, E0 and E1 all set their own quantified targets for hazardous waste generated and recycle rate per unit of product. The manufacturing sites have made every effort to achieve targets and have been actively identifying various waste reduction opportunities. During the reporting period, NIO's factories and laboratories implemented multiple recycling and waste reduction initiatives, resulting in a total waste reduction of 1,046 tons and a total of 141 tons of recyclable waste, accounting for 4.2% of the total waste generated.

Zero Waste to Landfill (ZWTL) Certification

### ▶ Reducing Waste Through Recycling

- The Paint Shop solvent recycling project uses membrane separation technology to recycle solvent, reducing the amount of waste solvent.
- Large stamping scrap from car roof production is recycled and used to make parts such as the rear reinforcement plate of the front fender and the top plate of the rear roof crossmember, reducing the amount of general solid waste.
- Black packaging foam, which was originally incinerated and disposed of as non-recyclable waste, and waste mineral oil, which was incinerated and disposed of as hazardous waste, are now recycled and reused in a more environmentally friendly way through a green supply chain.
- All types of waste drums including those for paint, degreaser, paint mist coagulant, ethanol, glass cleaner, and refrigerant are collected by partners for factory return and recycling, reducing the amount of waste.

## Green Industrial Park

Starting from the planning and design stage of the factory, we have been observing the *Evaluation standard for green industrial building* and LEED requirements, among other environmental standards. We have also broken down these standards and incorporated them into the design requirements for the entire industrial park. During the construction of the park, we tracked and consolidated relevant information monthly, ensuring that the construction met green building standards. By the end of the reporting period, NIO F2 and E1 had successfully obtained the LEED Gold Certification issued by the United States Green Building Council, and China Three-Star Green Building Certification. The NIO Factory 3 (hereinafter referred to as "F3") Complex Building had been certified as China Two-Star Green Buildings and the E0 Phase II had also been certified as China Three-Star Green Buildings.

NIO F2 Obtained the LEED Gold Certification and Three-Star China Green Building Certification

In addition, we continue to promote the construction of the "Sponge Factory." F2 and E1 have used low impact development (LID) facilities, including low elevation greenbelt, permeable pavement, and rainwater open channels, achieving natural preservation, infiltration and purification of rainwater. By simulating natural water circulation processes, the facilities also help restore the surrounding aquatic ecosystem. Meanwhile, NIO EDS Factory 2 (E2) under construction and the F3 and are also designed and built based on past successful experience, jointly advancing the development of sponge cities.

### Contributing to Sponge City

NIO E2 is designed and built in accordance with the *Sponge City Hefei Program*. The primary sponge facilities include a perimeter green buffer system, grass lined channels, rain gardens, ecological parking spaces, and detention basins. The total area of these sponge facilities is 9,611 $m^2$, with an overall suspended solids (SS) removal rate at 57.58%. Such facilities effectively reduce urban water pollution caused by runoff and minimize the environmental impact of factory development and construction.

## 2.3.2

# Green Logistics

NIO is actively tracking its energy use and packaging consumption in logistics operations. We have rolled out a host of initiatives to boost packaging recycling and clean energy use, spurring green and sustainable logistics. To achieve data monitoring and analysis, we have launched an ESG carbon reduction dashboard which comprehensively tracks and analyzes carbon reduction data across green warehousing, transportation, and packaging, helping us build a low-carbon logistics system.

### Green Packaging

- NIO is actively advancing recyclable, shared, and lightweight packaging. During the reporting period, the proportion of recyclable, shared, and lightweight packaging used in our vehicle transportation reached 98%, 90%, and 35%, respectively. For the transportation of EDS and batteries, the proportion of recyclable packaging reached 100%.
- During the reporting period, NIO worked with business partners to share transportation packaging across different vehicle models. By using existing packaging of production models, we saved 19,037 pieces of new packaging.
- Additionally, we promote the reuse of stamping part racks. By monitoring the utilization rate of stamping part racks for mass-produced models and reallocating surplus tools to new models, we reused a total of 854 stamping part racks in 2024.

### Green Warehousing

- We continue to expand the installed capacity of the PV charging station at NIO Vehicle Distribution Centers (VDCs) and Regional Distribution Centers (RDCs). During the reporting period, an additional 1.2 MW capacity was installed at the RDC of F1, resulting in an additional monthly carbon reduction of 57 tons. By the end of the reporting period, NIO's cumulative installed capacity of the PV charging stations at VDCs and RDCs had hit 24.1 MW.
- NIO also encourages its warehousing partners to tap into renewable energy and switch to LED lighting, and gives priority to partners using renewable energy. By the end of the reporting period, three of NIO's inbound logistics partners had obtained the green warehousing certification from the China Association of Warehousing and Distribution.

### Green Transportation

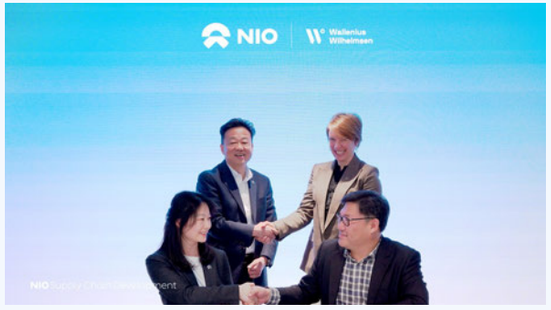
- For international logistics, we have shifted from the high-carbon-consuming air transportation to the carbon-efficient rail transportation. During the reporting period, 14 vehicles were exported via China-Europe Railway Express.
- For vehicle logistics, we have shifted from the carbon-intensive highway transportation to the carbon-efficient waterway transportation. During the reporting period, a total of 510 vehicles were shipped across the sea.
- We are also actively deploying electric trucks and continuously use large, unmanned, smart electric Automated Guided Vehicles (AGVs) and unmanned trailers. In addition, one battery electric short-haul truck has been introduced to the PP1S warehouse of F2 for the first time, and one more battery electric truck would be in operation in the Milk Run Hefei line by the end of December.

### NIO Milk Run Project

NIO continuously carries out the "NIO Milk Run (MR) Self-Pickup" project for inbound logistics. When transporting vehicle parts, we adopt multi-stop pickup routes run by NIO vehicles, instead of the traditional model where transportation is carried out by respective partners. During the reporting period, a total of 101 partners used NIO MR services. In addition, the average load factor for the Hefei local MR routes was approximately 65%, while the average load factor for the MR trunk lines connecting Shanghai and Suzhou's Kunshan and Taicang was about 80%.

### Sustainable Logistics Workshop

On March 3, 2025, NIO held a sustainable logistics workshop in Shanghai with Wallenius Wilhelmsen, a global leading roll-on/roll-off (RoRo) shipping company. The two sides decided to carry out comprehensive and in-depth cooperation in marketing, sustainable, and low-carbon development, following principles of complementary advantages, resource sharing, mutual benefit, and long-term cooperation. The two groups will work together so as to mitigate global supply chain uncertainty. This workshop signifies the strong willingness of both sides to form closer and more stable partnership. Together with Wallenius Wilhelmsen, the two sides will fully leverage their respective advantages, contributing to a sustainable and brighter future.



2.3.3

# Green Delivery and Office Operations

NIO has incorporated the philosophy of sustainable development into store design, construction, and day-to-day office operations, with a focus on the efficient use of resources and energy. For NIO's facilities such as the NIO House, NIO Space, NIO Service Center (NSC), and NIO Delivery Center (NDC), we have established green space design guidelines. These standards regulate showroom lighting intensity and delivery hall lighting types, and mandate the use of energy-efficient LED lights and water-saving cleaning equipment to boost energy and water efficiency.

We implement flexible climate control configurations for stores in different climate zones, cutting out unnecessary energy use, while prioritizing heat preservation and sustainable energy solutions for stores in extremely cold regions. During the reporting period, we made proper renovations to our existing equipment, recycling it in new projects. This approach not only shortened the construction cycle and reduced material usage, but also cut down on construction waste, effectively contributing to the circular economy.

To promote green office initiatives, NIO has released internal policies such as *Office Energy Management* and *Maintenance Standard for Air Conditioning Equipment* to keep office energy use in check and give priority to energy-efficient products. We have also gone digital and paperless in daily office work and business travel, encouraging employees to embrace the philosophy of sustainable development and reduce unnecessary energy and resource consumption.

## Reducing Energy Consumption

- Replacing old light fixtures with energy-efficient products across all sites, achieving annual energy savings of approximately 45,000 kWh.
- Optimizing elevator operation mode and parking lot lighting mode, and implementing centralized air conditioning control systems to reduce unnecessary energy consumption.
- Collecting daily light-off rate in offices and meeting rooms, tracking and consolidating data monthly to promote sustainability among employees.

## Promoting Green Office

- Meal subsidies and taxi hailing services can be accessed via the digital system, enhancing employee experience and operational efficiency, and reducing approximately 950,000 paper receipts annually.
- The online booking rate for business travel has reached 97%, which eliminates the need for invoicing and reimbursement, further reducing paper used. With digital travel itineraries and tickets, the Company used approximately 16,000 paper documents less annually.
- Additionally, the travel policy has been adjusted to encourage employees to opt for low-carbon train travel, further reducing the environmental impact of business trips.

## 2.4

# Natural Ecosystem Protection

Through Clean Parks, a joint ecosystem building program initiated by NIO, the Company hopes to leverage its strengths in clean energy and work with all stakeholders to promote smart electric vehicles and clean energy infrastructure development in nature reserves around the world. The goal is to create a clean, low-carbon energy self-circulation system and maintain the original look and integrity of the ecosystem. By the end of the reporting period, NIO's Clean Parks program had partnered with 17 ecological cooperation sites, including the Three-River-Source National Park, Hainan Tropical Rainforests National Park, Northeast China Tiger and Leopard National Park, and Giant Panda National Park. The program also launched a partnership with the Danish Society for Nature Conservation to support clean patrols in four nature reserves in Denmark. According to preliminary calculations by the World Wildlife Fund (WWF), the annual emission reduction achieved by the routine operation of 26 NIO electric vehicles in four national parks (candidate areas) was approximately 294 tons of $CO_2e$.

NIO Clean Parks program has been recognized by users, governments, media, and industry organizations. During the reporting period, it was honored with the annual award for PR excellence by the Conference of China Public Relations for Development.

### Ecological Collaboration to Protect the Allindelille Forest in Denmark

In 2024, NIO continued to advance Clean Parks, its joint ecosystem building initiative, with one of the focuses on protecting the Allindelille Forest in Denmark. The forest is distinguished by its fertile calcareous soil, making it a significant plant area in Denmark. To foster biodiversity, we plan to introduce herbivores whose innate behaviors will contribute to the ecological balance and local biodiversity. In addition, we will support the construction of fences and sightseeing pathways, so that these animals can roam freely while visitors can explore designated areas. Beyond the Allindelille project, NIO is also engaged in other environmental projects, such as waste recycling, working together with the Danish Society for Nature Conservation and the Danish Nature Fund to protect Denmark's natural ecosystems.

Furthermore, to encourage more people to protect the authenticity and integrity of biodiversity, NIO has teamed up with the Shan Shui Conservation Center to launch the Clean Parks Citizen Scientists Program. This program has guided hundreds of participants to explore national parks in a scientific manner, actively involving them in scientific research and data gathering for ecological protection, thus contributing to the parks' ecological protection and science popularization. Since the program was initiated, almost 30 events have been held, attracting about 600 individuals to serve as scientific volunteers in the national parks. The wealth of scientific data collected has been integrated into relevant national databases.

- In the Guanba region of the Giant Panda National Park, 10 scientific volunteers worked alongside local beekeepers to survey, document, and compile a list of 208 species of nectar plants from 134 genera across 67 families.
- In the Baishuijiang region of Gansu Province, 10 volunteers conducted a field survey for the Yaotriton in Wenxian County, discovering 10 different locations where the species was found, along with more than a hundred Yaotritons.

In addition, NIO is supporting the development of new policies for China's national park system through the implementation of the Citizen Scientists Program. During the reporting period, the *Research Report on the Volunteer System for China's National Parks* was released based on the Citizen Scientists Program. This report champions the development of channels for the public to visit national parks. By making tangible scientific contributions to China's wildlife research database and establishing our national park system, the report presents a responsible, healthy, and eco-friendly approach for the public to visit national parks and explore nature. Moreover, NIO has actively supported the creation of China's first national park scientific volunteer recruitment website and platform, thereby enhancing global involvement in the development of national parks.

## Clean Parks Citizen Scientists Activities

August 2024

### General Fish Population Survey Conducted in the Gansu Region of the Giant Panda National Park

This year, river channels in the Gansu Baishuijiang region of the Giant Panda National Park were reconstructed for prevention and mitigation of natural disasters, resulting in changes to the riverine ecosystem. From August 19 to 23, together with Citizen Scientist volunteers and the Shan Shui Conservation Center, we conducted a five-day general fish population survey in the Baishuijiang region. Finally, we found six fish species in the Liziba river basin, including Triplophysa bleekeri and Cobitis sinensis, which were recorded for the first time there. This survey provides a research basis for the current status of biodiversity in this region.

September 2024

### Research Supported by NIO to Find Long-Term Solutions for Waste Management in the Neighborhood Near a National Park Entrance

From September 20 to 24, Clean Parks, in cooperation with the Shan Shui Conservation Center, led 12 scientific volunteers on an expedition to Chaoyang Village in the Qinling Mountains. Through cleaning and research activities, such as household visit surveys and clean-ups in the mountains and riverside, practical recommendations were provided for the local residents to improve community waste management. These efforts also fostered a greater sense of ecological protection and self-governance in waste management among the villagers, sparking more thinking on sustainable actions for the development of national park communities.

November 2024

### Community Science Outreach in the Jianfengling Region of Hainan Tropical Rainforest National Park

On November 25, Clean Parks, working with the Shan Shui Conservation Center, led 13 scientific volunteers to the Jianfengling region of Hainan and surrounding communities. While experiencing the charm of the tropical rainforest, they imparted eco-conservation knowledge to nearly 100 children and dozens of adult villagers, familiarizing them with the area's rare wildlife and raising the awareness of rainforest protection. This initiative has inspired the local communities regarding sustainability in natural education.

# 3.0

# Premium Products and Responsible Value Chain

Driven by our vision to “Build a User Enterprise Where Innovative Technology Meets Experience Excellence,” NIO is committed to developing premium and safe products through technological innovation and stringent quality management, while delivering experiences that consistently exceed user expectations. At the same time, we prioritize sustainable supply chain development, implementing responsible supply chain practices, and collaborating with partners in creating high-quality and sustainable products, so as to ensure a joyful holistic experience for users.

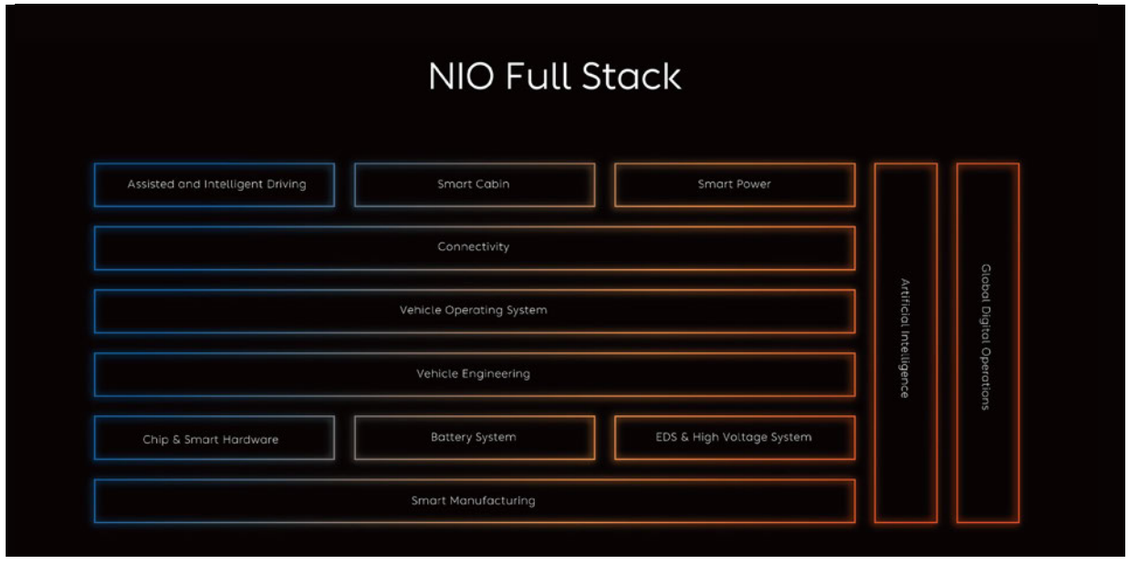

3.1 Continuous Innovation and R&D
3.2 Product Quality and Safety
3.3 Responsible Supply Chain
3.4 End-to-end Experience Beyond Expectations

3.1

# Continuous Innovation and R&D

"Continuous Innovation" is one of the enablers behind NIO's vision. We are building an intelligent and efficient manufacturing and operational system by advancing technological innovation across all aspects of our business. This enables us to deliver excellent products and services. During the reporting period, our cumulative R&D investment reached RMB 13.037 billion, with a total of 11,528 product and software development staff, accounting for 25.26% of total workforce.

Based on NIO's three core business pillars, namely smart electric vehicles, user enterprise, and global operations, we focus on 12 key technological domains accordingly. Insisting on in-house research and development of core technologies, we have established "NIO Full Stack," a comprehensive framework encompassing world-leading technological advancements. "NIO Full Stack" incorporates 12 core technologies, including chips and smart hardware, battery system, EDS and high-voltage system, vehicle engineering, vehicle operating system, connectivity, assisted and intelligent driving, smart cabin, smart power, smart manufacturing, artificial intelligence, and global digital operations, facilitating NIO's research and development of smart, electric and automotive technologies, and commitments to products, services and communities under multiple brands, on multiple platforms, and in multiple regions.




| Vehicle Model | Award | Awarded by |
|---|---|---|
| NIO ES8 | First place in premium BEV segment in the 2024 China New Energy Vehicle Initial Quality Study (NEV-IQS) | J.D. Power |
| NIO ES7 | Recommended Model of China Intelligent Vehicle Index (IVISTA) | IVISTA |
| NIO ES6 | First place in premium BEV segment in the 2024 China New Energy Vehicle—Automotive Performance, Execution and Layout (NEV-APEAL) Study | J.D. Power |
| | First place in premium BEV segment in the 2024 China Automotive Quality Research (AQR) Quality Experience Award (for three consecutive years) | 12365auto.com and Car Research Consulting Beijing Co., Ltd. |
| NIO ET7 | 2024 Green Design International Award | World Green Design Organization (WGDO) |
| NIO ET5 | First place in midsize BEV segment in the 2024 China NEV-APEAL Study | J.D. Power |
| | First place in midsize BEV segment in the 2024 China NEV-IQS - Segmented Market | J.D. Power |
| NIO ET5T | First place in midsize BEV segment in the 2024 China NEV User Satisfaction Survey | J.D. Power |
| | First place in midsize BEV segment in the 2024 China NEV-IQS | China Association for Quality |
| | 2024 Green Design International Award | World Green Design Organization (WGDO) |
| ONVO L60 | 10 Best Cars List of the 12th Xuanyuan Award | Auto Business Review and EFS |

3.1.1

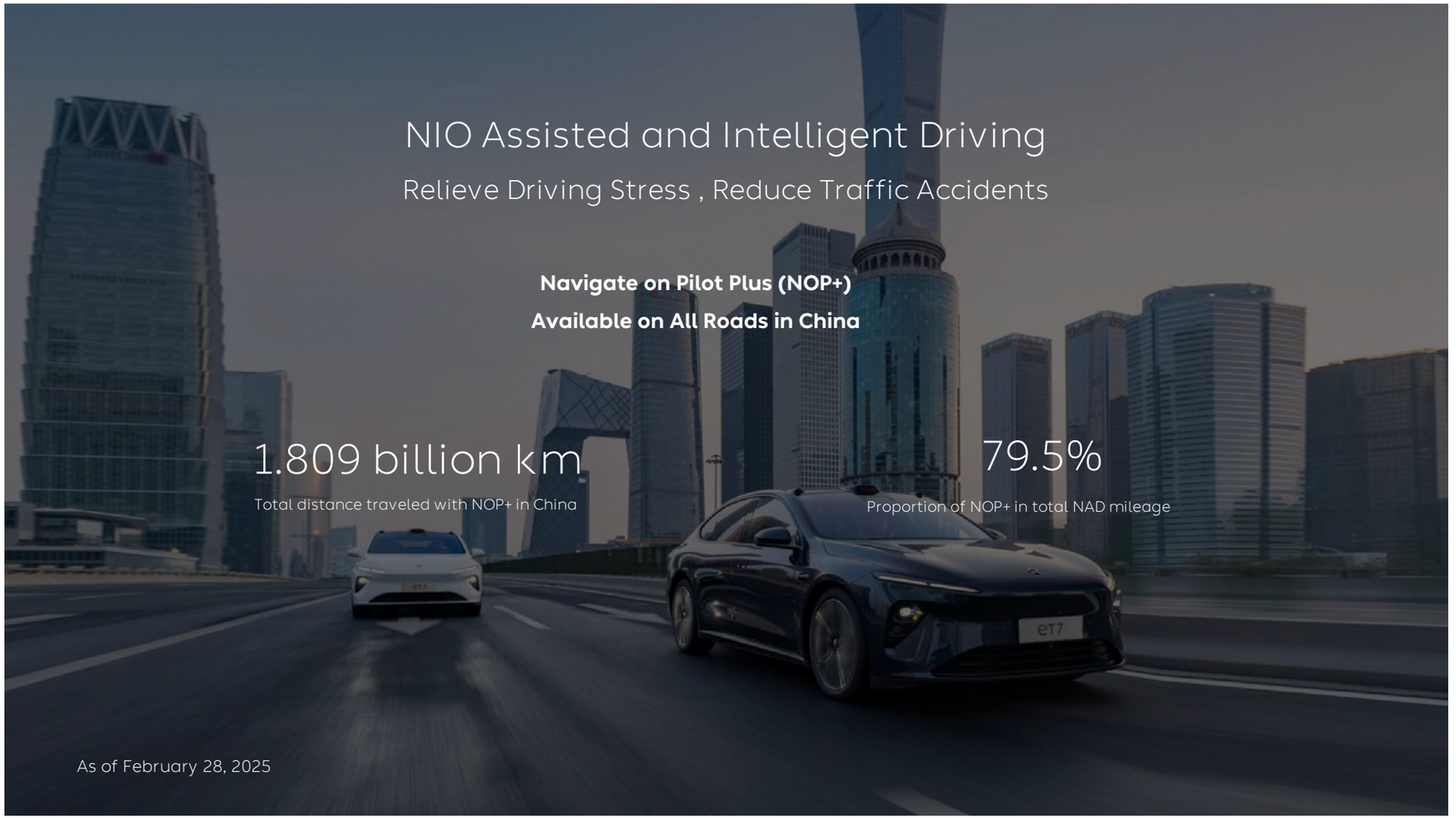
# NIO Assisted and Intelligent Driving (NAD)

NIO is always committed to the vision of “Relieve Driving Stress, Reduce Traffic Accidents” in its smart driving technology. It continuously invests in R&D to enhance key user-centric areas such as safe driving, hassle-free parking, and driving assist. In April 2024, NIO released the Navigate on Pilot Plus (NOP+) function for vehicles on the NT2 platform. Staring with availability in 726 cities in China, NOP+ achieved nationwide coverage in China in the second half of 2024, making it the first smart driving system in China with cumulative mileage surpassing 1.5 billion kilometers. For details on active safety, refer to “3.2.1 Driving and Riding Safety” in this Report.

**NIO’s vision for assisted and intelligent driving:**

By 2025,

NAD will account for 80% of all journeys and be 10 times safer than human driving



During the reporting period, NIO continued to upgrade its smart driving architecture, and pursued in-house chip development, making smart driving experience easier, safer, and more reliable. In addition, in June 2024, NIO was selected as one of China's first national pilot enterprises for intelligent connected vehicle access and road testing, laying a solid foundation for the subsequent mass production and application of advanced smart driving products. As NIO expands globally, our assisted and intelligent driving business gradually expands from the European market to the UAE, Azerbaijan and Israel, where mass production of the function has been realized to serve more users worldwide.

### NIO WorldModel (NWM)

NIO has launched China's first world model for smart driving, NIO WorldModel (NWM), a multivariate autoregressive generative model that can fully understand information, generate new scenarios, and predict possible occurrences. By simulating human perception and decision-making, the model enables smart driving systems to predict and adapt to dynamic environments.

### NADArch 2.0

NIO has updated the assisted and intelligent driving technology architecture, NADArch2.0, and upgraded the algorithms to the proprietary end-to-end architecture NWM. With the updates, raw sensor data directly instructs driving decisions with intact information and accurate predictions. It realizes more precise predictions and more human-like driving experiences.

### NX9031

The tape-out of NIO's first in-house developed smart driving chip, NX9031, was successfully completed. The chip has the performance of four flagship chips in the industry, representing a major breakthrough in smart driving chip technology.

## Smart Parking Assist

Leveraging extensive real-world parking scenarios, NIO has developed Smart Parking Assist with human-like decision-making, realizing easier parking, and more convenient entry and exit.

### Shiftless Automatic Parking Assist With Fusion (SAPA With Fusion)

Enables hassle-free parking in various parking scenarios, including ultra-narrow spaces.

### Remote Parking Assist (RPA)

Allows users to remotely park and retrieve the vehicle via NIO app.

### Valet Power Swap

Enables fully automated battery swaps without user intervention. For details, see "NIO Power: Smart Services for Worry-Free Trips."

## 3.1.2

# Smart System

As the world's first carmaker to implement Firmware Over-the-Air (FOTA) updates on vehicles at a large scale using proprietary technology, NIO can remotely upgrade vehicle systems such as power, handling, driving, and driving assist, and thereby continuously improving the vehicle functionality and delivering a joyful user experience where the vehicle is always up to date. During the reporting period, NIO released 23 FOTA updates globally across its three smart systems of Aspen, Alder, Banyan and Coconut, introducing 482 new features and 250 optimizations.

## Banyan 3: A Brand New AI-Powered Smart System

Banyan 3, NIO's latest smart system, is built on fundamental AI capabilities. It integrates the latest AI algorithms and smart hardware, featuring intelligent chassis and smart cabin applications, thus bringing users an evolving, personalized, and AI-enabled cabin experience.

### 4D Smart Suspension

Based on the AI-powered intelligent chassis, the function can be activated without navigation. It introduces the concept of "Bumpiness Score," which visualizes the road surface conditions and vehicle motions. Besides, this feature greatly improves the experience of daily commutes and rides on familiar roads.

### Rear Comfort Mode

NIO has released the "Rear Comfort Mode" for the second row. By optimizing power output, suspension filtration, and energy recovery, the mode significantly reduces motion sickness for rear occupants.

### AI-Powered NOMI

NIO has developed NOMI Intelligence by re-constructing NOMI's cognition and capability of solving complex tasks with large language models. It's now featuring six core agents, including NOMI Parking Assistant, NOMI Guardian, NOMI Car Keeper, NOMI Discovery, NOMI DJ, and NOMI Travel, providing dedicated interaction and companionship to users.

### NIO Link

NIO has comprehensively upgraded the NIO Link connectivity. Equipped on the all-new NIO Phone, it allows users to control their vehicles directly via their phones, and supports access to a wide range of popular applications. As a result, it makes users' recreational and working experience in the vehicle more convenient.

## 3.1.3

# R&D of Powertrain

NIO makes tireless efforts in driving automotive electrification. Since the establishment, NIO has been committed to the independent design, development, and manufacturing of electric drive systems. Over four generations of continuous innovation and iterations, NIO has established three factories and 11 production lines, with full-stack R&D capabilities and industrialization operations. NIO's Electric Drive System (EDS) development has been certified with the ISO 26262 Functional Safety Management Process, indicating that NIO has a product development process and development capabilities that comply with ISO 26262 ASIL D—the highest level of functional safety in automotive engineering.

On March 27, 2024, NIO celebrated the production of its 1,000,000th EDS, the Thunder 900V EDS, marking a significant milestone in NIO's EDS R&D. Meanwhile, NIO's 900V High Voltage Architecture System was recognized and endorsed by the 2024 Science and Technology Innovation Plan of Anhui Province. The project aims to create a 900V high-voltage architecture system across all domains to achieve more efficient power transmission and faster charging for BEVs. During the reporting period, the highly integrated next-generation high-performance intelligent electric drive system of NIO EC6 won "the Third World Top 10 Electric Drive Systems," demonstrating NIO's industry-leading R&D capabilities in the field of electric drive technology.

NIO's one millionth EDS, the Thunder 900V EDS, rolled off the production line

NIO EC6 EDS won the "Third World Top 10 Electric Drive Systems"

In terms of battery R&D, NIO has possessed full-stack R&D capabilities in material synthesis, cell trial production, system integration, and validation and testing. By the end of the reporting period, NIO's battery R&D lab featured six technical labs, including advanced materials and physical-chemical testing labs, 3,234 cell testing chahnels, and over 80 types of high-precision testing equipment for materials' physico-chemical properties, which not only demonstrates NIO's leading technical capabilities among Chinese automakers, but also represents the most comprehensive R&D and testing competence in the industry. We develop battery products with high standards and strict specifications, and continue to invest in material systems, structural innovations, and integrated designs for battery research and development. During the reporting period, NIO developed a total of 249 patents regarding battery systems and was granted 234 patents.

Meanwhile, through innovative material design, we effectively increase the lifespan of the battery system by 20%, leading the industry. Combined with NIO's extensive Power Swap network, we have developed and released the industry's first automatic adaptive model of battery lifecycle maintenance. The model automatically runs targeted algorithms for each battery to maintain its health and extend its lifespan, so as to provide users with better EV experience throughout the product lifecycle.

### R&D Based on Battery's Intrinsic Properties to Slow Down Battery Degradation

The NIO Battery Team has prolonged the life of battery cells through a number of technological innovations. For cathode materials, multi-element molecular-level optimization has enhanced structural stability by 22% and reduced metal dissolution rate by 43%, substantially improving cell's cycling durability and calendar life. For anode, the advanced mesoporous architecture and nanoscale coatings have increased graphite homogeneity and compactness by 50%, with controlled porosity from 0.19% to 3.35% to mitigate capacity fade. For electrolyte system, implementation of a novel dual-salt formulation with proprietary HPSE (High-entropy, Low-resistance, Superionic Electrolyte) has achieved optimal balance between safety, fast charging and long cycle life of the electrochemical system.

With extensive expertise in battery technology and development, NIO has accumulated comprehensive corporate standards, and actively contributed to shaping national, industry, group and local standards to enhance the quality of battery products and promote the industrial progress in technology. During the reporting period, among standards NIO had contributed to, one national standard and four industry standards were released.

## 3.1.4

# Intellectual Property Protection

NIO strictly complies with intellectual property laws, regulations, and standards in the countries and regions where we operate, and has obtained the GB/T 29490 Enterprise Intellectual Property Compliance Management System Certification. To maintain its technological innovation and competitive advantages, NIO has established comprehensive processes and policies for patent application and maintenance, patent risk management, incentives for job-related inventions, and trademark management.

By the end of the reporting period,

NIO held a total of **9,815** granted and pending patents across China,

Europe, the United States, and other jurisdictions,

including **5,693** granted patents and **4,122** pending applications.

Furthermore, NIO owned **6,296** registered trademarks,

and had **1,371** applications.

To foster R&D and innovation, we have established the "NIO Intellectual Property Innovation Award" along with cash rewards for job-related inventions, recognizing significant technological advancements and creative contributions, as well as outstanding inventors and designers. During the reporting period, around 3,500 employees received cash rewards for job-related inventions. Additionally, NIO provided comprehensive intellectual property training for new hires, R&D staff, and supply chain managers. The training covered patents, trademarks, copyrights, and trade secrets, aiming to enhance employees' awareness of intellectual property.

NIO respects the intellectual property rights of third parties and strengthens management in product development and procurement. We collaborate with partners to identify and mitigate patent infringement risks, preventing violations. If any intellectual property infringement risks are identified, NIO will immediately take measures, such as discontinuing usage or modifying designs. In cases where NIO's intellectual property rights are illegally infringed, we have set up a proactive monitoring mechanism and will take appropriate actions, including sending warning letters, filing complaints on online platforms, reporting for administrative investigation and penalties, and pursuing civil or criminal lawsuits. This approach ensures that infringements can be stopped and handled in a timely and effective manner. During the reporting period, in a trademark infringement case, NIO's vehicle logo was recognized by the court as a well-known trademark for protection. The court ruled in NIO's favor, ordering the defendant to immediately cease the infringement and bear corresponding economic compensation liabilities. This case effectively safeguarded NIO's intellectual property and reinforced brand awareness.

Anhui Province Design Gold Award

Anhui Province Patent Silver Award

Leveraging our outstanding technological innovation capabilities, during the reporting period, NIO won two provincial and ministerial awards: the Second Prize of Anhui Provincial Science and Technology Progress Award and the Second Prize of Science and Technology Progress Award of the China Society of Automotive Engineers. Additionally, as one of the participants, we won two more provincial and ministerial awards: the Special Prize of Science and Technology Progress Award of the China Society of Automotive Engineers and the Second Prize of Science and Technology Progress Award of the China Electrotechnical Society. Furthermore, NIO won two industry organization awards: the Typical Case of Find Intelligent Technology Innovation Application and the Second Prize of the Collection of Future City in Xiong'an Series Competition - Xiong'an Intelligent Connected Charging Technology Application Contest.

The Special Prize of Science and Technology Progress Award of the China Society of Automotive Engineers
*Key Technologies and Applications of C-V2X Intelligent Connected Driving Systems*

The Second Prize of Science and Technology Progress Award of the China Electrotechnical Society
*Key Technologies and Industrial Application of High-Performance Electric Drive System and Their Materials for New Energy Vehicles*

The Second Prize of Anhui Provincial Science and Technology Progress Award
*R&D and Industrialization of Key Technologies for High-Quality Vehicle Platforms Targeting Premium Smart Electric Vehicles*

The Second Prize of Science and Technology Progress Award of the China Society of Automotive Engineers
*R&D and Industrialization of Key Technologies for Vehicle Platforms of Premium Smart Electric Vehicles*

The Second Prize of the Collection of Future City in Xiong'an Series Competition - Xiong'an Intelligent Connected Charging Technology Application Contest
*NIO Power's Integrated Energy Solution for Multi-Network Fusion of "Vehicle-Charger-Station-Cloud"*

The Typical Case of Find Intelligent Technology Innovation Application
*NIO's Vehicle Operating System (NVOS)*

# 3.2

# Product Quality and Safety

NIO is committed to continuous improvement in product quality and safety, ensuring an exceptional driving experience. In the era of smart electric vehicles, safety transcends mechanical and passive protection, and embraces proactive and intelligent assistance. NIO provides users with all-round safety assurance across all scenarios, striving to enhance safety in every aspect. Meanwhile, with the goal of setting a global quality benchmark, NIO has established a full-scope quality management system to create the user-centric All-Time Quality system, fully dedicated to delivering safe and high-quality products to users.

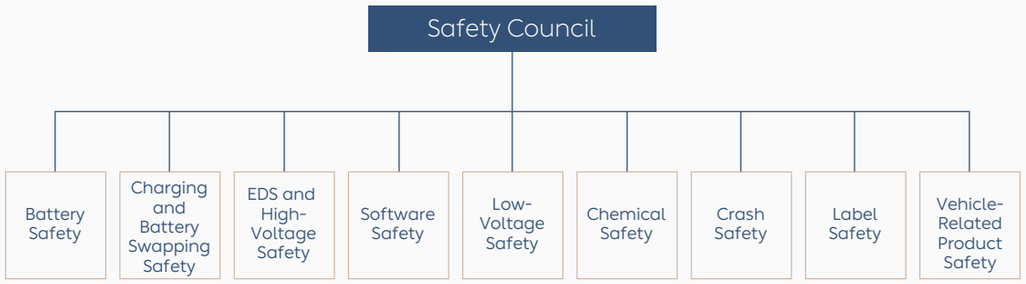
## 3.2.1

## Driving and Riding Safety

### Safety Management Framework

To comprehensively manage product safety, NIO has set up a Safety Council and nine working groups targeting different safety elements, including battery safety, crash safety, and high-voltage safety, covering various aspects of product safety, such as active safety, passive safety, and health and safety. The Safety Council has implemented a lifecycle safety management mechanism. This mechanism covers the entire process from prevention, early warning to emergency response, product safety risk assessment, and investigation and improvement. This helps us prevent, control, and respond to safety incidents in a timely manner.

Structure of NIO Safety Council




During the reporting period, we conducted a systematic self-inspection on product quality and safety, and carried out systematic self-inspections and capacity enhancements in six aspects, including safety management mechanisms, to comprehensively enhance our multi-dimensional safety assurance.

**Improve Safety Management Mechanisms**

Improvement of safety management organizations and provision of safety education and training

**Ensure Product Quality and Safety**

Product safety design, supply chain management, production quality control, and power battery safety standards

**Enhance the Efficiency of Monitoring Platforms**

Monitoring of operational safety of automotive products, data analysis and mining, and identification of potential vehicle hazards

**Optimize After-Sales Service Capabilities**

Establishment of aftersales service networks, provision of maintenance services, and guidance for users on the rational use of vehicles

**Strengthen Accident Response and Handling**

Emergency response services, accident investigation and analysis, problem analysis and correction, and fulfillment of legal recall obligations

**Perfect the Network Security Assurance System**

Cybersecurity protection, data security protection, and personal information security protection

## Safe Products

NIO develops all its products in line in accordance with the safety regulations of target markets, ensuring compliance with standards such as the China New Car Assessment Program (C-NCAP), the European New Car Assessment Program (Euro NCAP), and the China Insurance Automotive Safety Index (C-IASI) requirements. Meanwhile, we consistently set new safety records based on various safety standards in China and worldwide, and go beyond the existing requirements and regulations to design additional protection for scenarios not covered by these standards. During the reporting period, the ONVO L60 received the five-star safety certification from the C-NCAP, becoming the first battery electric vehicle model to achieve this rating under the C-NCAP's 2024 protocols. Additionally, NIO was awarded the "Excellent Application Award for Automotive Safety Product" by China Automotive Engineering Research Institute Co., Ltd.

The safety ratings of NIO models by the end of the reporting period are as follows:

| | C-IASI | C-NCAP | Euro NCAP |
|---|---|---|---|
| NIO ES8 (EL8) | / | ★★★★★ 2019 | ★★★★★ 2021 |
| NO EL7 (ES7) | / | / | ★★★★★ 2023 |
| NIO EL6 (ES6) | / | / | ★★★★★ 2024 |
| NIO EC6 | Highest safety rating of the year 2020 | / | / |
| NIO ET7 | / | ★★★★★ 2022 | ★★★★★ 2022 |
| NIO ET5 | Highest safety rating of the year 2022 | / | ★★★★★ 2023 |
| NIO ET5T | / | / | ★★★★★ 2023 |
| ONVO L60 | / | ★★★★★ 2024 | / |

## NIO ET9— A Safe Executive Flagship Model

### Passive Safety Beyond Five Stars

Adopting an aerodynamic body design and high-strength materials, the ET9 boasts a torsional stiffness of 52,600 N·m/deg. The crash test performance exceeds both Chinese and European five-star standards, and meets the stringent US safety requirements. Additionally, the ET9 is equipped with nine airbags as standard, including the side curtain airbags offering class-leading coverage.

### Tire Burst Mitigation

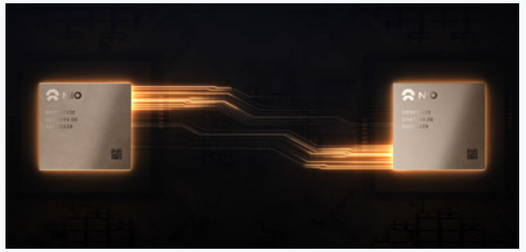
Leveraging advanced technologies such as the SkyRide Drive-by-Wire Chassis and a sophisticated digital architecture, the ET9 can maintain stability and control during a high-speed tire blowout. This not only safeguards the occupants and property safety but also reduces the risk of secondary accidents due to the vehicle's uncontrolled swaying.

### Intelligent Collision Mitigation

When the smart driving perception system detects that a collision is unavoidable, it can raise the vehicle by 50 millimeters within 0.7 s, ensuring that the vehicle's sturdy components such as the bumper beam and sill beam absorb the impact, thereby reducing the intrusion into the cabin and better protecting the occupants.

### Pioneering Seven Safety Redundancies

With the introduction of redundancy into the automotive products, including drive, braking, steering, perception, computing, communication, and power distribution systems, the safety, security, and reliability in the event of primary system failure are significantly enhanced through backup systems.



## NIO ET5 Rated AGGG Under the C-IASI Protocols 2020

In April 2023, NIO ET5 received the highest safety rating from C-IASI 2023 with the "Good" rating in all test items. In May 2024, the Summary Meeting of the C-IASI Protocols 2020 was held in Beijing. Since 2016, evaluations have been conducted on the C-IASI Protocols 2017 and 2020, and the Protocols 2023 would be implemented in 2024. NIO ET5 was rated "AGGG" under the C-IASI Protocols 2020 in the Summary Meeting.

## NIO ES6 Awarded the 2024 C-EVFI Five-Star Safety Certification and the Annual Safe Model

During the reporting period, China Merchants Testing Vehicle Technology Research Institute Co., Ltd. released the latest evaluation results of the China Electric Vehicle Fire Safety Index (C-EVFI). NIO ES6 was awarded the five-star safety certification and the 2024 safe model. The C-EVFI is one of the first third-party evaluation protocols in China for thermal runaway of vehicles, covering four parts: safety reminders, emergency rescue, fire protection, and data connection. Focusing on the safety of drivers and passengers, it objectively evaluates the fire safety performance of electric vehicles.

During the test, triggered by nail penetration, the ES6's battery cell had a thermal runaway, and the alarm inside and outside the vehicle was immediately activated. NOMI voiced evacuation prompts, while the hazard lights and the horn were activated. The door handles popped open, and doors automatically uNIOcked. Within one minute, the backend contacted the car owner to confirm their status and remind them to evacuate. After the thermal runaway, the temperature and smoke concentration inside the cabin were far below the safety limits. Monitoring during the two hours and the subsequent 24 hours after the thermal runaway showed no abnormalities or thermal propagation. All performance indicators met the highest safety standards.

## Active Safety

Active safety technologies are designed to prevent accidents and help mitigate risks, thus enhancing driving safety. With advanced hardware capabilities, pioneering architecture, and continuous and in-depth optimization of proprietary algorithms, NIO continues to advance its active safety features, and introduced NIO Smart Safety during the reporting period. With multiple industry-leading active safety features, NIO provides users with comprehensive safety guarantees across all speeds, directions, and scenarios. Additionally, as an industry first, NIO has achieved a groundbreaking authoritative certification from the insurance sector for reducing accident-related safety losses. This significantly enhances driving safety and minimizes accident-related losses for users.

### General Objects Warning and Assist (GOA)

During the reporting period, NIO introduced and continuously iterated its industry-leading, in-house-developed GOA. With this feature, the vehicles can detect more than 30 common non-standard objects, both front and rear, such as traffic cones, water barriers, and falling rocks, and respond by warning the driver and applying brakes. As a result, NIO has become the first automaker in the industry to offer active braking for non-standard objects in all directions.

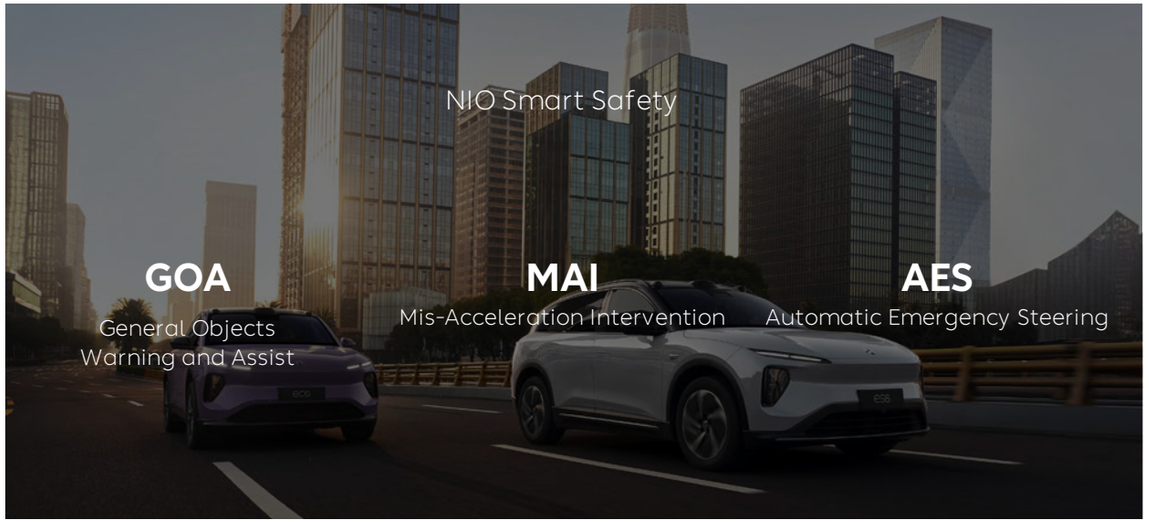
Since the delivery of this feature, by the end of the reporting period,

accidents caused by non-standard objects had decreased by 5.8%.

By avoiding and mitigating collisions, the overall compensation paid by NIO users in the accidents related to non-standard objects had reduced by 23.5%.

### Mis-Acceleration Intervention for All Scenarios (MAI)

As the first Chinese automaker to release MAI, during the reporting period, NIO continued to expand its capabilities, including reverse driving and mis-acceleration intervention in scenarios where non-standard obstacles are detected both in front of or behind the vehicle. This made NIO the first automaker to offer users all-directional, all-scenario MAI. During the reporting period, MAI successfully prevented over 2,000 potential accidental mis-accelerations.

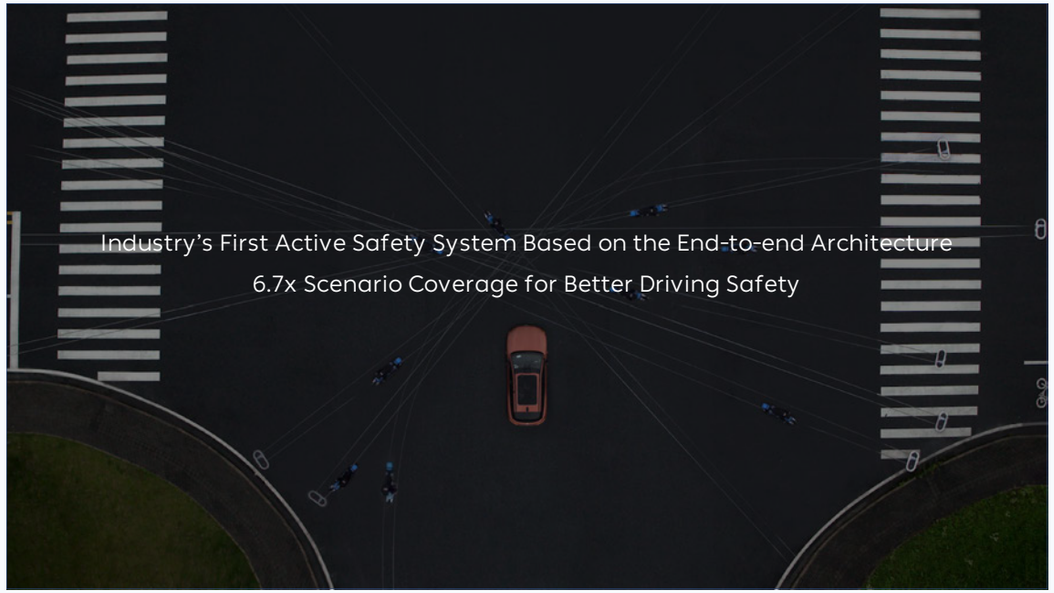



### Automatic Emergency Steering (AES)

NIO's Automatic Emergency Steering is the industry's first AES capable of responding to pedestrians, non-motorized vehicles, and multi-vehicle collisions. For instance, when there is an obstacle ahead and a rear-end collision is imminent, AES triggers and performs an emergency steering maneuver to avoid the risk. Operating within a speed range of 60-150 km/h, AES had the industry's broadest speed coverage by the end of the reporting period. This feature enables active risk avoidance at medium to high speeds.

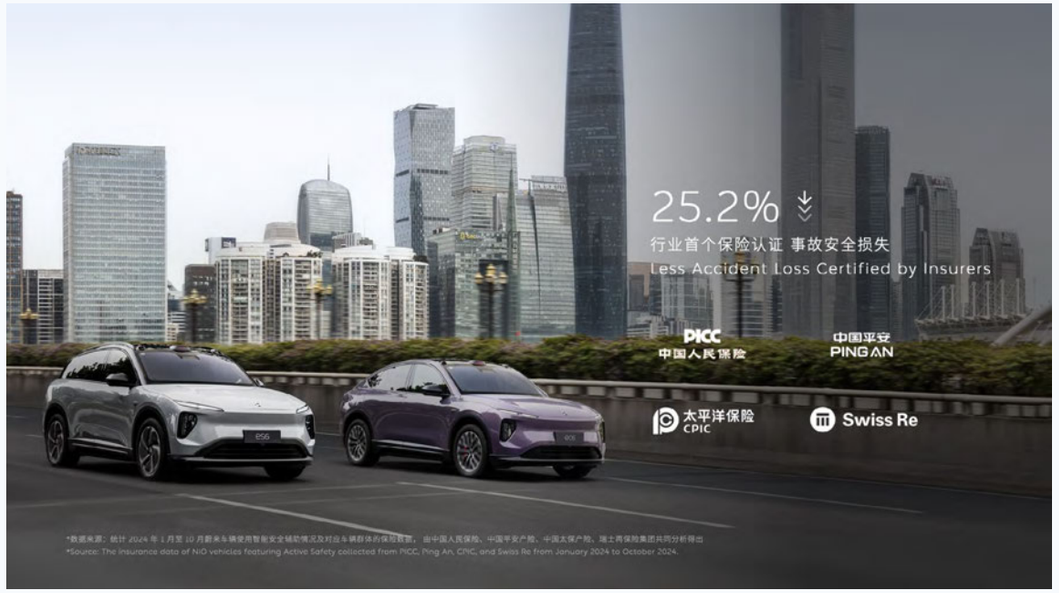
## The Industry's First Active Safety Based on End-To-End Architecture

NIO is the industry's first car company to apply AI large models to Automatic Emergency Braking (AEB). Focusing on jaywalking of non-motorized vehicles and leveraging the end-to-end architecture, AEB has analyzed and learned from two billion kilometers of high-quality exemplary avoidance from human driving. This approach significantly enhances the early warning and braking responses in various urban scenarios, such as non-motorized vehicles crossing directly, diagonally from the front, diagonally from the rear, and making wide turns at intersections. As a result, a 240° forward defense zone has been established to protect users and non-motorized vehicles. Actual data shows that after the upgrade, the system can avoid over 100,000 potential risks on average each month, resulting in a year-on-year reduction of total accidents by over 10%. Additionally, serious injuries involving vulnerable road users have decreased by 55%.




## NIO Smart Safety Certified by Insurance Companies

During the reporting period, certified by four insurance companies—People's Insurance Company of China, Ping An Insurance Company of China, China Pacific Insurance Company, and Swiss Re, NIO Smart Safety demonstrated a 25.2% reduction in safety-related accident costs. NIO Smart Safety has thus become the industry's first insurer-certified active safety solution that substantially enhances safety while reducing accident-related losses, fulfilling NIO's smart driving objective of "Reduce Accidents, Lower Claims."



## Passive Safety

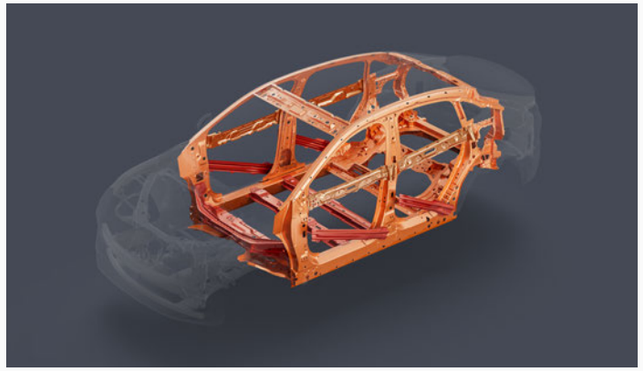
The passive safety system is a crucial line of defense, ensuring the overall safety of vehicles. When collisions are unavoidable, passive safety plays a vital role in protecting the occupants. NIO makes continuous efforts to strengthen and expand passive safety features, providing comprehensive protection for all users.

### Passive Safety Features of ONVO L60

As a product designed for family users, ONVO L60 takes active safety as its cornerstone. Boasting a sturdy, lightweight and flexible body, and a comprehensive and robust airbag system, ONVO L60 has passed safety tests exceeding the industry's standards, achieving a safe and reassuring journey for users.

#### Steel-Aluminum Hybrid Dual-Compartment Body

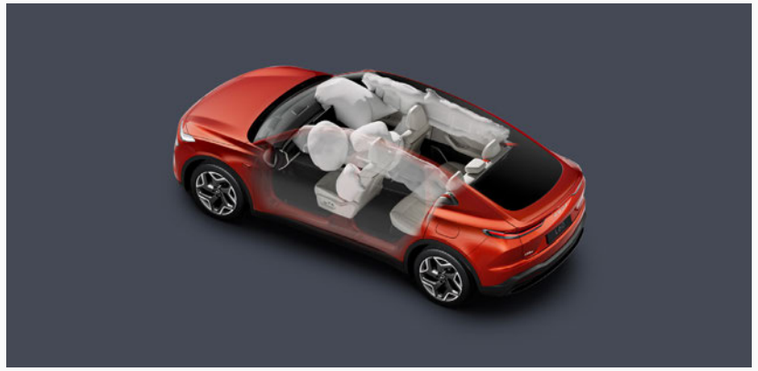
The steel-aluminum hybrid dual-compartment body of the ONVO L60 utilizes a blend of over 86% high-strength steel and aluminum alloy, with more than 25% being ultra-high-strength steel. Additionally, 2,000 MPa submarine-grade steel is applied in seven key areas such as the body crossmembers, door impact beams, and firewall crossmembers, providing reliable protection for occupants and core chassis components.



#### Comprehensive and Robust Airbag System

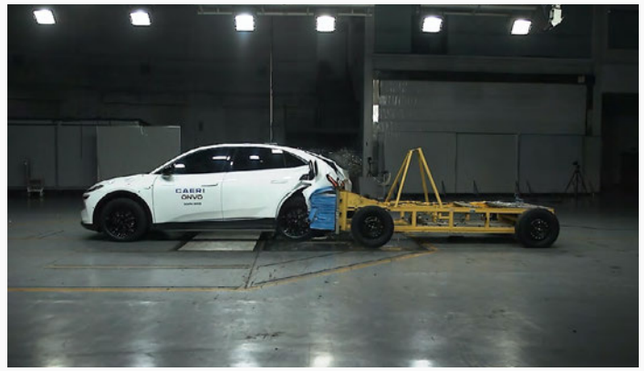
The ONVO L60 is equipped with seven airbags as standard, providing comprehensive protection for occupants.

- Front passenger airbag: A 120 L dual-ear large airbag to effectively mitigate frontal injuries.
- Far-side airbag: A 43 L large dual-chamber far-side airbag to prevent collisions between the driver and front passenger.
- Side airbag: A 21 L extra-large side airbag with a large surface area to offer better protection against side impacts.
- Side curtain airbag: A 2,072 mm ultra-long side curtain airbag with a six-second extended pressure retention to effectively protect occupants of different body types.



#### 59 Safety Tests Exceeding Industry Standards

The ONVO L60 has been developed and tested according to the development standards that meet both Chinese and European five-star safety standards, along with 59 safety test criteria exceeding industry standards, for example, the 70% overlap rear-end collision at 90 km/h, where the energy intensity is four times that of the national standard. The ONVO L60 has consistently demonstrated outstanding safety performance under these rigorous safety tests.



## Safety Redundancy

NIO has introduced the concept of redundancy into the automotive sector. As a result, the safety and reliability in the event of primary system failure are significantly enhanced through backup systems. For NIO ET9, we have pioneered a seven-dimensional safety redundancy system that covers every aspect of driving, ensuring that the vehicle can still function safely under extreme conditions.

### Pioneering Seven Safety Redundancies

#### EDS

The dual electric drive systems significantly reduce power loss, improving drive safety and reliability by 50 times compared to a single electric drive system.

#### Braking

The braking system incorporates backup units, improving braking reliability by 513 times. This allows immediate takeover of vehicle control to ensure deceleration to a safe stop.

#### Steering

SkyRide Steer-by-Wire system features a full redundancy design, improving reliability by 2.2 times compared to traditional Electric Power Steering (EPS) systems.

#### Sensing

AQUILA 2.0 significantly improves active safety and the reliability of intelligent driving through triple-layer sensing redundancy and dual-layer vision perception redundancy.

#### Computing

Equipped with two NX9031 chips, the vehicle completes millisecond-level system switching, ensuring safe intelligent driving.

#### Communication

Through Gigabit Ring Ethernet, ET9's communication reliability is improved by 30 times.

#### Power Distribution

ET9 employs dual-path power supply, improving reliability by at least 50 times.

## Health and Safety

With a keen focus on every detail of health and safety within the cabin, NIO integrates health-oriented features into vehicles from the product definition and development stages, dedicated to creating a healthy, fresh, and skin-friendly cabin with both “passive health” and “active health.” During the reporting period, the NIO ES7 (EL7 in Europe) received the five-star certification from the China Automobile Health Index (C-AHI) for its outstanding performance, achieving full marks in the sub-categories of “comprehensive pollution index” and “vehicle particulate matter barrier.”

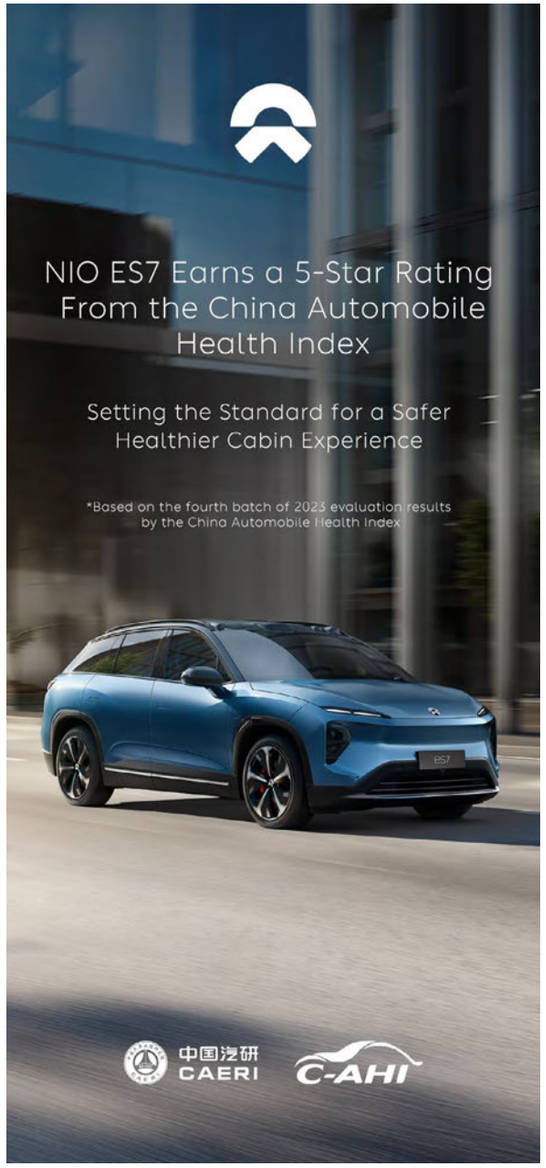
**Passive Health**

Healthy materials: In the selection of interior materials, we adhere to a rigorous approach, utilizing high-quality eco-friendly materials such as Haptex and Clean+ sustainable fabrics. Having obtained OEKO-TEX® certification, these materials are baby-safe, skin-friendly, and non-allergenic.

Vehicle antibacterial measures: ONVO L60 uses antibacterial agents certified by the EU BPR Regulation, ensuring that they are harmless to human body while providing antibacterial protection.

**Active Health**

Smart defense lines for air quality: The first line of defense features an exterior Air Quality Sensor (AQS) and an interior PM2.5 sensor. The second line is antibacterial and anti-allergenic activated carbon to ensure efficient particulate matter filtration. The third line comprises an antibacterial, mold-resistant, and low-odor air conditioning unit. Together, the three lines comprehensively safeguard user health.



## Battery Safety

Battery safety is the lifeline of new energy vehicle development. To achieve it, we have set up a cross-functional battery safety team, which implements full lifecycle management of batteries from product development, supply chain management, charging and swapping operations, user services, monitoring and emergency response, incident investigation, improvement plan, to battery decommissioning.

### R&D of Battery Safety

Guided by the goal of "zero-accident battery," NIO has defined stringent standards and control plans in development at all levels from materials, cells, to systems, ensuring design conformity and full traceability across all stages. In terms of battery structure, we have optimized the safety architecture for battery cells and packs. With high-strength materials and designs to prevent thermal runaway, battery safety is enhanced in the face of collisions and under extreme conditions.

Rooted in design requirements for mechanical safety, electrical safety, thermal safety, and a robust environment, we have conducted rigorous safety validation at material, cell, and pack levels based on our battery swapping ecosystem. These tests comprehensively cover attributes, scenarios and adopt strict standards. On top of the 22 GB safety tests for battery cells and packs, we have pushed the boundary to expand test conditions and increase test intensity by conducting over 90 additional safety validation items. For example, at the cell level, we have introduced accelerating rate calorimeter (ARC) tests and nail penetration tests. At the pack level, we have carried out mechanical vibration and impact tests with higher standards, as well as industry-leading battery bottom collision tests. The efforts in tests, together with product development endeavors, continuously enhance our battery safety.

Furthermore, NIO has established the intelligent Battery Management System (BMS) and Battery Application Management & Battery Optimized Operation (BAMBOO) system. In development, we utilize forward experiments to identify potential safety risks, and design safety monitoring algorithms to cover more than 400 potential failure modes across five major categories, encompassing all failure scenarios for both NCM and LFP batteries, securing battery safety from the very beginning.

### Battery Industrialization Management

Excellent battery design relies on stable industrialization in the supply chain. NIO adopts multi-module systematic management of battery packs, cells, machinery, electronics, and electrical components for its battery partners, identifying and controlling the industrialization process in an all-round way, from the industrialization requirements to OK2X (OK to X) tools for production line acceptance inspection and intelligent supply chain monitoring, to ensure an uninterrupted and stable industrialization and manufacturing process and guarantee the safety of the batteries.

| | |
|---|---|
| Statement of Requirements (SORs) for the Industrialization of Battery Partners | In accordance with the characteristics of battery products' industrialization process, NIO has formulated a total of more than 30 SORs for battery packs, cells, machinery, electrical and electronic parts, as well as raw materials of cells. These SORs are designed to direct the industrialization of battery partners across diverse material groups, ensuring that production lines are inherently aligned with green manufacturing principles and comprehensive battery safety standards from the initial design phase. |
| Production Line Acceptance Inspection | NIO participates in the acceptance inspection of the battery production lines of partners, using the OK2X tool to identify risks and review the design, installation, commissioning, and launch of production lines, so as to ensure compliance with design requirements, stable production, and battery quality. |
| Intelligent Supply Chain | A stable manufacturing process guarantees battery quality and safety. NIO's intelligent supply chain monitors nearly 200 parameters of the battery manufacturing process and pushes the results to the relevant NIO teams, so that NIO can stay updated and react agilely to protect the quality of the battery. |

### Battery Safety Operation

NIO's new batteries are 100% connected to the monitoring platform upon delivery, with which the battery status is reported in real time, ensuring early warning of potential hazards and problems followed by 100% timely response and handling. NIO actively cooperates with the national monitoring and management regulations of new energy vehicles, with 100% response to Level 3 alarms and release of incident response reports.

Meanwhile, NIO has also established a battery early warning and monitoring system with quality closed-loops. Driven by data and algorithms, the system relies on NIO's self-developed platform to achieve danger early warning, failure diagnosis, and root cause analysis. Leveraging its capabilities in manufacturing and characterization across multiple levels—from materials and cells to battery packs, NIO has developed a comprehensive BMS algorithm library that spans from microscopic material characteristics to macroscopic battery pack performance. By utilizing the industry-leading vehicle-cloud collaborative BMS architecture, NIO can precisely identify and actively regulate battery status, further enhancing battery safety, optimizing energy efficiency management, and extending battery life.

In addition, NIO has developed the NIO Control Tower (NCT) with a three-level battery emergency response system, coordinating the headquarters and regional companies to respond to and handle incidents in a timely manner. Once a battery early warning is triggered, a series of actions including voice call, chat group creation, user care, and onsite management arrangements will be completed within 30 seconds. More than 95% of cases in the core areas are handled by teams on-site within 30 minutes.

3.2.2

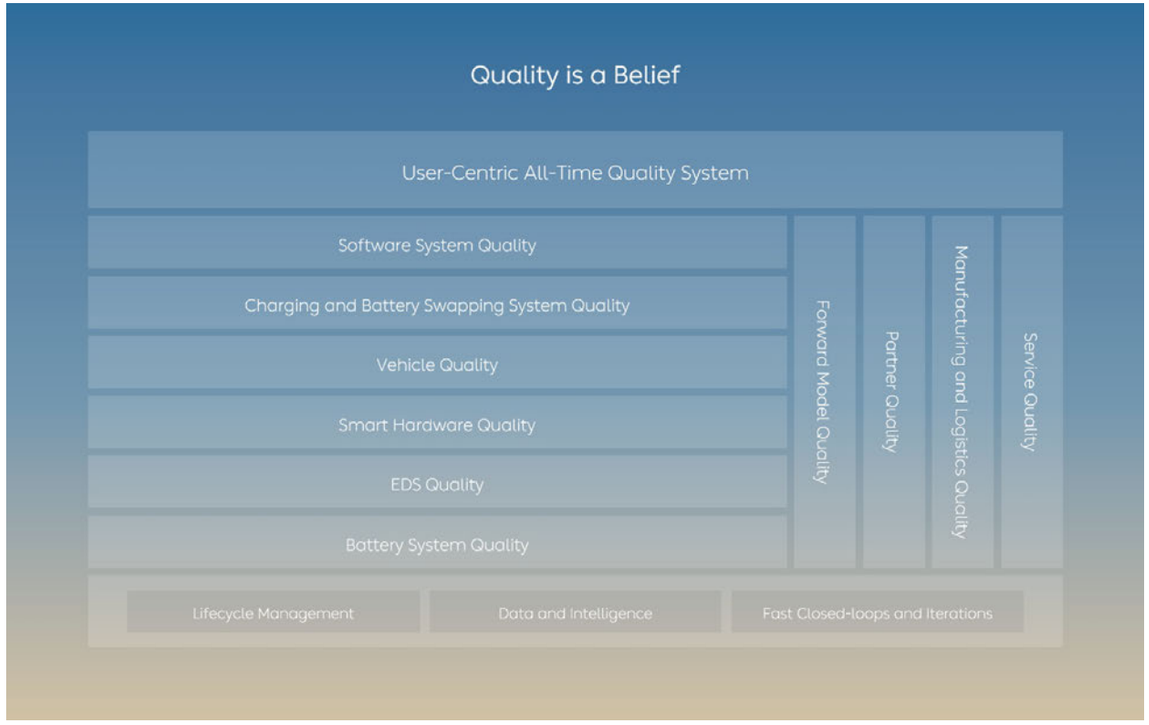
# Product Quality

At NIO, quality is a belief. Strictly adhering to laws and regulations such as the *Product Quality Law of the People's Republic of China*, we have consistently upheld uncompromising pursuit of quality, dedicated to "building the Company into a global quality benchmark and a user enterprise for a joyful lifestyle." During the reporting period, NIO's quality management and performance were widely recognized, earning numerous quality awards from both domestic and international institutions.

| Vehicle Model | Award | Awarded by |
|---|---|---|
| NIO ES8 | First place in premium BEV segment in the 2024 China New Energy Vehicle Initial Quality Study (NEV-IQS) | J.D. Power |
| NIO ES7 | Recommended Model of China Intelligent Vehicle Index (IVISTA) | IVISTA |
| NIO ES6 | First place in premium BEV segment in the 2024 China New Energy Vehicle—Automotive Performance, Execution and Layout (NEV-APEAL) Study | J.D. Power |
| | First place in premium BEV segment in the 2024 China Automotive Quality Research (AQR) Quality Experience Award (for three consecutive years) | 12365auto.com and Car Research Consulting Beijing Co., Ltd. |
| NIO ET5 | First place in midsize BEV segment in the 2024 China NEV-APEAL Study | J.D. Power |
| | First place in midsize BEV segment in the 2024 China NEV-IQS - Segmented Market | J.D. Power |
| NIO ET5T | First place in midsize BEV segment in the 2024 China NEV User Satisfaction Survey | J.D. Power |
| | First place in midsize BEV segment in the 2024 China NEV-IQS | China Association for Quality |
| ONVO L60 | 10 Best Cars List of the 12th Xuanyuan Award | Auto Business Review and EFS |

## All-Time Quality (ATQ)

NIO is committed to developing the All-Time Quality (ATQ) system that puts users' interests first. Guided by the principles of ATQ, NIO strives to deliver every vehicle in its pristine premium condition to users. With lifecycle management, data, intelligence, fast closed-loops for iterations as core competencies, a series of strategic and systematic quality management activities are carried out for quality control in all domains across the product's full lifecycle. Additionally, we're dedicated to establishing a sustainable relationship with users and partners for mutual benefits and co-creation. We make efforts to comprehensively manage products at every stage from product definition, design, R&D, manufacturing to use, and take efficient improvement actions, ultimately maximizing user satisfaction and creating a global quality benchmark.



## Quality Management System Across All Domains

In the era of smart electric vehicles, users' demands and usage scenarios for vehicles become more diverse, leading to a broader scope for quality management. In this context, NIO has established a quality management system across all domains, which is composed of six major quality modules: software system, charging and battery swapping system, vehicles, smart hardware, electric drive system, and battery system.

### Software System Quality

NIO has established a comprehensive software system quality management framework. Following the core philosophy of prevention, early detection, quick resolution and non-recurrence, this system is deployed accordingly across all stages of the software lifecycle, including software requirement definition, design architecture, development and implementation, testing and validation, OTA updates, and operation monitoring. The aim is to provide users with the latest digital technologies and leading digital experience in the industry with continuous, stable, and high-quality assurance.

#### Case: Inhouse-Developed Quality Supervision Platform for Smart Cabin

NIO has independently developed an industry-leading in-vehicle software testing platform called AutoMaster. NIO has also established a remote test bench laboratory, which covers over 600 test benches and 400,000 scenarios, enabling 24/7 unattended and uninterrupted system and module stability testing. This ensures that the smart cabin system delivered to users can operate robustly and efficiently, bringing users an outstanding experience.

### Charging and Battery Swapping System Quality

NIO's charging and battery swapping system quality covers NIO Power, forward model quality (FMQ), software, and the lifecycle management of battery swap stations and chargers. With the principle of creating zero-defect products and a leading recharging experience, all staff make efforts to do things right for the first time. This ensures horizontal end-to-end quality management of the process from user needs to delivery service, as well as quality management of the vertical value chain from strategy to execution.

#### Case: 24/7 Battery Early Warning and Monitoring System

NIO Power has established a 24/7 battery warning and monitoring system leveraging its inhouse-developed platform and comprehensive regional service capabilities. The system is capable of timely and accurate detection and warning. A voice call, chat group creation, user care, and onsite control arrangement can be completed within 30 seconds, and cases in the core area can be handled within 30 minutes. "Embarking on a journey with a full battery" at anytime and anywhere is backed by this complete set of NIO battery system quality.

### Vehicle Quality

Starting from the interests of users, NIO manages the vehicle quality throughout the product's lifecycle. NIO promotes the vehicle quality management that covers the whole process, from product definition, design, R&D, manufacturing to utilization, making sure each step is fully controlled. NIO also well manages the compliance between vehicle and all domains, including software system, smart hardware, battery and EDS system, and charging and battery swapping system. These efforts ensure the delivery of high-quality vehicle products with full functions to users.

#### Case: NIO Prevention and Early Detection Analysis Platform

NIO has applied the industry-leading Failure Mode and Effects Analysis (FMEA) platform system to bring Design Failure Mode and Effects Analysis (DFMEA) and Process Failure Mode and Effects Analysis (PFMEA) online for all parts and systems in the vehicle development process. This system not only includes the vehicle product itself, but also extends to the battery and electric drive system, smart hardware and software, ensuring comprehensive coverage of all fields. In addition, NIO is exploring the possibility of using AI to connect FMEA and other systems, aiming for closed-loop management of systems, so as to effectively ensure vehicle quality.

### Smart Hardware Ouality

NIO's smart hardware quality is based on the quality management of full-stack inhouse-developed domain controllers. Through the management of product requirements, component acceptance, hardware development, engineering validation, production line testing for contract manufacturing, and hardware health monitoring, NIO puts prevention first and strives to make smart hardware products remain "leading in 3 years, and not obsolete in 5 years." Furthermore, NIO ensures to deliver safe and highly reliable products, strictly controlling the end-to-end lifecycle quality and providing supreme user experience.

#### Case: NIO Smart Hardware Failure Predictive Model

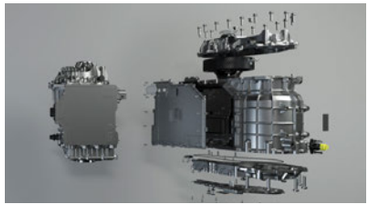
Empowering quality with data and intelligence, NIO focuses on high-complexity domain controllers and has established hardware health models based on multi-dimensional user scenarios of inhouse-developed domain controllers, so that potential risks can be identified and addressed early. By analyzing the operating trend of key hardware parameters, the model provides additional data on working conditions and scenarios, striving to improve the robustness of products. NIO emphasizes failure prevention, and strives to get it right the first time.

### EDS Quality

NIO is committed to lifecycle management of EDS quality, realizing full-stack in-house development and manufacturing from product development, manufacturing, supply to delivery. Focusing on preventive quality management, NIO realizes precise and reliable design. NIO also strengthens supply chain development and operation for transparent supply chain and Model-Based Design (MBD). By developing the EDS & HVS & Battery Data Analysis System, NIO has established a database of key dimensions covering development and mass production, realizing lifecycle monitoring.

#### Case: Smart Supply Chain With EDS Partners

NIO leverages standardized digital EDS solutions to connect partners' data for transparency across planning, warehousing, production, and quality. NIO remotely manages data in the partners' production processes, with the system promptly alerting and sharing inconsistency with partners for agile response and two-way collaboration. Additionally, predictive models are used to monitor product quality, thereby achieving preemptive quality management, reducing costs and waste and improving product quality.

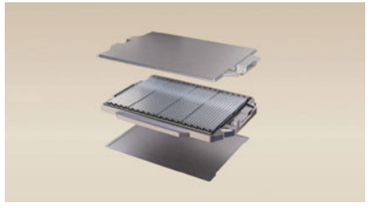


### Battery System Quality

Battery system quality covers battery lifecycle safety and reliability. With the goal of achieving "zero accidents" in safety, a quality assurance system that prioritizes prevention and supplemented with solutions is established, embedded in the whole process from product development, trial production, to validation. Full-stack R&D capabilities are built, the strictest industry standards are adopted, and comprehensive validation across all scenarios and multiple dimensions are conducted. Based on the self-developed cloud-based big data platform, real-time monitoring and early warnings are implemented to ensure battery lifecycle safety and user experience.

#### Case: Battery Safety Rating Model

Based on the battery lifecycle data, a multi-dimensional quantitative characterization of the battery safety status is carried out to identify potential safety failure risks. User profiles are established to accurately assess the current safety and health conditions of all batteries on the market. For batteries with potential risks, customized strategies are issued through the cloud-based BMS and the operation strategy of battery swap stations are adjusted. This not only enhances the battery lifespan but also significantly prevents safety accidents.



## Whole-Process Quality Management System

In addition to managing the quality system "horizontally" across all domains, NIO has also constructed a quality management system "vertically" throughout the entire process from a vehicle's production to its delivery. This system encompasses four key areas: forward model quality, partner quality, manufacturing and logistics quality, and service quality. Considerations, management, and actions for quality must be integrated into every aspect: from forward planning for quality during the design phase, strict control over partners, technologies and processes during manufacturing, to continuously listening to user feedback and optimizing after delivery.

### Forward Model Quality

Forward Model Quality (FMQ) is comprehensive preventive quality management focusing on early product definition, design, engineering development, software development, and process development and control. NIO emphasizes failure prevention, strives to get it right the first time, and creates a failure prevention ecosystem that is capable, self-driven, iterative with shared goals.

Case: Digital Prototype Review

Empowered by VR with ultrahigh-fidelity, NIO creatively conducts perceived quality inspection so as to avoid or eliminate possible negative experiences before the production of the vehicle. The relentless pursuit of beauty and perfection is reflected in every detail of NIO's products.

### Partner Ouality

NIO has established a partner quality management methodology by arranging experts from different functional modules to reengineer and reinvent all aspects of the supply chain, including process systems, industrial processes, equipment automation, Lean Six Sigma, etc. NIO has set up a partner review system called NIO Quality Premium Partner (NQPP) to empower partners and promote the co-creation and reinvention of the supply chain.

Case: The First Mass-Produced Air Spring in China

The development and mass production of automotive air suspension were once dominated by Europe and the US. In order to provide users with better suspension performance, NIO has dived deep into the air spring supply chain, set up a new team with partners in a short period of time, worked on the development of new technologies, built a new factory and the world's first fully automated production line, and helped to grow 15 new Chinese partners of air springs. These efforts finally gave birth to the made-in-China air springs with excellent quality and cost-effectiveness, which pushes forward the development of the entire industrial chain of Chinese air springs.

### Manufacturing and Logistics Quality

Building upon product development, manufacturing development and quality engineering, NIO has established closed-loop management of manufacturing and logistics quality. Empowered by data and intelligence, the inhouse-developed manufacturing quality management platform has integrated the management of issues, change points, and vehicles, and covered the whole process, delivering products in high-quality based on digitization of the 5M key production factors including men, machines, materials, methods and environment.

Case: "Skydetect" - The First Vehicle AI Full-Body Self-Inspection System

NIO has developed the original "Skydetect" AI vehicle self-inspection system, which does not rely on any external equipment or manual labor, but completely relies on the vehicle's own hardware and software capabilities, cloud control and AI algorithms to automatically trigger the vehicle's self-quality inspection. It can automatically detect more than 1,000 vehicle functions in 3 minutes, which is faster and more accurate than manual inspection, and covers a wider range of inspection, so that it can control the quality of the vehicle from the factory in a stricter and higher standard, and make everyone's use of the car safer, more satisfied and more comfortable.

### Service Quality

NIO has leveraged its technical DNA and wide reach to users to establish an outstanding service quality assurance system covering the entire chain including user operations, maintenance and repair, and issue solving. In particular, NIO's Q-Graph, the industry's first knowledge graph centering on quality, and the large language model, Q-GPT, have helped increase the quality improvement efficiency by 50% compared with conventional quality practices.

Case: The World's First In-Vehicle Instant Feedback Mechanism

Users only need to say, "Hi, NOMI. I've spotted an internal and external feedback" and the quality management system will kick off an issue analysis and resolution task with "zero latency" combined with the vehicle's real-time data. On average, the first response is sent to users within 24 hours, and the final conclusion within 48 hours, much better than the industry's average after-sales response time of one week.

# Core Competencies

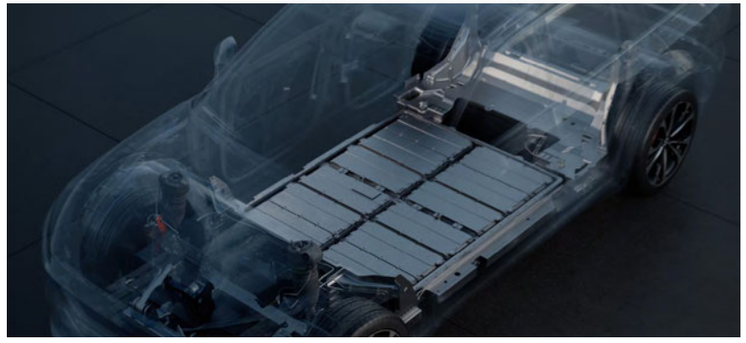
To more efficiently implement quality control across all domains and processes, and ultimately maximize user satisfaction and set a global benchmark in quality, NIO focuses on core capabilities such as lifecycle management, data and intelligence, and fast closed-loops and iterations, continuously improving the ATQ system that puts users' interests first.

## Lifecycle Management

Along the entire product lifecycle, NIO has implemented a series of strategic and systematic quality management activities through quality control in every field and every process. Meanwhile, NIO has established a relationship of mutual benefits and co-development with users and partners. These efforts enable full control and management of products at every stage from definition, design, R&D, manufacturing to utilization, and make continuous and efficient improvement possible, thus ultimately maximizing user satisfaction and creating a global quality benchmark.

### Case: Long-Life Batteries and Swapping Operations

In March 2024, NIO officially launched the "15-Year Long-Life Battery Solution," while the average battery warranty in the new energy industry was 8 years. Relying on its research on battery materials' intrinsic properties and operational innovations, NIO has put forward its goals for long-life battery technologies and operations: Power batteries' SOC should be no less than 85% after 15 years of use, guaranteeing users' worry-free trips. The "long-life batteries + swapping operations" model spares users from the high cost for replacing power batteries and vehicle depreciation caused by battery degradation when warranties expire.

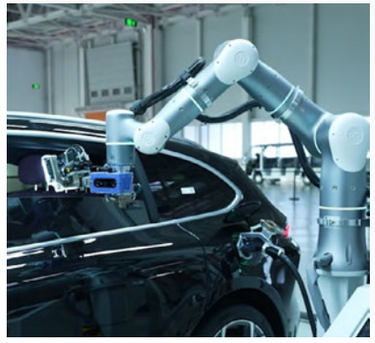


## Data & Intelligence Driven

NIO's quality is driven by data and intelligence. Quality management capability and efficiency are improved by building digital capabilities, such as Issue Code, Q-GPT, Industrial Internet of Things (IIOT), AI, and data analysis platform, with business objectives and scenarios taken into consideration. All of the four quality management processes are benefitted, and the established digital platforms include Design Failure Mode and Effects Analysis (DFMEA), the supply chain quality development collaboration platform, the Q-Plant manufacturing quality management platform, and NIO Issue Tracking Platform.

### Case: Innovation and Self-Research "Skysight" - New Car Quality Inspection Island

NIO has innovated and self-researched the "Skysight" Quality Inspection Island, where robots replace manual labor to complete quality inspections. In just 84 seconds, two force-controlled robots can automatically collect data on interior configuration, air conditioning, seat and steering wheel heating, as well as automatically insert and remove the charging gun, completing all inspections in one go. Under the high standard and strict control, 32 inspection items and 69 sub-checkpoints will undergo strict quality control, so that there is no place for minor defects to hide. Each vehicle is 100% tested (non-sampling), which is more accurate than manual labor, improving efficiency, detection and interception capabilities.



## Fast Closed-Loop Management and Iterations

NIO's quality management is not done once and for all. Instead, we always aim for better quality so as to continuously improve user satisfaction. On the one hand, NIO drives fast closed-loop management for quality issues by setting leadtime and break point (BP) failure rate for each stage of issue resolution based on the 8D methodology, to promote rapid and efficient management. On the other hand, cross-sectional analysis, post-mortem reviews, and introduction of previous experience to new projects are conducted in a systematic manner to ensure effective closed-loop management and iteration. In addition, the methodology and system will be continuously improved through systematic quality planning, implementation, validation and improvement.

### Case: Response Within Seconds to After-Sales Quality Issues

NIO's Current Model Quality Department handles internal and external feedback, and ensure that the handling of 99.9% of cases are promptly initiated and finished within 7 days, with a coverage of 99.9%. In terms of issue solving, the team follows the 8D methodology to ensure that the process from project initiation to interim action is completed within 5 days and permanent corrective actions are delivered within 30 days. In addition, the team systematically conducts "Lessons Learned", inputting FMEA and corporate standard updates, to truly realize closed-loop management and iteration of products.

## Quality Management System

NIO's quality management system certification already covers all its businesses including product design, R&D, manufacturing, supply chain management, software and hardware development, and electric drive system design and manufacturing, as well as NIO Power, NIO Life, and NIO Phone. The system continuously grows as the Company's businesses mature. By the end of the reporting period, 12 subsidiaries of the Company had obtained quality management system certification of ISO 9001 or IATF 16949, accounting for 92% of NIO's manufacturing and R&D sites. In 2025, we plan to achieve 100% coverage of all the Company's manufacturing and R&D sites.

Continuous improvement of the quality management system is necessary for promoting the stable operation of the quality system and enhancing product quality. NIO conducts internal and external audits of its quality management system on an annual basis. For any non-conformity or recommendations from internal and external audits, we conduct analysis and implement targeted small or large closed-loop management for continuous optimization. During the reporting period, we conducted a review and iteration of full-lifecycle audit. From the dimensions of pre-audit, audit, and post-audit, we implemented 15 improvements in processes, digitalization, and training, further enhancing the quality management system.

ISO 9001 Quality Management System Certification

International Automotive Task Force (IATF) 16949 Quality Management System Certification

### Closed-Loop Improvement Mechanism for Quality Management System

**Small Closed-Loop Management**

For isolated or execution-related problems, the closed-loop management is carried out through analysis inside the departments.

**Large Closed-Loop Management**

For high-frequency general or systemic problems, we analyze and solve them at process, mechanism, or system level through rapid investigation, research, and dedicated improvement actions.

## Product Recall Management

NIO strictly adheres to Chinese regulations such as the *Regulations on Administration of the Recall of Defective Motor Vehicle Products* and the *Measures for the Implementation of the Regulation on the Administration of the Recall of Defective Motor Vehicle Products*, as well as relevant regulations and guidelines on vehicle recall in Europe, including European Union general regulations and the ones in Germany, the Netherlands, Denmark, Sweden, and Norway. Additionally, NIO has formulated the *Vehicle Safety Recall Procedure* and the *European Vehicle Recall Process* to standardize the product recall process inside the Company. For other overseas markets that we have entered or are about to enter, we simultaneously conduct research on laws and regulations related to product recalls as our business expands, so as to protect the rights and benefits of global users and relevant stakeholders. Furthermore, NIO actively participates in the drafting of relevant standards for recalls related to Over-the-Air (OTA) updates. During the reporting period, NIO participated in the discussion on the compilation of the *Requirements of Implementation of Motor Vehicle Products Recall Based on Over-the-Air Update Technology*, which was proposed and overseen by the Product Defect and Safety Administration, contributing to product recall management in the era of intelligence.

NIO has established an efficient recall mechanism to respond to product safety risks. Once a recall decision is made, we will promptly file with the government department, coordinate the preparation of replacement parts and accessories, and contact affected users to complete the recall as soon as possible to minimize the impact on users. During the reporting period, NIO had 0 recall event.

## Quality Outreach and Empowerment

Since 2018, NIO has established the Quality Academy to elevate organizational quality awareness and cultivate strategic talent pipelines. Leveraging the Company's Training & Development Instructor (TDI) training system, the NIO Quality Academy actively cultivates company-certified instructors. By organizing the knowledge and courses required for various quality-related positions, the Academy creates tailored training maps for employees, offering convenient, efficient, and well-structured diverse learning content. All our employees have completed mandatory quality onboarding training, achieving 100% participation in quality education.

By the end of the reporting period, the NIO Quality Academy had trained a total of 349 quality TDIs. Additionally, 1,389 professional quality training sessions had been organized, covering participants from Shanghai, Hefei, and Nanjing. During the reporting period, NIO offered 334 professional quality courses, with a total of 22,545 participants. In addition, we have continuously expanded the scope of our outreach and empowerment efforts by launching large-scale training programs such as the Project "Terminator" and Project "NAVI." We have also included our partners in these training programs, sharing our quality expertise with the industry.

### Quality Month Series Activities

In 2024, NIO's Quality Month Series, themed "ATQ — A User-Centric All-Time Quality System" and organized by 24 L2 quality departments, was opened to external users for the first time. The event featured 16 engaging activities, including the Quality Carnival, the "Eagle Eye" Challenge, ATQ Mailbox, and Fun Quizzes for All, allowing participants to explore NIO's commitment to quality. Over 18,000 participants, both from inside and outside the Company, took part.

### Project "Terminator"

Since 2019, NIO has launched the Project "Terminator". This project aims to cultivate and certify talent with the ability to solve complex problems and establish a problem-solving system customized for NIO.

As of the end of the reporting period, the program has empowered 2,044 participants, with 616 individuals receiving training during the reporting period.

### Project "NAVI"

Project "NAVI" aims to develop and certify talent with a failure-prevention mindset and proficiency in problem-prevention methods and tools, ensuring a steady pipeline of experts who can apply these skills in the early stages of new vehicle development. The program also offers customized courses tailored to participants' specific fields. Since its launch in 2019, a total of 5,092 individuals have participated in the training, with 322 earning project certifications by the end of the reporting period.

3.3

# Responsible Supply Chain

NIO is committed to building an advanced and sustainable supply chain that meets global market standards, with a focus on low carbon and circularity to enhance supply chain resilience. We have established and continuously refined our sustainability strategy, integrating sustainability evaluations into partner selection and sourcing processes. Additionally, we have developed robust mechanisms for partner onboarding and daily management, ensuring end-to-end oversight. Together with our partners, we strive to deliver high-quality products and drive sustainable industry development.

## 3.3.1

## Supply Chain Resilience

NIO places great emphasis on supply chain resilience and has established a partner supply assurance mechanism. This mechanism employs a tiered management approach with case-by-case solutions, assigning dedicated teams to oversee specific component deliveries, track progress, and provide weekly reports to management on supply assurance. Additionally, NIO has implemented a supply assurance risk assessment system to evaluate and inspect at-risk partners, identifying on-site risks and driving improvements. During the reporting period, the mechanism covered more than 60 partners, effectively reducing supply chain risks.

### Tiered Management

For scarce supplies, we hold daily meetings to track progress.

We perform weekly checks on our partners' finished products and component inventory to detect potential shortages early and take proactive measures.

## Sustainable Supply Chain Strategy

To further enhance supply chain resilience, NIO has formulated the *Global Supply Chain Sustainability Policy*. The document sets out sustainability standards for our partners in areas such as environmental impact, labor relations, diversity and respect, anti-discrimination, anti-sexual harassment and anti-bullying, health and safety, human rights, and partner diversity, as well as provisions for reporting violations and protections against retaliation. Meanwhile, NIO is further enhancing its sustainable supply chain strategy, built on fundamental pillars of compliance, low carbon, circularity, and evaluation, with clear goals and roadmaps to drive a more sustainable supply chain.

### NIO's Sustainable Supply Chain Strategy

**Innovating Sustainable Supply Chain Value**

**Compliance**

Address overseas trade compliance and sustainability requirements, enabling NIO's global market expansion.

**Low Carbon**

Establish a comprehensive carbon emission data system and efficient tools for the supply chain, aiming to achieve optimal cost-effective decarbonization.

**Circularity**

Drive long-term sustainability and decarbonization of the supply chain through a sustainable business model.

**Evaluation**

Develop an industry-leading sustainability evaluation system for partners, identifying supply chain risks while highlighting those excelling in climate action, circular economy, and other areas, thereby expanding the sustainable supply chain network.

Compliance: NIO consistently meets both domestic and international sustainability compliance standards, while enhancing system efficiency and refining due diligence strategies. For details, please refer to "3.3.3 Supply Chain Due Diligence" of this Report.

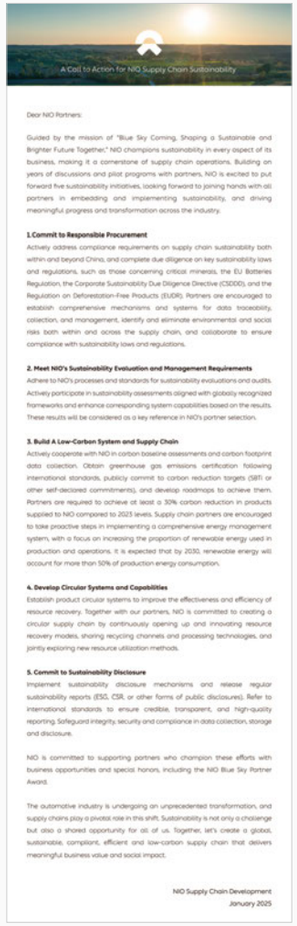
Low Carbon: With decarbonization across the supply chain as an important responsibility, NIO has already established carbon baselines and implemented footprint management to drive progress. For details, please refer to "2.1 Addressing Climate Change" of this Report.

Circularity: NIO continues to develop a circular supply chain and has already collaborated with partners to achieve the closed-loop application of aluminum materials reclaimed from scrapped vehicles. For details, please refer to "2.2.3 Practicing the Circular Economy" of this Report.

Evaluation: NIO conducts sustainability evaluations during partner admission and selection to manage supply chain risks, while incentivizing top-performing partners with awards to promote sustainability. For details, please refer to "3.3.2 Supply Chain Management System" of this Report.

## Supply Chain Sustainable Development Initiative

In addition, we released "*A Call to Action for NIO Supply Chain Sustainability*" in January 2025, officially putting forward five sustainable initiatives to our supply chain partners. We look forward to jointly deepening the concept of sustainability with our partners and implementing sustainable measures. We will offer incentives, including business preferential treatment and awards, to partners who actively engage with these initiatives, working together to drive progress and transform the sustainability landscape.



A Call to Action for NIO Supply Chain Sustainability

Dear NIO Partners:

Guided by the mission of "Blue Sky Coming, Shaping a Sustainable and Brighter Future Together," NIO champions sustainability in every aspect of its business, making it a cornerstone of supply chain operations. Building on years of discussions and pilot programs with partners, NIO is excited to put forward five sustainability initiatives, looking forward to joining hands with all partners in embedding and implementing sustainability, and driving meaningful progress and transformation across the industry.

**1. Commit to Responsible Procurement**

Actively address compliance requirements on supply chain sustainability both within and beyond China, and complete due diligence on key sustainability laws and regulations, such as those concerning critical minerals, the EU Batteries Regulation, the Corporate Sustainability Due Diligence Directive (CSDDD), and the Regulation on Deforestation-Free Products (EUDR). Partners are encouraged to establish comprehensive mechanisms and systems for data traceability, collection, and management, identify and eliminate environmental and social risks both within and across the supply chain, and collaborate to ensure compliance with sustainability laws and regulations.

**2. Meet NIO's Sustainability Evaluation and Management Requirements**

Adhere to NIO's processes and standards for sustainability evaluations and audits. Actively participate in sustainability assessments aligned with globally recognized frameworks and enhance corresponding system capabilities based on the results. These results will be considered as a key reference in NIO's partner selection.

**3. Build A Low-Carbon System and Supply Chain**

Actively cooperate with NIO in carbon baseline assessments and carbon footprint data collection. Obtain greenhouse gas emissions certification following international standards, publicly commit to carbon reduction targets (SBTi or other self-declared commitments), and develop roadmaps to achieve them. Partners are required to achieve at least a 30% carbon reduction in products supplied to NIO compared to 2023 levels. Supply chain partners are encouraged to take proactive steps in implementing a comprehensive energy management system, with a focus on increasing the proportion of renewable energy used in production and operations. It is expected that by 2030, renewable energy will account for more than 50% of production energy consumption.

**4. Develop Circular Systems and Capabilities**

Establish product circular systems to improve the effectiveness and efficiency of resource recovery. Together with our partners, NIO is committed to creating a circular supply chain by continuously opening up and innovating resource recovery models, sharing recycling channels and processing technologies, and jointly exploring new resource utilization methods.

**5. Commit to Sustainability Disclosure**

Implement sustainability disclosure mechanisms and release regular sustainability reports (ESG, CSR, or other forms of public disclosures). Refer to international standards to ensure credible, transparent, and high-quality reporting. Safeguard integrity, security and compliance in data collection, storage and disclosure.

NIO is committed to supporting partners who champion these efforts with business opportunities and special honors, including the NIO Blue Sky Partner Award.

The automotive industry is undergoing an unprecedented transformation, and supply chains play a pivotal role in this shift. Sustainability is not only a challenge but also a shared opportunity for all of us. Together, let's create a global, sustainable, compliant, efficient and low-carbon supply chain that delivers meaningful business value and social impact.

NIO Supply Chain Development
January 2025

### A Call to Action for NIO Supply Chain Sustainability

- Commit to responsible procurement
- Meet NIO's sustainability evaluation and management requirements
- Build a low-carbon system and supply chain
- Develop circular systems and capabilities
- Commit to sustainability disclosure

# 3.3.2 Supply Chain Management System

## Partner Management System

NIO has formulated and continues to optimize partner management processes and policies, including the *NIO Partner Cooperation Guideline (NPCG)*, the *Partner Industrialization Management Procedure* and the *NIO Product Purchasing Partner Management Process*. These frameworks govern partner admission and day-to-day management. At the same time, we have established the NIO Partner Quality System (NPQS), which clarifies the quality requirements for our partners. Based on NPQS we conduct lifecycle partner audits. During the reporting period, we conducted over 250 NPQS audits of partners. We have released the *NIO Partner Code of Conduct* that outlines standards in business ethics, labor management, and environmental protection, guiding them toward sustainable development. By the end of the reporting period, NIO had a total of 748 tier-1 partners.

Meanwhile, we actively identify and select key partners with significant ESG impact and strong relevance to our core business, ensuring focused oversight and management to further enhance supply chain resilience. As of the end of the reporting period, NIO had a total of 101 tier-1 key partners.

| Supply Chain Indicators | | | Percentage in 2024 |
|---|---|---|---|
| Percentage of partners | Chinese mainland | Southern region of China | 6.55% |
| | | Eastern region of China | 79.55% |
| | | Northern region of China | 3.48% |
| | | Central region of China | 4.55% |
| | | Northeastern region of China | 1.87% |
| | | Southwestern region of China | 2.80% |
| | | Northwestern region of China | 0.40% |
| | Hong Kong, Macau, Taiwan and overseas | | 0.80% |
| Code of Conduct signature rate | Number of tier-1 partners signing the Code of Conduct | | 97.59% |

## Partner Admission

At the partner admission stage, NIO evaluates and reviews potential partners through its internal mechanisms, including the *Potential Partner Assessment (PPA) Process*, which cover 10 key modules such as project management and R&D capabilities, along with an additional sustainability module. During the reporting period, NIO completed over 273 PPAs of potential partners.

Based on the results of the PPA, NIO classifies partners into three categories: green, yellow, and red, and applies differentiated processes accordingly. For partners that pass the PPA, NIO conducts a comprehensive assessment of their financial risks, engineering capability, supply and operation capability, and business risks, and requires them to obtain approval through the Partner Industrialization Development Proposal (PIP) process before including them in the partner list.

| PPA Results | Description |
|---|---|
| Green | Pass |
| Yellow | Pass with conditions |
| Red | Fail |

In the admission assessment of potential partners, “sustainable development” is one of the PPA review modules, covering five areas, namely legal compliance, occupational health and safety, labor rights, environmental protection and supply chain management. For serious issues identified in the assessment, we engage directly with the partner’s management to ensure corrective actions are taken. We also align with internationally recognized industry sustainability assessments and exempt partners that have obtained Responsible Business Alliance (RBA) reports with scores above the required standards. Simultaneously, NIO is continuously enhancing the sustainability evaluation at the partner admission stage by collecting relevant partner information via questionnaires, strengthening early-stage sustainability evaluation and risk management.

We enforce a one-strike policy against potential partners who violate laws and regulations (e.g., using child labor, employing underage workers illegally, and paying below local minimum standards), or lack environmental impact assessment qualifications in certain industries, ensuring the elimination of any associated labor and environmental risks.

## Partner Selection

During the reporting period, NIO further incorporated sustainability evaluation into partner selection, covering business ethics and responsible procurement, climate action and recycling. The results serve as an independent evaluation criterion. By the end of the reporting period, more than 140 partners had completed sustainability evaluations, including 54% of tier-1 key partners. Based on the results, we have identified partners with potential sustainability risks and formulated risk response measures accordingly. For those excelling across all dimensions, we are deepening collaboration and exploring innovative partnerships.

In the future, we will continuously refine our sustainability evaluation questionnaire to align with global standards and broaden its application. Through the selection, engagement, and development of long-term partners, we strive to enhance sustainable management and establish a resilient, low-carbon supply chain.

## Daily Management of Partners

At the stage of project development and start of production, we mainly conduct Process Audits (PA) and NPQS audits to ensure that production readiness, development progress, and supply chain quality control meet NIO's requirements at key project milestones and delivery stages. In mass production, we conduct targeted NPQS audits and PAs to ensure supply chain stability, consistent process standards, and timely troubleshooting. Our PAs cover 100% of our partners, while NPQS audits are conducted on selected key partners.

NPQS covers IATF 16949 Automotive Quality Management System, ISO 14001 Environmental Management System, industry-related management tools, and NPCG requirements. According to the NPQS results, we rate partners with grades A, B and C. Partners with unqualified results are required to provide rectification reports and constantly follow up on the rectification until all issues are closed. For partners who fail the audit and do not complete the rectification within the deadline, NIO will take control measures, including but not limited to new business suspension.

| Rating | Compliance Level | Description |
|---|---|---|
| A | ≥90% | Pass |
| B | ≥80% and <90% | Pass with conditions |
| C | <80% | Fail |

NIO extends its supply chain management beyond tier-1 partners. Tier-1 partners are required to take full responsibility for the quality management system and product standards of their sub-suppliers. They are also required to establish evaluation and verification systems for lower-tier partners (including tier-2 partners and beyond) to drive continuous improvement and ensure compliance with NIO's quality standards for development and mass production.

Besides, NIO has established a sub-tier partner management system and conducts differentiated management based on sub-tier partners' products and processes, which are classified into general processes and special ones. Given the complexity of special processes, which involve numerous variables and directly impact product safety and functionality, NIO has continued to strengthen its oversight of special process suppliers through regular audits and comprehensive reviews of their qualifications and quality performance during the reporting period.

### Sub-Tier Partners of General Processes

We conduct audits and enablement activities for the Supplier Quality Engineers (SQEs) of tier-1 partners, indirectly empowering their sub-suppliers. We have incorporated regular SQE/purchasing center reviews into the annual PA of tier-1 partners and conduct periodic comprehensive checks on SQEs of mass production partners as needed.

### Sub-Tier Partners of Special Processes

We place emphasis on tier-2 partners and beyond who are involved in such special processes as heat treatment, e-coating, painting, welding and soldering, and participate in sub-supplier nominations when needed, offering suggestions. We implement a range of measures to empower these sub-tier partners, including the Sniper special process initiative, development of expert teams, and routine audits.

During the reporting period, NIO's special process audits covered a total of 423 non-tier-1 partners. For sub-suppliers that fail to complete corrections as required within the rectification period, we will replace them to ensure that the sub-suppliers meet our high-quality standards.

## Partner Localization

NIO continues to promote the localization of its partners, aiming to reduce the environmental impact caused by material transportation, enhance operational efficiency, and support the local economic development. As of the end of the reporting period, NIO had over 130 partners in Anhui Province, developing a layout with Hefei at the center, radiating out to surrounding areas. At NeoPark in Hefei, key component suppliers, such as those for seats, provide localized supplies to NIO with zero-distance logistics. Additionally, partners in Hefei and its surrounding areas supply body parts, interior and exterior trims, and electronic products through short-distance logistics. Meanwhile, partners are also gradually gathering in other regions of Anhui Province, such as Chuzhou, Ma'anshan, and Wuhu.

Meanwhile, we continue to expand the scope of localized partners. In addition to vehicle and electrification partners for NIO brands (NIO, ONVO and firefly), we have also included partners of NIO Power Swap Stations in the localized network. By continuously increasing the proportion of localized partners, we have driven the development of the "vehicle + battery charging and swapping infrastructure" industry chain within Anhui Province.

## Partner Encouragement

To encourage partners to constantly improve their management efficiency and product quality, NIO has established a "selection, engagement, growth and retainment" system to grade and manage partners. We have also established an evaluation system for NIO Quality Premium Partner (NQPP) to motivate and further support our partners, fostering mutual growth. Moreover, during the reporting period, we set up the NIO Partner Blue Sky Award, the first sustainability award for partners from emerging automakers. The award aims to recognize partners excelling in sustainability, strengthen supply chain sustainability management, and enhance industry influence.

**Selection**

Select partners based on a comprehensive evaluation of system and industrialization capabilities

**Engagement**

Implement a tiered management system to identify key partners and provide them with support from NIO's expert resources

**Growth**

Adopt a label-based approach to assess partners' capabilities in management and processes, and implement customized empowerment initiatives

**Retainment**

Promote the NQPP system as the comprehensive evaluation system for partners, incentivizing exceptional partners

### NQPP System

The NQPP system aims to foster mutually beneficial partnerships. While partners strive to meet NIO's quality standards, NIO is committed to providing expertise, experience, and support in executing the system, along with enhanced empowerment training. This approach helps partners with high growth potential develop and contributes to NIO's pursuit of excellence in quality. The NQPP performance evaluation system comprises six modules and 13 evaluation indicators, utilizing both point deductions and additions. It is designed to manage quality throughout the product lifecycle, creating products and services that meet users' needs.

By the end of the reporting period, we successfully held the NQPP award ceremony for four consecutive years, recognizing a total of 203 exceptional partners. Through years of reinforcing quality standards and accelerating productivity improvements, the NQPP system has become a key guideline for enhancing the overall quality of the NIO supply chain.

### NIO Partner Blue Sky Award

The NIO Partner Blue Sky Award reflects NIO's commitment to building a sustainable future with its partners while recognizing and encouraging their sustainability efforts. In 2024, NIO honored 16 partners with outstanding contributions to sustainability, selecting them based on performance in sustainability evaluations, supply chain compliance due diligence, carbon footprint management, and circular economy strategies.

Moving forward, the Blue Sky Award will be presented at the annual NIO Partner Conference. Through this award, NIO will continue to elevate the importance of supply chain sustainability, expand its influence across the supply chain and the industry, and further enhance overall sustainability.

3.3.3

# Supply Chain Due Diligence

As a global smart electric vehicle company, we actively comply with both domestic and international sustainability standards while continuously enhancing our compliance system. During the reporting period, we conducted due diligence on critical minerals and, based on our findings, established a sustainability due diligence system. This system will support broader and more diverse sustainability evaluations across our supply chain in the future.

## Management of Critical Minerals

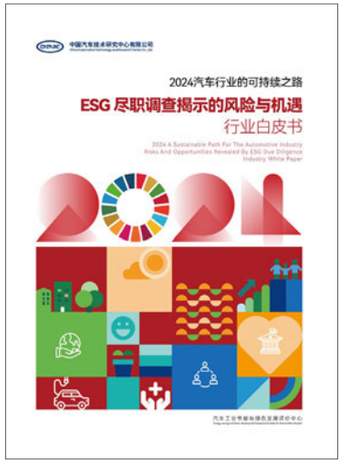
NIO places great emphasis on corporate social responsibility, including respect for human rights, preventing conflict escalation, and avoiding indirect financing of armed conflicts. During the reporting period, NIO released the *Due Diligence Management Policy for Critical Minerals* and completed its first due diligence on critical minerals. This investigation covered products containing conflict minerals (gold, tantalum, tin, tungsten) and battery-related minerals (nickel, cobalt, lithium, natural graphite), along with their respective suppliers. Additionally, we also carried out a basic risk assessment on minerals such as steel and aluminum using the EMRT (Extended Minerals Reporting Template). In total, we assessed 138 partners and traced over 370 smelters. Based on the smelter locations, associated metals, and Responsible Minerals Initiative (RMI) certification status, we established a risk identification model to strengthen supply chain management.

### Due Diligence Management Process for the Critical Minerals of the Supply Chain

Through this due diligence, NIO has established a database and risk model for critical minerals in the supply chain, and has developed a sustainability due diligence system to support more extensive and diversified efforts in the future. During this period, NIO held over 10 training sessions for partners and employees involved in procurement, reaching more than 300 participants. This initiative enhanced both NIO's and its partners' ability to manage critical mineral risks. For partners identified as having weaker capabilities or awareness, we will continue to strengthen their expertise in critical mineral control through training and other measures in 2025.

## Management of ESG Risks in the Supply Chain

Furthermore, during the reporting period, NIO participated in the compilation of the first ESG due diligence white paper in the Chinese automotive industry, titled *2024 A Sustainable Path for the Automotive Industry: Risks and Opportunities Revealed by ESG Due Diligence*, organized by the Energy Saving and Green Development Assessment Center for Automotive Industry and China Auto Carbon. In the supply chain ESG due diligence risk assessment outlined in this white paper, NIO was assessed as a low-risk entity. NIO's supply chain sustainability due diligence system has been recognized as an exemplary ESG practice.




## Trade Compliance

In terms of trade compliance, NIO regularly issues trade compliance advisories, providing updates on relevant laws and regulations to the appropriate departments. We assess these updates to determine whether existing partners have been added to or removed from relevant entity lists, ensuring that our procurement practices comply with applicable trade laws and regulations. For details on the trade compliance, please refer to "1.3.1 Operational Compliance" of this Report

3.3.4

# Partner Empowerment

NIO values the collaborative growth across the industry chain and is committed to growing alongside its partners. We offer diverse and comprehensive empowerment training while providing partner support to foster mutual success. During the reporting period, 100% of component suppliers for the Company's mass-produced vehicle models received quality empowerment training.

## Project "NAVI" & Project "Terminator"

To enhance our partners' ability to prevent and resolve issues, NIO hosted two on-site empowerment training sessions at its Shanghai headquarters during the reporting period. Spanning a total of eight days, the 2024 Project "NAVI" and Project "Terminator" sessions engaged 174 participants from 141 partner companies.

## 2024 NIO Partner Empowerment Day

To deepen partners' understanding of new project development, launch, and mass production while fostering collaboration, NIO hosted a two-day Partner Empowerment Day in Hefei from May 30 to 31, 2024. The event welcomed 125 new partners from NIO brands (NIO, ONVO, and firefly), bringing together over 300 participants to enhance supply chain efficiency and reliability.

## 2024 Supply Chain Quality Month

The 2024 Supply Chain Quality Month is dedicated to supporting key partners by enhancing their quality management awareness and capabilities through empowerment activities, case studies, and insight sharing from industry-leading companies. By sharing practical tools and experiences, we aim to strengthen partners' capabilities and drive continuous improvement in quality metrics.

## 2024 EDS Partner Empowerment

In July 2024, NIO organized an EDS partner empowerment event, attended by 104 participants from 57 partners. The three-day training included 16 courses, addressing key topics including supply chain sustainability. Partners were introduced to carbon neutrality, carbon footprint management, validation methods, and tools. We also outlined carbon emission management requirements for EDS partners, contributing to the industry's low-carbon development.

## Supply Chain Cooperation and Care

NIO always regards partners as a community of shared interests, and gives them full attention, fostering trust through sincere communication and collaborative action. We strive to create a win-win future.

### The "Cooling Summer for Partners" Initiative

Since 2023, NIO has officially launched the "Cooling Summer for Partners" initiative to provide heat prevention and cooling supplies to frontline employees of partner companies working on production lines during the hot summer months. During the reporting period, we visited 43 key partners, reaching 6,311 individuals, and delivering care and relief to partner employees.

### The First Livestream With Supply Chain Partners in 2024

On August 28, 2024, NIO launched its first livestreaming project with supply chain partners, showcasing the high-quality seats co-created with them.

### The First NIO Global Business Blue Sky Partner Conference

On December 22, 2024, partners from regions including the Middle East, South Caucasus, and Southeast Asia gathered in Guangzhou for the inaugural NIO Global Business Blue Sky Partner Conference. During the event, we reviewed NIO's significant achievements over the past decade in products, technology, services, communities and global expansion. We also outlined our strategic goals and investment plans for future global development, providing partners with clear directions for collaboration to create a sustainable and brighter future together.

## Industry Cooperation

We value communication and mutual growth with our partners and actively build industry connections. By engaging in dialogue with both industry peers and cross-industry partners, we share and learn from advanced experiences in sustainable supply chain development, working together with our partners to shape a brighter future.

### NIO Supply Chain Sustainability Forum

In January 2025, NIO and the Sustainable Development Asia (SDA) Forum jointly organized the NIO Supply Chain Sustainability Forum, at NIO House in the Shanghai Tower. The event brought together supply chain sustainability professionals from industries such as automotive, electronics, chemicals, and pharmaceuticals. During the forum, attendees exchanged insights on advanced sustainability practices and shared practical experiences from two leading companies in the field. The discussions aimed to promote cross-industry experience sharing and advance sustainable practices.

# 3.4

# End-to-End Experience Beyond Expectations

Motivated by the vision "To Build a User Enterprise Where Innovative Technology Meets Experience Excellence," NIO has been strengthening its core technologies while always prioritizing user experience to create a joyful lifestyle for them. NIO is committed to providing users with worry-free services throughout the pre-sales and after-sales journey. Supported by comprehensive forward-looking market research, satisfaction surveys and user feedback channels, NIO continuously improves its products and services, ensuring an experience that exceeds expectations.

## 3.4.1

## Worry-Free User Service

### Responsible Marketing

NIO strictly abides by the relevant laws and regulations of the regions where it operates, including the *Advertising Law of the People's Republic of China*, the *Law of the People's Republic of China on the Protection of Consumer Rights and Interests*, the *Anti-unfair Competition Law of the People's Republic of China* and the *E-Commerce Law of the People's Republic of China*. NIO ensures that advertising content and language are used appropriately, avoiding the dissemination of false, exaggerated, or misleading advertising information, and refrains from overstating its environmental and social impact. We have formulated store operation and sales management policies such as the *General Operation Standards* and the *Sales Process Manual* to regulate the service standards of stores and sales personnel, with responsible sales practices being a key performance criterion for sales positions. Additionally, we monitor the sales activities of staff through backend data and implement mechanisms for reporting, investigation, and penalties to promptly prevent consumer deception.

During the reporting period, NIO released the *Legal Compliance and Risk Control Guidelines for Marketing Content Production and Distribution*, which has clearly specified the key risk control points and operational guidelines for marketing content. We also issued specific guidelines for various marketing activities, including the *Legal Precautions for Lottery-Based Marketing Campaigns*, the *Legal and Compliance Recommendations for Comparative Commercial Advertising*, and the *Compliance Guidelines for Live-Streaming Marketing*. NIO takes a cautious approach to marketing scenarios and content, strictly prohibiting false claims regarding product or service functions, user reviews, honors, and other aspects. We also forbid exaggerated, distorted, or unfairly biased comparative advertising to avoid misleading users about NIO's products and competitors' products. Furthermore, we strictly regulate content related to minors. Additionally, we provide training for all employees, particularly sales staff, to identify and address potential risks promptly and ensure the legality and compliance of marketing activities.

### ▶ NIO Legal Open Lecture — Compliant Marketing Training

In February 2024, we launched a compliance training session for livestreaming marketing, focusing on both content and conduct violations. Content violations include false advertising/misleading claims, breaches of prohibitive regulations, improper advertising of restricted products, and business defamation. Behavioral violations include offering illegal incentive for sales, non-compliant endorsement, fake engagement/fabricated sales data, intellectual property infringement, minors' participation in livestreams, and misconducts of livestreaming hosts. The training used case studies to analyze specific scenarios, strengthening employees' awareness of the legal risks in livestreaming marketing.

In July 2024, we held several sessions of the "NIO Legal Open Lecture — Compliance Training on Marketing Content Production and Promotion" for all employees, which were also pushed and publicized through various corporate platforms. The training content was combined with actual advertising scenarios, and the requirements of relevant laws and regulations were interpreted in detail. It emphasized the need for objective and truthful promotional content, the considerations for market comparisons, the avoidance of absolute or extreme terms, and the importance of obtaining authorization when using the works of others, etc., so as to enhance the compliance marketing awareness of all employees.

While preventing and controlling risks, we have established a rigorous review process for product data and marketing materials, to ensure the objectivity, authenticity, accuracy, reliability and timeliness of information released to the public. During the reporting period, the Company received 0 warnings, fines, or penalties from domestic or overseas authorities for violating regulations and voluntary codes related to marketing communications.

## Worry-Free Test Drive

We have established and enforced internal policies such as the *Test Drive Process* and the *Test Drive Safety Management Policy for Regional Companies* to specify matters including risk notification, user qualification, as well as the risk categorization and assessment of test drive routes. We conduct comprehensive test drive safety training and internal driving level exams for related personnel so as to ensure that they possess the essential skills for safe test drive services. In addition, we have designed both fixed and non-fixed test drive routes to meet the needs of different users, and continuously conduct route risk assessment to ensure safety.

Before a test drive starts, a NIO Fellow will communicate the test drive appointment, model and route with the user one-on-one, introducing the precautions face-to-face and obtaining their signature to the *Test Drive Safety Agreement*. This ensures that the user is qualified for the test drive and informed about the precautions. To ensure that the test drive process is standardized and the test drive experience is continuously improved, we apply regular assessments through mystery guest inspections and five-star rating in actual test drive sessions. We also invite users to evaluate their test drive experiences from six aspects, namely, pre-test drive reminder, attitude of personnel, professionalism of explanation, targeted introduction, duration of test drive, and tidiness of the car. Meanwhile, we have incorporated test drive satisfaction in the assessment for NIO Fellows to plan for user satisfaction improvements ahead of test drives for the continuous optimization of user experience.

During the reporting period, we conducted a special mystery guest satisfaction survey for test drives. In addition to the aspects included in the regular evaluation, we strengthened and iterated the evaluation criteria for safety, and the average evaluation score reached 89 out of 100. Besides, over 220,000 users participated in the five-star rating for test drives, with an average score of 4.8 out of 5.0 in 2024.

## After-Sales Services

To deliver the brand concept of “NIO Service, your companion on worry-free journey”, we provide value-added services such as vehicle repair and maintenance, roadside rescue, chauffeuring, as well as car washing, covering more than 20 driving scenarios.

Vehicle Repair

Vehicle Maintenance

Door-to-Door Tire Repair

Reassuring Rescue

Courtesy Car & Car Pickup and Delivery Service for Maintenance

Chauffeur Service

In 2023, we set up the cross-departmental Maintenance Duration Team and Maintenance Quality Team. With digital toolkits, iteration and optimization of relevant standards, and focused support provided for key regions, they work to shorten maintenance duration and improve the service quality. In 2024, the Company continuously focused on improving the core competitiveness of after-sales maintenance. Oriented by user needs and satisfaction, we have built a preventive maintenance quality system, achieving a one-time repair rate of 99.8%.

## NIO Maintenance Quality System

Talent development, technical certification, knowledge management, digital tools, tool and facility management

Organization building, quality policy, quality mechanism and quality culture

Pre-inspection/damage assessment, staff assignment, diagnosis, repair, quality control and vehicle delivery

Satisfaction management, indicator system, quality audit, feedback mechanism, and management of issue review and improvement process

During the reporting period, we brought our users a worry-free, timesaving and moneysaving car use and maintenance experience. This was achieved thanks to our service products, one-stop experience, high efficiency, remarkable quality, standardization and consistency, as well as holiday activities and surprises offered to users. By the end of the reporting period, we had cumulatively provided after-sales services to 547,489 users.

### NIO Worry-Free Service

NIO has launched the 2024 version of Worry-Free Service, enabling users to choose service products based on their driving and consumption habits, and catering to the diverse needs of more users.

### Service Knowledge Outreach

Through a series of guidelines such as the *Service Wikipedia*, the *99 Car Tips* and the *Tips for Car Use*, we have built a systematic and professional content repository of car use and maintenance knowledge, eliminating users' blind spots.

### Service Experience Day

The first service-themed user experience activity aimed to create an immersive service experience covering after-sales business scenarios. The activity included knowledge sharing sessions, users' hands-on practice, and knowledge revelation.

### Holiday Activities

We have initiated proactive user care activities, including making merchandise related to NIO Service specialist and providing services for users during holidays. Such services have reached approximately 100,000 users, strengthening the emotional connection between users and NIO Service.

| | After-Sales Services Provided to Users in the Reporting Period | Cumulative After-Sales Services Provided to Users by the End of the Reporting Period |
|---|---|---|
| After-sales services | 5,132,248 times | 15,668,258 times |
| Roadside rescue | 59,192 times | 140,050 times |
| Car pickup and delivery for maintenance | 1,640,962 times | 4,685,786 times |
| Courtesy car for maintenance | 39,389 times | 279,323 times |
| In-store maintenance | 1,589,149 times | 4,109,318 times |
| Mobile services | 413,175 times | 1,098,606 times |
| Value-added services | 1,361,051 times | 5,824,808 times |

**After-Sales Service Awards Won by NIO During the Reporting Period**

| | Awards | Awarded by |
|---|---|---|
| NIO | No.4 in After-Sales Satisfaction for New Energy Vehicle Brands | China Automotive Maintenance and Repair Trade Association |
| NIO ES6 | After-Sales Satisfaction for New Energy Vehicle Brands<br>No.3 in the New Energy SUV Category | |
| NIO ES8 | After-Sales Satisfaction for New Energy Vehicle Brands<br>No.5 in the New Energy SUV Category | |
| NIO | China New Energy Vehicle User Satisfaction Survey 2024<br>No.1 in After-Sales Service Satisfaction | China Association for Quality |
| NIO ET5T | China New Energy Vehicle User Satisfaction Survey 2024<br>No.1 in Satisfaction of Full Electric Mid-Size Sedan | |

### Heartwarming Stories Between NIO and Users:

In June 2024, the Changji city in Xinjiang was hit by mountain torrents and mudslides, entrapping two NIO vehicles and leaving six users marooned in a perilous situation. Two NIO Fellows quickly reached the scene and arranged for the accommodation of the users and their families. Late at night, they helped the firefighting team clean the roads, provided lighting, and assisted the trapped people. The next day, they continued the rescue operation. After passing seven checkpoints and coordinating with the insurance company, they finally succeeded in pulling the vehicles out of the mud at 4 PM. Despite being covered in mud, the NIO Fellows firmly completed the rescue.

In September 2024, the super typhoon “Capricorn” made landfall in Hainan. To save the users in need, the NIO Service team acted swiftly and coordinated resources, bringing together over 20 people to provide users with worry-free services. Within 300 hours, the team worked around the clock in response to the urgent needs of 179 users. Their tasks included guarding battery swapping stations, operations and maintenance of chargers, helping with car jump start, and offering door-to-door recharging services. One of the team members took advantage of the calm period in the eye of the typhoon and successfully rescued Mr. Liu’s family, who were trapped in the garage, ensuring user safety in times of distress.

## Service Network

NIO has created NIO Service, a one-stop service ecosystem, for users, providing all-round services from delivery, car use to maintenance, and has built an after-sales service network across the world. As of the end of the reporting period, NIO had built a total of 383 Service Centers globally.

### NIO Delivery Center (NDC)

NIO Delivery Advisors help users complete the acceptance inspection of new cars and walk them through the car functions, ensuring a smooth delivery experience for users.

### NIO Service Center (NSC)

The one-stop vehicle service site provides users with a worry-free service experience with meticulous care and advanced technology.

### Power Mobile

The mobile "NIO Service Center" offers door-to-door assistance to users, providing maintenance and emergency charging services.

Based on the continuously expanding global after-sales service network, we updated and released internal regulations during the reporting period, such as the *National General Service Standard 2.0*, *Definition of NSC Type*, the *Space and Safety Standard*, and the *NSC Maintenance Quality System*. We also improved the NSC service scope and functional configuration to ensure high-standard and consistent NSC service. Meanwhile, we have continuously urged all stores responsible for enhancing the standards of space layout, user reception, show cars and test drive vehicles, test drive routes, etc., to provide users with a more distinctive experience.

To expand the coverage and accessibility of our after-sales services, we select eligible partners to build ASCs. We have established and improved policies such as the *ASC Space and Safety Standard*, the *ASC Identification Standard*, the *ASC Maintenance Quality System Standard*, and the *ASC Maintenance Service Standard*, to continuously improve policies and the assessment system, thus ensuring consistency in service at the ASC. During the reporting period, we newly developed the *Space and VIS Management Measures of Authorized Service Center*, which covers the authorized service centers of NIO, ONVO, and firefly. This measure strengthened the process control to systematically achieve the comprehensive management and improvement of the space and Visual Identity System (VIS).

## After-Sales Service Guarantee

The goal of our after-sales service is to provide proactive, timely, and efficient services for NIO users on the road. NIO has set up and continuously optimizes the Guardian/One-Stop Diagnostic Platform, NCT, and the Remote Operation and Maintenance System (OAM) covering China and European countries, such as Norway, Germany, the Netherlands, Sweden, and Denmark. Such platforms can provide timely warnings and responses to vehicle-related malfunctions and user feedback.

| | Optimization Measures | Achievements |
|---|---|---|
| Guardian/One-Stop Diagnostic Platform | NIO has developed the Diagnostic Platform based on the malfunction warning feature of the Guardian System. The platform provides functions such as real-time fault warning, remote diagnosis, historical fault tracing, and fault database. | The remote automatic monitoring items have increased by approximately 60%. Proactive services have been provided to over 40,000 vehicles, and the number of served vehicles has grown by around 10%. The comprehensive accuracy rate has reached over 90%. In the same situation, the repair waiting time for users in corresponding malfunction scenarios has been shortened by 30%, thus greatly improving the user experience and satisfaction. |
| | In 2024, functions such as manual diagnosis, system-automatic diagnosis, and retrospective monitoring were introduced, which could efficiently assist after-sales teams in diagnosis tasks. At the same time, real-time fault monitoring was upgraded to real-time monitoring and retrospective monitoring. For real-time fault data monitoring, the warning logic algorithms can be configured and modified independently in the cloud, and the execution of each algorithm in the system can be tracked. After the algorithms are launched, different types of data uploaded by vehicles can be monitored in real time. When the vehicle data matches the algorithm logic, we can, for urgent issues, contact users within 15 minutes after the warning occurs thanks to the notification function of real-time fault data warning and the connection to the NCT system. In this way, service arrangements can be made in advance. Retrospective monitoring allows the configuration of logic in the cloud to comprehensively analyze vehicle data from the previous day. This enables the execution of monitoring tasks that real-time monitoring cannot achieve, and overall expansion of the scope of fault detection services. | NIO has already launched dozens of automatic diagnostic scenarios, where automatic analysis of vehicle data and result generation are possible, with a comprehensive accuracy rate of over 70%, significantly reducing the time that users spend on cloud-based diagnosis. |
| | Automated vehicle remote diagnostics allows independent configuration of models in the cloud and matching of these models with vehicle faults. When a fault occurs in the vehicle, the backend personnel can use the corresponding model to automatically diagnose and determine the cause of it, eliminating the need for manual diagnosis. | Under the multi-brand strategic plan, the system has also been deployed across NIO's sub-brands, ONVO and firefly. Specifically, from the very launch of the ONVO brand, over 50 kinds of fault monitoring were deployed, substantially guaranteeing users' driving safety. |
| OAM | NIO has developed the OAM system. The system achieves three major functions, namely FOTA failure rescue, fault clearance, and troubleshooting, by creating interactive sessions and executing predefined operation commands, which enables remote maintenance without requiring the vehicle to visit a service center. | In 2024, the success rate of remote rescue for FOTA failures reached over 80%, reducing the rescue time by 70% and greatly improving user satisfaction. In 2024, the OAM system launched over 20 types of remote-scenario scripts. This enabled more diagnostic and repair operations to be carried out in a remote way, thus enhancing both user satisfaction and the efficiency of after-sales maintenance. |
| | The FOTA failure rescue function can automatically create an interactive session after receiving a FOTA failure alarm from the NCT system, enabling operators to perform remote operations on FOTA-failed vehicles via the cloud for recovery purposes. | Under the multi-brand strategic plan, the system has also been deployed across NIO's sub-brands, ONVO and firefly. Notably, ONVO vehicles began using the OAM system from the very start of their launch. |

## Outstanding Team

NIO has built an elite service team composed of NIO Fellows, as well as after-sales service and maintenance personnel, focusing on providing users with high-standard services.

We continuously improve the training system for NIO Fellows, and carry out diversified training that comprehensively enhances their practical skills across three areas: position at work, product knowledge, and driving proficiency in both online and offline forms. We share service case studies through our internal *NIO Fellow* publication, host Elite Fellow Club events, and conduct an Annual Best Fellow selection, all aimed at fostering the exchange of experience and driving continuous improvement among team members.

As for after-sales and maintenance personnel, NIO trains new recruits through initiatives like the Shine Project and the Shine Landing program. By combining online courses, on-the-job training, skills competitions, technical training camps, and school-enterprise cooperations, NIO has comprehensively enhanced the practical capabilities of the after-sales service teams to meet the diverse needs of users.

Regional Technical Conference & Fusion Technology Training Camp

The 2nd After-Sales Skills Competition

Empowering Efficient Repairs for Accident-Damaged Vehicles

3.4.2

# Experience Enhancement

NIO has set up a user satisfaction survey system. Through multi-channel surveys, we actively listen to users' voices and continuously track user satisfaction towards our products and services. In addition, NIO explores opportunities to improve user satisfaction in a timely manner by various means. At NIO's Executive Committee meeting, the satisfaction joint meeting, and the UE user satisfaction bi-weekly meeting, relevant issues are analyzed, reviewed, and jointly rectified in a timely manner. We have made the results of the user satisfaction survey a regular agenda item at NIO's Executive Committee meetings. Also, we conduct regular satisfaction joint meetings to analyze overall user feedback and conduct cross-departmental reviews to find better solutions.

During the reporting period, NIO optimized the dimensions and structure of satisfaction surveys. Moreover, we engaged User Volunteers in special inspections of store operations, maintaining user satisfaction above 4.8 in China and above 4.5 in Europe. Meanwhile, we consistently achieved a response initiation timeliness rate of at least 99% and an on-time resolution rate of at least 95% in closed-loop management. We continuously followed up on issues that matter to users to ensure effective resolution and productize the handling processes for major incidents.

## Satisfaction Survey System

| | | | | |
|---|---|---|---|---|
| Survey Tools | User Satisfaction Survey | Five-Star Rating | Mystery Guest | Explicit Inspections |
| Scenarios | Covering more than 20 scenarios such as test drives, interaction with NIO Fellows, store reception, car delivery, user community activities, NIO House experience, NIO Joyride, One-Click for Power, vehicle maintenance, battery swapping, and NIO Destination Subscription. | | | |
| Mechanisms | Monthly overall satisfaction survey | A quick satisfaction survey triggered after each service | An undercover inspection to assess genuine user experiences | An inspection of key user experience touchpoints and process standardization |

In addition, NIO has set up Service Operations—Issue to Resolution (SO-ITR), an online after-sales satisfaction system. The system enables after-sales personnel in each region to filter feedback overviews and specific cases of after-sales scenarios such as maintenance service, Worry-Free Service/Insurance Packages, and Auto Mall by region. With the system, we are able to keep abreast of and improve user experience.

## Attention to Users' Voices

We have built a diversified and effective demand collection and feedback system. Users may submit their inquiries and suggestions through multiple channels: NIO dedicated online service groups, NIO hotline, NIO Auto Mall, and Debug (a product feedback platform including the Exclusive Service application on the vehicle center display, feedback through NOMI and NIO Fellow, and the discussion section on the NIO app). We use a digital system to identify and capture key information, and categorize and grade the feedback based on scenarios and content. For frequently occurring problems in the negative feedback, we promptly create tickets, assign them to the responsible colleagues in the region company or at the headquarters for solutions, and consistently follow up on the implementation to ensure that users' demand is properly met. For general feedback, we strive to handle each case fast to enhance user satisfaction.

In order to ensure that user feedback receives timely and proper responses, in 2024, we established a Command Center/Complaint Management Team escalation mechanism. After a ticket is created, the Complaint Management Team is responsible for following up on and handling the ticket within 48 hours, including the necessary supervision, coordination, and monitoring work. Tickets exceeding 48 hours will be taken over by the Command Center Team. Similar issues with more than 30 tickets will be escalated directly to the Command Center team. At the same time, we have upgraded the "raise hands and report mechanism" and clarified the situations of both proactive and reactive reporting. This has enhanced the efficiency of processing of user feedback and ensures comprehensive closed-loop management of issues. During the reporting period, the SCR Command Center achieved 100% ticket-creation management and piloted the AI-assisted function to improve the response quality of the exclusive service group.

During the reporting period,

we collected a total of 7,324,798 pieces of user feedback through NIO exclusive service group,

NIO hotline, and Auto Mall, with a 48-hour closure rate of 98.6%,

and an average processing time of 4.6 hours.

During the reporting period,

we received 11,263 product-related user complaints,

with an annual complaint response rate of 100%.

## Driving Product Innovation

NIO's forward-looking research and feedback investigations carried out via multiple channels serve as a vital foundation for our product innovation and evolution. We have established a company-level product experience operation mechanism jointly participated and coordinated by User Operations, Product, and R&D teams at all levels. This is to achieve the closed-loop management from user feedback to R&D activities and experience delivery, and to promote product R&D driven by user feedback. In addition, we perform experience management based on Product Experience Target Setting (PETS), systematically setting user experience-related goals and promoting the integration of them throughout the process. PETS helps us connect perceptual user experience with rational and quantifiable information, establish a systematic user experience evaluation standard, and promote user value as a starting point for product development and optimization. By setting and achieving engineering targets, we ultimately deliver products that provide joyful user experiences.

### User Experience-Driven Product Development

| User Feedback | Product Requirements | R&D Activities | Experience Delivery |
|---|---|---|---|
| Collect user feedback through various channels such as user questionnaires, data import from User Feedback Closed-Loop System (UCLS), Debug via NoMI and app, exclusive service group, and one-click reporting. | Establish a unified set of experience dimensions across all business functions within the Company to standardize the classification of user feedback, identify corresponding product requirements, and then conduct research. | Map out long-term plans to meet users' needs, set delivery targets and carry out R&D activities based on them. | Conduct reviews of the delivered projects to learn about users' satisfaction ratings of the new features and products and check whether they have helped improve user experiences. |

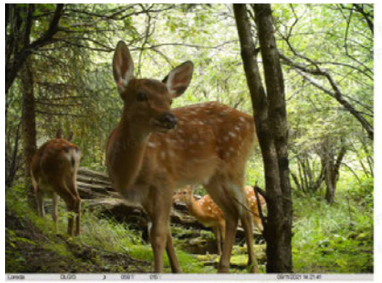
## 3.4.3

# Joyful Lifestyle

Beyond cars, NIO also gathers like-minded, insightful and tasteful users to build a lifestyle community starting with smart EVs where they share joy and grow together. By leveraging both online channels such as the NIO app and offline channels like NIO House, we engage with our users in a timely manner and build a close connection with them, and extend NIO quality to NIO Life products, creating surprises for users in everyday life.

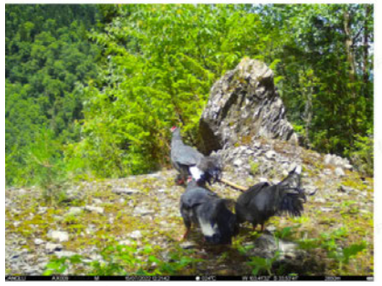
The NIO app is NIO's service platform designed for users. In addition to home to functions such as car purchase, car owner services, NIO Power Map, and NIO Life, it is also an online community for NIO users, where they can access the latest NIO news and local information, share their daily life with other users, join various discussion topics, events, and interest-based communities, thus enjoying a joyful lifestyle.

- NIO House is a free space for NIO users and their friends. Each NIO House is a delightful, multifunctional space offering seven core areas for communication, thinking and relaxation, delivering a vibrant experience. Guided by the design DNA of "Pure, Human, Progressive, and Sophisticated," every NIO House we have built integrates the characteristics and culture that are unique to the city. We strive to provide users with distinctive, thoughtful, warm, and comfortable experience.
- NIO Space is where NIO displays the brand, sells products, and reaches out to more users. It has a compact yet sophisticated design, with its presence found in more cities, thus covering more users.
- To guarantee the consistency and high quality of offline spaces, all NIO's offline spaces have formulated their own store manuals, detailing curation requirements, test drive routes, etc. At the same time, we have established the Space Quality Control mechanism, with dedicated personnel conducting self-assessments of space quality. We also conduct regular, specific reviews of NIO Houses and NIO Spaces, checking and tracking rectification for 238 items across modules including brand image, space safety, exhibition operations and service personnel. During the reporting period, CCTV-based cloud inspections were conducted over 11,400 times throughout the year, covering 100% of stores with an average frequency of two inspections per store per month. Meanwhile, Space Quality Control staff performed over 9,000 inspections annually, also covering 100% of stores. Based on the inspection results, we formulated rectification plans that achieved a 100% completion rate within the year.
- NIO Life is an original lifestyle brand created by NIO, committed to integrating global design resources to bring good design and products into users' daily lives. Users can purchase NIO Phone as well as a range of NIO Life products, including apparel, shoes and bags, outdoor gear, household essentials, children's products, sporty and trendy collectibles, food, and wine via the NIO app.
- NIO Life is committed to pooling efforts to create socially and environmentally friendly products. It has signed a cooperation agreement with the Shan Shui Conservation Center for conservation projects in the Giant Panda National Park. Following the launch of the NIO Life National Park badges in 2023, the Clean Parks "National Park—Red Panda" series was introduced during the reporting period to protect the habitat of wild red pandas.



A Stunning Sika Deer With Beautiful Eyes

A Koklass Pheasant Walking Alone in the Snow



A Flock of Blue Eared-Pheasants Gazing Into the Distance

A Black Bear Tiptoeing Across the Slope

In addition, NIO places great importance on user feedback and incorporates it into every aspect of our daily operations. We provide multiple channels, such as the NIO User Advisors, NIO User Navigators, User Joy Partners, and NIO User Creative, for users to be deeply involved in brand building, product iterations and large-scale event planning. Through genuine experiences, our users grow together with NIO.

### NIO User Advisors

NIO User Advisors are engaged in NIO's brand building, including the preparation and organization of large-scale events such as NIO Day and NIO Cup.

### NIO User Navigators

NIO User Navigators deeply experience NIO software and hardware products to help with iterations and updates.

### NIO Radio

An exclusive audio community co-created by NIO users, where they share the latest news and interesting stories.

### NIO Band

Consisting of NIO users, NIO Band creates theme songs for events such as NIO Summer and NIO Day.

### User Joy Partners

A unique NIO community-based platform project for user co-creation and resource sharing that provides benefits to users through three major types of merchant partners: food, experiences, and accommodations.

### NIO User Creative

An exclusive stage for NIO users to share their creativity by capturing the unforgettable moments with their cars, co-creating the brand image of NIO.

# 4.0

# Joint Efforts for Employee Growth

Employees are the driving force behind NIO's relentless pursuit of technological innovation. We have created a diverse, equal, and inclusive workplace with honesty and care, offering opportunities to talent around the world. Leveraging NIO's distinctive value-driven system, we work to develop a holistic training and promotion system with a forward-looking vision to support employee growth. At the same time, we take proactive steps to implement occupational health and safety management, showing genuine care for employees' daily work and life, and continuously enhancing their job satisfaction and workplace well-being.


4.1 Talent Attraction and Retention
4.2 Talent Development and Training
4.3 Employee Care and Communication
4.4 Occupational Health and Safety

# 4.1

# Talent Attraction and Retention

NIO respects and protects human rights and labor rights. We embrace diversity, equity and inclusion to attract talent from different countries and different professional backgrounds. As such, we strive to create a more equitable and harmonious workplace, and firmly uphold principles against harassment, discrimination, and bullying, thereby protecting employees' rights and benefits.

By the end of the reporting period, NIO had a total of 45,635 employees, among whom 1,248 were non-Chinese mainland nationals, representing over 60 nationalities.

By the end of the reporting period, NIO achieved an 86% local hiring rate for senior management and professional employees across its operating regions. Regionally, the rate stood at 77% in Europe and 83% in North America.

| Awarding Institution | Award |
|---|---|
| Maimai | MAX 2024 Favoured Employer of the Year |
| zhaopin.com | Top 30 China Best Employers Award 2024 |
| zhaopin.com | 2024 China Best Employers for University Students |
| Liepin | 2024 Extraordinary Employer |
| nowcoder.com | 2024 NFuture Tech Talent's Favorite Campus Recruitment Employers |
| shixiseng.com | 2024 Best Employer |
| Offershow | 2024 Star Employer of the Year |
| haitou.cc | Most Influential Employer |
| CIIC acmcoder.com | 2024 Most Popular Campus Recruitment Employer |
| CIWEI | 2024 Most Influential Youth-Friendly Employer Brand |

# 4.1.1

# Compliant Employment and Rights Protection

NIO is committed to upholding compliant employment practices. We strictly abide by the *Labor Law of the People's Republic of China*, the *Labor Contract Law of the People's Republic of China* and other laws and regulations in the countries and regions where we operate. As a member of the UN Global Compact (UNGC), NIO strictly adheres to the *Universal Declaration of Human Rights* and the *International Labour Organization (ILO) Declaration on Fundamental Principles and Rights at Work*. We are resolute in safeguarding employees' rights to development, respect, and dignity, as well as ensuring their safety. We view our employees as partners and fellow entrepreneurs, fostering a community built on "mutual understanding, integration, and support". Protecting employees' rights is protecting NIO's interests. During the reporting period, we released a new version of the *NIO Employee Handbook*, underscoring content and provisions related to employee development, rights, and safety management. The handbook serves as a guide that integrates a global framework with local customization, driven by our corporate culture and values to manage and empower employee growth.

NIO respects and actively protects human rights and labor rights. We reject the use of child labor, forced labor, human trafficking, or any other form of human rights violations at any stage of production and operations. We have developed and strictly follow the *Employment Management Policy*, which clearly stipulates the minimum age for applicants and working hours for employees. During the recruitment process, we verify the identity information of applicants and conduct employment risk assessments with their consent to avoid any infringement on their rights. If any irregularities are found, we handle them appropriately in accordance with local laws and regulations. We adopt both the standard working hours system and the comprehensive working hours system, strictly controlling working hours and providing additional pay or compensatory leave for overtime in accordance with relevant laws and regulations. During the reporting period, the Company had zero violations involving child labor or forced labor.

### Information Registration Before Interviews

We extend interview invitations to candidates and obtain their professional background information with their consent, ensuring the protection of their personal information and privacy.

### Information Verification After Offer Being Signed

We check the candidates' identity information, educational credentials, employment history, and performance-related qualifications to verify their authenticity, mitigating the risks of child labor and infringement of other companies' intellectual property.

### Onboarding Initiation Following Verification

We confirm that candidates meet our recruitment compliance standards through information verification, mitigating the risks of child labor and potential non-compete violations.

### Respect for Freedom of Association

NIO has formulated the *Staff Congress Management Policy* to clarify its rights and responsibilities and to effectively safeguard the legitimate rights, interests, and democratic rights of employees. Through communication and consultation, NIO has reached a consensus with its employees on labor conditions and welfare benefits. As of the end of the reporting period, the collective bargaining agreement covered 100%* of employees within China.

**Overall, 97.6% of global employees are covered. Employees outside China are not included in the above statistic for now. We respect freedom of association for these employees as required by local laws in their countries.*

## 4.1.2

# Talent Recruitment

NIO has established the *NIO Recruitment Management Policy*, which encompasses the *NIO Internal Recruitment Management Policy*, and the *NIO Rehiring Policy*. These regulations standardize our recruitment process and ensure fair treatment for all applicants. We attract a diverse pool of dynamic and professionally-skilled talent through multiple channels, including campus recruitment, social recruitment, employee referrals, internal recruitment, and re-hiring, thereby further strengthening our team's competitive edge. In addition, we have established the NIO talent pool and created detailed profiles of top candidates, enhancing the alignment between talent and job roles and improving recruitment efficiency. NIO employs various initiatives to offer candidates a more efficient and welcoming recruitment experience, including streamlining job applications, increasing candidate engagement, conducting regular training and certification for interviewers, and providing Q&A support through our official WeChat account. In 2024, through the NIO recruitment system, we conducted a total of 126,740 interviews, with nearly 60,000 candidates providing feedback on their interview experience, achieving an average score of 4.86 out of 5. Both interviewer and HR ratings improved compared to 2023.

### Campus Recruitment

Attract young, energetic, and innovative talent

Through the Super Sparks Program and the Formula Student Talent Program, we actively attract high-potential talent, striving to drive technological innovation and industry development, as well as cultivate future leaders in the industry.

### Social Recruitment

Discover candidates who align with the Company's culture and values

We release social recruitment information through various channels, including official ones such as the Company's official website, WeChat official account, and the NIO talent pool, as well as third-party recruitment platforms like Boss Zhipin, Liepin, and Maimai. In collaboration with third-party recruitment partners, including headhunters and Recruitment Process Outsourcing (RPO) service providers, and by leveraging our recruitment system, we provide candidates with accurate and timely recruitment information and convenient application methods.

During the reporting period, we received a total of 1,047,844 resumes submitted from around the world.

### Internal Referral

Connect with experienced and knowledgeable talent

Internal referrals are the primary hiring channel at NIO. To strengthen this recruitment pathway, we continuously launch initiatives such as the "Internal Referral Campaign" for in-demand positions, selecting "Referral Ambassadors" and establishing "Internal Talent Scout Profiles". These efforts enable NIOers to connect with and refer the most suitable colleagues.

During the reporting period, 31.8% of the candidates joined NIO through internal referrals.

### Internal Recruitment

Respect employees' career aspirations

NIO always respects employees' career development and encourages those interested in internal mobility within the Company. Through continuously enhancing our system platform, we assist employees in finding suitable development paths.

### Rehiring

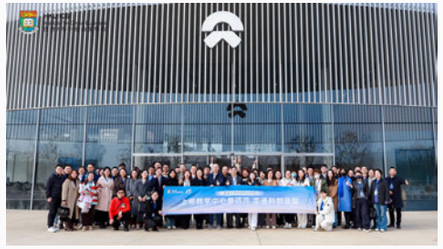
Attract experienced talent familiar with the Company

Through the continuous improvement of the system platform, while prioritizing the candidates' experience, we aim to activate the NIO talent pool and warmly welcome our former colleagues back.

### Visit by Students From the World's Top Universities to NIO

In 2024, NIO hosted 41 Open Day events for university and college students to visit NIO. The guests were young talent from renowned domestic and international universities, including Tsinghua University, Shanghai Jiao Tong University, New York University Shanghai, Tongji University, Harvard University, Stanford University, the University of Cambridge, the University of Oxford, Imperial College London, the University of Hong Kong, and the Hong Kong University of Science and Technology. These events fostered in-depth exchanges with faculty and students on NIO's products and technologies, intelligent manufacturing, and user operation strategies, establishing connections with leading global institutions.

In August 2024, more than ten students from Harvard University and the Massachusetts Institute of Technology (MIT) visited NIO's Nanxiang Delivery Center. Organized by China-United States Exchange Foundation, the program provided the students with an up-close experience of China's dynamic smart electric vehicle industry.



### Recruitment Among Students From Formula Student China Teams

NIO has been sponsoring the Formula Student China for ten consecutive years, empowering college students to realize their dreams in the automotive industry. We have established a dedicated application channel for team members of the 2025 Formula Student China competition. Furthermore, at the 2024 NIO Cup Formula Student China competition, William Li, NIO's founder, launched a "CEO Direct Hiring" initiative, offering face-to-face interviews with students. Over 30 students were granted priority interview passes with NIO on-site. Several have already officially joined NIO through this channel.

4.1.3

# Diversity, Inclusivity, and Equal Opportunity

NIO is committed to creating a diverse and inclusive workplace with equal opportunity. In addition to a global recruitment strategy targeting talent from various backgrounds, we highly concern about and strongly oppose any form of sexual harassment, discrimination, and bullying at work. We emphasize and explicitly commit in our internal policies, such as the *Code of Conduct and Ethics* and the *Employee Handbook*, that NIO does not tolerate any discrimination or harassment based on candidates' and employees' gender, age, ethnicity, region, religion, marital status, health condition, sexual orientation, or any other characteristic protected by law. We have publicly issued the *Commitment to Diversity, Respect, and Fairness*, pledging to make every effort to maintain a working environment defined by respect, collaboration, mutual trust, and fairness.

In 2023, NIO established the Anti-Sexual Harassment, Anti-Discrimination and Anti-Bullying Working Team (Care Team). We also developed and implemented the *Global Anti-Harassment, Anti-Discrimination, and Anti-Bullying Policy*, providing multiple channels for both internal and external reporting and outlining a clear investigation process. During the reporting period, NIO appointed full-time investigators with expertise in labor compliance and investigative procedures. This represents a key control in our end-to-end process for the prevention, follow-up investigation, and post-incident review of sexual harassment, discrimination, and bullying at all touchpoints between employees, users, partners, and the Company. For verified complaints of harassment and discrimination, NIO issues disciplinary notices to the violators in accordance with the Company's rules and regulations. In serious cases, the violators are subject to penalties, including but not limited to termination of employment contracts, company-wide notifications, and referral to judicial authorities. All new employees, upon joining NIO, are informed of the Company's existing reporting channels and management mechanisms through anti-workplace discrimination and anti-harassment training. This fully protects their rights and interests. In addition, we continuously refine our Code of Conduct to clarify actions that could be classified as sexual harassment at work and periodically release typical case studies. Furthermore, we hold special seminars on anti-harassment, anti-bullying, and anti-discrimination in the workplace at our headquarters and regional offices from time to time, offering guidance and behavioral references for all employees.

During the reporting period, we achieved 100% employee completion of anti-discrimination and anti-harassment training.

## Special Seminars on Anti-Harassment, Anti-Bullying, and Anti-Discrimination in the Workplace

In March 2023, NIO established the Care Team, which aims to protect the legitimate rights and interests of every individual and to create a fair, respectful, inclusive, and positive working environment. During the reporting period, NIO held special seminars on anti-sexual harassment. Members of the Care Team shared relevant knowledge on topics such as "How to identify sexual harassment in the workplace", "How to respond to sexual harassment", and "How to report sexual harassment." Through case sharing, the seminars deepened employees' understanding of anti- sexual harassment practices and encouraged everyone to firmly say "no" to sexual harassment.

NIO's Complaint and Reporting Channels - Anti-Harassment, Anti-Discrimination and Anti-Bullying

Email of Care Team: care@nio.com

The Care Team is committed to promptly addressing concerns reported and will follow up diligently until the matters are fully resolved.

During the reporting period, supported by enhanced training and strong backing from the Company, several courageous female employees proactively stepped forward to jointly report a sexual harassment case. The Company responded promptly, launched a comprehensive investigation, and provided support to the reporters to prevent any further escalation. Following a thorough fact-finding process, the Company terminated the employment contract of the individual found responsible. In addition, to safeguard the reporters' personal safety and mental well-being, the Care Team assisted them with relocation arrangements and psychological counseling during the investigation, minimizing the incident's impact. The Company remains committed to upholding highest ethical standards to protect all employees' rights for a harassment-free workplace.

# 4.2

# Talent Development and Training

NIO values the contributions of every employee and is committed to supporting their personal growth and career development. Through NIO's value-driven mechanism, we encourage employees to set ambitious goals, practice self-driven management, and pursue continuous improvement based on authentic performance assessments, ensuring they are rewarded with incentives for personal growth. We are dedicated to providing a variety of practical resources to develop employees' value, leadership, and professional expertise, and we work together with them to foster a workplace environment that promotes active learning and continuous growth.

## 4.2.1

## Employee Development

We have designed a value-driven mechanism with NIO characteristics, aligned with NIO's core values, to guide our talent management practices. The mechanism encompasses four stages: value creation, value assessment, value growth, and value incentives. Together, these stages support our employees throughout their journey from goal setting to career advancement, helping them achieve career development. NIO has established a comprehensive job profile system based on position value, core responsibilities, behavioral performance, competency models, and intrinsic attributes. Furthermore, NIO has developed an employee development system centered around Individual Development Plans (IDP). This system provides each employee with a clear growth path and resource support tailored to their current position, competencies, and experience, assisting them in realizing their career goals while promoting the sustainable growth of both the Company and its people.

### Value Creation

NIO employs a VAU model for the self-driven management of goals and processes. VAU consists of three parts: Vision, Action, and Upgrade. NIO's management outlines the annual VAU in line with the Company's development strategies and goals. The annual VAU, after a consensus is reached through ongoing communication between departments, is broken down into quarterly VAU and further cascaded down to each employee's personal VAU. We regularly summarize and review the implementation and performance of VAUs to ensure alignment with a shared vision that guides employees to "do the right things" and "do things right." By doing so, we bolster employees' sense of mission, belonging, and value.

| | |
|---|---|
| Vision | Ambitious goals that are expected to be achieved, typically aligned with organizational strategies and higher-level objectives, providing clear direction and guiding people to do the right things. |
| Action | Key actions to achieve goals. By developing and tracking challenging and measurable actions, we are able to assess the progress toward goal achievement. |
| Upgrade | Dynamically and agilely track, iterate, and optimize goals and progress in practice to respond to changes in the pursuit of goals and ensure things are done correctly. |

### Value Assessment

To objectively and comprehensively assess employees' performance and value behaviors, we adopt the Enabler Indicator (EI) to conduct a comprehensive evaluation of employees' work results and their commitment to the Company's five Enablers. We also adopt the Value Indicator (VI) to provide reliable feedback on employees' behaviors, helping them identify the blind spots and opportunities for improvement. To ensure that the results of performance evaluation are objective, fair, and reasonable, each employee's performance evaluation results are calibrated and reviewed at different levels, taking into account the opinions of multiple reviewers. If employees have any doubts about the results, they can appeal and report to the Human Resources Department or department managers through internal emails and forums. The Human Resources Department and department managers are responsible for monitoring and handling any irregularities to ensure that employee complaints are addressed fairly. With the IDP's mentorship and coaching mechanism, employees can receive personalized guidance from their supervisors, senior colleagues, and professional coaches to adjust their working methods in a timely manner. Department managers and team leaders also pay attention to employees' work performance and status during daily management and carry out one-on-one conversations from time to time to help employees solve their daily work issues, promptly review their performance, and encourage continuous improvement.

**Enabler Indicator (EI) - An Individual Performance Evaluation Tool**

| | |
|---|---|
| Frequency | Every six months |
| Focus | Work results and work approaches |
| Dimension | Work results + five Enablers (Put Users' Interests First, Experiences Beyond Expectations, Continuous Innovation, System Efficiency, and Driven by Design) |
| Method | Self-evaluation, supervisor's preliminary evaluation, department calibration |
| Purpose | Reward high performers, motivate the slow progressors, and eliminate underperformers |

**Value Indicator (VI) - A 360-Degree Behavior Evaluation Questionnaire**

| | |
|---|---|
| Frequency | Every year |
| Focus | Daily behaviors |
| Dimension | 4 Values and 18 behavioral standards |
| Method | Evaluation questionnaires completed by supervisors, peers and subordinates |
| Purpose | Help employees identify the blind spots and opportunities for improvement through an all-round anonymous evaluation and feedback mechanism, giving them a clear understanding of themselves through others' feedback |

## Value Growth

To provide a unified global talent development channel and effectively help employees plan their careers, we have built a career development system named the NIO Career Path (NCP), which includes a job map covering 45 job categories across 9 job families. We have also established a dual career ladder, consisting of the Managerial Path (M Path) and Professional Path (P Path), to provide more diversified and suitable positions and promotion paths for employees with different career preferences and specialties. During the reporting period, we updated the standards for up to 40 job categories and developed learning maps covering 50 professional positions, creating a clearer, more precise, and highly guided career development path for employees. We define key positions and identify quantitative indicators of their impact on organizational development. We have established grading criteria that assess behaviors from general to excellent levels, and we have also put in place a job portrait system summarizing the core competencies required for each position. For key positions, quantitative assessments are conducted to measure their impact on organizational development. Meanwhile, through the annual NIO Talent Planning (NTP), we effectively identify key talent and plan for tiered talent pool reserves, deeply linking talent development with corporate strategies. We develop talent pool action plans that cover recruitment, rotation, training, and promotion, which are seamlessly integrated with the recruitment system, compensation and incentive system, appointment system, training system, and development system.

### Core of NIO's Job Portrait System

**Position Value**

Systematically analyze the position's contribution to the overall development of the enterprise across five core dimensions: strategic planning & business success, organizational development & leadership building, innovation & continuous improvement, user value creation & environmental response, and communication & cross-functional collaboration, ensuring a comprehensive and in-depth evaluation.

**Core Responsibility**

Identify the key tasks of the position, clarify the scope of responsibilities, and build a task matrix that spans the entire lifecycle of the position, laying a solid foundation for subsequent skill requirements and assessment.

**Behavioral Difference**

Further break down key responsibilities into general and excellent behaviors, delineating differences between role performance levels based on precise behavioral standards, and forming a key benchmark for identifying high-potential talent.

**Key Capability**

Identify the key competencies required for the position based on its core value and the excellent behaviors expected, to form an efficient talent competency profile and ensure alignment between competencies and the position's requirements.

**Application**

Implement the portrait outcomes throughout the entire talent management chain, including selection criteria, competency gap assessments, training program development, performance improvement, and tiered talent pool building, to achieve closed-loop value realization.

We have formulated the *NIO Career Path Management Policy* to support our employees in achieving career growth through an open promotion process and clear evaluation criteria. We provide promotion opportunities, including centralized certification twice a year and occasional individual certification, through which employees can apply for promotion based on internally disclosed competency standards and requirements for each grade. We ensure that promotion information is transparent, and assessment data is accurate and traceable to maintain the trust of our employees. To this end, we adopt a digital promotion evaluation system that enables all processes to be conducted online, reducing the risk of errors and biases that may arise from manual operations. This makes the entire promotion evaluation process more fair, just, and open, effectively protecting employees' equal rights and interests during career advancement. The NIO Career Path Team (NCPT) is responsible for real-time monitoring and periodic review of key data and steps in the promotion process, ensuring that all information is truthful and reliable, with no concealment or misleading content. Employees can access and review relevant information at any time, which effectively enhances their trust in the promotion system.

Applications for promotion will be reviewed and confirmed by the departments, the Job Category Expert Team and the Career Path Team. Adhering to the principles of people-oriented and transparent communication, before the promotion results are officially announced, the evaluation experts will fully communicate with the employee or the supervisor regarding the basis of the evaluation and the factors considered. This step helps employees gain a clear understanding of their own performance and the evaluation results, enabling them to feel NIO's care and respect for their career development. If employees have doubts about the results, they can file a complaint with the NCPT. NCPT members will re-examine and re-evaluate the matters in question in a fair and objective manner to maximize the fairness and accuracy of promotion decisions and fully protect the legitimate rights and interests of employees. In addition, we have set up the NCP Sub-Committee to connect business and strategic needs, help share the workload in evaluations, speed up responses to staff feedback, and optimize resource allocation efficiency.

By the end of the reporting period, 100% of the employees (excluding those on probation) had undergone regular performance and career development assessments.

NIO also provides employees with flexible internal job transfer opportunities to help them explore new career interests and development directions. We have developed and comply with the *NIO Internal Recruitment Management Policy*, which states that internal transfers are applicable to all positions open for external recruitment. The policy also standardizes the approval process and clarifies the responsibilities of all relevant parties, providing a clear basis and support for internal transfers.

During the reporting period, 13,894 employees were successfully promoted, and 3,668 employees completed internal job transfers.

## Value Incentives

NIO inspires employees to live up to the values of “Honesty, Care, Vision, and Action” by providing both material and spiritual incentives. The material incentives include annual/monthly performance bonuses, annual salary adjustments, and equity incentives. Spiritual incentives are awarded through the NIO Medal of Value system and the Value Packet. To recognize the outstanding contributions of teams and individuals, we hold the NIO Value Gala and present a series of awards, such as the individual award “NIO Super Stars” and team award “NIO Achievement Awards.”

As 2024 marks the 10th anniversary of NIO’s founding, we planned a series of activities under the theme of “Together & Further”, including the NIO Value Gala, desk visits, and the awarding of the Ten-Year Service Medal, to celebrate and commemorate this special occasion with our employees.

More than 100 events were held around the world,

involving 48 regional companies,

24 major offices in China,

and more than 4 branch offices in Europe and the US.

NIO Value Gala

Ten-Year Service Medal Award Ceremony

Desk Visits

## 4.2.2

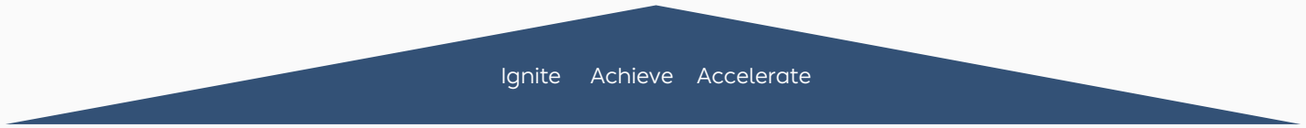
# Talent Training

Training is an important part of how NIO helps employees achieve personal development, and a key guarantee in enabling them to become sustainable practitioners of the NIO style. For details of our training on compliance, information security and privacy protection, and Environment, Health and Safety (EHS), please refer to "1.3 Compliance Management and Business Ethics", "1.4 Information Security and Privacy Protection", and "4.4 Occupational Health and Safety". To support employees' upskilling and diversified growth, NIO has customized more than 30 high-quality training programs across four dimensions: value, general competency, professional competency, and leadership, for employees at all levels—from campus recruits to managers. These programs meet diverse needs, ranging from standardized to customized and from online to offline training. We leverage the Welearn digital learning platform to integrate training resources suitable for online delivery. In addition, NIO has established a Learning & Development Center (LDC) to provide targeted training programs for the three business clusters. The LDC collaborates with business departments to implement these training programs, helping talent within different business clusters enhance their business capabilities.

NIO has established a training satisfaction tracking mechanism for all training programs, which serves as a criterion for evaluating the effectiveness of these programs. In addition, we continuously optimize the Training & Development Instructor (TDI) system. We provide a four-step training journey for candidate instructors—kick-off, empowerment, practice, and certification, helping them fully acquire teaching and communication skills, and driving the continued growth and empowerment of the TDI team.

By the end of the reporting period, Welearn had launched 11,804 online courses, including 4,320 courses introduced during the reporting period.

During the reporting period, 240 new internal instructors were certified, bringing the total number of certified internal instructors at NIO to over 1,600 by the end of the reporting period.




Learning & Development Center-LDC
Provide customized talent training and development solutions for various business clusters based on business issues, needs, and challenges.

| Values | General Competencies | Professional Competencies | Leadership |
|---|---|---|---|

### Training & Development Instructor-TDI

TDIs are internal part-time training instructors responsible for the development and iteration of online and offline courses, as well as the consolidation of course cases. They serve as lecturers, guest speakers, judges and facilitators in training programs. Employees can enroll and complete learning tasks to become a "TDI candidate," and then advance to a "Certified TDI" through the TDI Empowerment and Certification Program.

### NIO Digital Learning Platform-Welearn

Welearn includes online training courses covering leadership, general competencies and professional competencies. It consolidates policies and regulations, as well as current events inside and outside the Company, and features a variety of engaging learning sections, such as the NIO library, Expert Sessions and Prize Contests, to create a better learning and interactive experience for employees.

## Starlink Plan

48 training sessions were held during the reporting period, covering 1,322 attendees

With the core objective of enhancing “non-authority leadership”, this program conducts customized value workshops and business case simulation teaching and training in phases for core high-potential managers. The Starlink Plan will help managers to achieve significant improvement in leadership and promote team cohesion through hands-on practice.

## Co-Engine Plan

143 activities were organized during the reporting period, covering 8,166 attendees

Targeting high-potential managers, this program focuses on problem-solving in real-world scenarios. With the aim to enhance management skills, it combines training with hands-on practice in a group setting to develop comprehensive capabilities. The Co-Engine Plan will cultivate backbones for NIO’s sustainable development management.

## Leadership Simulation Training (LST) Program

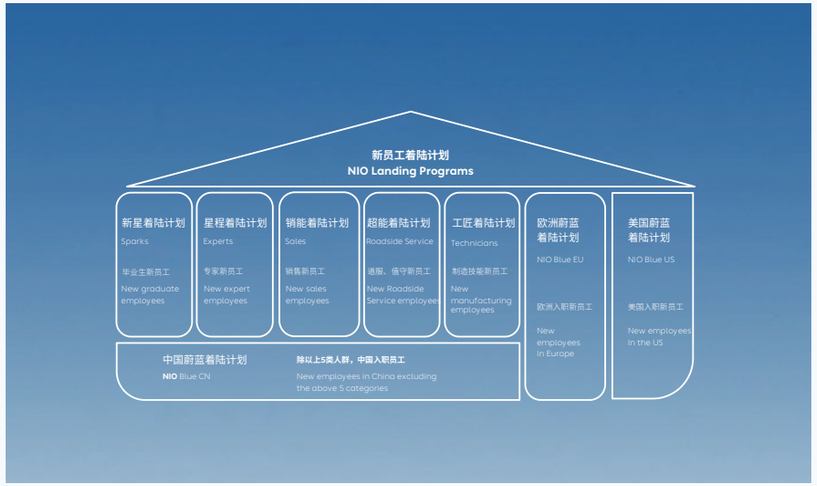
152 training sessions were delivered during the reporting period, covering 2,755 attendees

Targeting front-line sales management personnel (store managers), this program uses NIO’s internal case library as a foundation and adopts agile workshop discussions to learn from successful cases and implement action plans. LST empowers front-line managers, enabling participants to learn through practice, observation, and role-playing.

## Value

NIO tailors onboarding training programs for new hires of various types based on specific business scenarios. The Landing Project helps new employees gain an in-depth understanding of NIO's mission, vision, business model, cultural values, and essential information on compliance and quality safety, facilitating their smooth integration into the Company.

During the reporting period, a total of 333 training sessions were held in China, covering 14,082 attendees. The actual training coverage rate for new hires within their first 90 days was 92%, and the overall average satisfaction rating from trainees was 4.85 out of 5.0.



## General Competency

Focusing on both business needs and employees' personal needs for enhancing general skills, NIO has launched the "NIO Fun 6+1" program. Precise methodologies and real-life cases are integrated in these training courses to improve employees' capabilities in addressing key challenges in the workplace. During the reporting period, a total of 103 general training courses were offered, covering 3,936 attendees, with an average satisfaction rating of 4.86 out of 5.0.

### Professional Development

Training courses on essential office skills, performance management, and workplace etiquette to improve productivity.

### Cognitive Development

Training courses on project management essentials and practices, the Pyramid Principle, and Agile Thinking to facilitate cognitive development of employees.

### Communication and Expression

Training courses on daily communication skills, structured expression, and reporting skills to enhance employees' communication and expression skills.

### Teamwork and Collaboration

Training courses on empathy enhancement, teamwork skills, and cross-departmental cooperation to ensure cohesion within the team.

### Self-Discovery

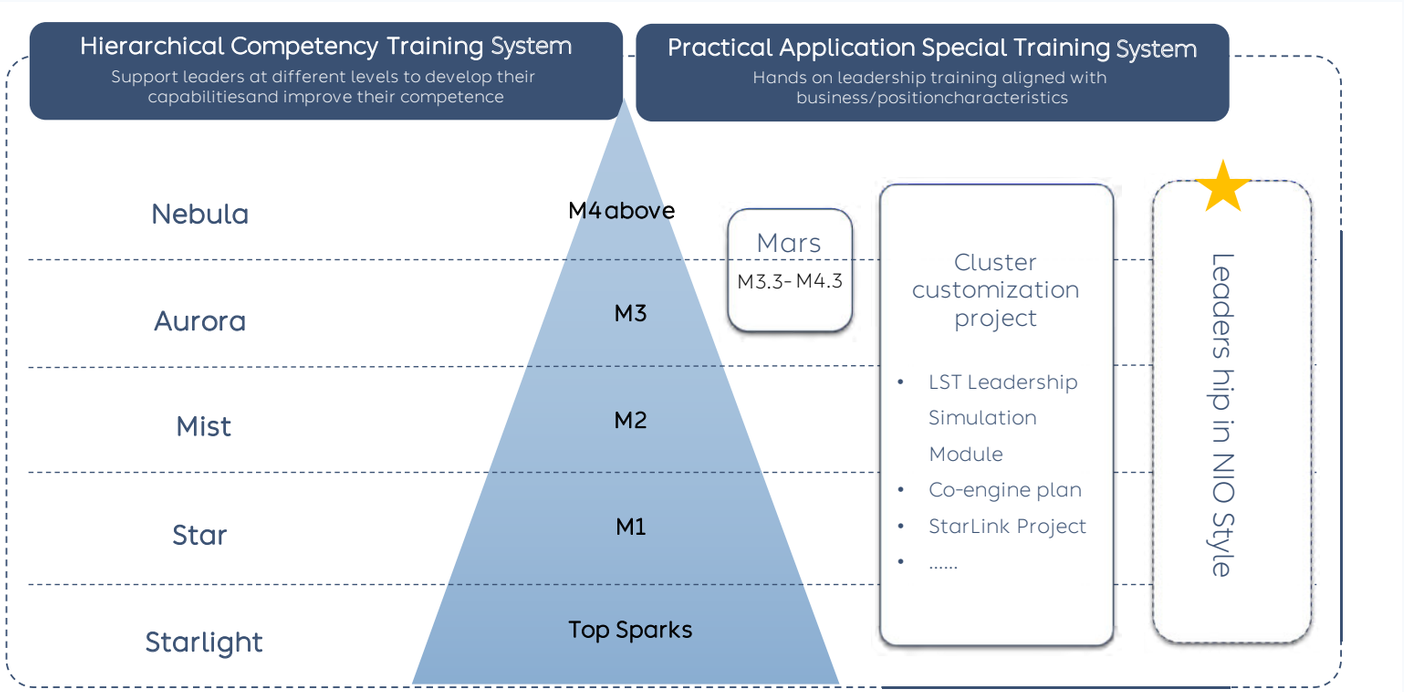
Training courses on career interest exploration, emotion management, and personality, behavior and cognition to help employees explore themselves.

### Management Essentials

Training courses on interviewer pro tips, management skills, influence development, coaching capability, and self-driven mindset to enhance workplace performance and leadership.

## Leadership

Based on the NIO Value System, we have designed a leadership development program in line with the Company's management scenarios and tools, providing leadership training to managers at different levels through two systems: the "Hierarchical Competency Development System" and the "Practical Application Special Training System." During the reporting period, a total of 79 leadership training sessions were conducted, covering 3,098 attendees, with an average satisfaction rating of 4.73 out of 5.0.




NIO Academy Leadership Development System

## Professional Competency

At NIO, we offer development programs and professional courses to talent of different specialties, aiming to build an ecosystem for professional learning and enhance the pathway to and enrich the resources for employees' career development. This section includes professional talent projects, NCP courses, external resource platforms, and external learning/continuing education programs. During the reporting period, based on the job level standards under the NCP framework, we developed learning maps and course packages for 32 positions, with 407 courses available on the Welearn platform.

During the reporting period, a total of 238 professional competency training sessions were held, covering 23,791 participants, with an average satisfaction rating of 4.8 out of 5.0.

In addition to providing employees with a wide range of training courses and programs, the Company also actively supports their continuous advancement in academic qualifications and vocational skills.

During the reporting period, a total of 57 employees enrolled in NIO's continuing education program to improve their academic qualifications and enhance their professionalism and competitiveness. In addition, a total of 705 employees obtained external certifications with the Company's support.

# 4.3

# Employee Care and Communication

At NIO, we integrate honesty and care into every aspect of our employees' work and lives. We offer a competitive compensation and incentive system, along with vibrant communities and engaging activities, thus creating an environment that supports both meaningful work and a fulfilling life. We also take employees' voices and feedback as a key cornerstone for NIO's talent management practices, which enable us to continuously improve the work experience and support the career development of NIOers.

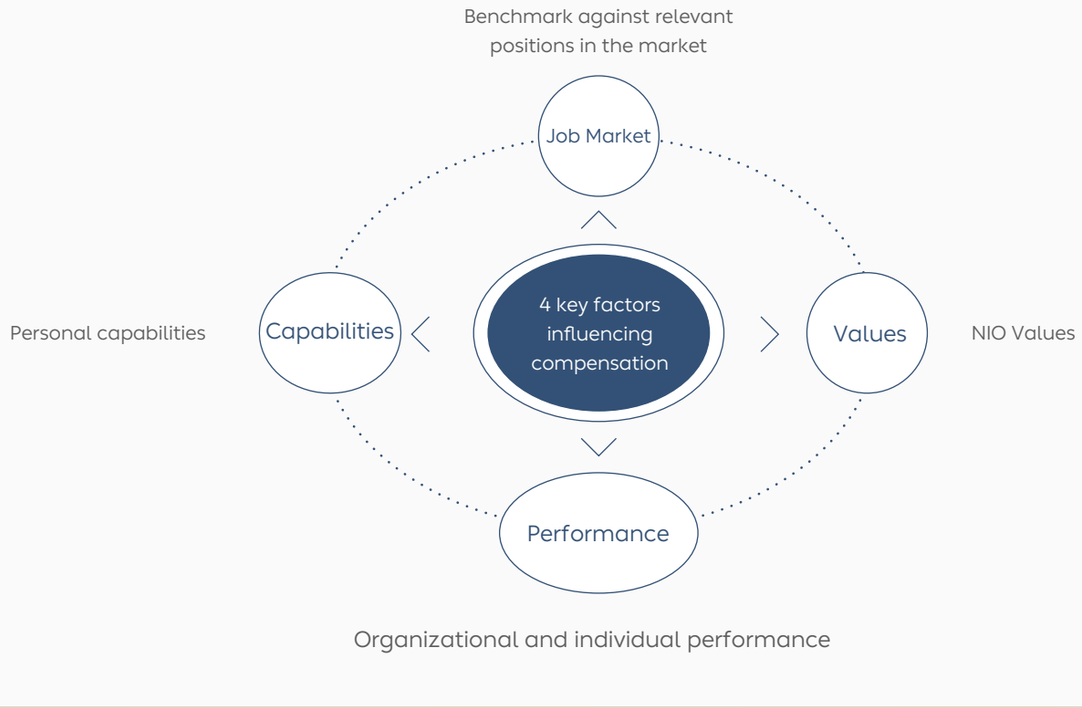
## 4.3.1

## Employee Compensation and Benefits

### Employee Compensation

As a company where every employee owns shares, NIO continuously optimizes its compensation and incentive system. We adhere to the principle of equal pay for equal work, and have designed a compensation framework featuring "competitive cash payments, market-leading long-term incentives, and benefits with care." At NIO, we evaluate and adjust employee compensation based on four dimensions: market salary benchmarks, organizational and individual performance, personal capabilities, and alignment with corporate values. NIO has implemented equity incentives globally, achieving 100% coverage of full-time employees included in the consolidated financial statements. During the reporting period, we conducted an annual overall salary survey, a store incentive mechanism survey, and a starting salary survey for college graduates. Leveraging market data, we reviewed and refined our cash and equity incentive structure in real time, applying the findings to the annual salary adjustment to ensure competitive compensation for employees. In addition, we adjusted compensation and incentive plans for front-line employees on a monthly basis in response to market and business developments, further motivating our employees.

Key Factors Influencing Compensation at NIO



## Employee Benefits

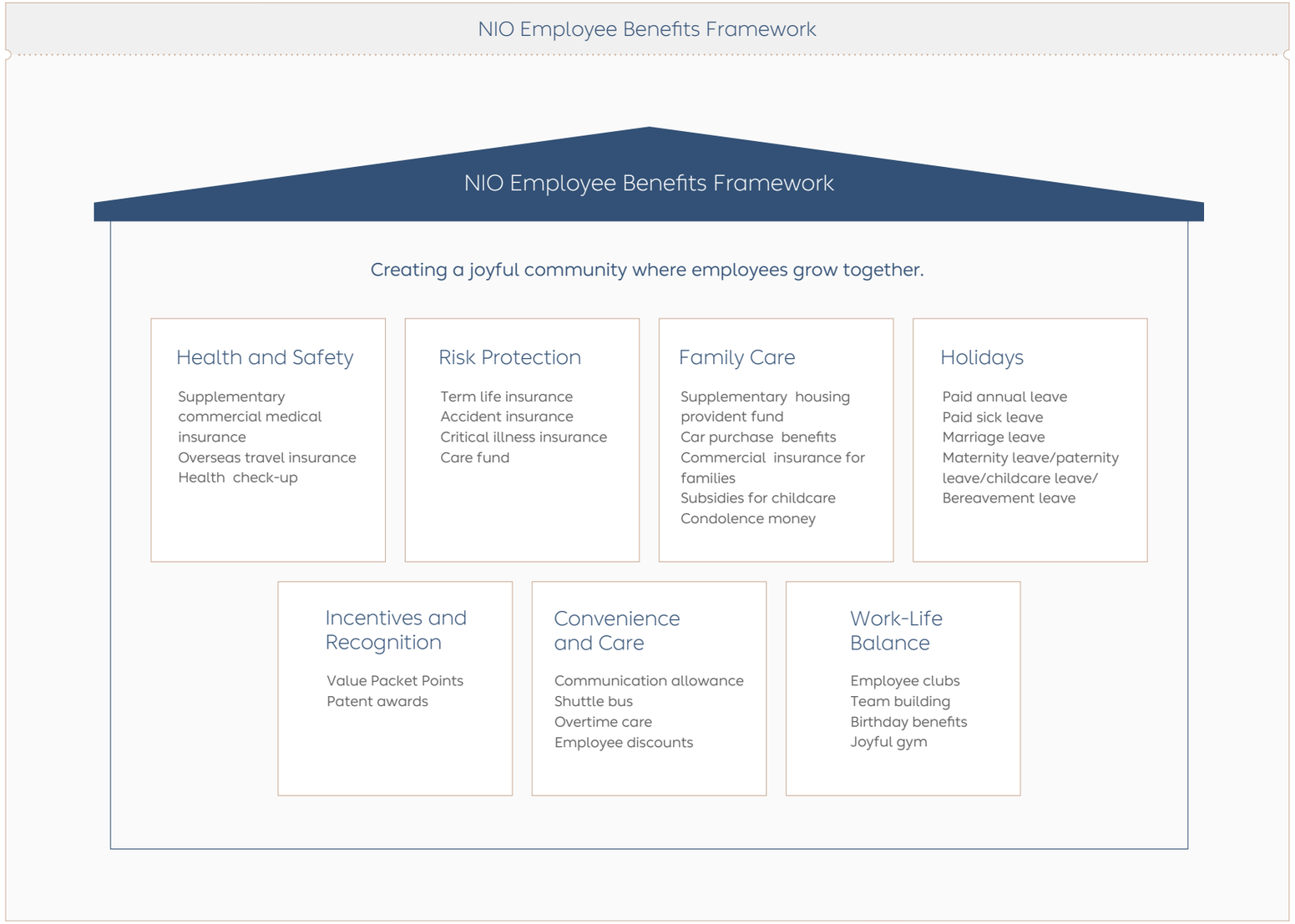
We have established a comprehensive benefits system that consists of seven major parts, including health and safety, risk protection, family care, and holidays, providing full care for our employees and meeting their aspirations for a better life. We offer paid leave policies based on the specific conditions of each city, such as marriage leave, maternity leave, paternity leave, childcare leave, and eldercare leave, creating favorable conditions for employees to enjoy family life with peace of mind. Besides, we provide nationwide discounts and employee purchase benefits including shopping, entertainment, hotel accommodations, dining, and healthcare. During the reporting period, we launched 359 employee benefits initiatives, covering all employees.

During the reporting period, we prioritized employees' mental well-being by officially launching the Employee Assistance Program (EAP), offering professional psychological assessments, counseling services, and targeted guidance and training programs, covering 100% NIOers within China (including interns).

### NIO Employee Assistance Program (EAP)

In July 2024, NIO launched the Employee Assistance Program (EAP) to help employees manage stress and emotional challenges in work and life through professional psychological counseling services. We have partnered with a leading psychological counseling institution with over 600 professional counselors, fully covering the cost of counseling services for employees and their immediate family members. The program takes structured therapeutic approaches, including solution-focused brief therapy and cognitive behavioral therapy, to assist employees and their families in improving their well-being.

The EAP follows a voluntary and confidential approach, ensuring strict data privacy throughout the process. From appointment scheduling to post-session procedures, all personal information is encrypted and anonymized. Counseling sessions are not video or audio recorded, and personal information is only used in exceptional cases for emergency interventions.



NIO cares about and prioritizes the needs of female employees, and is committed to helping women in the workplace achieve a better work-life balance. We set up mother and baby rooms at our operation sites nationwide where there is a demand, providing a comfortable and private space for mothers working at NIO. During the reporting period, we celebrated International Women's Day and took the opportunity to actively collect feedback from female employees, so as to better safeguard their rights and well-being. Based on the feedback collected, we organized 12 women's care events, including seminars on matrimonial property law, singing bowl healing, and life aesthetics, to help women in the workplace better cope with professional and family pressure. The events saw over 300 participants on site, with their influence spread across all channels within the Company. Related online coverage of the events has garnered over 15,000 views.

## ▶ Speak Up for Ourselves: Women in Tech Roundtable Forum

On March 7, 2024, NIO hosted the first "Speak Up for Ourselves: Women in Tech Roundtable Forum," inviting NIO's female tech representatives to share their insights on career choices and how to tackle career development challenges. As professionals in the smart EV industry, they shared their experiences with a wider audience on how to lead teams to overcome technical obstacles, achieve business success, and foster personal growth. The forum encouraged all female employees of NIO to explore their potential and become their better selves, embracing the idea of "speaking up for ourselves."

4.3.2

# Employee Communication and Activities

At NIO, we value employees' concerns and suggestions, and believe that open and transparent communication is essential for fostering mutual understanding between the Company and its employees. We actively build diverse communication channels for our employees and take the initiative to carry out employee satisfaction surveys, maintaining friendly and honest communication with employees with a sincere and open attitude. We convey company values, culture, and information through various channels and listen to employees' feedback and suggestions. We also organize Value Compass, Will I Am, "Meet With Experts", and other employee communication activities to foster in-depth conversations with our employees in an equal and respectful manner.

### NIOer Service

The one-stop HR service platform assists employees in handling HR-related matters such as personal benefits inquiries, leave applications, and personal information maintenance.

### Message

An information platform that mainly delivers the Company's official, time-sensitive news.

### Listening Mailbox

Employees can give feedback, complain, or report anytime via listening@nio.com

### Morning 858

A multimedia platform that facilitates communication, dissemination, listening, and growth for the organization and its employees, guided by the principles of being real, relaxing, and inspiring.

During the reporting period, we restructured the Morning 858 with 4 key functions: "Knowledge, Growth, Communication, and Recognition," to better serve employee needs. The platform combines internal news and external industry updates with business knowledge, roundtable discussions and exchanges, and NIO Super Star stories, strengthening internal communication and information exchange.

### Speak Out

A popular in-house platform for employees to express their opinions and attitudes, and get responses.

During the reporting period, we updated the convention of the Speak Out forum, adhering to the community principles of "freedom of speech without indulgence and openness with moderation." We encourage and protect real-name speech while also ensuring the privacy of employees who post under pseudonyms.

## Meet With Experts

We have innovatively launched "Meet with Experts," a platform for cross-level communication, thus establishing a unique and informal exchange channel beyond the standard training system. By encouraging employees to engage in direct and in-depth conversations with industry experts, this platform broadens employees' horizons and significantly enhances their professional skills. In turn, it provides seasoned experts with a valuable opportunity to listen to front-line voices, understand grassroots needs, and gain fresh perspectives on innovation. This two-way exchange of knowledge and experience thrives in an open and relaxing environment that encourages free expression. It greatly facilitates cross-departmental and cross-level information sharing and collaboration, inspiring participants to examine workplace challenges from diverse perspectives and propose innovative solutions. Ultimately, it strengthens the Company's internal knowledge ecosystem, fostering a virtuous cycle of continuous growth.

## Will I Am

Will I Am serves as a key platform for cultural and strategic communication at NIO, providing a stage for dialogues between William Li, Founder of NIO, and employees.

In 2024, we hosted two Will I Am sessions. One was on the NIO Value System 3.0, attended by over 20,000 employees on-site and online, and the other was the 10th-anniversary special session, with more than 30,000 employees participating on-site and online.

During the NIO Value System 3.0 session, William shared insights on the evolution of the NIO Value System, reflected on the Company's founding inspiration, and introduced the new mission of "Shaping a Sustainable and Brighter Future Together." He engaged with employees to reinforce the shared belief in striving forward together for the common mission and vision. At the 10th-anniversary special session, William led employees in reflecting on NIO's achievements over the past decade and shared insights on the Company's future business model and strategies. This event provided employees with a deeper understanding of the Company's current trajectory while encouraging them to freely express their views, actively contribute to decision-making, and drive the Company's development, strengthening employees' sense of belonging and accomplishment.

NIO attaches great importance to employees' feelings and needs regarding their work and carries out yearly employee satisfaction survey. The survey contains 19 questions across eight dimensions, namely willingness to work, willingness to recommend, willingness to stay, willingness to strive, confidence and identity, environment and atmosphere, development and incentive, efficiency and support, with open-ended questions to better understand employees' specific needs and concerns. In addition, the survey helps the Company gain insight into how happy employees are at work and their satisfaction with the Company's management, work environment, and personal development. The questionnaire is translated into eight languages, covering all full-time employees and interns worldwide. During the reporting period, we distributed 32,256 questionnaires and received 23,585 valid responses, with the overall satisfaction rating on par with that in 2023 at 3.97/5. We analyzed employees' responses to open-ended questions, identified frequently mentioned issues, and conducted in-depth interviews with relevant department heads to develop targeted action plans.

Willing to Work | Willing to Recommend | Willing to stay | Willing to strive

**Confidence and Identity**

Mission and vision
Confidence in the Company

**Environment and Atmosphere**

Alignment of goals
Team communication
Care and respect

Organization | Team

Employee Satisfaction Indicator

Individual | Support

Development opportunities
Material reward
Feedback and recognition
Training and learning

**Development and Incentive**

Processes and mechanisms
Cross-functional collaboration

**Efficiency and Support**

## Employee Activities

At NIO, we hope that employees can enjoy engaging activities and quality family time outside of work. The Company organizes activities infused with creativity, fun and warmth, ranging from sports meets and traditional festival celebrations to parent-child activities like "Daddy's Day Out" and Baby Summer Camp to help employees build deeper connections with colleagues and family. During the reporting period, we organized more than 28 employee activities, covering diverse themes such as traditional festivals, sports events, and parent-child interaction.

In addition to organizing a variety of activities, NIO also supports employees by providing venues and resources to encourage them to gather, share, and pursue common interests. As of the end of the reporting period, we had established a total of 25 clubs and held over 600 events with more than 5,000 employees participating. Moreover, we organized a series of NIO sports competitions, such as basketball games, football matches, and Honor of Kings Champion, to provide a platform for employees to experience the charm of sports and increase their physical activity. Among these events, the Honor of Kings Champion was one of the largest, with over 1,000 participants. During the reporting period, we also hosted our first cycling-themed event to promote green mobility and encourage employees to take actions in practicing energy conservation and emissions reduction.

The E-Sports Event

The Green Cycling Event

# 4.4

# Occupational Health and Safety

NIO provides comprehensive occupational health and safety protection for its employees and those of all relevant partners through a company-wide EHS management system. We strictly comply with the *Law of the People's Republic of China on Work Safety*, the *Law of the People's Republic of China on the Prevention and Control of Occupational Diseases*, the *Fire Protection Law of the People's Republic of China*, and other laws and regulations related to work safety and occupational health in places where we operate. We've developed an EHS management system covering all business scenarios and are committed to enabling the right people to implement EHS management correctly and efficiently, ensuring smooth business operations. During the reporting period, we officially launched the EHS Digital Platform, which enables unified EHS management and data analysis, further enhancing our ability to manage occupational health and safety risks.

We have set substantive and measurable objectives for health and safety management, and take systematic precautions to manage risks. During the reporting period, NIO officially released the *Environmental, Health and Safety Policy* to guide our EHS risk management efforts, aiming to protect employee health and safety while supporting sustainable business development. We regularly review the *EHS Management Handbook* to ensure its compliance, applicability and the effectiveness of our occupational health and safety management. Additionally, we have formulated and implemented a series of standards and guidelines, such as the *NIO's EHS Standards and Requirements* to ensure the effective implementation of *EHS management*. To enhance the retrieval and dissemination of EHS-related information and facilitate convenient, systematic learning for our staff, we have consolidated all levels of EHS management documents into an online EHS library.

All work at NIO must be carried out with health and safety guaranteed. With the aim of "creating a safe and healthy working environment," NIO will provide the necessary resources and information to enhance the following areas:

- Preventing injury and illness
- Promoting physical and mental health
- Reducing EHS risks
- Preventing pollution
- Preserving natural resources

| 2024 NIO Global Occupational Health and Safety Targets* | Achievement of Targets in 2024 | |
|---|---|---|
| Total Recordable Incident Rate* ≤ 0.2 cases/200,000 man-hours | Total Recordable Incident Rate: 0.07 cases/200,000 man-hours | Achieved |
| Lost Workday Severity Rate* ≤ 5.0/200,000 man-hours | Lost Workday Severity Rate: 1.38 days/200,000 man-hours | Achieved |

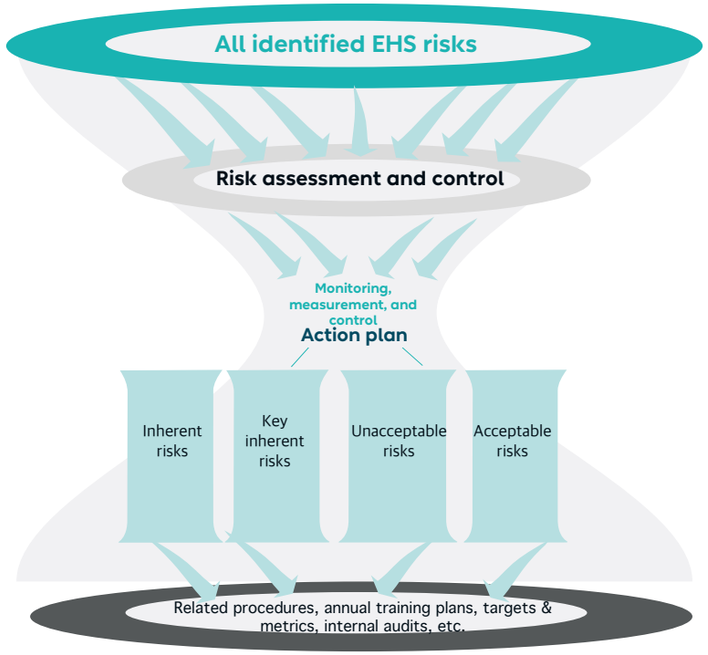
## 4.4.1

## Monitoring of Production Safety

Safe operations rely on comprehensive safety monitoring and an efficient prevention and management system. We have updated our EHS management standards and tools, including standardizing the evaluation of EHS risks across all business processes. This enables all NIO employees to swiftly and effectively identify risks and take proactive mitigation measures. Additionally, we conduct safety reviews covering R&D, manufacturing, sales, delivery centers, and after-sales, achieving full business coverage.

### Risk Identification and Management

NIO has set up a comprehensive closed-loop system for identifying and managing security risks across its entire business chain. We identify hazardous and harmful factors based on *GB/T 13861-2022 Classification and code for the hazardous and harmful factors in process*. After identifying the source of hazards, we assess its impact on people, the environment, and the business in terms of its severity, degree of exposure, and likelihood of occurrence. We formulate risk classification and control measures based on the assessment results to ensure continuous monitoring. Additionally, we control risks through measures such as associated procedures, annual training plans, targets & metrics, and internal audits. In addition, we update the Hazard Identification and Risk Assessment (HIRA) tool and develop supporting training materials to strengthen organizational capabilities, system processes, and digitalization in EHS risk management.




2024 NIO Global Occupational Health and Safety Targets*: The scope includes NIO's global full-time employees and contractors.
Total Recordable Incident Rate*: The ratio of the number of recordable work-related injuries occurring within a given time period to the total number of employee working hours.
Recordable Incident: An incident that results in death, lost workdays, restricted work or job transfer, medical treatment beyond first aid, or loss of consciousness. It also includes any significant injury or illness diagnosed by a physician or other licensed healthcare professionals, even if it does not lead to death, lost workdays, restricted work or job transfer, medical treatment beyond first aid, or loss of consciousness.
Lost Workday Severity Rate: The ratio of the number of lost workdays due to work-related injuries within a given time period to the total number of employee working hours.

## Safety Management at Operating Premises

With the rapid development of AI tools, NIO fully utilizes AI recognition capabilities in conjunction with existing hardware such as CCTV cameras to realize special-visual recognition functions for detecting operational hazards and violations, issuing on-site alerts and triggering backend alarms to ensure the safe operations of various laboratories and test sites. In 2024, we deployed an AI-powered safe operation solution targeting violations across scenarios, including factories, R&D workshops, warehouses, battery pack storage facilities, restricted parking lots, and stores. The system can quickly identify improper use of personal protective equipment (PPE), cases that employees enter restricted/hazardous areas or take photos without authorization, and dangerous situations indoors like smoke or fire. Once a violation is detected, the AI system sends out on-site reminders and triggers backend alarms, serving as an effective complement to manual inspections. After a year of AI-driven safety operations, we have seen enhanced safety awareness among employees, and a remarkable drop in the number of violations.

## Partner Management

NIO helps its partners to continuously improve their EHS performance. Our EHS policy clearly requires us to maintain communication with our partners and leverage NIO's influence, resources, and capabilities to support their EHS management, thereby achieving a win-win outcome. We enter into EHS agreements with our partners, obligating them to strictly comply with the *Safety and Environmental Management Regulations* when providing services at NIO's sites or designated third-party locations. For any breach of the regulations, we will take a series of measures, such as requiring rectification within a certain period of time, issuing warnings, or even claiming for compensation, so as to effectively enhance our partners' safe operation norms and awareness. In case of serious violations, we may terminate the partnership or cancel the contract. We also implement lifecycle EHS management for our partners and work with them to create a safe workplace.

## Emergency Response System

We have been upgrading the Company's emergency response system to ensure quick and precise response to emergencies and better protect the safety of personnel and the Company. NIO has established an emergency response system with clearly defined responsibilities as well as tailored response and management procedures for specific emergencies, such as traffic accidents, battery fires, and production emergencies, which enhances the response efficiency and effectiveness of employees in the face of emergencies.

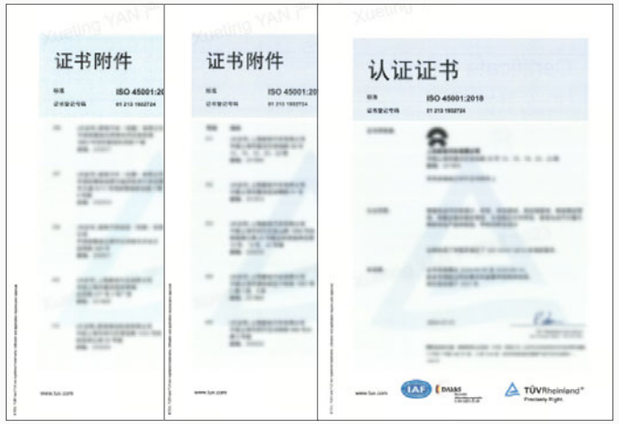
During the reporting period, NIO conducted over 500 emergency drills across the company, covering multiple locations such as the R&D and testing areas, production and manufacturing areas, sales and maintenance areas, and centralized office areas. These drills encompassed a wide range of emergency response procedures and scenarios, including fire evacuation, vehicle battery anomalies, acute poisoning, mechanical injuries, chemical leakage, special equipment failures, heatstroke, etc.

Emergency Response Drills

4.4.2

# Health and Safety Assurance

NIO is committed to implementing employee health and safety management in a scientific, systematic and standardized manner. The Company strictly adheres to the applicable laws and regulations in the countries and regions where it operates, such *as the Law of the People's Republic of China on the Prevention and Control of Occupational Diseases*, and has established employee health and safety management systems, including the Occupational Health Management Program, to ensure that our practices are both legally grounded and systematically regulated. As of the end of the reporting period, 14 subsidiaries of the Company had obtained the IS0 45001 Occupational Health and Safety Management System certification, covering 82% of the Company's office, R&D, and manufacturing sites, ensuring a healthy and safe working environment for employees.



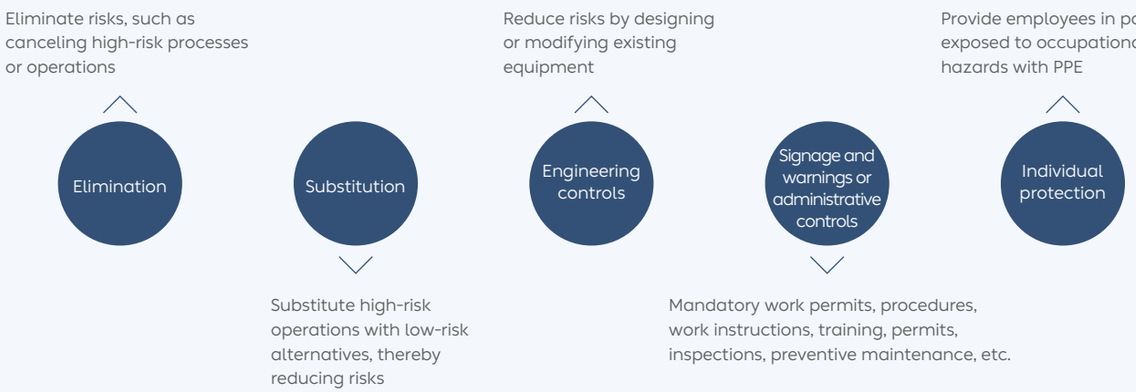

ISO 45001 Occupational Health and Safety Management System Certification

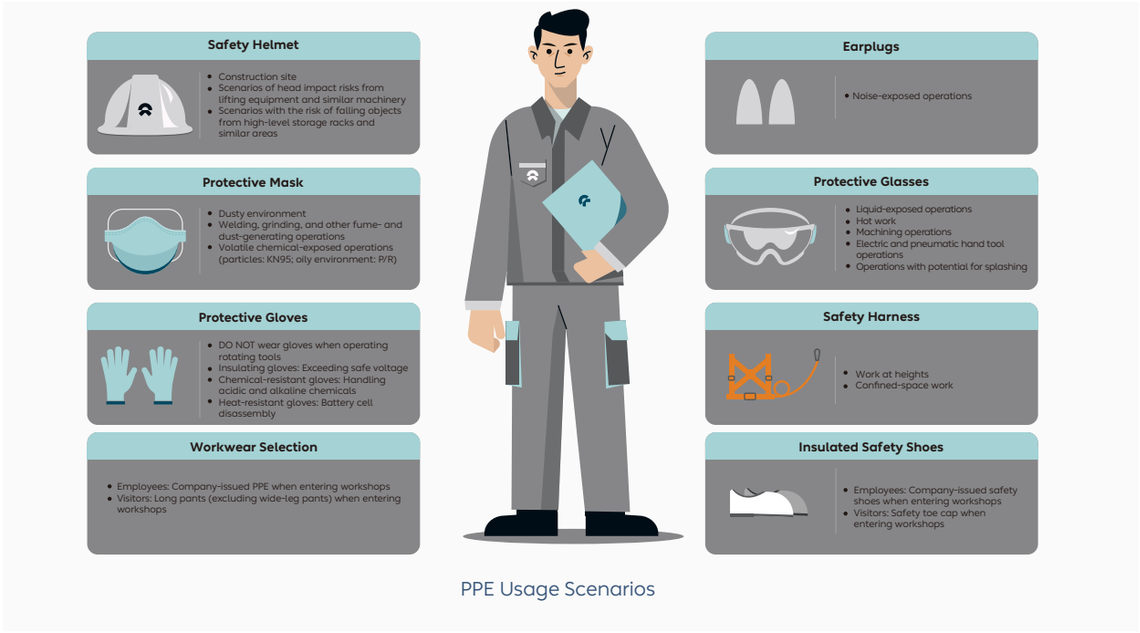
To strengthen the monitoring of occupational health risks, we have identified various occupational disease hazards and the corresponding positions based on our job-specific occupational health hazard management procedures. Meanwhile, to effectively prevent and reduce the occurrence of occupational diseases, we sign the *Occupational Disease Hazard Notice* with employees in positions exposed to occupational hazards and archive occupational health management files. We arrange occupational health examinations for employees in high-risk positions before onboarding, during their tenure, upon departure, and when transferring to a new role. By implementing the occupational health management system, NIO has achieved digital management across the entire occupational health lifecycle. This system automatically processes the occupational health approval workflow from onboarding to offboarding and records employees' health files and examination results.

In addition, we regularly conduct on-site monitoring of occupational hazard factors and analyze employees' occupational health examination results to assess their health status. This enables us to promptly identify potential health risks and take appropriate intervention and management measures. During the reporting period, the coverage rate of physical examinations for employees in positions exposed to occupational hazards reached 100%, and zero incumbent employees suffered from occupational contraindications or occupational diseases.

To protect the health and safety of employees in positions exposed to occupational hazards, NIO has established a comprehensive on-site management process for occupational health risks based on five control measures to effectively prevent and control health and safety risks. The control measures include elimination, substitution, engineering controls, signage and warnings or administrative controls, and personal protective equipment. For special operations that the Company may undertake, such as electric work, welding and thermal cutting, hazardous chemical operations and confined-space work, we require all personnel involved to obtain a special operations certificate before commencing work.

## Risk Control Measures






PPE Usage Scenarios

In addition, we proactively organize free health clinics and practical first aid training sessions for employees to promote knowledge of health and first aid. During the reporting period, we carried out three free health clinics and six practical first aid training sessions, which enhanced employees' health awareness and first aid skills to respond to emergencies, and strengthened their safety awareness and sense of accountability.

Free Health Clinics

First Aid Training

4.4.3

# Employee Safety Awareness Enhancement

NIO conducts a series of safety-themed activities, including onboarding safety training for new employees, annual safety refresher training for in-service employees, special initiatives and emergency drills, to improve employees' safety awareness and skills. During the reporting period, we conducted targeted risk assessments focusing on workplace hazards such as slips, trips and falls (STFs), chemical safety, and office ergonomics. In addition, we also launched a series of special activities such as safety month, fire safety month, driving safety contest month, improvement of standardized operations (5S) for laboratories, and PPE protection for laboratory personnel, to help eliminate workplace safety hazards and improve employees' awareness and capability of personal protection. During the reporting period, 100% of NIO's full-time employees received occupational health and safety training.

The Company communicates occupational health and safety information in daily work scenarios to enhance employees' safety awareness through internal subscription accounts, posters, videos and broadcasts. Meanwhile, we provide employees with the EHS Helpdesk, a window for reporting safety hazards and accidents, and help employees solve daily occupational health and safety related issues.

## Safety Training for New Employees

The training targeted all new employees hired in 2024, aiming to help them gain a quick and complete understanding of the Company's safety policies, potential risks in the workplace, and responses to various safety concerns. There were 14 training programs in total.

Completion rate of safety training for new employees: 100%

## 2024 Safety Refresher Training

The training was designed to update employees on the latest safety regulations, industry standards, and revisions to the Company's internal safety policies. It also helped refresh employees' safety knowledge to ensure they have a complete and up-to-date safety knowledge structure. There were 9 training programs in total.

Completion rate of safety refresher training for in-service employees: 100%

## NIO EHS Helpdesk

### Safety Hazard and Incident Reporting

Allow employees to report and record safety hazards and incidents through mobile phones or laptops, helping the Company to promptly identify and eliminate safety hazards and keep employees safe.

### PPE Application and Claim

Provide guidelines and training materials on the use of various safety tools to help employees properly use and maintain their PPE.

### Q&A for Health and Safety Concerns

Answer questions about occupational safety, health examinations, mental health, first aid skills and other relevant areas. Provide training documents on driving safety, special operations, firefighting operations, and handling of work-related injuries.

### Safety Tool User Guide

Include demonstration videos such as the tutorials of portable fire extinguishers, AEDs, and eyewash equipment, as well as other safety instructional materials to help employees learn how to use various safety tools.

# 5.0

# Collaboration for Sustainable Social Value Creation

NIO believes that shaping a sustainable and brighter future requires the active participation of all sectors of society. Through continuous technological innovation, a diverse user community ecosystem, and impactful public welfare initiatives and charity projects, we collaborate with stakeholders, including governments, industry peers, users, and the public, to create lasting social value.


5.1 Cooperation for Industry-Wide Progress
5.2 Active Interaction With Users
5.3 Giving Back to Society

# 5.1

# Cooperation for Industry-Wide Progress

NIO actively fulfills its social responsibilities, by collaborating with universities and research institutions on joint projects, actively engaging in the formulation of industry standards both domestically and internationally, and providing all-round support for talent cultivation and technological innovation in the industry. In addition, NIO continuously supports the Formula Student racing contests, and nurtures future industry leaders by setting up awards and scholarships.

## 5.1.1

## Partnerships With Universities and Research Institutions

NIO collaborates closely with universities and research institutions in diverse ways. In 2021, we set up the USTC-NIO Smart Electric Vehicle Joint Laboratory with the University of Science and Technology of China (USTC). Through this joint laboratory, we have established three postgraduate joint training bases, including the practice base for professional postgraduates of the Institute of Advanced Technology, University of Science and Technology of China, jointly trained more than 30 master's and doctoral students, and engaged in more than 10 enterprise tutors and 10 university tutors, which helps the industry to cultivate excellent talent.

In 2022, we established the HFUT-NIO Innovation Research Institute with Hefei University of Technology (HFUT). In November 2024, we signed a memorandum of strategic cooperation with the Hong Kong Polytechnic University (PolyU) to conduct extensive exchanges and cooperation in scientific research, transformation of technological achievements, talent cultivation, and other fields. In January 2025, we entered into a cooperation agreement with the USTC-Deqing Alpha Innovation Research Institute to jointly establish the "Smart Electric Vehicle Joint Innovation Center," thereby promoting the R&D and application of intelligent systems. During the reporting period, NIO and USTC's joint research on A-VL (Adaptive Attention for Large Vision-Language Models) was accepted as a breakthrough by the Association for the Advancement of Artificial Intelligence Conference (AAAI) 2025, a top academic conference in artificial intelligence. In addition, by the end of the reporting period, NIO had organized four rounds of global project solicitation, furthering its collaboration with universities and research institutes. So far, it has attracted over 200 scholars from top universities and research institutions to submit applications. NIO, together with research institutions, had also submitted 44 patent applications and published 46 academic papers.

Meanwhile, NIO actively aligns with the national science and technology strategies, delving into the national science and technology development, and adhering to in-house research and development. NIO has been approved to implement multiple government science and technology projects at national, provincial and ministerial levels. During the reporting period, NIO was approved to implement 12 projects by the Ministry of Industry and Information Technology, the National Natural Science Foundation of China, the Department of Science and Technology, the Development and Reform Commission and the Department of Education of Anhui Province, and other government authorities. These projects involve artificial intelligence, vehicle engineering, electrification, intelligent manufacturing and various technologies.

In addition, during the reporting period, NIO invited more than 20 deans and experts from top universities in China and leaders of the China Society of Automotive Engineers (China-SAE) to hold the "High-End Seminar on Smart Electric Vehicle Technology Innovation" at Shanghai Auto Innovation Park. In the seminar, participants discussed the future of the technological innovation for smart EVs.

USTC-NIO Smart Electric Vehicle Joint Laboratory Successfully Hosted the 2023-2024 Annual Conference

High-End Seminar on Smart Electric Vehicle Technology Innovation

## 5.1.2

# Industrial Exchange and Development

NIO has continuously sponsored the Formula Student Electric China (FSEC) since 2015, and the Formula Student Autonomous China (FSAC) since 2021. Over the past decade, NIO has been staying true to its original aspiration of cultivating young talent for the development of the industry, providing full support for university students to help them achieve their dreams in the rapidly growing electric automotive industry. In addition, "NIO Cup" Formula Student China has become one of the cradles for developing automotive talent.

### ▶ 2024 "NIO Cup" Formula Student Electric China

Formula Student China was founded in 2010 with the aim of cultivating outstanding talent for the automotive industry. Up to now, it has nurtured over 60,000 professionals for the Chinese automotive industry. In 2024, the "NIO Cup" Formula Student Electric China (FSEC) and Formula Student China Autonomous China (FSAC) were held at Luogang Central Park in Hefei. The event attracted 117 university teams from China, Germany, and Singapore, with nearly 4,000 participants, including referees, staff, volunteers, and representatives from various enterprises.

In 2024, in addition to the existing "NIO Awards" for recognizing individuals with outstanding contributions to the event and helping students in China show competence on the international stage, NIO also established the "NIO Scholarship." William Li, Founder, Chairman, and CEO of NIO, personally donated RMB 300,000 for the "NIO Scholarship" to recognize exceptional team members of the Formula Student China.

In promoting the formulation of industry standards and the standardized development of the industry, NIO actively engages in the drafting of national, industry, group, and local standards. So far, NIO has joined the Standardization Working Committee, the Sensors Committee, the Automotive Body Technology Branch, the Digitalization and Intelligent Manufacturing Working Committee of the China Society of Automotive Engineers and other standard research groups. During the reporting period, we led the formulation of the technical standard in Singapore: *Technical Reference - Electric Vehicles Charging System - Part 4: Battery Swapping (TR 25-4)*, in an effort to lay the foundation for the sustainable development of the industry. The standard is an important part of *Technical Reference 25 (TR 25)*, Singapore's national EV charging standard, and is designed to clarify the technical safety requirements for EV charging systems. Meanwhile, we actively lead and participate in various industry seminars, discussing with all parties about the latest development of smart EVs.

NIO successfully held a high-end seminar on technology innovation

NIO attended the UNDP MSME (Micro-, Small, and Medium-sized Enterprises) Week and delivered a keynote speech

NIO attended the Budapest Eurasia Forum to discuss the future of deep tech

NIO attended the China Arbitration Summit 2024 and delivered a keynote speech

NIO attended the Financial Times' Future of the Car Summit 2024

NIO attended the FISITA World Mobility Summit and delivered a keynote speech

NIO attended the 26th VDA Round Table of the CEOs of German Suppliers in China

NIO attended the Future of E-Mobility at Bodensee Business Forum 2024

In addition, NIO actively participates in the construction of sustainable development standards for the automotive industry. In February 2024, the *Guidance on ESG Information Disclosure for China Automotive Industry* (T/CAAMTB 171-2023), *Evaluation Guidance on ESG of China Automotive Industry* (T/CAAMTB 172-2023), and *ESG Management System of China Automotive Industry — Requirements With Guidance for Use* (T/CAAMTB 173-2023), which NIO had participated in compiling, were formally released by China Association of Automobile Manufacturers. This series of standards is the first set of ESG group standards in China's automotive industry, which will provide further guidance and frameworks for ESG management in automotive enterprises.

# 5.2

# Active Interaction With Users

NIO is dedicated to building a diverse user community ecosystem to foster in-depth communication and interaction with users. Through various activities, NIO strives to create communities where NIO and users can grow together. Meanwhile, to ensure orderly operations of user communities, we have established management rules and safety protocols to provide a high-quality experience for all participants.

NIO encourages friendly communication among users. Through the community section in the NIO app, users can search for and join user communities nationwide that cover a variety of topics, including sports, travel, photography, food and drinks, pets, public welfare, and books and movies. They can meet like-minded people and enrich their lives through online discussions and offline community activities.

In 2024, NIO communities experienced a period of rapid growth. As of the end of the reporting period, we had a total of 2,253 active communities across China, engaging over 660,000 NIO users, with a community coverage of 59.4%. We held an average of over 750 community activities every week, with a total of more than 10,000 participants. The community users created more than 15,000 pieces of user-generated content (UGC) every week, including over 250 pieces of high-quality UGC.

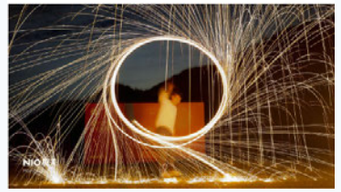
Diversified community activities have created numerous wonderful moments between users and NIO. Activities such as the Star Community Camp, NIO Community Sports Meet, NIO Community Theme Season, and Community Leader Meetups have unlocked infinite possibilities for user interaction. These include trending events like posting with designated hashtags to win mystery boxes, sharing community stories, and NIO Talk, which have not only boosted community engagement but also facilitated in-depth connections among users.

## ▶ Star Community Camp: NIO Talk × Star Community Leader Series

## ▶ NIO Community Cross-Regional Sports Meet

## Colorful Summer: NIO Community Theme Season Activities

## NIO Community Autumn Theme Season



## Community Holiday Events

Women's Day Activity

Earth Day Activity

Mid-Autumn Family Banquet

## NIO Day —— "Together & Further"

Since it was first held in 2017, NIO Day has become an annual highlight moment for NIO and its users. NIO Day is not only an event to launch NIO products and the latest technologies, but also a gathering to share users' growth and gains. Through the event, we share the enthusiasm for life and deliver warmth to users.

At NIO Day 2024 on December 21, 2024, NIO officially introduced its smart electric executive flagship, ET9, and unveiled its new brand, firefly. On the same day, NIO's user-centric short documentary "Together & Further" made its global debut. Featuring the stories of over 40 groups of NIO users across a decade, the film captures moments of joy, tears, passion, and love, highlighting the extraordinary within everyday life. The NIO Band 2024 performed the theme song "Together & Further" on stage, bringing these stories to life and delivering warmth and strength.

During the reporting period, we grew together with our users.

49 professional NIO user communities organized

88 volunteer activities, covering a wide range of topics,

including public education on emergency rescue, legal knowledge, general knowledge, artificial intelligence, and music.

These events spanned 18 cities

and engaged over 2,700 users.

To ensure orderly operations of user communities, we have formulated the *Management Policy for NIO User Communities* and established a comprehensive community management system, clarifying rules for the establishment, management, and user feedback mechanism of different types of communities.

Meanwhile, to ensure the safety and reliability of NIO user activities, we have established and implemented policies such as the *General Guidelines on Community Operations and Management*. We will conduct targeted audits based on the differences among event organizers, and ensure the soundness and feasibility of event plans through measures such as event registration, qualification reviews of event partners, and background investigations. For different types of activities, NIO provides specific risk alerts and key operational guidelines to enhance the user experience. During the reporting period, NIO introduced new guidelines for community and cross-regional event operations, offering detailed instructions on pre-event preparations, registration and rule disclosure, venue arrangements, and handling of unexpected situations.

# 5.3

# Giving Back to Society

NIO cooperates with the NIO Users Trust, NIO Users Foundation, NIO public welfare communities and user volunteers to undertake professional and well-organized public welfare projects. By engaging in these initiatives, we hope to make our own contributions to supporting vulnerable groups and promoting educational development. We believe that every act of kindness, no matter how small, can unite to create an uplifting force that drives social progress and spreads warmth.

## 5.3.1

## NIO Users Trust

To ensure long-term benefits for users, shareholders, partners, and employees, and to foster a tight-knit NIO community that contributes to shaping a brighter and more sustainable future, William Li, Founder of NIO, has established the NIO Users Trust through a professional trust institution, in line with NIO's vision of being a user enterprise. The Trust is jointly managed by William Li and the Board of Directors consisting of user representatives elected by the community. The NIO Users Trust has formulated the *NIO Users Trust Charter*, which was approved by the global user community through voting. The Charter clearly outlines the organizational structure, decision-making procedures, asset management and the use of proceeds.

### Management Structure and Responsibilities of the NIO Users Trust

In April 2024, following a process that included candidate recruitment, the Board's primary evaluation, final candidate announcements, and a global community vote, four new Directors of the Board were elected by users from six countries. Along with the four incumbent Directors from the 4th Board and William Li, the Protector of the Trust, they formed the 5th Board of Directors. The Trust also welcomed its first European Director. The newly elected Board of Directors focused on global NIO community collaboration and business development.

## NIO Users Foundation

NIO Users Foundation, a "4A-level social organization", is initiated by NIO Users Trust, a trust established with donations from William Li. Guided by the philosophy of "Delivering users' kindness and contributing to public welfare," the Foundation focuses on environmental protection, educational development, rural revitalization, and emergency relief.

Since 2021, the NIO Users Foundation has been continuously providing support for user public welfare initiatives. It introduced an innovative "public welfare program + service platform" model to offer one-stop support with efficient and transparent processes and proper resource allocation. During the reporting period, the NIO Users Foundation amended the *NIO Users Foundation Charter*. The third meeting of the second Board of Directors was also held, where adjustments were made to the Board of Directors and Board of Supervisors was established.

The NIO Users Foundation has joined hands with over 50 domestic and overseas non-profit organizations, including the China Charity Federation, China Foundation for Rural Development, China Youth Development Foundation, Sanjiangyuan Ecological Protection Foundation, Tencent Charity Foundation, Paulson Institute, Save the Children, and Operation Smile, to explore solutions to social issues with in-depth expertise. More than 80 public welfare activities and projects have been launched together with user groups from various provinces and municipalities, including Beijing, Shanghai, Jiangsu, Guangdong, Shandong, Yunnan, Gansu, and Guizhou. As of December 2024, over 43,000 users had participated in the key initiatives, benefiting more than 68,000 households. Additionally, NIO Users Foundation, in partnership with NIO and Anhui Charity Federation, established a public welfare fund to answer the call of the government, contributing to areas such as education and elderly care.

In addition, on September 9, 2022, the NIO Users Foundation launched the "NIO Users Public Welfare Footprint Program" to support NIO users in public welfare undertakings. By the end of the reporting period, NIO users' footprint covered over 30 cities and regions nationwide.

## NIO User Communities for Public Welfare

NIO and its User Volunteers have always been true to their original aspiration. Since the initiation of the NIO User Volunteer Program six years ago, its members have been making positive impacts on the society, passing on kindness both inside and outside of the community. At the same time, NIO users have set up 21 charity communities such as Weibei Charity Community in Beijing, Qingwei Charity Community in Qingdao, Shenwei Charity Community in Shenzhen, with a total of over 6,000 highly committed members across cities such as Beijing, Shanghai, Shenzhen, Hangzhou, Qingdao, and Chengdu. During the reporting period, over 350 public welfare activities were organized by NIO user communities, with a total of 11,269 participants contributing 31,734 hours of volunteer services.

# 5.3.2

# Assistance to Vulnerable Groups

NIO firmly believes that tiny sparks of love can combine into a driving force for advancement. By organizing user marketplaces, charity sales, and providing immediate relief to disaster- stricken areas, NIO assists vulnerable groups and passes on warmth and strength to society.

### ▶ Assistance to Vulnerable Groups by NIO User Communities

Weibei Charity Community (Beijing)

Qingwei Charity Community (Qingdao)

Autism Care Volunteer Community (Ningbo)

### ▶ “Together & Further” — User Marketplace at NIO Day

In December 2024, NIO, NIO Users Trust, NIO Users Foundation, and Guangzhou Charity Federation jointly hosted the User Marketplace during NIO Day 2024 in Guangzhou. The User Marketplace was comprised of over 170 NIO user stall owners from across the country, and received donations from 2,575 attendees on-site, raising a total of RMB 90,148.03. The NIO Users Trust and NIO Users Foundation jointly donated the same amount as the total fund raised. NIO donated all funds received to three charity programs set up by Guangzhou Charity Federation on the Tencent public welfare platform, including Campaign for Children in Need - NIO Home, NIO AED Protection Campaign, and Campaign for Children in Need - Accompaniment.

User Marketplace at NIO Day 2024

## "Operation Smile" — Care for Children With Cleft Lip and Palate

From April to May 2024, in collaboration with the Siyuan Operation Smile Project, we held over 40 charity auctions in NIO Houses across China, with a total of nearly RMB 110,000 raised from over 1,000 users from 38 cities. These funds were used to support the Siyuan Operation Smile Project through the China Siyuan Foundation. In June 2024, 17 NIO User Volunteers from across the country and representatives from the NIO Users Foundation traveled to Meigu People's Hospital in Sichuan Province to participate in the "2024 Operation Smile in Meigu." During this event, volunteers supported the medical team to complete screening for 66 children with cleft lip and palate. Over 40 safe and efficient repair surgeries were successfully performed, helping the children regain their smiles.

Operation Smile

## Supporting Project Hope

NIO Users Foundation, along with NIO Shanxi Weiyou User Club and Shanxi Youth Development Foundation, organized a charity program to support the Project Hope, providing support and sowing hope for the younger generation. The program is carried out across Shanxi Province, aiming to establish small libraries with a diverse collection of books for primary and middle schools with poor infrastructure. The libraries are finely designed to help cultivate children's interest in learning and enhance their literacy. As of the end of the reporting period, financial support had been provided for the construction of the library at Dongchangchi Primary School in Yuxian County, including the donation of bookshelves, signage, and nearly 1,000 books, benefiting over 1,000 students.

## Disaster Relief Efforts

In December 2023, a 6.2-magnitude earthquake struck Jishishan County, Linxia Hui Autonomous Prefecture, Gansu Province. In response, NIO, along with the NIO Users Trust and NIO Users Foundation, allocated RMB 5 million from the "NIO Climate Action" and RMB 1 million donated by NIO as emergency relief to earthquake-hit areas.

In September 2024, Hainan Province was severely impacted by the super typhoon "Yagi". NIO, together with the NIO Users Foundation, launched prompt relief efforts to support the typhoon-hit areas in a timely manner, demonstrating NIO's sense of social responsibility.

捐赠证书
DONATIONCERTIFICATE
蔚来用户公益基金会:
衷心感谢贵单位对青海慈善事业的关心和支持，您捐赠的资金用于12·18地震青海地区抗震救灾，我们将遵照您的意愿，全部用于慈善事业发展。
特颁此证，谨致谢忱！
青海省慈善总会
颁发日期 2024年1月

Donation Certificate - Earthquake Relief in Qinghai

證號：HNCF2024116
捐贈證書
蔚来用户公益基金会:
感谢贵单位为支持海南慈善事业的发展，定向捐赠善款，我会将遵照贵单位的意愿用于海南省"摩羯"台风救灾赈灾、灾后重建工作。
特颁此证，并致谢忱！
海南省慈善总会
二〇二四年九月二十八日

Donation Certificate - Supporting Post-Typhoon Reconstruction in Hainan

## NIO Supports the Berlin State Road Safety Association

On December 8, 2024, at the annual Thank You Event of the Berlin State Road Safety Association, NIO made a donation to the Berlin State Road Safety Association to show NIO's support and gratitude for the association's longstanding commitment to improving road safety. This donation was intended to support the association's school crossing guard initiative with safety devices and training materials for volunteers, so as to encourage them to actively participate in social welfare activities, thus promoting a culture of reciprocal aid and enhancing sense of social responsibility, and engaging wider community involvement.

## NIO Continuously Supports the LichtBlick Seniorenhilfe Association

NIO has supported the LichtBlick Seniorenhilfe association for five years in a row, and made a donation to the organization during the reporting period. As Germany's first non-profit organization focusing on poverty among the elderly, the LichtBlick Seniorenhilfe association brings hope, courage, and support to more than 27,000 impoverished seniors through initiatives including covering out-of-pocket medication costs, providing small grants, and offering food vouchers. With this donation, NIO hopes to draw attention to the most vulnerable groups in the community, and work together to promote a warmer and more caring social environment.

5.3.3

# Support for Charitable Education Development Programs

Working together with the NIO Users Foundation, NIO has donated compensation received from litigation settlements to establish the NIO legal research funds, scholarships, and teaching awards at multiple prestigious universities. These initiatives aim to encourage and support outstanding educators and students, promote research in cutting-edge legal fields such as smart electric vehicles, data compliance, artificial intelligence, and intellectual property rights, as well as to advance legal education. Through these efforts, NIO hopes to help cultivate exceptional legal talent and contribute to the development of the rule of law and public welfare in society.

## NIO Digital Law Scholarship and Teaching Excellence Award at Zhejiang University Guanghua Law School

In January 2024, NIO partnered with the NIO Users Foundation and Zhejiang University Education Foundation to set up "NIO Digital Law Scholarship and Teaching Excellence Award" at Zhejiang University Guanghua Law School. This initiative aims to encourage and support outstanding teachers and students, facilitate breakthroughs in major theoretical and practical issues in the field of digital legal studies, and promote the development of digital jurisprudence as an academic discipline, as well as cutting-edge legal research. The book *Judicial Practice - Intelligent Connected Vehicles,* jointly compiled by both parties, has been published by Law Press China and praised as the first legal guide for intelligent connected vehicles in the AI era.

## NIO Empirical Legal Studies and Smart Legal Governance Scholarship at Sichuan University

In June 2024, the NIO Users Foundation entered into an agreement with Sichuan University Education Foundation, and made a donation to establish the "NIO Empirical Legal Studies and Smart Legal Governance Scholarship" at Sichuan University. This initiative aims to support Sichuan University Law School in advancing research and talent cultivation in fields such as empirical legal studies, artificial intelligence governance, digital law, cybersecurity law, and dispute resolution in the new energy vehicle sector.

## NIO High-Quality Research Achievement Fund at Hainan University Law School

In October 2024, the NIO Users Foundation officially entered into an agreement with Hainan University Education Foundation at Hainan University's Haidian Campus, and made a donation to establish the "NIO High-Quality Research Achievement Fund" at Hainan University Law School. This initiative aims to encourage faculty and students at Hainan University Law School to engage in legal research in cutting-edge fields such as the new energy industry and artificial intelligence. Meanwhile, it seeks to inspire more legal scholars to pursue high-quality academic research, fostering innovation in legal theory and advancing the development of legal practice.

Donation Ceremony of "NIO High-Quality Research Achievement Fund" at Hainan University Law School

## NIO Business Environment Education Development Fund at East China University of Political Science and Law

In November 2024, NIO, together with the NIO Users Foundation, entered into an agreement with the Education Development Foundation of East China University of Political Science and Law to establish "NIO Business Environment Education Fund" at East China University of Political Science and Law through a donation. Additionally, a research project on competitive strategies for Chinese enterprises entering the European market was conducted with China Institute for Rule-Oriented Business Environment, aiming to build momentum for the globalization of Chinese enterprises. Furthermore, the International School of Law and Finance of East China University of Political Science and Law has set up a student practice base at NIO, jointly cultivating talent with a global perspective.

Donation Ceremony of "NIO Business Environment Education Development Fund" at East China University of Political Science and Law

## NIO supported the Second European-Chinese Forum of Young Jurists

In July 2024, the Second European-Chinese Forum of Young Jurists, along with the academic seminar titled "Paradigm Innovation of European-China Legal Knowledge Exchange," was held at the Faculty of Law, Humboldt University of Berlin. The Forum was co-hosted by the Faculty of Law at Humboldt University of Berlin, the School of Law at China University of Political Science and Law, the Faculty of Law at the University of Augsburg, and Stiftung Deutsche und Chinesische Kultur. Tino Tezel, Head of Privacy Europe at NIO, attended the conference and contributed a business perspective to the academic debate with his keynote speech. Additionally, during the forum, the Young Graduate Forum was held, where NIO presented awards to six outstanding projects in recognition of aspiring young legal professionals, supporting young legal talent from China and Europe in pursuing their dreams.

Academic Seminar on "Paradigm Innovation of European-China Legal Knowledge Exchange"

## NIO Provided Strategic Support for the Six-Province (Municipality) Youth Lawyer Invitational Debate Competition

In December 2024, the Debate for the Future - the Second Six-Province (Municipality) Youth Lawyer Invitational Debate Competition (Shanghai Station) was held at Shanghai Hongqiao Hotel, with strategic support from NIO and the NIO Users Foundation. The event aims to strengthen the cultivation of young lawyers, promote mutual learning and friendly exchanges among lawyers across different provinces (municipalities), thus advancing the high-quality development of lawyers. NIO looks forward to growing together, fulfilling responsibilities, and walking side by side on this journey with China's outstanding young legal talent.

Debate for the Future - the Second Six-Province (Municipality) Youth Lawyer Invitational Debate Competition

# Appendix 1 Environmental and Social Performance Indicators

## Environmental Performance Indicators

| Environmental Indicators [1][2][3] | Unit | 2024 | | | 2023 |
|---|---|---|---|---|---|
| | | Total | Manufacturing | Non-Manufacturing | Total |
| **Greenhouse Gas Emissions** | | | | | |
| Scope 1 GHG emissions | $tCO_2e$ | 29,738.10 | 27,561.23 | 2,176.87 | 27,555.35 |
| Scope 2 GHG emissions — Location-based | $tCO_2e$ | 120,910.58 | 88,903.37 | 32,007.21 | 112,856.83 |
| Scope 2 GHG emissions — Market-based | $tCO_2e$ | 100,708.83 | 65,825.16 | 34,883.67 | —— |
| Total Scope 1 and 2 GHG emissions — Location-based | $tCO_2e$ | 150,648.68 | 116,464.60 | 34,184.08 | 140,412.18 |
| Total Scope 1 and 2 GHG emissions — Market-based | $tCO_2e$ | 130,446.93 | 93,386.39 | 37,060.54 | —— |
| Scope 1 and 2 GHG emissions intensity — Location-based | $tCO_2e$/million revenue | 2.29 | —— | | 2.52 |
| Scope 1 and 2 GHG emissions intensity — Market-based | $tCO_2e$/million revenue | 1.98 | —— | | —— |
| Scope 3 GHG emissions[4] | $tCO_2e$ | 95,305.73 | —— | | —— |
| **Energy Consumption** | | | | | |
| Total energy consumption | | | | | |
| Direct energy consumption[5] | MWh | 160,050.50 | 157,827.84 | 2,222.66 | 147,987.21 |
| Indirect energy consumption[5] | MWh | 216,827.53 | 158,221.84 | 58,605.69 | 175,717.90 |
| Total energy consumption | MWh | 376,878.02 | 316,049.68 | 60,828.34 | 323,705.11 |
| Total energy consumption intensity | MWh/million revenue | 5.73 | —— | | 5.82 |
| Renewable energy consumption | | | | | |
| Purchased green electricity | MWh | 51,318.00 | 51,318.00 | 0.00 | 16,319.62 |
| On-site photovoltaic power[6] | MWh | 47,917.81 | 45,695.15 | 2,222.66 | 39,175.91 |
| Total renewable energy consumption | MWh | 99,235.81 | 97,013.15 | 2,222.66 | 55,495.53 |
| Non-renewable energy consumption | | | | | |
| Natural gas | $m^3$ | 10,367,914.60 | 10,367,914.60 | 0.00 | 10,056,862.00 |
| Diesel | ton | 1.02 | 1.02 | 0.00 | 4.55 |
| Steam | ton | 23,057.00 | 23,057.00 | 0.00 | 18,642.00 |
| Cooling and heating | MWh | 16,779.00 | 15,270.54 | 1,508.45 | 9,634.35 |
| Purchased grid electricity | MWh | 131,571.25 | 74,474.02 | 57,097.23 | 135,891.09 |
| Total non-renewable energy consumption | MWh | 277,642.22 | 219,036.53 | 58,605.69 | 268,210.37 |

[1] The scope of environmental data collection for NIO ESG Report 2024 is as follows: F1, F2, E0 , E1 , Nanjing Pilot Factory (F0), Energy Storage System Shop, Hefei Power Products Plant and NIO Power Europe Plant for "Manufacturing"; testing centers and administrative offices (excluding sales stores and regional companies) for "Non-manufacturing." The scope has been expanded to include the NIO Power Europe Plant and overseas testing centers, compared to the 2023 Report.

[2] Due to the expansion of environmental data scope and increased production and revenue in 2024, overall environmental data showed an upward trend compared to 2023. Additionally, through measures such as improving sewage treatment efficiency during the reporting period, industrial wastewater emissions and COD, ammonia nitrogen, and total phosphorus emissions decreased compared to 2023. Meanwhile, due to the enhanced data coverage of non-hazardous waste, non-hazardous waste intensity increased compared to 2023.

[3] Calculation method for intensity: total amount/revenue in millions (in RMB) in 2024.

[4] Scope 3 greenhouse gas emissions data coverage: Fuel and energy-related activities, waste treatment and disposal, employee commuting, and business travel.

[5] Direct energy includes natural gas, diesel, and on-site photovoltaic power. Indirect energy includes purchased grid electricity, steam, and cooling and heating.

[6] The green benefits of 18,436.3 MWh of on-site photovoltaic power generation are not attributed to NIO, and therefore are included in greenhouse gas emissions, calculated in the same manner as purchased electricity.

| Environmental Indices | Unit | 2024 | | | 2023 |
|---|---|---|---|---|---|
| | | Total | Manufacturing | Non-Manufacturing | Total |
| **Emissions of Pollutants** | | | | | |
| Waste gases | | | | | |
| Sulfur dioxide | ton | 1.60 | 1.60 | 0.00 | 2.85 |
| Nitrogen oxide | ton | 30.37 | 30.37 | 0.00 | 28.33 |
| VOCs | ton | 7.33 | 7.11 | 0.22 | 8.48 |
| Particles | ton | 25.83 | 25.83 | 0.00 | 13.82 |
| Wastewater | | | | | |
| Industrial wastewater - COD | ton | 16.63 | 16.63 | / | 17.89 |
| Industrial wastewater - Ammonia nitrogen | ton | 0.42 | 0.42 | / | 0.45 |
| Industrial wastewater - Total phosphorus | ton | 0.13 | 0.13 | / | 0.15 |
| Total discharge of industrial wastewater | ton | 560,703.00 | 560,703.00 | / | 436,395.18 |
| Intensity of discharged industrial wastewater | ton/million revenue | 8.53 | —— | | 7.85 |
| Wastes | | | | | |
| Non-hazardous waste - General industrial solid waste | ton | 27,258.59 | 26,258.54 | 1,000.05 | 15,458.83 |
| Non-hazardous waste - Municipal solid waste (MSW) | ton | 4,122.60 | 1,484.43 | 2,638.17 | 4,529.61 |
| Total non-hazardous waste | ton | 31,381.19 | 27,742.97 | 3,638.22 | 19,988.44 |
| Intensity of non-hazardous waste | ton/million revenue | 0.48 | —— | | 0.36 |
| Recycled non-hazardous waste[7] | ton | 25,947.33 | 25,203.88 | 743.45 | 14,324.09 |
| Total hazardous waste | ton | 2,230.31 | 2,127.57 | 102.74 | 2,276.13 |
| Intensity of hazardous waste | ton/million revenue | 0.03 | —— | | 0.04 |
| **Water Resources** | | | | | |
| Total water consumption (municipal water) | $m^3$ | 1,075,215.34 | 945,829.54 | 129,385.80 | 850,149.56 |
| Intensity of water consumption | $m^3$/million revenue | 16.36 | 14.39 | 1.97 | 15.29 |
| Recycled water consumption | $m^3$ | 59,385,222.00 | 59,385,222.00 | / | 46,414,774.00 |
| Industrial water reuse rate | % | 98.43 | 98.43 | / | 98.42 |
| **Vehicle Packaging** | | | | | |
| Total volume of vehicle packaging materials | ton | 861,711.00 | —— | | 755,542.00 |
| Intensity of vehicle packaging materials | ton/million revenue | 13.11 | —— | | 13.58 |
| Percentage of recycled packaging | % | 98 | —— | | 98 |

[7] The recycled non-hazardous waste was recycled and utilized by qualified third-parties.

# Social Performance Indicators

| Indicators[1] | | 2024 | 2023 | Unit |
|---|---|---|---|---|
| Employee type | Full-time employee | 45,635 | 32,820 | Person |
| | Part-time employee [2] | 6,057 | 4,097 | Person |
| Employee Diversity | | | | |
| By gender | Male | 33,843 | 23,020 | Person |
| | Female | 11,792 | 8,139 | Person |
| | Undisclosed[3] | / | 1,661 | Person |
| By age | 30 or below | 22,548 | 13,240 | Person |
| | 31-50 | 22,894 | 18,326 | Person |
| | 51 or above | 193 | 53 | Person |
| | Undisclosed | / | 1,201 | Person |
| By geographical region | China (including Hong Kong SAR, Macao SAR and Taiwan) | 44,518 | 31,506 | Person |
| | Europe | 1,014 | 1,188 | Person |
| | North America | 100 | 122 | Person |
| | Other | 3 | 4 | Person |
| By job grade | Senior management / professional employees | 227 | 234 | Person |
| | Middle management / professional employees | 15,745 | 12,743 | Person |
| | General employees | 29,663 | 19,843 | Person |
| Other categories | Number of employees with disabilities | 294 | 344 | Person |
| | Number of employees from ethnic minority groups | 1,582 | 1,168 | Person |
| | Percentage of women in the management team | 20.83 | 18.60 | % |
| Number of New Employees | | | | |
| Number of New Employees | | 16,179 | 13,886 | Person |
| By gender | Male | 11,630 | 9,435 | Person |
| | Female | 4,549 | 3,918 | Person |
| | Undisclosed | / | 533 | Person |
| By geographical region | China (including Hong Kong SAR, Macao SAR and Taiwan) | 15,977 | 13,353 | Person |
| | Europe | 192 | 507 | Person |
| | North America | 10 | 24 | Person |
| | Other | 0 | 2 | Person |
| By age | 30 or below | 11,108 | 8,011 | Person |
| | 31-50 | 5,045 | 5,334 | Person |
| | 51 or above | 26 | 7 | Person |
| | Undisclosed | / | 534 | Person |

[1] All indicators cover full-time employees, except for "employee type," which includes both full-time and part-time employees. In this Report, unless otherwise specified, the term "employees" refers to the full-time employees of the Company.
[2] NIO has been disclosing information regarding part-time employees since 2023. Herein, "part-time employees" encompass only interns, excluding contractors. Moreover, NIO adheres rigorously to the regulatory requirements of China and other regions where it operates in the employment of contractors, and provides them with relevant training.
[3] By optimizing data coverage and disclosure scope, NIO has phased out this classification.

| Indicators | | 2024 | 2023 | Unit |
|---|---|---|---|---|
| **Employee Turnover Rate** | | | | |
| Employee turnover rate | | 8.10 | 8.10 | % |
| By gender | Male | 7.98 | 8.19 | % |
| | Female | 8.46 | 8.31 | % |
| | Undisclosed | / | 5.90 | % |
| By age | 30 or below | 8.50 | 11.36 | % |
| | 31-50 | 7.65 | 5.76 | % |
| | 51 or above | 14.60 | 1.89 | % |
| | Undisclosed | / | 8.24 | % |
| **Talent Training and Development** | | | | |
| Hours of training per capita | | 35.89 | 40.38 | Hour / Person |
| Percentage of trained employees (by gender) | Male | 74.16 | 70.14 | % |
| | Female | 25.84 | 24.80 | % |
| | Undisclosed | / | 5.06 | % |
| Percentage of trained employees (by job grade) | Senior management / professional employees | 0.50 | 0.71 | % |
| | Middle management / professional employees | 34.50 | 38.83 | % |
| | General employees | 65.00 | 60.46 | % |
| Hours of training per capita (by gender) | Male | 36.19 | 42.03 | Hour / Person |
| | Female | 35.01 | 40.38 | Hour / Person |
| | Undisclosed | / | 41.51 | Hour / Person |
| Hours of training per capita (by job grade) | Senior management / professional employees | 27.45 | 25.70 | Hour / Person |
| | Middle management / professional employees | 33.17 | 39.98 | Hour / Person |
| | General employees | 37.39 | 42.82 | Hour / Person |
| **Occupational Health and Safety** | | | | |
| Work injuries | Lost workdays due to work injuries | 607 | 475 | Day |
| | Number of employees who died at work | 0 | 0 | Person |
| | Percentage of employees who died at work | 0 | 0 | Person / 200,000 man-hours |
| | Number of severe occupational injuries (excluding fatalities) | 0 | 0 | Case |
| | Percentage of severe occupational injuries (excluding fatalities) | 0 | 0 | Person / 200,000 man-hours |
| | 200,000 man-hours lost time injury rate (LTIR) (full-time employee) | 0.03 | / | Person / 200,000 man-hours |
| | 200,000 man-hours lost time injury rate (LTIR) (contractor) | 0 | / | Person / 200,000 man-hours |
| | Total recordable incidents (TRI) | 30 | 29 | Case |
| | Total recordable incident rate (TRIR) | 0.06 | 0.08 | Person / 200,000 man-hours |
| Work-related health issues | Number of cases of occupational diseases | 0 | 0 | Case |
| Occupational health and safety management system | Percentage of employees covered by occupational health and safety management system | 100 | 100 | % |
| Occupational health and safety training | Total duration of training | 324,155 | 209,083 | Hour |
| | Safety training coverage for new factory employees | 100 | 100 | % |

# Appendix 2 Report Indicator Index

| Chapter | HKEX | SGX | SASB | GRI | UN SDGs |
|---|---|---|---|---|---|
| NIO, Driven by Sustainability | | | TR-AU-000.B<br>TR-AU-410a.2 | 2-1; 2-6 | |
| NIO Power: Smart Services for Worry-Free Trips | | List of relevant certifications | | 203-1 | |
| 1.0 Efficient Governance | | | | | |
| 1.1 Efficient Corporate Governance | | | | | |
| 1.1.1 Governance Structure | | | | 2-9; 2-10; 405-1 | |
| 1.1.2 Board Independence and Diversity | | Board Independence<br>Women on the board | | | |
| 1.1.3 Risk Management | | | | 2-24 | |
| 1.2 ESG Governance | | | | | |
| 1.2.1 ESG Governance Structure | | | | 2-19; 2-22 | |
| 1.2.2 ESG Strategy | | | | 2-12; 2-24 | |
| 1.2.3 Stakeholder Engagement | | | | 2-16; 2-29 | |
| 1.2.4 Double Materiality Assessment | | | | 3-1; 3-2 | |
| 1.3 Compliance Management and Business Ethics | | | | | |
| 1.3.1 Operational Compliance | B7 | | | 206-1 | |
| 1.3.2 Adhering to Business Ethics | B7.1; B7.3 | Anti-corruption disclosures;<br>Anti-corruption training for employees | | 2-25; 2-27; 205-1； 205-2; 205-3 | |
| 1.3.3 Whistleblower Protection | B7.2 | | | | |
| 1.4 Information Security and Privacy Protection | | List of relevant certifications | | | |
| 1.4.1 Cybersecurity and Data Security | | | | | |
| 1.4.2 Protecting Personal Information | B6.5; B6 | | | 418-1 | |
| 1.4.3 Reinforcing Information Security Culture | | | | | |

| Chapter | HKEX | SGX | SASB | GRI | UN SDGs |
|---|---|---|---|---|---|
| 2.0 Joint Efforts for a Blue Sky on Earth | | List of relevant certifications | | | |
| 2.1 Addressing Climate Change | | | | | |
| 2.1.1 Governance | | | | | |
| 2.1.2 Strategy | A4; A4.1 | List of relevant certifications | | 201-2 | |
| 2.1.3 Risk Management | B5.4 | | | | |
| 2.1.4 Metrics and Targets | | | | | |
| 2.2 Sustainable Products | | | TR-AU-440b.3 | | |
| 2.2.1 Sustainable Materials | | List of relevant certifications | | 301-3 | |
| 2.2.2 Sustainable Design | | | | 302-5 | |
| 2.2.3 Practicing the Circular Economy | | List of relevant certifications | | 301-2 | |
| 2.3 Green Operations | | | | | |
| 2.3.1 Green Manufacturing | A1; A1.5; A1.6; A2; A2.3; A2.4; A3; A3.1 | List of relevant certifications | | 303-1; 302-4; 303-2; 306-1; 306-2 | |
| 2.3.2 Green Logistics | | | | 301-3 | |
| 2.3.3 Green Delivery and Office Operations | | List of relevant certifications | | 302-5 | |
| 2.4 Natural Ecosystem Protection | | | | 203-1; 304-3 | |
| 3.0 Premium Products and Responsible Value Chain | | | | | |
| 3.1 Continuous Innovation and R&D | | | | | |
| 3.1.1 NIO Assisted and Intelligent Driving (NAD) | | | | | |
| 3.1.2 Smart System | | | | | |
| 3.1.3 R&D of Powertrain | | | | | |
| 3.1.4 Intellectual Property Protection | B6.3 | List of relevant certifications | | | |
| 3.2 Product Quality and Safety | | | | | |
| 3.2.1 Driving and Riding Safety | B6 | List of relevant certifications | TR-AU-250a.1 | 416-1 | |
| 3.2.2 Product Quality | B6.1; B6.4 | List of relevant certifications | TR-AU-250a.3 | | |
| 3.3 Responsible Supply Chain | | | | | |
| 3.3.1 Supply Chain Resilience | | | | | |
| 3.3.2 Supply Chain Management System | B5; B5.1; B5.2; B5.3; B5.4 | | | 308-1; 308-2; 414-1; 414-2 | |
| 3.3.3 Supply Chain Due Diligence | | | TR-AU-440a.1 | | |
| 3.3.4 Partner Empowerment | | | | | |
| 3.4 End-to-End Experience Beyond Expectations | | | | | |
| 3.4.1 Worry-Free User Service | B6 | | | 417-1; 417-2; 417-3 | |
| 3.4.2 Experience Enhancement | B6.2 | | TR-AU-250a.2 | | |
| 3.4.3 Joyful Lifestyle | | | | | |

| Chapter | HKEX | SGX | SASB | GRI | UN SDGs |
|---|---|---|---|---|---|
| 4.0 Joint Efforts for Employee Growth | | | | | |
| 4.1 Talent Attraction and Retention | | | | | |
| 4.1.1 Compliant Employment and Rights Protection | B1; B4; B4.1; B4.2 | | TR-AU-310a.1 | 2-30 | |
| 4.1.2 Talent Recruitment | B1 | | | 405-1 | |
| 4.1.3 Diversity, Inclusivity, and Equal Opportunity | B1 | | | 406-1 | |
| 4.2 Talent Development and Training | | | | | |
| 4.2.1 Employee Development | B1 | | | | |
| 4.2.2 Talent Training | B3 | | | 404-2; 404-3 | |
| 4.3 Employee Care and Communication | | | | | |
| 4.3.1 Employee Compensation and Benefits | B1 | | | 401-2 | |
| 4.3.2 Employee Communication and Activities | | | | | |
| 4.4 Occupational Health and Safety | | | | | |
| 4.4.1 Monitoring of Production Safety | B2; B2.3 | | | 403-1; 403-2; 403-3; 403-4 | |
| 4.4.2 Health and Safety Assurance | B2; B2.3 | List of relevant certifications | | 403-6; 403-7; 403-10 | |
| 4.4.3 Employee Safety Awareness Enhancement | | | | 403-5 | |
| 5.0 Collaboration for Sustainable Social Value Creation | | | | | |
| 5.1 Cooperation for Industry-Wide Progress | | | | | |
| 5.1.1 Partnerships with Universities and Research Institutions | | | | | |
| 5.1.2 Industrial Exchange and Development | | | | | |
| 5.2 Active Interaction With Users | | | | | |
| 5.3 Giving Back to Society | | | | | |
| 5.3.1 NIO Users Trust | B8.1 | | | 203-1 | |
| 5.3.2 Assistance to Vulnerable Groups | B8.1; B8.2 | | | 203-1 | |
| 5.3.3 Support for Charitable Education Development Programs | B8.1; B8.2 | | | 203-1 | |

| Chapter | HKEX | SGX | SASB | GRI |
|---|---|---|---|---|
| Appendix 1 Environmental and Social Performance Indicators | | | | |
| Environmental Performance Indicators | A1.1； A1.2; A1.3; A1.4; A2.1; A2.2; A2.5 | Absolute emissions by: (a) Total; (b) Scope 1, Scope 2; and (c) Scope 3<br>Emission intensities by: (a) Total; (b) Scope 1, Scope 2; and (c) Scope 3<br>Total energy consumption<br>Energy consumption intensity<br>Total water consumption<br>Water consumption intensity<br>Total waste generated | TR-AU-440b.1<br>TR-AU-440b.2 | 301-3; 302-1; 302-3; ; 303-3; 303-4; 303-5; 305-1; 305-2; 305-4; 305-7; 306-3; 306-4; 306-5 |
| Social Performance Indicators | B1.1; B1.2; B2.1; B2.2; B3.1; B3.2 | Current employees by gender<br>New hires and turnover rate by gender<br>Current employees by age groups<br>New hires and turnover by age groups<br>Total turnover<br>Total number of employees<br>Average training hours per employee<br>Average training hours per employee by gender<br>Women in the management team<br>Fatalities<br>Severe-consequence injuries<br>Recordable injuries<br>Recordable work-related ill health cases | | 401-1; 401-3; 403-5; 403-8; 403-9; 404-1 |

# Appendix 3 List of Laws, Regulations and Internal Rules

| Laws, Regulations and Standards |
|---|
| *GB/T 13861-2022 Classification and code for the hazardous and harmful factors in process* |
| *GB/T 19515-2023 Road vehicles – Recyclability and recoverability Rate – Requirement and calculation method* |
| *IATF 16949:2016 Quality management system requirements for automotive production and relevant service parts organizations* |
| *ISO 14001:2015 Environmental management systems – Requirements with guidance for use* |
| *ISO 14025:2006 Environmental labels and declarations – Type III environmental declarations – Principles and procedures* |
| *ISO 14064-1:2018 Specification with guidance at the organization level for quantification and reporting of greenhouse gas emissions and removals* |
| *ISO 14067:2018 Greenhouse gases – Carbon footprint of products – Requirements and guidelines for quantification* |
| *ISO 22628:2002 Road vehicles – Recyclability and recoverability – Calculation method* |
| *ISO 26262:2018 Road vehicles – Functional safety* |
| *ISO 45001:2018 Occupational health and safety management systems – Requirements with guidance for use* |
| *ISO 50001:2018 Energy management systems – Requirements with guidance for use* |
| *ISO 9001:2015 Quality management systems – Requirements* |
| *ISO/IEC 27001:2022 Information security, cybersecurity and privacy protection – Information security management systems – Requirements* |
| *ISO/IEC 27701:2019 Privacy information management – Requirements and guidelines* |
| *Provisions on Promoting and Regulating Cross-border Data Flow* |
| *PCR for the Drive Motor Systems for Electric Vehicles* |
| *ePrivacy Directive* |
| *The Foreign Corrupt Practices Act* |
| *The Antitrust Laws* |
| *Corporate Sustainability Reporting Directive (CSRD)* |
| *IFRS Sustainability Disclosure Standard – General Requirements for Disclosure of Sustainability-related Financial Information (IFRS S1)* |
| *IFRS Sustainability Disclosure Standard – Climate-related Disclosures (IFRS S2)* |
| *International Labour Organization (ILO) Declaration on Fundamental Principles and Rights at Work* |
| *The Sponge City Hefei Program (2016–2030)* |
| *Environmental, Social and Governance Reporting Code* |
| *GRI Sustainability Reporting Standards 2021 (GRI Standards 2021)* |
| *Sustainability Accounting Standards Board (SASB) Standards* |
| *The United Nations Framework Convention on Climate Change* |
| *Evaluation standard for green industrial building* |
| *COSO Enterprise Risk Management Framework* |
| *New York Stock Exchange Corporate Governance Rule* |
| *Carbon Management System Evaluation of Automobile Enterprises* |
| *Several Provisions on the Management of Automobile Data Security (for Trial Implementation)* |
| *Regulations on Administration of the Recall of Defective Motor Vehicle Products* |
| *Measures for the Implementation of the Regulation on the Administration of the Recall of Defective Motor Vehicle Products* |
| *Sarbanes-Oxley Act* |
| *The Interim Measures for the Management of Generative Artificial Intelligence Services* |
| *Universal Declaration of Human Rights* |
| *Measures for the Security Assessment of Outbound Data Transfer* |
| *Regulations on the Protection of Minors in Cyberspace* |
| *Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited* |
| *Listing Manual of Singapore Exchange Securities Trading Limited* |
| *Singapore Exchange Core ESG Metrics (Core ESG Metrics)* |
| *General Data Protection Regulation (GDPR)* |
| *Law of the People's Republic of China on Work Safety* |
| *Product Quality Law of the People's Republic of China* |
| *Law of the People's Republic of China on the Prevention and Control of Atmospheric Pollution* |
| *E-Commerce Law of the People's Republic of China* |
| *Anti-Monopoly Law of the People's Republic of China* |
| *Anti-Money Laundering Law of the People's Republic of China* |
| *Personal Information Protection Law of the People's Republic of China* |
| *Company Law of the People's Republic of China* |
| *Law of the People's Republic of China on the Prevention and Control of Environmental Pollution by Solid Wastes* |
| *Advertising Law of the People's Republic of China* |
| *Labor Law of the People's Republic of China* |
| *Labor Contract Law of the People's Republic of China* |
| *Data Security Law of the People's Republic of China* |
| *Water Law of the People's Republic of China* |
| *Water Pollution Prevention and Control Law of the People's Republic of China* |
| *Cybersecurity Law of the People's Republic of China* |
| *Fire Protection Law of the People's Republic of China* |
| *Law of the People's Republic of China on the Protection of Consumer Rights and Interests* |
| *Securities Law of the People's Republic of China* |
| *Law of the People's Republic of China on the Prevention and Control of Occupational Diseases* |

## Internal Rules

*ASC Identification Standard*

*ASC Space and Safety Standard*

*ASC Maintenance Quality System Standard*

*EHS Management Handbook*

*NIO Information Security and Privacy Protection Policy*

*Safety and Environmental Management Regulations*

*Clawback Policy*

*National General Service Standard 2.0*

*Global Anti-Corruption Policy*

*Global Trade Compliance Policy*

*Global Code of Business Conduct and Ethics*

*Code of Conduct and Ethics*

*Test Drive Safety Agreement*

*Charter of the Nominating and ESG Committee of the Board of Directors of NIO Inc.*

*Digital Safety & Security Capability Assessment Criteria for NIO Partners*

*NIO Partner Code of Conduct*

*NIO Rehiring Policy*

*NIO Internal Recruitment Management Policy*

*NIO Privacy Policy*

*NIO User Community Management Guidelines*

*NIO Users Trust Charter*

*NIO Recruitment Management Policy*

*Employment Management Policy*

*NIO Employee Handbook*

*Staff Congress Management Policy*

*Occupational Health Management Program*

*Definition of NSC Type*

*NSC Maintenance Quality System*

*Office Energy Management*

*NIO Product Purchasing Partner Management Process*

*Data Link Security Management Specification for Big Data System*

*Ethics and Compliance Whistleblower Policy and Procedures*

*Commitment to Diversity, Respect, and Fairness*

*Regulations on Waste Disposal Management*

*Wastewater Management Procedure*

*Industrial Waste Gas Management Procedure*

*Due Diligence Management Policy for Critical Minerals*

*Partner Industrialization Management Procedure*

*Environmental, Health, and Safety Policy*

*Environmental, Health, Safety Management Systems (EHSMS) Manual*

*Environmental Reporting*

*Maintenance Standard for Air Conditioning Equipment*

*Space and Safety Standard*

*Energy Management Process*

*Energy Assessment and Management Process*

*European Vehicle Recall Process*

*Potential Partner Assessment (PPA) Process*

*Test Drive Safety Management Policy for Regional Companies*

*Global Anti-Harassment, Anti-Discrimination, and Anti-Bullying Policy*

*Global Supply Chain Sustainability Policy*

*Global Policy on Conflicts of Interest*

*Test Drive Process*

*NIO's EHS Standards and Requirements*

*NIO Career Path Management Policy*

*NIO Large Language Model Development and Application Security Management Specification*

*NIO Personal Information Protection Management Policy*

*A Call to Action for NIO Supply Chain Sustainability*

*NIO Partner Cooperation Guideline (NPCG)*

*NIO Data Security Management Guidelines*

*NIO Data Security Assessment Management Guidelines*

*NIO Data Security Audit Guidelines*

*NIO Data Security Incident Response Management Guidelines*

*NIO Data Classification and Grading Strategy*

*NIO Users Foundation Charter*

*Sales Process Manual*

*Legal Compliance and Risk Control Guidelines for Marketing Content Production and Distribution*

*General Operation Standards*

*Vehicle Safety Recall Procedure*

# Appendix 4 GHG Verification Statements

Statement

Inventory Standard ISO 14064-1:2018

Statement Regist. No. 17 184 2533872

Report No. 17 184 2533872

Statement Holder:

Verification Site:

Verification Method:

Verification Scope:

Validity:

Issue Date:

www.tuv.com

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Statement

Inventory Standard ISO 14064-1:2018

Statement Regist. No. 17 184 2533871

Report No. 17 184 2533871

Statement Holder:

Verification Site:

Verification Method:

Verification Scope:

Validity:

Issue Date:

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The Road Ahead Starts With NIO